NJM Insurance Group
301 Sullivan Way, West Trenton, NJ 08628
1-888-656-4467 ext. 4016 / www.NJM.com

July 02, 2026

TO: JMD Commercial Flooring LLC
124 SHERWOOD LN
TOMS RIVER NJ 08753

NJM Insurance Group

BUSINESS INSURANCE

EST. 1913

POLICYHOLDER VALUE PROPOSITION

NJM's value proposition is a promise to deliver the highest quality service to our policyholders consistent with our mission, vision, and values. It is the reason why generations of policyholders have formed long-term relationships with NJM, trusting us to provide value-based insurance solutions with a superior customer experience.

Our value proposition has four pillars: Service and Support, Reliability, a Focus on Safety, and NJM's Total Insurance Solution.

Service and Support – Going "Above and Beyond"

NJM's exceptional customer service accompanies policyholders through every stage of a policy's life – quoting, binding, loss prevention, claims, recovery, and return-to-work.

- We know and understand your business.
- We are committed to providing a superior customer experience.

Reliability, Long-term Commitments, and a Trusted Reputation

Our 110-year legacy of long-term commitments, reliability and trust has made NJM the business insurance leader it is today.

- NJM operates efficiently, sharing our profits with our policyholders through dividends and competitive pricing.*
- We are an industry leader in claims cost management, resulting in savings for our policyholders.

Focus on Safety

Our experienced loss prevention team helps to prevent accidents, reduce risks, and control hazards in the workplace.

- We focus on the health and well-being of our policyholders and their employees.
- We coach policyholders on best practices and safety programs.

NJM's Total Insurance Solution

Inspires confidence in a company that business owners have trusted for over a century.

- NJM offers value-based, customizable insurance solutions to round out the insurance needs of small, mid-sized, and large businesses in the Mid-Atlantic region.
- We partner with an exclusive network of agents to meet the complex insurance needs of businesses.

* NJM shares positive financial results with its policyholders in the form of dividends. For this reason, the payment of a dividend is not guaranteed. Dividends are not paid on all policy forms or in every state in which NJM operates.

New Jersey Manufacturers Insurance Company | West Trenton, NJ 08628

WC-265bi (6/23)



Commercial Insurance Policy
Businessowners Policy

ONE-PAGE SUMMARY – COMMERCIAL PROPERTY / BUSINESS INCOME BUSINESS INTERRUPTION COVERAGE

This summary is not a replacement for the terms of the policy of insurance, shall not have the effect of altering the coverage afforded by the policy, and shall not confer new or additional rights beyond those expressly provided for in the policy. This information is only provided as guidance to the policyholder in understanding the terms of the policy of insurance. You should consult your policy, agent and insurer if you have questions about your particular coverage.

Commercial property insurance generally provides coverage to the policyholder for direct physical loss of or damage to their building and contents due to a covered cause of loss. Many insurers' commercial property policies include business income coverage (also referred to as business interruption coverage) either as a coverage within the primary policy form itself or as an additional coverage provided by endorsement.

Business income coverage generally provides for the net income that would have been earned by the insured plus normal operating expenses incurred that continue despite the suspension of operations. The coverage is provided only during the period of restoration, the period from when the physical loss or damage occurs until the time the property is repaired, and the location is ready for normal operations to resume.

Most business interruption insurance policies cover losses sustained due to a suspension of business where the suspension was caused by direct physical loss of or damage to property or the insured's premises, and where the loss or damage is caused by or results from a specified peril or covered cause of loss. For such policies, a government ordered shutdown may not trigger business interruption insurance coverage in the absence of physical damage to the insured property.

Perils Typically Covered

Property insurance coverage is evaluated, in part, based on what specifically caused the physical loss or damage. Some policies identify the specific perils (types of incidents that could cause damage) that are covered such as fire, wind, and vandalism. However, many policies are written on an "open peril" or "all risk" basis, meaning a covered cause of loss is anything that is not otherwise excluded from the insurance policy contract.

Your policy may not cover pandemics or viruses. Viruses and infectious diseases are generally excluded as covered causes of loss in business income coverage.

Common Exclusions

The most common types of perils (causes of loss) excluded from property insurance policies include flood, earthquake, war, wear and tear, pollution, and virus or bacteria.

Common Coverage Triggers

Commercial property insurance policies, including the business income coverage component, typically require direct physical loss or damage to tangible property in order to trigger coverage.

Other Common Coverages

Civil Authority Coverage provides coverage for business income losses when a civil authority prohibits access to the policyholder's premises. Civil Authority coverage requires that the restriction to the business be a result of a direct physical loss insured against in the policy. Civil Authority coverage is usually provided for a limited time, such as 30 days, and is typically subject to a waiting period.

Contingent Business Interruption Coverage provides coverage for a policyholder's business income losses resulting from loss or damage to property owned by others, such as suppliers of goods and services, as long as the cause of damage to the supplier or customer's premises is of the type covered by the insured's own property policy.

U.S. TREASURY DEPARTMENT'S OFFICE OF FOREIGN ASSETS CONTROL ("OFAC") ADVISORY NOTICE TO POLICYHOLDERS

No coverage is provided by this Policyholder Notice nor can it be construed to replace any provisions of your policy. You should read your policy and review your Declarations page for complete information on the coverages you are provided.

This Notice provides information concerning possible impact on your insurance coverage due to directives issued by OFAC. **Please read this Notice carefully.**

The Office of Foreign Assets Control (OFAC) administers and enforces sanctions policy, based on Presidential declarations of "national emergency". OFAC has identified and listed numerous:

- Foreign agents;
- Front organizations;
- Terrorists;
- Terrorist organizations; and
- Narcotics traffickers;

as "Specially Designated Nationals and Blocked Persons". This list can be located on the United States Treasury's web site – http//www.treas.gov/ofac.

In accordance with OFAC regulations, if it is determined that you or any other insured, or any person or entity claiming the benefits of this insurance has violated U.S. sanctions law or is a Specially Designated National and Blocked Person, as identified by OFAC, this insurance will be considered a blocked or frozen contract and all provisions of this insurance are immediately subject to OFAC. When an insurance policy is considered to be such a blocked or frozen contract, no payments nor premium refunds may be made without authorization from OFAC. Other limitations on the premiums and payments also apply.

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POLICY NUMBER: 1109483164 PRODUCT CODE: BPCT	CARRIER New Jersey Manufacturers Insurance Co
APPLICANT / NAMED INSURED JMD Commercial Flooring LLC	

POLICYHOLDER DISCLOSURE
NOTICE OF TERRORISM INSURANCE COVERAGE

You are hereby notified that under the Terrorism Risk Insurance Act, as amended, you have a right to purchase insurance coverage for losses resulting from acts of terrorism. As defined in Section 102(1) of the Act: The term "act of terrorism" means any act or acts that are certified by the Secretary of the Treasury—in consultation with the Secretary of Homeland Security, and the Attorney General of the United States—to be an act of terrorism; to be a violent act or an act that is dangerous to human life, property, or infrastructure; to have resulted in damage within the United States, or outside the United States in the case of certain air carriers or vessels or the premises of a United States mission; and to have been committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

YOU SHOULD KNOW THAT WHERE COVERAGE IS PROVIDED BY THIS POLICY FOR LOSSES RESULTING FROM CERTIFIED ACTS OF TERRORISM, SUCH LOSSES MAY BE PARTIALLY REIMBURSED BY THE UNITED STATES GOVERNMENT UNDER A FORMULA ESTABLISHED BY FEDERAL LAW. HOWEVER, YOUR POLICY MAY CONTAIN OTHER EXCLUSIONS WHICH MIGHT AFFECT YOUR COVERAGE, SUCH AS AN EXCLUSION FOR NUCLEAR EVENTS. UNDER THE FORMULA, THE UNITED STATES GOVERNMENT GENERALLY REIMBURSES 85% THROUGH 2015; 84% BEGINNING ON JANUARY 1, 2016; 83% BEGINNING ON JANUARY 1, 2017; 82% BEGINNING ON JANUARY 1, 2018; 81% BEGINNING ON JANUARY 1, 2019 and 80% BEGINNING ON JANUARY 1, 2020, OF COVERED TERRORISM LOSSES EXCEEDING THE STATUTORILY ESTABLISHED DEDUCTIBLE PAID BY THE INSURANCE COMPANY PROVIDING THE COVERAGE. THE PREMIUM CHARGED FOR THIS COVERAGE IS PROVIDED BELOW AND DOES NOT INCLUDE ANY CHARGES FOR THE PORTION OF LOSS THAT MAY BE COVERED BY THE FEDERAL GOVERNMENT UNDER THE ACT.

YOU SHOULD ALSO KNOW THAT THE TERRORISM RISK INSURANCE ACT, AS AMENDED, CONTAINS A $100 BILLION CAP THAT LIMITS U.S. GOVERNMENT REIMBURSEMENT AS WELL AS INSURERS' LIABILITY FOR LOSSES RESULTING FROM CERTIFIED ACTS OF TERRORISM WHEN THE AMOUNT OF SUCH LOSSES IN ANY ONE CALENDAR YEAR EXCEEDS $100 BILLION. IF THE AGGREGATE INSURED LOSSES FOR ALL INSURERS EXCEED $100 BILLION, YOUR COVERAGE MAY BE REDUCED.

Acceptance or Rejection of Terrorism Insurance Coverage

☐ I hereby elect to purchase terrorism coverage for a prospective premium of $ 34.00 .

☒ I hereby decline to purchase terrorism coverage for certified acts of terrorism. I understand that I will have no coverage for losses resulting from certified acts of terrorism.

Policyholder / Applicant's Signature	Print Name	Date
Policyholder / Applicant's Signature	Print Name	Date
Policyholder / Applicant's Signature	Print Name	Date

07/08/2026
Effective Date

POLICY NUMBER: 1109483164
PRODUCT CODE: BPCT

NEW BUSINESS

NJM Insurance Group

PROEDGE BUSINESSOWNERS POLICY

Protect Complete

THESE DECLARATIONS, TOGETHER WITH THE COVERAGE FORMS AND ANY ENDORSEMENTS, COMPLETE THE ABOVE NUMBERED POLICY.

Named Insured:	**Agent/Broker Name and Code:**
JMD Commercial Flooring LLC	Insurance Office of America, Inc. - 101417
Mailing Address: 124 SHERWOOD LN TOMS RIVER, NJ 08753	**Mailing Address:** 1451 Route 34 S., Suite 101 Farmingdale, NJ 07727
Phone Number: 732-581-3222	**Phone Number:**
Email Address:	**Email Address:**
Website:	**Website:**

Policy Period: 07/08/2026 to 07/08/2027 — 12:01 AM Standard Time at the address of the Named Insured as stated herein.

Entity: Limited Liability Company

Business Description: Insured installs commercial and residential flooring/covering.

PROPERTY

Prem. No.	Bldg No.	Address	Occp. and/or Ops.	Deductible	Limits	Prem. Premium
See Schedule Of Location(s)/Operation(s)						

LIABILITY

Limits of Insurance

Each Occurrence Limit:	$	1,000,000	
Damage To Premises Rented To You:	$	50,000	Any One Location
Medical Expense Limit:	$	10,000	Any One Person
Personal and Advertising Injury Limit:		Included within Each Occurrence Limit	
General Aggregate Limit:	$	2,000,000	
Products-Completed Operations Aggregate Limit:	$	2,000,000	

Forms and Endorsements:	**See Schedule Of Forms And Endorsements**
Total Policy Premium:	$ 3,433.00

IF YOU REQUEST CANCELLATION OF THIS POLICY, THE COMPANY WILL RETAIN A MINIMUM PREMIUM OF $ 754.00

IN CONSIDERATION FOR THE PAYMENT OF PREMIUM, AND SUBJECT TO ALL THE TERMS OF THIS POLICY, WE AGREE TO PROVIDE YOU THE INSURANCE AS STATED IN THIS POLICY. THIS PREMIUM MAY BE SUBJECT TO AN AUDIT.

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Named Insured:	**Agent/Broker Name and Code:**
JMD Commercial Flooring LLC	Insurance Office of America, Inc. - 101417
Policy Period: 07/08/2026 to 07/08/2027	12:01 AM Standard Time at the address of the Named Insured as stated herein.

SCHEDULE OF LOCATION(S)/OPERATION(S)

PREMISES INFORMATION

Prem. No.	Address Operations and/or Occupancy (See Liability Classification Schedule for additional details)	Deductibles		Total Premises Premium
		All Peril	Wind/Hail	
1	1393 Rt 88 Lakewood, New Jersey 08701 Floor Covering Installation - Not Ceramic Tile or Stone - Shop	$ 500	5%	$ 3,292

Bldg. No.	Building			Business Personal Property		Construction
	Limit Valuation	Auto Inc. %	Blanket No.	Limit Valuation	Blanket No.	
1	Not Covered			$ 17,500 RC	Not Covered	Fire-resistive

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Named Insured:	**Agent/Broker Name and Code:**
JMD Commercial Flooring LLC	Insurance Office of America, Inc. - 101417
Policy Period: 07/08/2026 to 07/08/2027	12:01 AM Standard Time at the address of the Named Insured as stated herein.

SCHEDULE OF LOCATION(S)/OPERATION(S)

PREMISES INFORMATION

Prem. No.	Address Operations and/or Occupancy (See Liability Classification Schedule for additional details)	Deductibles		Total Premises Premium
		All Peril	Wind/Hail	
2	1678 Burrsville Rd Brick, New Jersey 08724 Floor Covering Installation - Not Ceramic Tile or Stone - Office	$ 500	5%	$ 141

Bldg. No.	Building			Business Personal Property		Construction
	Limit Valuation	Auto Inc. %	Blanket No.	Limit Valuation	Blanket No.	
1	Not Covered			$ 15,000 RC	Not Covered	Frame Construction

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Named Insured:	**Agent/Broker Name and Code:**
JMD Commercial Flooring LLC	Insurance Office of America, Inc. - 101417
Policy Period: 07/08/2026 to 07/08/2027	12:01 AM Standard Time at the address of the Named Insured as stated herein.

LIABILITY CLASSIFICATION SCHEDULE

Prem. No.	Occupancy and/or Operations	Class Code	Exposure	
			Basis	Value
1	Floor Covering Installation - Not Ceramic Tile or Stone - Shop	74661	Payroll	$ 146,000
2	Floor Covering Installation - Not Ceramic Tile or Stone - Office	74651	Payroll	$ 1

SCHEDULE OF ADDITIONAL COVERAGE(S)

Prem. No.	Bldg. No.	Additional Coverage
All	All	Employment-Related Practices Liability Endorsement
All	All	Cyber Suite
All	All	Limited Fungi Bacteria Coverage Business Income Extra Expense
All	All	Contractors' Enhancement
All	All	Contractors' Installation
All	All	Contractors' Tools and Equipment - Schedule
2	1	Windstorm Or Hail Losses To Roof Surfacing - Actual Cash Value Loss Settlement
2	1	Limitations On Coverage For Roof Surfacing
2	All	Equipment Breakdown
1	1	Windstorm Or Hail Losses To Roof Surfacing - Actual Cash Value Loss Settlement
1	1	Limitations On Coverage For Roof Surfacing
1	All	Equipment Breakdown

Business Income And Extra Expense - Revised Period Of Indemnity		
Premises Number	**Building Number**	**Number of Consecutive Days**
1	1	270
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.		

New Jersey Manufacturers Insurance Co
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Named Insured:	**Agent/Broker Name and Code:**
JMD Commercial Flooring LLC	Insurance Office of America, Inc. - 101417
Policy Period: 07/08/2026 to 07/08/2027	12:01 AM Standard Time at the address of the Named Insured as stated herein.

Additional Coverages – Optional Higher Limits/Extended Number Of Days (Per Policy)		
Coverage	**Additional Premium**	**Limit of Insurance/Extended Number of Days**
Forgery Or Alteration	$0.00	$7,500

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Policy Effective Date: 07/08/2026	**Schedule Effective Date:** 07/08/2026

SCHEDULE OF POLICY FORMS AND ENDORSEMENTS

The following forms and endorsements are applicable to the Businessowners Policy Coverage Part

CL 01 08 18	CL Mailer Page
GRA0550F 06 22	CL POLICY JACKET - FRONT
BP PN 001 11 21	NJ Business Interruption Coverage Summary
IL P 001 01 04	U.S. Treasury Department's Office of Foreign Assets Control (OFAC) Advisory Notice to Policyholders
IL CS 001 01 19	Policyholder Disclosure Notice Of Terrorism Insurance Coverage
BP DP 001 12 23	Businessowners Policy Declaration
IL SC 002 08 18	Schedule of Policy Forms and Endorsements
IL SC 004 01 19	Schedule of Surcharges - Taxes and Fees
BP 00 03 07 13	Businessowners Coverage Form
BP 01 89 03 15	New Jersey Changes
BP 04 17 01 10	Employment-Related Practices Exclusion
BP 04 77 07 02	New Jersey Changes - Coverage For Liability For Hazards Of Lead Without Sublimit
BP 04 92 07 02	Total Pollution Exclusion Endorsement
BP 05 01 07 02	Calculation Of Premium
BP 05 24 01 15	Exclusion Of Certified Acts Of Terrorism
BP 05 77 01 06	Fungi Or Bacteria Exclusion (Liability)
BP 07 01 09 19	Contractors' Installation, Tools And Equipment Coverage
BP 12 31 01 10	Additional Insured - Building Owner
BP 14 04 07 13	Windstorm Or Hail Losses To Roof Surfacing - Actual Cash Value Loss Settlement
BP 14 07 01 10	Business Income And Extra Expense - Revised Period Of Indemnity
BP 14 08 01 10	Exclusion - Exterior Insulation And Finish Systems
BP 14 80 07 13	Higher Limits
BP 14 81 07 13	Limitations On Coverage For Roof Surfacing
BP 14 86 07 13	Communicable Disease Exclusion
BP 15 04 12 23	Exclusion - Access Or Disclosure Of Confidential Or Personal Material Or Information
BP 15 30 09 19	Cannabis Property Exclusion
BP 15 32 09 19	Cannabis Liability Exclusion
BP 15 60 02 21	Cyber Incident Exclusion
BP 15 91 12 23	Exclusion - Perfluoroalkyl And Polyfluoroalkyl Substances (PFAS)
BP 18 03 12 23	Cyber Incident Liability Exclusion
BP 18 04 12 23	Exclusion – Violation Of Law Addressing Data Privacy

NOTICE TO POLICYHOLDER: All forms and endorsements contained in this policy as of the Schedule Effective Date are listed above. Forms and endorsements added to the policy after this date will appear on the Policy Changes endorsement. Please read your policy and all Policy Changes carefully.

Policy Effective Date: 07/08/2026	**Schedule Effective Date:** 07/08/2026

SCHEDULE OF POLICY FORMS AND ENDORSEMENTS

The following forms and endorsements are applicable to the Businessowners Policy Coverage Part

BP GM 001 07 20	Amendment - Liquor Liability Exclusion
BP GM 003 07 20	Exclusion - Tobacco Or Nicotine Products
BP GM 004 07 20	Windstorm Or Hail Percentage Deductibles Subject To A Minimum Dollar Amount
BP GM 005 07 20	Exclusion - Asbestos, Silica, Silica-Related Dust Or Talc
BP GM 006 07 20	Two Or More Coverage Parts Or Policies Issued By Us
BP GM 010 07 20	ProEdge Protect Complete
BP GM 014 07 20	ProEdge Protect Property Endorsement
BP GM 015 07 20	ProEdge Protect General Liability Endorsement
BP GM 017 07 20	Deductibles By Location
BP GM 023 10 24	Cyber Suite Coverage
BP GM 024 07 20	Employment Practices Liability Insurance Coverage
BP GM 026 07 20	Equipment Breakdown Coverage Endorsement (Including Electronic Circuitry Impairment)
BP CT 001 07 26	Exclusion Of Injury To Employees - Contractors And Employees Of Contractors - New York Operations
BP CT 003 04 26	Limitation Of Coverage - New Residential Construction
BP CT 004 07 20	Exclusion - Roofing Operations
BP CT 007 07 20	Exclusion - Snow and Ice Removal
BP CT 011 07 20	Additional Insured - Owners - Lessees Or Contractors - Completed Operations - With Additional Insured Requirement In Construction Contract
BP CT 012 07 20	ProEdge Contractors Protect
BP CT 014 07 20	Exclusion - Operations Covered By A Controlled (Wrap-Up) Insurance Program
BP CT 099 10 24	Premium Audit Condition And Audit Noncompliance Charge - Contractors
GRA0550B 06 22	CL POLICY JACKET - BACK

NOTICE TO POLICYHOLDER: All forms and endorsements contained in this policy as of the Schedule Effective Date are listed above. Forms and endorsements added to the policy after this date will appear on the Policy Changes endorsement. Please read your policy and all Policy Changes carefully.

Policy Effective Date: 07/08/2026	**Schedule Effective Date:** 07/08/2026

SCHEDULE OF SURCHARGES, TAXES AND FEES

STATE: NJ

DESCRIPTION	CHARGE
Property-Liability Guaranty Association (PLIGA)	$ 8.00

BUSINESSOWNERS COVERAGE FORM

Various provisions in this policy restrict coverage. Read the entire policy carefully to determine rights, duties and what is and is not covered.

Throughout this Coverage Form, the words "you" and "your" refer to the Named Insured shown in the Declarations. The words "we", "us" and "our" refer to the company providing this insurance.

In Section **II** – Liability, the word "insured" means any person or organization qualifying as such under Paragraph **C.** Who Is An Insured.

Other words and phrases that appear in quotation marks have special meaning. Refer to Paragraph **H.** Property Definitions in Section **I** – Property and Paragraph **F.** Liability And Medical Expenses Definitions in Section **II** – Liability.

SECTION I – PROPERTY

A. Coverage

We will pay for direct physical loss of or damage to Covered Property at the premises described in the Declarations caused by or resulting from any Covered Cause of Loss.

1. Covered Property

Covered Property includes Buildings as described under Paragraph **a.** below, Business Personal Property as described under Paragraph **b.** below, or both, depending on whether a Limit Of Insurance is shown in the Declarations for that type of property. Regardless of whether coverage is shown in the Declarations for Buildings, Business Personal Property, or both, there is no coverage for property described under Paragraph **2.** Property Not Covered.

a. Buildings, meaning the buildings and structures at the premises described in the Declarations, including:

(1) Completed additions;

(2) Fixtures, including outdoor fixtures;

(3) Permanently installed:

(a) Machinery; and

(b) Equipment;

(4) Your personal property in apartments, rooms or common areas furnished by you as landlord;

(5) Personal property owned by you that is used to maintain or service the buildings or structures or the premises, including:

(a) Fire extinguishing equipment;

(b) Outdoor furniture;

(c) Floor coverings; and

(d) Appliances used for refrigerating, ventilating, cooking, dishwashing or laundering;

(6) If not covered by other insurance:

(a) Additions under construction, alterations and repairs to the buildings or structures;

(b) Materials, equipment, supplies and temporary structures, on or within 100 feet of the described premises, used for making additions, alterations or repairs to the buildings or structures.

b. Business Personal Property located in or on the buildings or structures at the described premises or in the open (or in a vehicle) within 100 feet of the buildings or structures or within 100 feet of the premises described in the Declarations, whichever distance is greater, including:

(1) Property you own that is used in your business;

(2) Property of others that is in your care, custody or control, except as otherwise provided in Loss Payment Property Loss Condition Paragraph **E.5.d.(3)(b);**

(3) Tenant's improvements and betterments. Improvements and betterments are fixtures, alterations, installations or additions:

(a) Made a part of the building or structure you occupy but do not own; and

(b) You acquired or made at your expense but cannot legally remove;

(4) Leased personal property which you have a contractual responsibility to insure, unless otherwise provided for under Paragraph **1.b.(2);** and

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(5) Exterior building glass, if you are a tenant and no Limit Of Insurance is shown in the Declarations for Building property. The glass must be owned by you or in your care, custody or control.

2. Property Not Covered

Covered Property does not include:

a. Aircraft, automobiles, motortrucks and other vehicles subject to motor vehicle registration;

b. "Money" or "securities" except as provided in the:

(1) Money And Securities Optional Coverage; or

(2) Employee Dishonesty Optional Coverage;

c. Contraband, or property in the course of illegal transportation or trade;

d. Land (including land on which the property is located), water, growing crops or lawns (other than lawns which are part of a vegetated roof);

e. Outdoor fences, radio or television antennas (including satellite dishes) and their lead-in wiring, masts or towers, signs (other than signs attached to buildings), trees, shrubs or plants (other than trees, shrubs or plants which are part of a vegetated roof), all except as provided in the:

(1) Outdoor Property Coverage Extension; or

(2) Outdoor Signs Optional Coverage;

f. Watercraft (including motors, equipment and accessories) while afloat;

g. Accounts, bills, food stamps, other evidences of debt, accounts receivable or "valuable papers and records"; except as otherwise provided in this policy;

h. "Computer(s)" which are permanently installed or designed to be permanently installed in any aircraft, watercraft, motortruck or other vehicle subject to motor vehicle registration. This paragraph does not apply to "computer(s)" while held as "stock";

i. "Electronic data", except as provided under Additional Coverages – Electronic Data. This Paragraph **i.** does not apply to your "stock" of prepackaged software or to "electronic data" which is integrated in and operates or controls the building's elevator, lighting, heating, ventilation, air conditioning or security system; or

j. Animals, unless owned by others and boarded by you, or if owned by you, only as "stock" while inside of buildings.

3. Covered Causes Of Loss

Direct physical loss unless the loss is excluded or limited under Section **I** – Property.

4. Limitations

a. We will not pay for loss of or damage to:

(1) Steam boilers, steam pipes, steam engines or steam turbines caused by or resulting from any condition or event inside such equipment. But we will pay for loss of or damage to such equipment caused by or resulting from an explosion of gases or fuel within the furnace of any fired vessel or within the flues or passages through which the gases of combustion pass.

(2) Hot water boilers or other water heating equipment caused by or resulting from any condition or event inside such boilers or equipment, other than an explosion.

(3) Property that is missing, where the only evidence of the loss or damage is a shortage disclosed on taking inventory, or other instances where there is no physical evidence to show what happened to the property. This limitation does not apply to the Optional Coverage for Money and Securities.

(4) Property that has been transferred to a person or to a place outside the described premises on the basis of unauthorized instructions.

(5) The interior of any building or structure, or to personal property in the building or structure, caused by or resulting from rain, snow, sleet, ice, sand or dust, whether driven by wind or not, unless:

(a) The building or structure first sustains damage by a Covered Cause of Loss to its roof or walls through which the rain, snow, sleet, ice, sand or dust enters; or

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(b) The loss or damage is caused by or results from thawing of snow, sleet or ice on the building or structure.

(6) Lawns, trees, shrubs or plants which are part of a vegetated roof, caused by or resulting from:

(a) Dampness or dryness of atmosphere or of soil supporting the vegetation;

(b) Changes in or extremes of temperature;

(c) Disease;

(d) Frost or hail; or

(e) Rain, snow, ice or sleet.

b. We will not pay for loss of or damage to the following types of property unless caused by the "specified causes of loss" or building glass breakage:

(1) Animals, and then only if they are killed or their destruction is made necessary.

(2) Fragile articles such as glassware, statuary, marble, chinaware and porcelain, if broken. This restriction does not apply to:

(a) Glass that is part of the exterior or interior of a building or structure;

(b) Containers of property held for sale; or

(c) Photographic or scientific instrument lenses.

c. For loss or damage by theft, the following types of property are covered only up to the limits shown (unless a higher Limit Of Insurance is shown in the Declarations):

(1) $2,500 for furs, fur garments and garments trimmed with fur.

(2) $2,500 for jewelry, watches, watch movements, jewels, pearls, precious and semiprecious stones, bullion, gold, silver, platinum and other precious alloys or metals. This limit does not apply to jewelry and watches worth $100 or less per item.

(3) $2,500 for patterns, dies, molds and forms.

5. Additional Coverages

a. Debris Removal

(1) Subject to Paragraphs **(2), (3)** and **(4),** we will pay your expense to remove debris of Covered Property and other debris that is on the described premises, when such debris is caused by or results from a Covered Cause of Loss that occurs during the policy period. The expenses will be paid only if they are reported to us in writing within 180 days of the date of direct physical loss or damage.

(2) Debris Removal does not apply to costs to:

(a) Remove debris of property of yours that is not insured under this policy, or property in your possession that is not Covered Property;

(b) Remove debris of property owned by or leased to the landlord of the building where your described premises are located, unless you have a contractual responsibility to insure such property and it is insured under this policy;

(c) Remove any property that is Property Not Covered, including property addressed under the Outdoor Property Coverage Extension;

(d) Remove property of others of a type that would not be Covered Property under this policy;

(e) Remove deposits of mud or earth from the grounds of the described premises;

(f) Extract "pollutants" from land or water; or

(g) Remove, restore or replace polluted land or water.

(3) Subject to the exceptions in Paragraph **(4),** the following provisions apply:

(a) The most that we will pay for the total of direct physical loss or damage plus debris removal expense is the Limit of Insurance applicable to the Covered Property that has sustained loss or damage.

(b) Subject to Paragraph **(3)(a)** above, the amount we will pay for debris removal expense is limited to 25% of the sum of the deductible plus the amount that we pay for direct physical loss or damage to the Covered Property that has sustained loss or damage. However, if no Covered Property has sustained direct physical loss or damage, the most we will pay for removal of debris of other property (if such removal is covered under this Additional Coverage) is $5,000 at each location.

(4) We will pay up to an additional $25,000 for debris removal expense, for each location, in any one occurrence of physical loss or damage to Covered Property, if one or both of the following circumstances apply:

(a) The total of the actual debris removal expense plus the amount we pay for direct physical loss or damage exceeds the Limit of Insurance on the Covered Property that has sustained loss or damage.

(b) The actual debris removal expense exceeds 25% of the sum of the deductible plus the amount that we pay for direct physical loss or damage to the Covered Property that has sustained loss or damage.

Therefore, if Paragraphs **(4)(a)** and/or **(4)(b)** apply, our total payment for direct physical loss or damage and debris removal expense may reach but will never exceed the Limit of Insurance on the Covered Property that has sustained loss or damage, plus $25,000.

(5) Examples

Example 1

Limit of Insurance	$ 90,000
Amount of Deductible	$ 500
Amount of Loss	$ 50,000
Amount of Loss Payable	$ 49,500
	($50,000 – $500)
Debris Removal Expense	$ 10,000
Debris Removal Expense Payable	$ 10,000
($10,000 is 20% of $50,000)	

The debris removal expense is less than 25% of the sum of the loss payable plus the deductible. The sum of the loss payable and the debris removal expense ($49,500 + $10,000 = $59,500) is less than the Limit of Insurance. Therefore, the full amount of debris removal expense is payable in accordance with the terms of Paragraph **(3).**

Example 2

Limit of Insurance	$ 90,000
Amount of Deductible	$ 500
Amount of Loss	$ 80,000
Amount of Loss Payable	$ 79,500
	($80,000 – $500)
Debris Removal Expense	$ 40,000
Debris Removal Expense Payable	
Basic Amount	$ 10,500
Additional Amount	$ 25,000

The basic amount payable for debris removal expense under the terms of Paragraph **(3)** is calculated as follows: $80,000 ($79,500 + $500) x .25 = $20,000; capped at $10,500. The cap applies because the sum of the loss payable ($79,500) and the basic amount payable for debris removal expense ($10,500) cannot exceed the Limit of Insurance ($90,000).

The additional amount payable for debris removal expense is provided in accordance with the terms of Paragraph **(4),** because the debris removal expense ($40,000) exceeds 25% of the loss payable plus the deductible ($40,000 is 50% of $80,000), and because the sum of the loss payable and debris removal expense ($79,500 + $40,000 = $119,500) would exceed the Limit of Insurance ($90,000). The additional amount of covered debris removal expense is $25,000, the maximum payable under Paragraph **(4).** Thus, the total payable for debris removal expense in this example is $35,500; $4,500 of the debris removal expense is not covered.

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b. Preservation Of Property

If it is necessary to move Covered Property from the described premises to preserve it from loss or damage by a Covered Cause of Loss, we will pay for any direct physical loss of or damage to that property:

(1) While it is being moved or while temporarily stored at another location; and

(2) Only if the loss or damage occurs within 30 days after the property is first moved.

c. Fire Department Service Charge

When the fire department is called to save or protect Covered Property from a Covered Cause of Loss, we will pay up to $2,500 for service at each premises described in the Declarations, unless a different limit is shown in the Declarations. Such limit is the most we will pay regardless of the number of responding fire departments or fire units, and regardless of the number or type of services performed.

This Additional Coverage applies to your liability for fire department service charges:

(1) Assumed by contract or agreement prior to loss; or

(2) Required by local ordinance.

d. Collapse

The coverage provided under this Additional Coverage – Collapse applies only to an abrupt collapse as described and limited in Paragraphs **d.(1)** through **d.(7).**

(1) For the purpose of this Additional Coverage – Collapse, abrupt collapse means an abrupt falling down or caving in of a building or any part of a building with the result that the building or part of the building cannot be occupied for its intended purpose.

(2) We will pay for direct physical loss or damage to Covered Property, caused by abrupt collapse of a building or any part of a building that is insured under this policy or that contains Covered Property insured under this policy, if such collapse is caused by one or more of the following:

(a) Building decay that is hidden from view, unless the presence of such decay is known to an insured prior to collapse;

(b) Insect or vermin damage that is hidden from view, unless the presence of such damage is known to an insured prior to collapse;

(c) Use of defective material or methods in construction, remodeling or renovation if the abrupt collapse occurs during the course of the construction, remodeling or renovation.

(d) Use of defective material or methods in construction, remodeling or renovation if the abrupt collapse occurs after the construction, remodeling or renovation is complete, but only if the collapse is caused in part by:

(i) A cause of loss listed in Paragraph **(2)(a)** or **(2)(b);**

(ii) One or more of the "specified causes of loss";

(iii) Breakage of building glass;

(iv) Weight of people or personal property; or

(v) Weight of rain that collects on a roof.

(3) This Additional Coverage – Collapse does **not** apply to:

(a) A building or any part of a building that is in danger of falling down or caving in;

(b) A part of a building that is standing, even if it has separated from another part of the building; or

(c) A building that is standing or any part of a building that is standing, even if it shows evidence of cracking, bulging, sagging, bending, leaning, settling, shrinkage or expansion.

(4) With respect to the following property:

(a) Awnings;

(b) Gutters and downspouts;

(c) Yard fixtures;

(d) Outdoor swimming pools;

(e) Piers, wharves and docks;

(f) Beach or diving platforms or appurtenances;

(g) Retaining walls; and

(h) Walks, roadways and other paved surfaces;

if an abrupt collapse is caused by a cause of loss listed in Paragraphs **(2)(a)** through **(2)(d),** we will pay for loss or damage to that property only if such loss or damage is a direct result of the abrupt collapse of a building insured under this policy and the property is Covered Property under this policy.

(5) If personal property abruptly falls down or caves in and such collapse is **not** the result of abrupt collapse of a building, we will pay for loss or damage to Covered Property caused by such collapse of personal property only if:

(a) The collapse of personal property was caused by a cause of loss listed in Paragraphs **(2)(a)** through **(2)(d)** of this Additional Coverage;

(b) The personal property which collapses is inside a building; and

(c) The property which collapses is not of a kind listed in Paragraph **(4),** regardless of whether that kind of property is considered to be personal property or real property.

The coverage stated in this Paragraph **(5)** does not apply to personal property if marring and/or scratching is the only damage to that personal property caused by the collapse.

(6) This Additional Coverage – Collapse does not apply to personal property that has not abruptly fallen down or caved in, even if the personal property shows evidence of cracking, bulging, sagging, bending, leaning, settling, shrinkage or expansion.

(7) This Additional Coverage – Collapse will not increase the Limits of Insurance provided in this policy.

(8) The term Covered Cause of Loss includes the Additional Coverage – Collapse as described and limited in Paragraphs **d.(1)** through **d.(7).**

e. Water Damage, Other Liquids, Powder Or Molten Material Damage

If loss or damage caused by or resulting from covered water or other liquid, powder or molten material occurs, we will also pay the cost to tear out and replace any part of the building or structure to repair damage to the system or appliance from which the water or other substance escapes.

We will not pay the cost to repair any defect that caused the loss or damage, but we will pay the cost to repair or replace damaged parts of fire extinguishing equipment if the damage:

(1) Results in discharge of any substance from an automatic fire protection system; or

(2) Is directly caused by freezing.

f. Business Income

(1) Business Income

(a) We will pay for the actual loss of Business Income you sustain due to the necessary suspension of your "operations" during the "period of restoration". The suspension must be caused by direct physical loss of or damage to property at the described premises. The loss or damage must be caused by or result from a Covered Cause of Loss. With respect to loss of or damage to personal property in the open or personal property in a vehicle, the described premises include the area within 100 feet of such premises.

With respect to the requirements set forth in the preceding paragraph, if you occupy only part of a building, your premises mean:

(i) The portion of the building which you rent, lease or occupy;

(ii) The area within 100 feet of the building or within 100 feet of the premises described in the Declarations, whichever distance is greater (with respect to loss of or damage to personal property in the open or personal property in a vehicle); and

(iii) Any area within the building or at the described premises, if that area services, or is used to gain access to, the portion of the building which you rent, lease or occupy.

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(b) We will only pay for loss of Business Income that you sustain during the "period of restoration" and that occurs within 12 consecutive months after the date of direct physical loss or damage. We will only pay for ordinary payroll expenses for 60 days following the date of direct physical loss or damage, unless a greater number of days is shown in the Declarations.

(c) Business Income means the:

(i) Net Income (Net Profit or Loss before income taxes) that would have been earned or incurred if no physical loss or damage had occurred, but not including any Net Income that would likely have been earned as a result of an increase in the volume of business due to favorable business conditions caused by the impact of the Covered Cause of Loss on customers or on other businesses; and

(ii) Continuing normal operating expenses incurred, including payroll.

(d) Ordinary payroll expenses:

(i) Means payroll expenses for all your employees except:

i. Officers;

ii. Executives;

iii. Department Managers;

iv. Employees under contract; and

v. Additional Exemptions shown in the Declarations as:

- Job Classifications; or
- Employees.

(ii) Include:

i. Payroll;

ii. Employee benefits, if directly related to payroll;

iii. FICA payments you pay;

iv. Union dues you pay; and

v. Workers' compensation premiums.

(2) Extended Business Income

(a) If the necessary suspension of your "operations" produces a Business Income loss payable under this policy, we will pay for the actual loss of Business Income you incur during the period that:

(i) Begins on the date property except finished stock is actually repaired, rebuilt or replaced and "operations" are resumed; and

(ii) Ends on the earlier of:

i. The date you could restore your "operations", with reasonable speed, to the level which would generate the Business Income amount that would have existed if no direct physical loss or damage had occurred; or

ii. 60 consecutive days after the date determined in Paragraph **(a)(i)** above, unless a greater number of consecutive days is shown in the Declarations.

However, Extended Business Income does not apply to loss of Business Income incurred as a result of unfavorable business conditions caused by the impact of the Covered Cause of Loss in the area where the described premises are located.

(b) Loss of Business Income must be caused by direct physical loss or damage at the described premises caused by or resulting from any Covered Cause of Loss.

(3) With respect to the coverage provided in this Additional Coverage, suspension means:

(a) The partial slowdown or complete cessation of your business activities; or

(b) That a part or all of the described premises is rendered untenantable, if coverage for Business Income applies.

(4) This Additional Coverage is not subject to the Limits of Insurance of Section **I** – Property.

g. Extra Expense

(1) We will pay necessary Extra Expense you incur during the "period of restoration" that you would not have incurred if there had been no direct physical loss or damage to property at the described premises. The loss or damage must be caused by or result from a Covered Cause of Loss. With respect to loss of or damage to personal property in the open or personal property in a vehicle, the described premises include the area within 100 feet of such premises.

With respect to the requirements set forth in the preceding paragraph, if you occupy only part of a building, your premises mean:

(a) The portion of the building which you rent, lease or occupy;

(b) The area within 100 feet of the building or within 100 feet of the premises described in the Declarations, whichever distance is greater (with respect to loss of or damage to personal property in the open or personal property in a vehicle); and

(c) Any area within the building or at the described premises, if that area services, or is used to gain access to, the portion of the building which you rent, lease or occupy.

(2) Extra Expense means expense incurred:

(a) To avoid or minimize the suspension of business and to continue "operations":

(i) At the described premises; or

(ii) At replacement premises or at temporary locations, including relocation expenses, and costs to equip and operate the replacement or temporary locations.

(b) To minimize the suspension of business if you cannot continue "operations".

(c) To:

(i) Repair or replace any property; or

(ii) Research, replace or restore the lost information on damaged "valuable papers and records";

to the extent it reduces the amount of loss that otherwise would have been payable under this Additional Coverage or Additional Coverage **f.** Business Income.

(3) With respect to the coverage provided in this Additional Coverage, suspension means:

(a) The partial slowdown or complete cessation of your business activities; or

(b) That a part or all of the described premises is rendered untenantable, if coverage for Business Income applies.

(4) We will only pay for Extra Expense that occurs within 12 consecutive months after the date of direct physical loss or damage. This Additional Coverage is not subject to the Limits of Insurance of Section **I** – Property.

h. Pollutant Clean-up And Removal

We will pay your expense to extract "pollutants" from land or water at the described premises if the discharge, dispersal, seepage, migration, release or escape of the "pollutants" is caused by or results from a Covered Cause of Loss that occurs during the policy period. The expenses will be paid only if they are reported to us in writing within 180 days of the date on which the Covered Cause of Loss occurs.

This Additional Coverage does not apply to costs to test for, monitor or assess the existence, concentration or effects of "pollutants". But we will pay for testing which is performed in the course of extracting the "pollutants" from the land or water.

The most we will pay for each location under this Additional Coverage is $10,000 for the sum of all such expenses arising out of Covered Causes of Loss occurring during each separate 12-month period of this policy.

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i. Civil Authority

When a Covered Cause of Loss causes damage to property other than property at the described premises, we will pay for the actual loss of Business Income you sustain and necessary Extra Expense caused by action of civil authority that prohibits access to the described premises, provided that both of the following apply:

(1) Access to the area immediately surrounding the damaged property is prohibited by civil authority as a result of the damage, and the described premises are within that area but are not more than one mile from the damaged property; and

(2) The action of civil authority is taken in response to dangerous physical conditions resulting from the damage or continuation of the Covered Cause of Loss that caused the damage, or the action is taken to enable a civil authority to have unimpeded access to the damaged property.

Civil Authority Coverage for Business Income will begin 72 hours after the time of the first action of civil authority that prohibits access to the described premises and will apply for a period of up to four consecutive weeks from the date on which such coverage began.

Civil Authority Coverage for necessary Extra Expense will begin immediately after the time of the first action of civil authority that prohibits access to the described premises and will end:

(1) Four consecutive weeks after the date of that action; or

(2) When your Civil Authority Coverage for Business Income ends;

whichever is later.

The definitions of Business Income and Extra Expense contained in the Business Income and Extra Expense Additional Coverages also apply to this Civil Authority Additional Coverage. The Civil Authority Additional Coverage is not subject to the Limits of Insurance of Section **I** – Property.

j. Money Orders And "Counterfeit Money"

We will pay for loss resulting directly from your having accepted in good faith, in exchange for merchandise, "money" or services:

(1) Money orders issued by any post office, express company or bank that are not paid upon presentation; or

(2) "Counterfeit money" that is acquired during the regular course of business.

The most we will pay for any loss under this Additional Coverage is $1,000.

k. Forgery Or Alteration

(1) We will pay for loss resulting directly from forgery or alteration of any check, draft, promissory note, bill of exchange or similar written promise of payment in "money" that you or your agent has issued, or that was issued by someone who impersonates you or your agent.

(2) If you are sued for refusing to pay the check, draft, promissory note, bill of exchange or similar written promise of payment in "money", on the basis that it has been forged or altered, and you have our written consent to defend against the suit, we will pay for any reasonable legal expenses that you incur in that defense.

(3) For the purpose of this coverage, check includes a substitute check as defined in the Check Clearing for the 21st Century Act and will be treated the same as the original it replaced.

(4) The most we will pay for any loss, including legal expenses, under this Additional Coverage is $2,500, unless a higher Limit Of Insurance is shown in the Declarations.

l. Increased Cost Of Construction

(1) This Additional Coverage applies only to buildings insured on a replacement cost basis.

(2) In the event of damage by a Covered Cause of Loss to a building that is Covered Property, we will pay the increased costs incurred to comply with the minimum standards of an ordinance or law in the course of repair, rebuilding or replacement of damaged parts of that property, subject to the limitations stated in Paragraphs **(3)** through **(9)** of this Additional Coverage.

(3) The ordinance or law referred to in Paragraph **(2)** of this Additional Coverage is an ordinance or law that regulates the construction or repair of buildings or establishes zoning or land use requirements at the described premises and is in force at the time of loss.

(4) Under this Additional Coverage, we will not pay any costs due to an ordinance or law that:

(a) You were required to comply with before the loss, even when the building was undamaged; and

(b) You failed to comply with.

(5) Under this Additional Coverage, we will not pay for:

(a) The enforcement of or compliance with any ordinance or law which requires demolition, repair, replacement, reconstruction, remodeling or remediation of property due to contamination by "pollutants" or due to the presence, growth, proliferation, spread or any activity of "fungi", wet rot or dry rot; or

(b) Any costs associated with the enforcement of or compliance with an ordinance or law which requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants", "fungi", wet rot or dry rot.

(6) The most we will pay under this Additional Coverage, for each described building insured under Section **I** – Property, is $10,000. If a damaged building(s) is covered under a blanket Limit of Insurance which applies to more than one building or item of property, then the most we will pay under this Additional Coverage, for each damaged building, is $10,000.

The amount payable under this Additional Coverage is additional insurance.

(7) With respect to this Additional Coverage:

(a) We will not pay for the Increased Cost of Construction:

(i) Until the property is actually repaired or replaced, at the same or another premises; and

(ii) Unless the repair or replacement is made as soon as reasonably possible after the loss or damage, not to exceed two years. We may extend this period in writing during the two years.

(b) If the building is repaired or replaced at the same premises, or if you elect to rebuild at another premises, the most we will pay for the Increased Cost of Construction is the increased cost of construction at the same premises.

(c) If the ordinance or law requires relocation to another premises, the most we will pay for the Increased Cost of Construction is the increased cost of construction at the new premises.

(8) This Additional Coverage is not subject to the terms of the Ordinance Or Law Exclusion, to the extent that such exclusion would conflict with the provisions of this Additional Coverage.

(9) The costs addressed in the Loss Payment Property Loss Condition in Section **I** – Property do not include the increased cost attributable to enforcement of or compliance with an ordinance or law. The amount payable under this Additional Coverage, as stated in Paragraph **(6)** of this Additional Coverage, is not subject to such limitation.

m. Business Income From Dependent Properties

(1) We will pay for the actual loss of Business Income you sustain due to physical loss or damage at the premises of a dependent property or secondary dependent property caused by or resulting from any Covered Cause of Loss.

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However, this Additional Coverage does not apply when the only loss at the premises of a dependent property or secondary dependent property is loss or damage to "electronic data", including destruction or corruption of "electronic data". If the dependent property or secondary dependent property sustains loss or damage to "electronic data" and other property, coverage under this Additional Coverage will not continue once the other property is repaired, rebuilt or replaced.

The most we will pay under this Additional Coverage is $5,000 unless a higher Limit Of Insurance is indicated in the Declarations.

(2) We will reduce the amount of your Business Income loss, other than Extra Expense, to the extent you can resume "operations", in whole or in part, by using any other available:

(a) Source of materials; or

(b) Outlet for your products.

(3) If you do not resume "operations", or do not resume "operations" as quickly as possible, we will pay based on the length of time it would have taken to resume "operations" as quickly as possible.

(4) Dependent property means property owned by others whom you depend on to:

(a) Deliver materials or services to you, or to others for your account. But services does not mean water supply services, wastewater removal services, communication supply services or power supply services;

(b) Accept your products or services;

(c) Manufacture your products for delivery to your customers under contract for sale; or

(d) Attract customers to your business.

The dependent property must be located in the coverage territory of this policy.

(5) Secondary dependent property means an entity which is not owned or operated by a dependent property and which;

(a) Delivers materials or services to a dependent property, which in turn are used by the dependent property in providing materials or services to you; or

(b) Accepts materials or services from a dependent property, which in turn accepts your materials or services.

A road, bridge, tunnel, waterway, airfield, pipeline or any other similar area or structure is not a secondary dependent property.

Any property which delivers any of the following services is not a secondary dependent property with respect to such services:

(i) Water supply services;

(ii) Wastewater removal services;

(iii) Communication supply services; or

(iv) Power supply services.

The secondary dependent property must be located in the coverage territory of this policy.

(6) The coverage period for Business Income under this Additional Coverage:

(a) Begins 72 hours after the time of direct physical loss or damage caused by or resulting from any Covered Cause of Loss at the premises of the dependent property or secondary dependent property; and

(b) Ends on the date when the property at the premises of the dependent property or secondary dependent property should be repaired, rebuilt or replaced with reasonable speed and similar quality.

(7) The Business Income coverage period, as stated in Paragraph **(6),** does not include any increased period required due to the enforcement of or compliance with any ordinance or law that:

(a) Regulates the construction, use or repair, or requires the tearing down of any property; or

(b) Requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants".

The expiration date of this policy will not reduce the Business Income coverage period.

(8) The definition of Business Income contained in the Business Income Additional Coverage also applies to this Business Income From Dependent Properties Additional Coverage.

n. Glass Expenses

(1) We will pay for expenses incurred to put up temporary plates or board up openings if repair or replacement of damaged glass is delayed.

(2) We will pay for expenses incurred to remove or replace obstructions when repairing or replacing glass that is part of a building. This does not include removing or replacing window displays.

o. Fire Extinguisher Systems Recharge Expense

(1) We will pay:

(a) The cost of recharging or replacing, whichever is less, your fire extinguishers and fire extinguishing systems (including hydrostatic testing if needed) if they are discharged on or within 100 feet of the described premises; and

(b) For loss or damage to Covered Property if such loss or damage is the result of an accidental discharge of chemicals from a fire extinguisher or a fire extinguishing system.

(2) No coverage will apply if the fire extinguishing system is discharged during installation or testing.

(3) The most we will pay under this Additional Coverage is $5,000 in any one occurrence.

p. Electronic Data

(1) Subject to the provisions of this Additional Coverage, we will pay for the cost to replace or restore "electronic data" which has been destroyed or corrupted by a Covered Cause of Loss. To the extent that "electronic data" is not replaced or restored, the loss will be valued at the cost of replacement of the media on which the "electronic data" was stored, with blank media of substantially identical type.

(2) The Covered Causes of Loss applicable to Business Personal Property include a computer virus, harmful code or similar instruction introduced into or enacted on a computer system (including "electronic data") or a network to which it is connected, designed to damage or destroy any part of the system or disrupt its normal operation. But there is no coverage for loss or damage caused by or resulting from manipulation of a computer system (including "electronic data") by any employee, including a temporary or leased employee, or by an entity retained by you, or for you, to inspect, design, install, modify, maintain, repair or replace that system.

(3) The most we will pay under this Additional Coverage – Electronic Data for all loss or damage sustained in any one policy year, regardless of the number of occurrences of loss or damage or the number of premises, locations or computer systems involved, is $10,000, unless a higher Limit Of Insurance is shown in the Declarations. If loss payment on the first occurrence does not exhaust this amount, then the balance is available for subsequent loss or damage sustained in, but not after, that policy year. With respect to an occurrence which begins in one policy year and continues or results in additional loss or damage in a subsequent policy year(s), all loss or damage is deemed to be sustained in the policy year in which the occurrence began.

(4) This Additional Coverage does not apply to your "stock" of prepackaged software, or to "electronic data" which is integrated in and operates or controls a building's elevator, lighting, heating, ventilation, air conditioning or security system.

q. Interruption Of Computer Operations

(1) Subject to all provisions of this Additional Coverage, you may extend the insurance that applies to Business Income and Extra Expense to apply to a suspension of "operations" caused by an interruption in computer operations due to destruction or corruption of "electronic data" due to a Covered Cause of Loss.

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(2) With respect to the coverage provided under this Additional Coverage, the Covered Causes of Loss are subject to the following:

(a) Coverage under this Additional Coverage – Interruption Of Computer Operations is limited to the "specified causes of loss" and Collapse.

(b) If the Businessowners Coverage Form is endorsed to add a Covered Cause of Loss, the additional Covered Cause of Loss does not apply to the coverage provided under this Additional Coverage.

(c) The Covered Causes of Loss include a computer virus, harmful code or similar instruction introduced into or enacted on a computer system (including "electronic data") or a network to which it is connected, designed to damage or destroy any part of the system or disrupt its normal operation. But there is no coverage for an interruption related to manipulation of a computer system (including "electronic data") by any employee, including a temporary or leased employee, or by an entity retained by you, or for you, to inspect, design, install, modify, maintain, repair or replace that system.

(3) The most we will pay under this Additional Coverage – Interruption Of Computer Operations for all loss sustained and expense incurred in any one policy year, regardless of the number of interruptions or the number of premises, locations or computer systems involved, is $10,000 unless a higher Limit Of Insurance is shown in the Declarations. If loss payment relating to the first interruption does not exhaust this amount, then the balance is available for loss or expense sustained or incurred as a result of subsequent interruptions in that policy year. A balance remaining at the end of a policy year does not increase the amount of insurance in the next policy year. With respect to any interruption which begins in one policy year and continues or results in additional loss or expense in a subsequent policy year(s), all loss and expense is deemed to be sustained or incurred in the policy year in which the interruption began.

(4) This Additional Coverage – Interruption Of Computer Operations does not apply to loss sustained or expense incurred after the end of the "period of restoration", even if the amount of insurance stated in **(3)** above has not been exhausted.

(5) Coverage for Business Income does not apply when a suspension of "operations" is caused by destruction or corruption of "electronic data", or any loss or damage to "electronic data", except as provided under Paragraphs **(1)** through **(4)** of this Additional Coverage.

(6) Coverage for Extra Expense does not apply when action is taken to avoid or minimize a suspension of "operations" caused by destruction or corruption of "electronic data", or any loss or damage to "electronic data", except as provided under Paragraphs **(1)** through **(4)** of this Additional Coverage.

(7) This Additional Coverage does not apply when loss or damage to "electronic data" involves only "electronic data" which is integrated in and operates or controls a building's elevator, lighting, heating, ventilation, air conditioning or security system.

r. Limited Coverage For "Fungi", Wet Rot Or Dry Rot

(1) The coverage described in Paragraphs **r.(2)** and **r.(6)** only applies when the "fungi", wet rot or dry rot is the result of a "specified cause of loss" other than fire or lightning that occurs during the policy period and only if all reasonable means were used to save and preserve the property from further damage at the time of and after that occurrence.

This Additional Coverage does not apply to lawns, trees, shrubs or plants which are part of a vegetated roof.

(2) We will pay for loss or damage by "fungi", wet rot or dry rot. As used in this Limited Coverage, the term loss or damage means:

(a) Direct physical loss or damage to Covered Property caused by "fungi", wet rot or dry rot, including the cost of removal of the "fungi", wet rot or dry rot;

(b) The cost to tear out and replace any part of the building or other property as needed to gain access to the "fungi", wet rot or dry rot; and

(c) The cost of testing performed after removal, repair, replacement or restoration of the damaged property is completed, provided there is a reason to believe that "fungi", wet rot or dry rot is present.

(3) The coverage described under this Limited Coverage is limited to $15,000. Regardless of the number of claims, this limit is the most we will pay for the total of all loss or damage arising out of all occurrences of "specified causes of loss" (other than fire or lightning) which take place in a 12-month period (starting with the beginning of the present annual policy period). With respect to a particular occurrence of loss which results in "fungi", wet rot or dry rot, we will not pay more than the total of $15,000 even if the "fungi", wet rot or dry rot continues to be present or active, or recurs, in a later policy period.

(4) The coverage provided under this Limited Coverage does not increase the applicable Limit of Insurance on any Covered Property. If a particular occurrence results in loss or damage by "fungi", wet rot or dry rot, and other loss or damage, we will not pay more, for the total of all loss or damage, than the applicable Limit of Insurance on the affected Covered Property.

If there is covered loss or damage to Covered Property, not caused by "fungi", wet rot or dry rot, loss payment will not be limited by the terms of this Limited Coverage, except to the extent that "fungi", wet rot or dry rot causes an increase in the loss. Any such increase in the loss will be subject to the terms of this Limited Coverage.

(5) The terms of this Limited Coverage do not increase or reduce the coverage provided under the Water Damage, Other Liquids, Powder Or Molten Material Damage or Collapse Additional Coverages.

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(6) The following applies only if Business Income and/or Extra Expense Coverage applies to the described premises and only if the suspension of "operations" satisfies all the terms and conditions of the applicable Business Income and/or Extra Expense Additional Coverage:

(a) If the loss which resulted in "fungi", wet rot or dry rot does not in itself necessitate a suspension of "operations", but such suspension is necessary due to loss or damage to property caused by "fungi", wet rot or dry rot, then our payment under the Business Income and/or Extra Expense Additional Coverages is limited to the amount of loss and/or expense sustained in a period of not more than 30 days. The days need not be consecutive.

(b) If a covered suspension of "operations" was caused by loss or damage other than "fungi", wet rot or dry rot, but remediation of "fungi", wet rot or dry rot prolongs the "period of restoration", we will pay for loss and/or expense sustained during the delay (regardless of when such a delay occurs during the "period of restoration"), but such coverage is limited to 30 days. The days need not be consecutive.

6. Coverage Extensions

In addition to the Limits of Insurance of Section **I** – Property, you may extend the insurance provided by this policy as provided below.

Except as otherwise provided, the following extensions apply to property located in or on the building described in the Declarations or in the open (or in a vehicle) within 100 feet of the described premises:

a. Newly Acquired Or Constructed Property

(1) Buildings

If this policy covers Buildings, you may extend that insurance to apply to:

(a) Your new buildings while being built on the described premises; and

(b) Buildings you acquire at premises other than the one described, intended for:

(i) Similar use as the building described in the Declarations; or

(ii) Use as a warehouse.

The most we will pay for loss or damage under this Extension is $250,000 at each building.

(2) Business Personal Property

If this policy covers Business Personal Property, you may extend that insurance to apply to:

(a) Business Personal Property, including such property that you newly acquire, at any location you acquire; or

(b) Business Personal Property, including such property that you newly acquire, located at your newly constructed or acquired buildings at the location described in the Declarations.

This Extension does not apply to personal property that you temporarily acquire in the course of installing or performing work on such property or your wholesale activities.

The most we will pay for loss or damage under this Extension is $100,000 at each building.

(3) Period Of Coverage

With respect to insurance provided under this Coverage Extension for Newly Acquired Or Constructed Property, coverage will end when any of the following first occurs:

(a) This policy expires;

(b) 30 days expire after you acquire the property or begin construction of that part of the building that would qualify as Covered Property; or

(c) You report values to us.

We will charge you additional premium for values reported from the date you acquire the property or begin construction of that part of the building that would qualify as Covered Property.

b. Personal Property Off-premises

You may extend the insurance provided by this policy to apply to your Covered Property, other than "money" and "securities", "valuable papers and records" or accounts receivable, while it is in the course of transit or at a premises you do not own, lease or operate. The most we will pay for loss or damage under this Extension is $10,000.

c. Outdoor Property

You may extend the insurance provided by this policy to apply to your outdoor fences, radio and television antennas (including satellite dishes), signs (other than signs attached to buildings), trees, shrubs and plants (other than trees, shrubs or plants which are part of a vegetated roof), including debris removal expense. Loss or damage must be caused by or result from any of the following causes of loss:

(1) Fire;

(2) Lightning;

(3) Explosion;

(4) Riot or Civil Commotion; or

(5) Aircraft.

The most we will pay for loss or damage under this Extension is $2,500, unless a higher Limit Of Insurance for Outdoor Property is shown in the Declarations, but not more than $1,000 for any one tree, shrub or plant.

Subject to all aforementioned terms and limitations of coverage, this Coverage Extension includes the expense of removing from the described premises the debris of trees, shrubs and plants which are the property of others, except in the situation in which you are a tenant and such property is owned by the landlord of the described premises.

d. Personal Effects

You may extend the insurance that applies to Business Personal Property to apply to personal effects owned by you, your officers, your partners or "members", your "managers" or your employees, including temporary or leased employees. This extension does not apply to:

(1) Tools or equipment used in your business; or

(2) Loss or damage by theft.

The most we will pay for loss or damage under this Extension is $2,500 at each described premises.

e. Valuable Papers And Records

(1) You may extend the insurance that applies to Business Personal Property to apply to direct physical loss or damage to "valuable papers and records" that you own, or that are in your care, custody or control, caused by or resulting from a Covered Cause of Loss. This Coverage Extension includes the cost to research, replace or restore the lost information on "valuable papers and records" for which duplicates do not exist.

(2) This Coverage Extension does not apply to:

(a) Property held as samples or for delivery after sale; and

(b) Property in storage away from the premises shown in the Declarations.

(3) The most we will pay under this Coverage Extension for loss or damage to "valuable papers and records" in any one occurrence at the described premises is $10,000, unless a higher Limit Of Insurance for "valuable papers and records" is shown in the Declarations.

For "valuable papers and records" not at the described premises, the most we will pay is $5,000.

(4) Loss or damage to "valuable papers and records" will be valued at the cost of restoration or replacement of the lost or damaged information. To the extent that the contents of the "valuable papers and records" are not restored, the "valuable papers and records" will be valued at the cost of replacement with blank materials of substantially identical type.

(5) Paragraph **B.** Exclusions in Section **I** – Property does not apply to this Coverage Extension except for:

(a) Paragraph **B.1.c.,** Governmental Action;

(b) Paragraph **B.1.d.,** Nuclear Hazard;

(c) Paragraph **B.1.f.,** War And Military Action;

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(d) Paragraph **B.2.f.,** Dishonesty;

(e) Paragraph **B.2.g.,** False Pretense;

(f) Paragraph **B.2.m.(2),** Errors Or Omissions; and

(g) Paragraph **B.3.**

f. Accounts Receivable

(1) You may extend the insurance that applies to Business Personal Property to apply to accounts receivable. We will pay:

(a) All amounts due from your customers that you are unable to collect;

(b) Interest charges on any loan required to offset amounts you are unable to collect pending our payment of these amounts;

(c) Collection expenses in excess of your normal collection expenses that are made necessary by loss or damage; and

(d) Other reasonable expenses that you incur to reestablish your records of accounts receivable;

that result from direct physical loss or damage by any Covered Cause of Loss to your records of accounts receivable.

(2) The most we will pay under this Coverage Extension for loss or damage in any one occurrence at the described premises is $10,000, unless a higher Limit of Insurance for accounts receivable is shown in the Declarations.

For accounts receivable not at the described premises, the most we will pay is $5,000.

(3) Paragraph **B.** Exclusions in Section **I** – Property does not apply to this Coverage Extension except for:

(a) Paragraph **B.1.c.,** Governmental Action;

(b) Paragraph **B.1.d.,** Nuclear Hazard;

(c) Paragraph **B.1.f.,** War And Military Action;

(d) Paragraph **B.2.f.,** Dishonesty;

(e) Paragraph **B.2.g.,** False Pretense;

(f) Paragraph **B.3.;** and

(g) Paragraph **B.6.,** Accounts Receivable Exclusion.

g. Business Personal Property Temporarily In Portable Storage Units

(1) You may extend the insurance that applies to Business Personal Property to apply to such property while temporarily stored in a portable storage unit (including a detached trailer) located within 100 feet of the buildings or structures described in the Declarations or within 100 feet of the described premises, whichever distance is greater.

(2) The limitation under Paragraph **A.4.a.(5)** also applies to property in a portable storage unit.

(3) Coverage under this Extension:

(a) Will end 90 days after the Business Personal Property has been placed in the storage unit;

(b) Does not apply if the storage unit itself has been in use at the described premises for more than 90 consecutive days, even if the Business Personal Property has been stored there for 90 or fewer days as of the time of loss or damage.

(4) Under this Extension, the most we will pay for the total of all loss or damage to Business Personal Property is $10,000 (unless a higher limit is indicated in the Declarations for such Extension) regardless of the number of storage units.

(5) This Extension does not apply to loss or damage otherwise covered under this Coverage Form or any endorsement to this Coverage Form, and does not apply to loss or damage to the storage unit itself.

B. Exclusions

1. We will not pay for loss or damage caused directly or indirectly by any of the following. Such loss or damage is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss. These exclusions apply whether or not the loss event results in widespread damage or affects a substantial area.

a. Ordinance Or Law

(1) The enforcement of or compliance with any ordinance or law:

(a) Regulating the construction, use or repair of any property; or

(b) Requiring the tearing down of any property, including the cost of removing its debris.

(2) This exclusion, Ordinance Or Law, applies whether the loss results from:

(a) An ordinance or law that is enforced even if the property has not been damaged; or

(b) The increased costs incurred to comply with an ordinance or law in the course of construction, repair, renovation, remodeling or demolition of property or removal of its debris, following a physical loss to that property.

b. Earth Movement

(1) Earthquake, including tremors and aftershocks and any earth sinking, rising or shifting related to such event;

(2) Landslide, including any earth sinking, rising or shifting related to such event;

(3) Mine subsidence, meaning subsidence of a man-made mine, whether or not mining activity has ceased;

(4) Earth sinking (other than sinkhole collapse), rising or shifting including soil conditions which cause settling, cracking or other disarrangement of foundations or other parts of realty. Soil conditions include contraction, expansion, freezing, thawing, erosion, improperly compacted soil and the action of water under the ground surface.

But if Earth Movement, as described in Paragraphs **(1)** through **(4)** above, results in fire or explosion, we will pay for the loss or damage caused by that fire or explosion.

(5) Volcanic eruption, explosion or effusion. But if volcanic eruption, explosion or effusion results in fire, building glass breakage or volcanic action, we will pay for the loss or damage caused by that fire, building glass breakage or volcanic action.

Volcanic action means direct loss or damage resulting from the eruption of a volcano when the loss or damage is caused by:

(a) Airborne volcanic blast or airborne shock waves;

(b) Ash, dust or particulate matter; or

(c) Lava flow.

With respect to coverage for volcanic action as set forth in **5(a), (5)(b)** and **5(c),** all volcanic eruptions that occur within any 168-hour period will constitute a single occurrence.

Volcanic action does not include the cost to remove ash, dust or particulate matter that does not cause direct physical loss of or damage to Covered Property.

This exclusion applies regardless of whether any of the above, in Paragraphs **(1)** through **(5),** is caused by an act of nature or is otherwise caused.

c. Governmental Action

Seizure or destruction of property by order of governmental authority.

But we will pay for loss or damage caused by or resulting from acts of destruction ordered by governmental authority and taken at the time of a fire to prevent its spread, if the fire would be covered under this policy.

d. Nuclear Hazard

Nuclear reaction or radiation, or radioactive contamination, however caused.

But if nuclear reaction or radiation, or radioactive contamination, results in fire, we will pay for the loss or damage caused by that fire.

e. Utility Services

The failure of power, communication, water or other utility service supplied to the described premises, however caused, if the failure:

(1) Originates away from the described premises; or

(2) Originates at the described premises, but only if such failure involves equipment used to supply the utility service to the described premises from a source away from the described premises.

Failure of any utility service includes lack of sufficient capacity and reduction in supply.

Loss or damage caused by a surge of power is also excluded, if the surge would not have occurred but for an event causing a failure of power.

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But if the failure or surge of power, or the failure of communication, water or other utility service, results in a Covered Cause of Loss, we will pay for the loss or damage caused by that Covered Cause of Loss.

Communication services include but are not limited to service relating to Internet access or access to any electronic, cellular or satellite network.

This exclusion does not apply to loss or damage to "computer(s)" and "electronic data".

f. War And Military Action

(1) War, including undeclared or civil war;

(2) Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or

(3) Insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.

g. Water

(1) Flood, surface water, waves (including tidal wave and tsunami), tides, tidal water, overflow of any body of water, or spray from any of these, all whether or not driven by wind (including storm surge);

(2) Mudslide or mudflow;

(3) Water that backs up or overflows or is otherwise discharged from a sewer, drain, sump, sump pump or related equipment;

(4) Water under the ground surface pressing on, or flowing or seeping through:

(a) Foundations, walls, floors or paved surfaces;

(b) Basements, whether paved or not; or

(c) Doors, windows or other openings; or

(5) Waterborne material carried or otherwise moved by any of the water referred to in Paragraph **(1), (3)** or **(4),** or material carried or otherwise moved by mudslide or mudflow.

This exclusion applies regardless of whether any of the above, in Paragraphs **(1)** through **(5),** is caused by an act of nature or is otherwise caused. An example of a situation to which this exclusion applies is the situation where a dam, levee, seawall or other boundary or containment system fails in whole or in part, for any reason, to contain the water.

But if any of the above, in Paragraphs **(1)** through **(5),** results in fire, explosion or sprinkler leakage, we will pay for the loss or damage caused by that fire, explosion or sprinkler leakage.

h. Certain Computer-related Losses

(1) The failure, malfunction or inadequacy of:

(a) Any of the following, whether belonging to any insured or to others:

(i) "Computer" hardware, including microprocessors or other electronic data processing equipment as may be described elsewhere in this policy;

(ii) "Computer" application software or other "electronic data" as may be described elsewhere in this policy;

(iii) "Computer" operating systems and related software;

(iv) "Computer" networks;

(v) Microprocessors ("computer" chips) not part of any "computer" system; or

(vi) Any other computerized or electronic equipment or components; or

(b) Any other products, and any services, data or functions that directly or indirectly use or rely upon, in any manner, any of the items listed in Paragraph **(a)** above;

due to the inability to correctly recognize, distinguish, interpret or accept one or more dates or times. An example is the inability of computer software to recognize the year 2000.

(2) Any advice, consultation, design, evaluation, inspection, installation, maintenance, repair, replacement or supervision provided or done by you or for you to determine, rectify or test for, any potential or actual problems described in Paragraph **(1)** above.

However, if excluded loss or damage, as described in Paragraph **(1)** above, results in a "specified cause of loss" under Section **I** – Property, we will pay only for the loss or damage caused by such "specified cause of loss".

We will not pay for repair, replacement or modification of any items in Paragraph **(1)(a)** or **(1)(b)** to correct any deficiencies or change any features.

i. "Fungi", Wet Rot Or Dry Rot

Presence, growth, proliferation, spread or any activity of "fungi", wet rot or dry rot.

But if "fungi", wet rot or dry rot results in a "specified cause of loss", we will pay for the loss or damage caused by that "specified cause of loss".

This exclusion does not apply:

(1) When "fungi", wet rot or dry rot results from fire or lightning; or

(2) To the extent that coverage is provided in the Limited Coverage For "Fungi", Wet Rot Or Dry Rot Additional Coverage, with respect to loss or damage by a cause of loss other than fire or lightning.

j. Virus Or Bacteria

(1) Any virus, bacterium or other microorganism that induces or is capable of inducing physical distress, illness or disease.

(2) However, the exclusion in Paragraph **(1)** does not apply to loss or damage caused by or resulting from "fungi", wet rot or dry rot. Such loss or damage is addressed in Exclusion **i.**

(3) With respect to any loss or damage subject to the exclusion in Paragraph **(1),** such exclusion supersedes any exclusion relating to "pollutants".

2. We will not pay for loss or damage caused by or resulting from any of the following:

a. Electrical Apparatus

Artificially generated electrical, magnetic or electromagnetic energy that damages, disturbs, disrupts or otherwise interferes with any:

(1) Electrical or electronic wire, device, appliance, system or network; or

(2) Device, appliance, system or network utilizing cellular or satellite technology.

For the purpose of this exclusion, electrical, magnetic or electromagnetic energy includes but is not limited to:

(1) Electrical current, including arcing;

(2) Electrical charge produced or conducted by a magnetic or electromagnetic field;

(3) Pulse of electromagnetic energy; or

(4) Electromagnetic waves or microwaves.

But if fire results, we will pay for the loss or damage caused by fire.

We will pay for loss or damage to "computer(s)" due to artificially generated electrical, magnetic or electromagnetic energy if such loss or damage is caused by or results from:

(1) An occurrence that took place within 100 feet of the described premises; or

(2) Interruption of electric power supply, power surge, blackout or brownout if the cause of such occurrence took place within 100 feet of the described premises.

b. Consequential Losses

Delay, loss of use or loss of market.

c. Smoke, Vapor, Gas

Smoke, vapor or gas from agricultural smudging or industrial operations.

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d. Steam Apparatus

Explosion of steam boilers, steam pipes, steam engines or steam turbines owned or leased by you, or operated under your control. But if explosion of steam boilers, steam pipes, steam engines or steam turbines results in fire or combustion explosion, we will pay for the loss or damage caused by that fire or combustion explosion. We will also pay for loss or damage caused by or resulting from the explosion of gases or fuel within the furnace of any fired vessel or within the flues or passages through which the gases of combustion pass.

e. Frozen Plumbing

Water, other liquids, powder or molten material that leaks or flows from plumbing, heating, air conditioning or other equipment (except fire protective systems) caused by or resulting from freezing, unless:

(1) You do your best to maintain heat in the building or structure; or

(2) You drain the equipment and shut off the supply if the heat is not maintained.

f. Dishonesty

Dishonest or criminal acts (including theft) by you, anyone else with an interest in the property, or any of your or their partners, "members", officers, "managers", employees (including temporary or leased employees), directors, trustees or authorized representatives, whether acting alone or in collusion with each other or with any other party; or theft by any person to whom you entrust the property for any purpose, whether acting alone or in collusion with any other party.

This exclusion:

(1) Applies whether or not an act occurs during your normal hours of operation;

(2) Does not apply to acts of destruction by your employees (including temporary or leased employees) or authorized representatives; but theft by your employees (including temporary or leased employees) or authorized representatives is not covered.

With respect to accounts receivable and "valuable papers and records", this exclusion does not apply to carriers for hire.

This exclusion does not apply to coverage that is provided under the Employee Dishonesty Optional Coverage.

g. False Pretense

Voluntary parting with any property by you or anyone else to whom you have entrusted the property if induced to do so by any fraudulent scheme, trick, device or false pretense.

h. Exposed Property

Rain, snow, ice or sleet to personal property in the open.

i. Collapse

(1) Collapse, including any of the following conditions of property or any part of the property:

(a) An abrupt falling down or caving in;

(b) Loss of structural integrity, including separation of parts of the property or property in danger of falling down or caving in; or

(c) Any cracking, bulging, sagging, bending, leaning, settling, shrinkage or expansion as such condition relates to Paragraph **i.(1)(a)** or **i.(1)(b).**

But if collapse results in a Covered Cause of Loss at the described premises, we will pay for the loss or damage caused by that Covered Cause of Loss.

(2) This Exclusion **i.** does not apply:

(a) To the extent that coverage is provided under the Additional Coverage – Collapse; or

(b) To collapse caused by one or more of the following:

(i) The "specified causes of loss";

(ii) Breakage of building glass;

(iii) Weight of rain that collects on a roof; or

(iv) Weight of people or personal property.

j. Pollution

We will not pay for loss or damage caused by or resulting from the discharge, dispersal, seepage, migration, release or escape of "pollutants" unless the discharge, dispersal, seepage, migration, release or escape is itself caused by any of the "specified causes of loss". But if the discharge, dispersal, seepage, migration, release or escape of "pollutants" results in a "specified cause of loss", we will pay for the loss or damage caused by that "specified cause of loss".

k. Neglect

Neglect of an insured to use all reasonable means to save and preserve property from further damage at and after the time of loss.

l. Other Types Of Loss

(1) Wear and tear;

(2) Rust or other corrosion, decay, deterioration, hidden or latent defect or any quality in property that causes it to damage or destroy itself;

(3) Smog;

(4) Settling, cracking, shrinking or expansion;

(5) Nesting or infestation, or discharge or release of waste products or secretions, by insects, birds, rodents or other animals;

(6) Mechanical breakdown, including rupture or bursting caused by centrifugal force.

This exclusion does not apply with respect to the breakdown of "computer(s)";

(7) The following causes of loss to personal property:

(a) Dampness or dryness of atmosphere;

(b) Changes in or extremes of temperature; or

(c) Marring or scratching.

But if an excluded cause of loss that is listed in Paragraphs **(1)** through **(7)** above results in a "specified cause of loss" or building glass breakage, we will pay for the loss or damage caused by that "specified cause of loss" or building glass breakage.

m. Errors Or Omissions

Errors or omissions in:

(1) Programming, processing or storing data, as described under "electronic data" or in any "computer" operations; or

(2) Processing or copying "valuable papers and records".

However, we will pay for direct physical loss or damage caused by resulting fire or explosion if these causes of loss would be covered by this Coverage Form.

n. Installation, Testing, Repair

Errors or deficiency in design, installation, testing, maintenance, modification or repair of your "computer" system including "electronic data".

However, we will pay for direct physical loss or damage caused by resulting fire or explosion if these causes of loss would be covered by this Coverage Form.

o. Electrical Disturbance

Electrical or magnetic injury, disturbance or erasure of "electronic data", except as provided for under the Additional Coverages of Section **I** – Property.

However, we will pay for direct loss or damage caused by lightning.

p. Continuous Or Repeated Seepage Or Leakage Of Water

Continuous or repeated seepage or leakage of water, or the presence or condensation of humidity, moisture or vapor, that occurs over a period of 14 days or more.

3. We will not pay for loss or damage caused by or resulting from any of the following Paragraphs **a.** through **c.** But if an excluded cause of loss that is listed in Paragraphs **a.** through **c.** results in a Covered Cause of Loss, we will pay for the loss or damage caused by that Covered Cause of Loss.

a. Weather Conditions

Weather conditions. But this exclusion only applies if weather conditions contribute in any way with a cause or event excluded in Paragraph **B.1.** above to produce the loss or damage.

b. Acts Or Decisions

Acts or decisions, including the failure to act or decide, of any person, group, organization or governmental body.

c. Negligent Work

Faulty, inadequate or defective:

(1) Planning, zoning, development, surveying, siting;

(2) Design, specifications, workmanship, repair, construction, renovation, remodeling, grading, compaction;

(3) Materials used in repair, construction, renovation or remodeling; or

(4) Maintenance;

of part or all of any property on or off the described premises.

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4. Additional Exclusion

The following applies only to the property specified in this Additional Exclusion:

Loss Or Damage To Products

We will not pay for loss or damage to any merchandise, goods or other product caused by or resulting from error or omission by any person or entity (including those having possession under an arrangement where work or a portion of the work is outsourced) in any stage of the development, production or use of the product, including planning, testing, processing, packaging, installation, maintenance or repair. This exclusion applies to any effect that compromises the form, substance or quality of the product. But if such error or omission results in a Covered Cause of Loss, we will pay for the loss or damage caused by that Covered Cause of Loss.

5. Business Income And Extra Expense Exclusions

a. We will not pay for:

(1) Any Extra Expense, or increase of Business Income loss, caused by or resulting from:

(a) Delay in rebuilding, repairing or replacing the property or resuming "operations", due to interference at the location of the rebuilding, repair or replacement by strikers or other persons; or

(b) Suspension, lapse or cancellation of any license, lease or contract. But if the suspension, lapse or cancellation is directly caused by the suspension of "operations", we will cover such loss that affects your Business Income during the "period of restoration" and any extension of the "period of restoration" in accordance with the terms of the Extended Business Income Additional Coverage.

(2) Any other consequential loss.

b. With respect to this exclusion, suspension means:

(1) The partial slowdown or complete cessation of your business activities; and

(2) That a part or all of the described premises is rendered untenantable, if coverage for Business Income applies.

6. Accounts Receivable Exclusion

The following additional exclusion applies to the Accounts Receivable Coverage Extension:

We will not pay for:

a. Loss or damage caused by or resulting from alteration, falsification, concealment or destruction of records of accounts receivable done to conceal the wrongful giving, taking or withholding of "money", "securities" or other property.

This exclusion applies only to the extent of the wrongful giving, taking or withholding.

b. Loss or damage caused by or resulting from bookkeeping, accounting or billing errors or omissions.

c. Any loss or damage that requires any audit of records or any inventory computation to prove its factual existence.

C. Limits Of Insurance

1. The most we will pay for loss or damage in any one occurrence is the applicable Limits Of Insurance of Section **I** – Property shown in the Declarations.

2. The most we will pay for loss of or damage to outdoor signs attached to buildings is $1,000 per sign in any one occurrence.

3. The amounts of insurance applicable to the Coverage Extensions and the following Additional Coverages apply in accordance with the terms of such coverages and are in addition to the Limits of Insurance of Section **I** – Property:

a. Fire Department Service Charge;

b. Pollutant Clean-up And Removal;

c. Increased Cost Of Construction;

d. Business Income From Dependent Properties;

e. Electronic Data; and

f. Interruption Of Computer Operations.

4. Building Limit – Automatic Increase

a. In accordance with Paragraph **C.4.b.,** the Limit of Insurance for Buildings will automatically increase by 8%, unless a different percentage of annual increase is shown in the Declarations.

b. The amount of increase is calculated as follows:

(1) Multiply the Building limit that applied on the most recent of the policy inception date, the policy anniversary date or any other policy change amending the Building limit by:

(a) The percentage of annual increase shown in the Declarations, expressed as a decimal (example: 7% is .07); or

(b) .08, if no percentage of annual increase is shown in the Declarations; and

(2) Multiply the number calculated in accordance with **b.(1)** by the number of days since the beginning of the current policy year, or the effective date of the most recent policy change amending the Building limit, divided by 365.

Example

If:

The applicable Building limit is $100,000. The annual percentage increase is 8%. The number of days since the beginning of the policy year (or last policy change) is 146.

The amount of increase is

$100,000 x .08 x 146 ÷ 365 = $3,200.

5. Business Personal Property Limit – Seasonal Increase

a. Subject to Paragraph **5.b.,** the Limit of Insurance for Business Personal Property is automatically increased by:

(1) The Business Personal Property – Seasonal Increase percentage shown in the Declarations; or

(2) 25% if no Business Personal Property – Seasonal Increase percentage is shown in the Declarations;

to provide for seasonal variances.

b. The increase described in Paragraph **5.a.** will apply only if the Limit Of Insurance shown for Business Personal Property in the Declarations is at least 100% of your average monthly values during the lesser of:

(1) The 12 months immediately preceding the date the loss or damage occurs; or

(2) The period of time you have been in business as of the date the loss or damage occurs.

D. Deductibles

1. We will not pay for loss or damage in any one occurrence until the amount of loss or damage exceeds the Deductible shown in the Declarations. We will then pay the amount of loss or damage in excess of the Deductible up to the applicable Limit of Insurance of Section **I** – Property.

2. Regardless of the amount of the Deductible, the most we will deduct from any loss or damage under all of the following Optional Coverages in any one occurrence is the Optional Coverage Deductible shown in the Declarations:

a. Money and Securities;

b. Employee Dishonesty;

c. Outdoor Signs; and

d. Forgery or Alteration.

But this Optional Coverage Deductible will not increase the Deductible shown in the Declarations. This Deductible will be used to satisfy the requirements of the Deductible in the Declarations.

3. No deductible applies to the following Additional Coverages:

a. Fire Department Service Charge;

b. Business Income;

c. Extra Expense;

d. Civil Authority; and

e. Fire Extinguisher Systems Recharge Expense.

E. Property Loss Conditions

1. Abandonment

There can be no abandonment of any property to us.

2. Appraisal

If we and you disagree on the amount of loss, either may make written demand for an appraisal of the loss. In this event, each party will select a competent and impartial appraiser. The two appraisers will select an umpire. If they cannot agree, either may request that selection be made by a judge of a court having jurisdiction. The appraisers will state separately the amount of loss. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will be binding. Each party will:

a. Pay its chosen appraiser; and

b. Bear the other expenses of the appraisal and umpire equally.

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If there is an appraisal, we will still retain our right to deny the claim.

3. Duties In The Event Of Loss Or Damage

a. You must see that the following are done in the event of loss or damage to Covered Property:

(1) Notify the police if a law may have been broken.

(2) Give us prompt notice of the loss or damage. Include a description of the property involved.

(3) As soon as possible, give us a description of how, when and where the loss or damage occurred.

(4) Take all reasonable steps to protect the Covered Property from further damage, and keep a record of your expenses necessary to protect the Covered Property, for consideration in the settlement of the claim. This will not increase the Limits of Insurance of Section **I** – Property. However, we will not pay for any subsequent loss or damage resulting from a cause of loss that is not a Covered Cause of Loss. Also, if feasible, set the damaged property aside and in the best possible order for examination.

(5) At our request, give us complete inventories of the damaged and undamaged property. Include quantities, costs, values and amount of loss claimed.

(6) As often as may be reasonably required, permit us to inspect the property proving the loss or damage and examine your books and records.

Also permit us to take samples of damaged and undamaged property for inspection, testing and analysis, and permit us to make copies from your books and records.

(7) Send us a signed, sworn proof of loss containing the information we request to investigate the claim. You must do this within 60 days after our request. We will supply you with the necessary forms.

(8) Cooperate with us in the investigation or settlement of the claim.

(9) Resume all or part of your "operations" as quickly as possible.

b. We may examine any insured under oath, while not in the presence of any other insured and at such times as may be reasonably required, about any matter relating to this insurance or the claim, including an insured's books and records. In the event of an examination, an insured's answers must be signed.

4. Legal Action Against Us

No one may bring a legal action against us under this insurance unless:

a. There has been full compliance with all of the terms of this insurance; and

b. The action is brought within two years after the date on which the direct physical loss or damage occurred.

5. Loss Payment

In the event of loss or damage covered by this policy:

a. At our option, we will either:

(1) Pay the value of lost or damaged property;

(2) Pay the cost of repairing or replacing the lost or damaged property;

(3) Take all or any part of the property at an agreed or appraised value; or

(4) Repair, rebuild or replace the property with other property of like kind and quality, subject to Paragraph **d.(1)(e)** below.

b. We will give notice of our intentions within 30 days after we receive the sworn proof of loss.

c. We will not pay you more than your financial interest in the Covered Property.

d. Except as provided in Paragraphs **(2)** through **(7)** below, we will determine the value of Covered Property as follows:

(1) At replacement cost without deduction for depreciation, subject to the following:

(a) If, at the time of loss, the Limit of Insurance on the lost or damaged property is 80% or more of the full replacement cost of the property immediately before the loss, we will pay the cost to repair or replace, after application of the deductible and without deduction for depreciation, but not more than the least of the following amounts:

(i) The Limit of Insurance under Section **I** – Property that applies to the lost or damaged property;

(ii) The cost to replace, on the same premises, the lost or damaged property with other property:

i. Of comparable material and quality; and

ii. Used for the same purpose; or

(iii) The amount that you actually spend that is necessary to repair or replace the lost or damaged property.

If a building is rebuilt at a new premises, the cost is limited to the cost which would have been incurred had the building been built at the original premises.

(b) If, at the time of loss, the Limit of Insurance applicable to the lost or damaged property is less than 80% of the full replacement cost of the property immediately before the loss, we will pay the greater of the following amounts, but not more than the Limit of Insurance that applies to the property:

(i) The actual cash value of the lost or damaged property; or

(ii) A proportion of the cost to repair or replace the lost or damaged property, after application of the deductible and without deduction for depreciation. This proportion will equal the ratio of the applicable Limit of Insurance to 80% of the full replacement cost of the property.

Example

The full replacement cost of property which suffers a total loss is $100,000. The property is insured for $70,000. 80% of the full replacement cost of the property immediately before the loss is $80,000 ($100,000 x .80 = $80,000). A partial loss of $25,000 is sustained. The amount of recovery is determined as follows:

Amount of recovery

$70,000 ÷ $80,000 = .875

.875 x $25,000 = $21,875

(c) You may make a claim for loss or damage covered by this insurance on an actual cash value basis instead of on a replacement cost basis. In the event you elect to have loss or damage settled on an actual cash value basis, you may still make a claim on a replacement cost basis if you notify us of your intent to do so within 180 days after the loss or damage.

(d) We will not pay on a replacement cost basis for any loss or damage:

(i) Until the lost or damaged property is actually repaired or replaced; and

(ii) Unless the repair or replacement is made as soon as reasonably possible after the loss or damage.

However, if the cost to repair or replace the damaged building property is $2,500 or less, we will settle the loss according to the provisions of Paragraphs **d.(1)(a)** and **d.(1)(b)** above whether or not the actual repair or replacement is complete.

(e) The cost to repair, rebuild or replace does not include the increased cost attributable to enforcement of or compliance with any ordinance or law regulating the construction, use or repair of any property.

(2) If the Actual Cash Value – Buildings option applies, as shown in the Declarations, Paragraph **(1)** above does not apply to Buildings. Instead, we will determine the value of Buildings at actual cash value.

(3) The following property at actual cash value:

(a) Used or secondhand merchandise held in storage or for sale;

(b) Property of others. However, if an item(s) of personal property of others is subject to a written contract which governs your liability for loss or damage to that item(s), then valuation of that item(s) will be based on the amount for which you are liable under such contract, but not to exceed the lesser of the replacement cost of the property or the applicable Limit of Insurance;

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(c) Household contents, except personal property in apartments or rooms furnished by you as landlord;

(d) Manuscripts; and

(e) Works of art, antiques or rare articles, including etchings, pictures, statuary, marble, bronzes, porcelain and bric-a-brac.

(4) Glass at the cost of replacement with safety glazing material if required by law.

(5) Tenants' improvements and betterments at:

(a) Replacement cost if you make repairs promptly.

(b) A proportion of your original cost if you do not make repairs promptly. We will determine the proportionate value as follows:

(i) Multiply the original cost by the number of days from the loss or damage to the expiration of the lease; and

(ii) Divide the amount determined in **(i)** above by the number of days from the installation of improvements to the expiration of the lease.

If your lease contains a renewal option, the expiration of the renewal option period will replace the expiration of the lease in this procedure.

(c) Nothing if others pay for repairs or replacement.

(6) Applicable only to the Optional Coverages:

(a) "Money" at its face value; and

(b) "Securities" at their value at the close of business on the day the loss is discovered.

(7) Applicable only to accounts receivable:

(a) If you cannot accurately establish the amount of accounts receivable outstanding as of the time of loss or damage:

(i) We will determine the total of the average monthly amounts of accounts receivable for the 12 months immediately preceding the month in which the loss or damage occurs; and

(ii) We will adjust that total for any normal fluctuations in the amount of accounts receivable for the month in which the loss or damage occurred or for any demonstrated variance from the average for that month.

(b) The following will be deducted from the total amount of accounts receivable, however that amount is established:

(i) The amount of the accounts for which there is no loss or damage;

(ii) The amount of the accounts that you are able to reestablish or collect;

(iii) An amount to allow for probable bad debts that you are normally unable to collect; and

(iv) All unearned interest and service charges.

e. Our payment for loss of or damage to personal property of others will only be for the account of the owners of the property. We may adjust losses with the owners of lost or damaged property if other than you. If we pay the owners, such payments will satisfy your claims against us for the owners' property. We will not pay the owners more than their financial interest in the Covered Property.

f. We may elect to defend you against suits arising from claims of owners of property. We will do this at our expense.

g. We will pay for covered loss or damage within 30 days after we receive the sworn proof of loss, provided you have complied with all of the terms of this policy, and:

(1) We have reached agreement with you on the amount of loss; or

(2) An appraisal award has been made.

h. A party wall is a wall that separates and is common to adjoining buildings that are owned by different parties. In settling covered losses involving a party wall, we will pay a proportion of the loss to the party wall based on your interest in the wall in proportion to the interest of the owner of the adjoining building. However, if you elect to repair or replace your building and the owner of the adjoining building elects not to repair or replace that building, we will pay you the full value of the loss to the party wall, subject to all applicable policy provisions including Limits of Insurance and all other provisions of this Loss Payment Condition. Our payment under the provisions of this paragraph does not alter any right of subrogation we may have against any entity, including the owner or insurer of the adjoining building, and does not alter the terms of the Transfer Of Rights Of Recovery Against Others To Us Condition in this policy.

6. Recovered Property

If either you or we recover any property after loss settlement, that party must give the other prompt notice. At your option, you may retain the property. But then you must return to us the amount we paid to you for the property. We will pay recovery expenses and the expenses to repair the recovered property, subject to the Limits of Insurance of Section **I** – Property.

7. Resumption Of Operations

We will reduce the amount of your:

a. Business Income loss, other than Extra Expense, to the extent you can resume your "operations", in whole or in part, by using damaged or undamaged property (including merchandise or stock) at the described premises or elsewhere.

b. Extra Expense loss to the extent you can return "operations" to normal and discontinue such Extra Expense.

8. Vacancy

a. Description Of Terms

(1) As used in this Vacancy Condition, the term building and the term vacant have the meanings set forth in Paragraphs **(a)** and **(b)** below:

(a) When this policy is issued to a tenant, and with respect to that tenant's interest in Covered Property, building means the unit or suite rented or leased to the tenant. Such building is vacant when it does not contain enough business personal property to conduct customary operations.

(b) When this policy is issued to the owner or general lessee of a building, building means the entire building. Such building is vacant unless at least 31% of its total square footage is:

(i) Rented to a lessee or sublessee and used by the lessee or sublessee to conduct its customary operations; and/or

(ii) Used by the building owner to conduct customary operations.

(2) Buildings under construction or renovation are not considered vacant.

b. Vacancy Provisions

If the building where loss or damage occurs has been vacant for more than 60 consecutive days before that loss or damage occurs:

(1) We will not pay for any loss or damage caused by any of the following even if they are Covered Causes of Loss:

(a) Vandalism;

(b) Sprinkler leakage, unless you have protected the system against freezing;

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(c) Building glass breakage;

(d) Water damage;

(e) Theft; or

(f) Attempted theft.

(2) With respect to Covered Causes of Loss other than those listed in Paragraphs **(1)(a)** through **(1)(f)** above, we will reduce the amount we would otherwise pay for the loss or damage by 15%.

F. Property General Conditions

1. Control Of Property

Any act or neglect of any person other than you beyond your direction or control will not affect this insurance.

The breach of any condition of this Coverage Form at any one or more locations will not affect coverage at any location where, at the time of loss or damage, the breach of condition does not exist.

2. Mortgageholders

a. The term "mortgageholder" includes trustee.

b. We will pay for covered loss of or damage to buildings or structures to each mortgageholder shown in the Declarations in their order of precedence, as interests may appear.

c. The mortgageholder has the right to receive loss payment even if the mortgageholder has started foreclosure or similar action on the building or structure.

d. If we deny your claim because of your acts or because you have failed to comply with the terms of this policy, the mortgageholder will still have the right to receive loss payment if the mortgageholder:

(1) Pays any premium due under this policy at our request if you have failed to do so;

(2) Submits a signed, sworn proof of loss within 60 days after receiving notice from us of your failure to do so; and

(3) Has notified us of any change in ownership, occupancy or substantial change in risk known to the mortgageholder.

All of the terms of this policy will then apply directly to the mortgageholder.

e. If we pay the mortgageholder for any loss or damage and deny payment to you because of your acts or because you have failed to comply with the terms of this policy:

(1) The mortgageholder's rights under the mortgage will be transferred to us to the extent of the amount we pay; and

(2) The mortgageholder's right to recover the full amount of the mortgageholder's claim will not be impaired.

At our option, we may pay to the mortgageholder the whole principal on the mortgage plus any accrued interest. In this event, your mortgage and note will be transferred to us and you will pay your remaining mortgage debt to us.

f. If we cancel this policy, we will give written notice to the mortgageholder at least:

(1) 10 days before the effective date of cancellation if we cancel for your nonpayment of premium; or

(2) 30 days before the effective date of cancellation if we cancel for any other reason.

g. If we elect not to renew this policy, we will give written notice to the mortgageholder at least 10 days before the expiration date of this policy.

3. No Benefit To Bailee

No person or organization, other than you, having custody of Covered Property will benefit from this insurance.

4. Policy Period, Coverage Territory

Under Section **I** – Property:

a. We cover loss or damage commencing:

(1) During the policy period shown in the Declarations; and

(2) Within the coverage territory or, with respect to property in transit, while it is between points in the coverage territory.

b. The coverage territory is:

(1) The United States of America (including its territories and possessions);

(2) Puerto Rico; and

(3) Canada.

G. Optional Coverages

If shown as applicable in the Declarations, the following Optional Coverages also apply. These coverages are subject to the terms and conditions applicable to property coverage in this policy, except as provided below:

1. Outdoor Signs

a. We will pay for direct physical loss of or damage to all outdoor signs at the described premises:

(1) Owned by you; or

(2) Owned by others but in your care, custody or control.

b. Paragraph **A.3.,** Covered Causes Of Loss and Paragraph **B.,** Exclusions in Section **I** – Property do not apply to this Optional Coverage, except for:

(1) Paragraph **B.1.c.,** Governmental Action;

(2) Paragraph **B.1.d.,** Nuclear Hazard; and

(3) Paragraph **B.1.f.,** War And Military Action.

c. We will not pay for loss or damage caused by or resulting from:

(1) Wear and tear;

(2) Hidden or latent defect;

(3) Rust;

(4) Corrosion; or

(5) Mechanical breakdown.

d. The most we will pay for loss or damage in any one occurrence is the Limit Of Insurance for Outdoor Signs shown in the Declarations.

e. The provisions of this Optional Coverage supersede all other references to outdoor signs in this policy.

2. Money And Securities

a. We will pay for loss of "money" and "securities" used in your business while at a bank or savings institution, within your living quarters or the living quarters of your partners or any employee (including a temporary or leased employee) having use and custody of the property, at the described premises, or in transit between any of these places, resulting directly from:

(1) Theft, meaning any act of stealing;

(2) Disappearance; or

(3) Destruction.

b. In addition to the Limitations and Exclusions applicable to Section **I** – Property, we will not pay for loss:

(1) Resulting from accounting or arithmetical errors or omissions;

(2) Due to the giving or surrendering of property in any exchange or purchase; or

(3) Of property contained in any "money"-operated device unless the amount of "money" deposited in it is recorded by a continuous recording instrument in the device.

c. The most we will pay for loss in any one occurrence is:

(1) The limit shown in the Declarations for Inside the Premises for "money" and "securities" while:

(a) In or on the described premises; or

(b) Within a bank or savings institution; and

(2) The limit shown in the Declarations for Outside the Premises for "money" and "securities" while anywhere else.

d. All loss:

(1) Caused by one or more persons; or

(2) Involving a single act or series of related acts;

is considered one occurrence.

e. You must keep records of all "money" and "securities" so we can verify the amount of any loss or damage.

3. Employee Dishonesty

a. We will pay for direct loss of or damage to Business Personal Property and "money" and "securities" resulting from dishonest acts committed by any of your employees acting alone or in collusion with other persons (except you or your partner) with the manifest intent to:

(1) Cause you to sustain loss or damage; and also

(2) Obtain financial benefit (other than salaries, commissions, fees, bonuses, promotions, awards, profit sharing, pensions or other employee benefits earned in the normal course of employment) for:

(a) Any employee; or

(b) Any other person or organization.

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b. We will not pay for loss or damage:

(1) Resulting from any dishonest or criminal act that you or any of your partners or "members" commit whether acting alone or in collusion with other persons.

(2) Resulting from any dishonest act committed by any of your employees (except as provided in Paragraph **a.**), "managers" or directors:

(a) Whether acting alone or in collusion with other persons; or

(b) While performing services for you or otherwise.

(3) The only proof of which as to its existence or amount is:

(a) An inventory computation; or

(b) A profit and loss computation.

(4) Caused by an employee if the employee had also committed theft or any other dishonest act prior to the effective date of this policy and you or any of your partners, "members", "managers", officers, directors or trustees, not in collusion with the employee, learned of that theft or dishonest act prior to the policy period shown in the Declarations.

c. The most we will pay for loss or damage in any one occurrence is the Limit Of Insurance for Employee Dishonesty shown in the Declarations.

d. All loss or damage:

(1) Caused by one or more persons; or

(2) Involving a single act or series of acts;

is considered one occurrence.

e. If any loss is covered:

(1) Partly by this insurance; and

(2) Partly by any prior cancelled or terminated insurance that we or any affiliate had issued to you or any predecessor in interest;

the most we will pay is the larger of the amount recoverable under this insurance or the prior insurance.

We will pay only for loss or damage you sustain through acts committed or events occurring during the policy period. Regardless of the number of years this policy remains in force or the number of premiums paid, no Limit of Insurance cumulates from year to year or period to period.

f. This Optional Coverage is cancelled as to any employee immediately upon discovery by:

(1) You; or

(2) Any of your partners, "members", "managers", officers or directors not in collusion with the employee;

of any dishonest act committed by that employee before or after being hired by you.

g. We will pay only for covered loss or damage sustained during the policy period and discovered no later than one year from the end of the policy period.

h. If you (or any predecessor in interest) sustained loss or damage during the policy period of any prior insurance that you could have recovered under that insurance except that the time within which to discover loss or damage had expired, we will pay for it under this Optional Coverage, provided:

(1) This Optional Coverage became effective at the time of cancellation or termination of the prior insurance; and

(2) The loss or damage would have been covered by this Optional Coverage had it been in effect when the acts or events causing the loss or damage were committed or occurred.

i. The insurance under Paragraph **h.** above is part of, not in addition to, the Limit of Insurance applying to this Optional Coverage and is limited to the lesser of the amount recoverable under:

(1) This Optional Coverage as of its effective date; or

(2) The prior insurance had it remained in effect.

j. With respect to the Employee Dishonesty Optional Coverage in Paragraph **G.3.,** employee means:

(1) Any natural person:

(a) While in your service or for 30 days after termination of service;

(b) Who you compensate directly by salary, wages or commissions; and

(c) Who you have the right to direct and control while performing services for you;

(2) Any natural person who is furnished temporarily to you:

(a) To substitute for a permanent employee, as defined in Paragraph **(1)** above, who is on leave; or

(b) To meet seasonal or short-term workload conditions;

(3) Any natural person who is leased to you under a written agreement between you and a labor leasing firm, to perform duties related to the conduct of your business, but does not mean a temporary employee as defined in Paragraph **(2)** above;

(4) Any natural person who is a former employee, director, partner, member, manager, representative or trustee retained as a consultant while performing services for you; or

(5) Any natural person who is a guest student or intern pursuing studies or duties, excluding, however, any such person while having care and custody of property outside any building you occupy in conducting your business.

But employee does not mean:

(1) Any agent, broker, factor, commission merchant, consignee, independent contractor or representative of the same general character; or

(2) Any "manager", director or trustee except while performing acts coming within the usual duties of an employee.

4. Equipment Breakdown Protection Coverage

a. We will pay for direct loss of or damage to Covered Property caused by or resulting from a mechanical breakdown or electrical failure to pressure, mechanical or electrical machinery and equipment.

Mechanical breakdown or electrical failure to pressure, mechanical or electrical machinery and equipment does not mean any:

(1) Malfunction including but not limited to adjustment, alignment, calibration, cleaning or modification;

(2) Leakage at any valve, fitting, shaft seal, gland packing, joint or connection;

(3) Damage to any vacuum tube, gas tube, or brush; or

(4) The functioning of any safety or protective device.

b. Paragraphs **A.4.a.(1)** and **A.4.a.(2),** Limitations, do not apply to this Optional Coverage.

c. With respect to the coverage provided by this Optional Coverage, the following exclusions in Paragraph **B. Exclusions** do not apply:

(1) Paragraph **B.2.a.,** Electrical Apparatus;

(2) Paragraph **B.2.d.,** Steam Apparatus; and

(3) Paragraph **B.2.l.(6),** Mechanical Breakdown.

d. With respect to the coverage provided by this Optional Coverage, Paragraph **G.1.c.(5)** of the **Outdoor Signs Optional Coverage** does not apply.

e. If a dollar deductible is shown in the Declarations for this Optional Coverage, we will first subtract the applicable deductible amount from any loss we would otherwise pay. We will then pay the amount of loss in excess of the applicable deductible up to the applicable limit for this coverage.

If no optional deductible is chosen for this Optional Coverage, the Property Deductible shown in the Declarations applies.

f. With respect to Additional Coverages **5.f.** Business Income and **5.g.** Extra Expense, if the 72-hour time period in the definition of "period of restoration" (hereinafter referred to as time deductible) is amended for this Optional Coverage as shown in the Declarations, we will not pay for any Business Income loss that occurs during the consecutive number of hours shown as the time deductible in the Declarations immediately following a mechanical breakdown or electrical failure. If a time deductible is shown in days, each day shall mean 24 consecutive hours.

With respect to the coverage provided by this Optional Coverage, any time deductible shown in the Declarations for Equipment Breakdown Protection Coverage supersedes any time deductible otherwise applicable to the Business Income coverage provided by this policy.

g. With respect to the coverage provided by this Optional Coverage, Paragraph **H. Property Definitions** is amended as follows:

1. "Computer" means:

a. Programmable electronic equipment that is used to store, retrieve and process data; and

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b. Associated peripheral equipment that provides communication, including input and output functions such as printing and auxiliary functions such as data transmission.

"Computer" includes those used to operate production-type machinery or equipment.

h. Whenever any covered pressure, mechanical or electrical machinery and equipment is found to be in, or exposed to, a dangerous condition, any of our representatives may suspend coverage provided by this Optional Coverage for loss from a mechanical breakdown or electrical failure to that pressure, mechanical or electrical machinery and equipment.

However, coverage provided by this Optional Coverage may be reinstated for loss from a mechanical breakdown or electrical failure to that pressure, mechanical or electrical machinery and equipment if the reasons for the suspension are found by any of our representatives to no longer exist.

We may suspend or reinstate this Optional coverage by mailing or delivering a written notification regarding the suspension or reinstatement to:

(1) Your last known address; or

(2) The address where the pressure, mechanical or electrical machinery and equipment is located.

This notification will indicate the effective date of the suspension or reinstatement.

If the coverage provided by this Optional Coverage is not reinstated, you will get a pro rata refund of premium. But the suspension will be effective even if we have not yet made or offered a refund.

H. Property Definitions

1. "Computer" means:

a. Programmable electronic equipment that is used to store, retrieve and process data; and

b. Associated peripheral equipment that provides communication, including input and output functions such as printing and auxiliary functions such as data transmission.

"Computer" does not include those used to operate production-type machinery or equipment.

2. "Counterfeit money" means an imitation of "money" that is intended to deceive and to be taken as genuine.

3. "Electronic data" means information, facts or computer programs stored as or on, created or used on, or transmitted to or from computer software (including systems and applications software), on hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other repositories of computer software which are used with electronically controlled equipment. The term computer programs, referred to in the foregoing description of electronic data, means a set of related electronic instructions which direct the operations and functions of a "computer" or device connected to it, which enable the "computer" or device to receive, process, store, retrieve or send data.

4. "Fungi" means any type or form of fungus, including mold or mildew, and any mycotoxins, spores, scents or by-products produced or released by fungi.

5. "Manager" means a person serving in a directorial capacity for a limited liability company.

6. "Member" means an owner of a limited liability company represented by its membership interest, who also may serve as a "manager".

7. "Money" means:

a. Currency, coins and bank notes in current use and having a face value; and

b. Traveler's checks, register checks and money orders held for sale to the public.

8. "Operations" means your business activities occurring at the described premises.

9. "Period of restoration":

a. Means the period of time that:

(1) Begins:

(a) 72 hours after the time of direct physical loss or damage for Business Income Coverage; or

(b) Immediately after the time of direct physical loss or damage for Extra Expense Coverage;

caused by or resulting from any Covered Cause of Loss at the described premises; and

(2) Ends on the earlier of:

(a) The date when the property at the described premises should be repaired, rebuilt or replaced with reasonable speed and similar quality; or

(b) The date when business is resumed at a new permanent location.

b. Does not include any increased period required due to the enforcement of or compliance with any ordinance or law that:

(1) Regulates the construction, use or repair, or requires the tearing down of any property; or

(2) Requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants".

The expiration date of this policy will not cut short the "period of restoration".

10. "Pollutants" means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.

11. "Securities" means negotiable and nonnegotiable instruments or contracts representing either "money" or other property and includes:

a. Tokens, tickets, revenue and other stamps (whether represented by actual stamps or unused value in a meter) in current use; and

b. Evidences of debt issued in connection with credit or charge cards, which cards are not issued by you;

but does not include "money".

12. "Specified causes of loss" means the following:

Fire; lightning; explosion; windstorm or hail; smoke; aircraft or vehicles; riot or civil commotion; vandalism; leakage from fire extinguishing equipment; sinkhole collapse; volcanic action; falling objects; weight of snow, ice or sleet; water damage.

a. Sinkhole collapse means the sudden sinking or collapse of land into underground empty spaces created by the action of water on limestone or dolomite. This cause of loss does not include:

(1) The cost of filling sinkholes; or

(2) Sinking or collapse of land into man-made underground cavities.

b. Falling objects does not include loss of or damage to:

(1) Personal property in the open; or

(2) The interior of a building or structure, or property inside a building or structure, unless the roof or an outside wall of the building or structure is first damaged by a falling object.

c. Water damage means:

(1) Accidental discharge or leakage of water or steam as the direct result of the breaking apart or cracking of any part of a system or appliance (other than a sump system including its related equipment and parts) containing water or steam; and

(2) Accidental discharge or leakage of water or waterborne material as the direct result of the breaking apart or cracking of a water or sewer pipe that is located off the described premises and is part of a municipal potable water supply system or municipal sanitary sewer system, if the breakage or cracking is caused by wear and tear.

But water damage does not include loss or damage otherwise excluded under the terms of the Water Exclusion. Therefore, for example, there is no coverage in the situation in which discharge or leakage of water results from the breaking apart or cracking of a pipe which was caused by or related to weather-induced flooding, even if wear and tear contributed to the breakage or cracking. As another example, and also in accordance with the terms of the Water Exclusion, there is no coverage for loss or damage caused by or related to weather-induced flooding which follows or is exacerbated by pipe breakage or cracking attributable to wear and tear.

To the extent that accidental discharge or leakage of water falls within the criteria set forth in **c.(1)** or **c.(2)** of this definition of "specified causes of loss", such water is not subject to the provisions of the Water Exclusion which preclude coverage for surface water or water under the ground surface.

13. "Stock" means merchandise held in storage or for sale, raw materials and in-process or finished goods, including supplies used in their packing or shipping.

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14. "Valuable papers and records" means inscribed, printed or written:

a. Documents;

b. Manuscripts; and

c. Records;

including abstracts, books, deeds, drawings, films, maps or mortgages.

But "valuable papers and records" does not mean "money" or "securities".

SECTION II – LIABILITY

A. Coverages

1. Business Liability

a. We will pay those sums that the insured becomes legally obligated to pay as damages because of "bodily injury", "property damage" or "personal and advertising injury" to which this insurance applies. We will have the right and duty to defend the insured against any "suit" seeking those damages. However, we will have no duty to defend the insured against any "suit" seeking damages for "bodily injury", "property damage" or "personal and advertising injury" to which this insurance does not apply. We may, at our discretion, investigate any "occurrence" or any offense and settle any claim or "suit" that may result. But:

(1) The amount we will pay for damages is limited as described in Paragraph **D.** Liability And Medical Expenses Limits Of Insurance in Section **II** – Liability; and

(2) Our right and duty to defend end when we have used up the applicable Limit of Insurance in the payment of judgments or settlements or medical expenses.

No other obligation or liability to pay sums or perform acts or services is covered unless explicitly provided for under Paragraph **f.** Coverage Extension – Supplementary Payments.

b. This insurance applies:

(1) To "bodily injury" and "property damage" only if:

(a) The "bodily injury" or "property damage" is caused by an "occurrence" that takes place in the "coverage territory";

(b) The "bodily injury" or "property damage" occurs during the policy period; and

(c) Prior to the policy period, no insured listed under Paragraph **C.1.** Who Is An Insured and no "employee" authorized by you to give or receive notice of an "occurrence" or claim, knew that the "bodily injury" or "property damage" had occurred, in whole or in part. If such a listed insured or authorized "employee" knew, prior to the policy period, that the "bodily injury" or "property damage" occurred, then any continuation, change or resumption of such "bodily injury" or "property damage" during or after the policy period will be deemed to have been known before the policy period.

(2) To "personal and advertising injury" caused by an offense arising out of your business, but only if the offense was committed in the "coverage territory" during the policy period.

c. "Bodily injury" or "property damage" which occurs during the policy period and was not, prior to the policy period, known to have occurred by any insured listed under Paragraph **C.1.** Who Is An Insured or any "employee" authorized by you to give or receive notice of an "occurrence" or claim, includes any continuation, change or resumption of "bodily injury" or "property damage" after the end of the policy period.

d. "Bodily injury" or "property damage" will be deemed to have been known to have occurred at the earliest time when any insured listed under Paragraph **C.1.** Who Is An Insured or any "employee" authorized by you to give or receive notice of an "occurrence" or claim:

(1) Reports all, or any part, of the "bodily injury" or "property damage" to us or any other insurer;

(2) Receives a written or verbal demand or claim for damages because of the "bodily injury" or "property damage"; or

(3) Becomes aware by any other means that "bodily injury" or "property damage" has occurred or has begun to occur.

e. Damages because of "bodily injury" include damages claimed by any person or organization for care, loss of services or death resulting at any time from the "bodily injury".

f. Coverage Extension – Supplementary Payments

(1) We will pay, with respect to any claim we investigate or settle, or any "suit" against an insured we defend:

(a) All expenses we incur.

(b) Up to $250 for cost of bail bonds required because of accidents or traffic law violations arising out of the use of any vehicle to which Business Liability Coverage for "bodily injury" applies. We do not have to furnish these bonds.

(c) The cost of bonds to release attachments, but only for bond amounts within our Limit of Insurance. We do not have to furnish these bonds.

(d) All reasonable expenses incurred by the insured at our request to assist us in the investigation or defense of the claim or "suit", including actual loss of earnings up to $250 a day because of time off from work.

(e) All court costs taxed against the insured in the "suit". However, these payments do not include attorneys' fees or attorneys' expenses taxed against the insured.

(f) Prejudgment interest awarded against the insured on that part of the judgment we pay. If we make an offer to pay the Limit of Insurance, we will not pay any prejudgment interest based on that period of time after the offer.

(g) All interest on the full amount of any judgment that accrues after entry of the judgment and before we have paid, offered to pay, or deposited in court the part of the judgment that is within our Limit of Insurance.

These payments will not reduce the limit of liability.

(2) If we defend an insured against a "suit" and an indemnitee of the insured is also named as a party to the "suit", we will defend that indemnitee if all of the following conditions are met:

(a) The "suit" against the indemnitee seeks damages for which the insured has assumed the liability of the indemnitee in a contract or agreement that is an "insured contract";

(b) This insurance applies to such liability assumed by the insured;

(c) The obligation to defend, or the cost of the defense of, that indemnitee, has also been assumed by the insured in the same "insured contract";

(d) The allegations in the "suit" and the information we know about the "occurrence" are such that no conflict appears to exist between the interests of the insured and the interests of the indemnitee;

(e) The indemnitee and the insured ask us to conduct and control the defense of that indemnitee against such "suit" and agree that we can assign the same counsel to defend the insured and the indemnitee; and

(f) The indemnitee:

(i) Agrees in writing to:

i. Cooperate with us in the investigation, settlement or defense of the "suit";

ii. Immediately send us copies of any demands, notices, summonses or legal papers received in connection with the "suit";

iii. Notify any other insurer whose coverage is available to the indemnitee; and

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iv. Cooperate with us with respect to coordinating other applicable insurance available to the indemnitee; and

(ii) Provides us with written authorization to:

i. Obtain records and other information related to the "suit"; and

ii. Conduct and control the defense of the indemnitee in such "suit".

(3) So long as the conditions in Paragraph **(2)** are met, attorneys' fees incurred by us in the defense of that indemnitee, necessary litigation expenses incurred by us and necessary litigation expenses incurred by the indemnitee at our request will be paid as Supplementary Payments. Notwithstanding the provisions of Paragraph **B.1.b.(2)** Exclusions in Section **II** – Liability, such payments will not be deemed to be damages for "bodily injury" and "property damage" and will not reduce the Limits of Insurance.

Our obligation to defend an insured's indemnitee and to pay for attorneys' fees and necessary litigation expenses as Supplementary Payments ends when:

(a) We have used up the applicable Limit of Insurance in the payment of judgments or settlements; or

(b) The conditions set forth above, or the terms of the agreement described in Paragraph **(2)(f)** above, are no longer met.

2. Medical Expenses

a. We will pay medical expenses as described below for "bodily injury" caused by an accident:

(1) On premises you own or rent;

(2) On ways next to premises you own or rent; or

(3) Because of your operations;

provided that:

(a) The accident takes place in the "coverage territory" and during the policy period;

(b) The expenses are incurred and reported to us within one year of the date of the accident; and

(c) The injured person submits to examination, at our expense, by physicians of our choice as often as we reasonably require.

b. We will make these payments regardless of fault. These payments will not exceed the Limits of Insurance of Section **II** – Liability. We will pay reasonable expenses for:

(1) First aid administered at the time of an accident;

(2) Necessary medical, surgical, X-ray and dental services, including prosthetic devices; and

(3) Necessary ambulance, hospital, professional nursing and funeral services.

B. Exclusions

1. Applicable To Business Liability Coverage

This insurance does not apply to:

a. Expected Or Intended Injury

"Bodily injury" or "property damage" expected or intended from the standpoint of the insured. This exclusion does not apply to "bodily injury" resulting from the use of reasonable force to protect persons or property.

b. Contractual Liability

"Bodily injury" or "property damage" for which the insured is obligated to pay damages by reason of the assumption of liability in a contract or agreement. This exclusion does not apply to liability for damages:

(1) That the insured would have in the absence of the contract or agreement; or

(2) Assumed in a contract or agreement that is an "insured contract", provided the "bodily injury" or "property damage" occurs subsequent to the execution of the contract or agreement. Solely for the purposes of liability assumed in an "insured contract", reasonable attorneys' fees and necessary litigation expenses incurred by or for a party other than an insured are deemed to be damages because of "bodily injury" or "property damage", provided:

(a) Liability to such party for, or for the cost of, that party's defense has also been assumed in the same "insured contract"; and

(b) Such attorney fees and litigation expenses are for defense of that party against a civil or alternative dispute resolution proceeding in which damages to which this insurance applies are alleged.

c. Liquor Liability

"Bodily injury" or "property damage" for which any insured may be held liable by reason of:

(1) Causing or contributing to the intoxication of any person;

(2) The furnishing of alcoholic beverages to a person under the legal drinking age or under the influence of alcohol; or

(3) Any statute, ordinance or regulation relating to the sale, gift, distribution or use of alcoholic beverages.

This exclusion applies even if the claims allege negligence or other wrongdoing in:

(a) The supervision, hiring, employment, training or monitoring of others by an insured; or

(b) Providing or failing to provide transportation with respect to any person that may be under the influence of alcohol;

if the "occurrence" which caused the "bodily injury" or "property damage", involved that which is described in Paragraph **(1), (2)** or **(3)** above.

However, this exclusion applies only if you are in the business of manufacturing, distributing, selling, serving or furnishing alcoholic beverages. For the purposes of this exclusion, permitting a person to bring alcoholic beverages on your premises, for consumption on your premises, whether or not a fee is charged or a license is required for such activity, is not by itself considered the business of selling, serving or furnishing alcoholic beverages.

d. Workers' Compensation And Similar Laws

Any obligation of the insured under a workers' compensation, disability benefits or unemployment compensation law or any similar law.

e. Employer's Liability

"Bodily injury" to:

(1) An "employee" of the insured arising out of and in the course of:

(a) Employment by the insured; or

(b) Performing duties related to the conduct of the insured's business; or

(2) The spouse, child, parent, brother or sister of that "employee" as a consequence of Paragraph **(1)** above.

This exclusion applies whether the insured may be liable as an employer or in any other capacity and to any obligation to share damages with or repay someone else who must pay damages because of the injury.

This exclusion does not apply to liability assumed by the insured under an "insured contract".

f. Pollution

(1) "Bodily injury" or "property damage" arising out of the actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "pollutants":

(a) At or from any premises, site or location which is or was at any time owned or occupied by, or rented or loaned to, any insured. However, this subparagraph does not apply to:

(i) "Bodily injury" if sustained within a building and caused by smoke, fumes, vapor or soot produced by or originating from equipment that is used to heat, cool or dehumidify the building, or equipment that is used to heat water for personal use, by the building's occupants or their guests;

(ii) "Bodily injury" or "property damage" for which you may be held liable, if you are a contractor and the owner or lessee of such premises, site or location has been added to your policy as an additional insured with respect to your ongoing operations performed for that additional insured at that premises, site or location and such premises, site or location is not and never was owned or occupied by, or rented or loaned to, any insured, other than that additional insured; or

(iii) "Bodily injury" or "property damage" arising out of heat, smoke or fumes from a "hostile fire";

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(b) At or from any premises, site or location which is or was at any time used by or for any insured or others for the handling, storage, disposal, processing or treatment of waste;

(c) Which are or were at any time transported, handled, stored, treated, disposed of, or processed as waste by or for:

(i) Any insured; or

(ii) Any person or organization for whom you may be legally responsible;

(d) At or from any premises, site or location on which any insured or any contractors or subcontractors working directly or indirectly on any insured's behalf are performing operations if the "pollutants" are brought on or to the premises, site or location in connection with such operations by such insured, contractor or subcontractor. However, this subparagraph does not apply to:

(i) "Bodily injury" or "property damage" arising out of the escape of fuels, lubricants or other operating fluids which are needed to perform the normal electrical, hydraulic or mechanical functions necessary for the operation of "mobile equipment" or its parts, if such fuels, lubricants or other operating fluids escape from a vehicle part designed to hold, store or receive them. This exception does not apply if the "bodily injury" or "property damage" arises out of the intentional discharge, dispersal or release of the fuels, lubricants or other operating fluids, or if such fuels, lubricants or other operating fluids are brought on or to the premises, site or location with the intent that they be discharged, dispersed or released as part of the operations being performed by such insured, contractor or subcontractor;

(ii) "Bodily injury" or "property damage" sustained within a building and caused by the release of gases, fumes or vapors from materials brought into that building in connection with operations being performed by you or on your behalf by a contractor or subcontractor; or

(iii) "Bodily injury" or "property damage" arising out of heat, smoke or fumes from a "hostile fire"; or

(e) At or from any premises, site or location on which any insured or any contractors or subcontractors working directly or indirectly on any insured's behalf are performing operations if the operations are to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, "pollutants".

(2) Any loss, cost or expense arising out of any:

(a) Request, demand, order or statutory or regulatory requirement that any insured or others test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, "pollutants"; or

(b) Claim or "suit" by or on behalf of a governmental authority for damages because of testing for, monitoring, cleaning up, removing, containing, treating, detoxifying or neutralizing, or in any way responding to, or assessing the effects of, "pollutants".

However, this paragraph does not apply to liability for damages because of "property damage" that the insured would have in the absence of such request, demand, order or statutory or regulatory requirement or such claim or "suit" by or on behalf of a governmental authority.

g. Aircraft, Auto Or Watercraft

"Bodily injury" or "property damage" arising out of the ownership, maintenance, use or entrustment to others of any aircraft, "auto" or watercraft owned or operated by or rented or loaned to any insured. Use includes operation and "loading or unloading".

This exclusion applies even if the claims allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by an insured, if the "occurrence" which caused the "bodily injury" or "property damage" involved the ownership, maintenance, use or entrustment to others of any aircraft, "auto" or watercraft that is owned or operated by or rented or loaned to any insured.

This exclusion does not apply to:

(1) A watercraft while ashore on premises you own or rent;

(2) A watercraft you do not own that is:

(a) Less than 51 feet long; and

(b) Not being used to carry persons or property for a charge;

(3) Parking an "auto" on, or on the ways next to, premises you own or rent, provided the "auto" is not owned by or rented or loaned to you or the insured;

(4) Liability assumed under any "insured contract" for the ownership, maintenance or use of aircraft or watercraft; or

(5) "Bodily injury" or "property damage" arising out of:

(a) The operation of machinery or equipment that is attached to, or part of, a land vehicle that would qualify under the definition of "mobile equipment" if it were not subject to a compulsory or financial responsibility law or other motor vehicle insurance or motor vehicle registration law where it is licensed or principally garaged; or

(b) The operation of any of the following machinery or equipment:

(i) Cherry pickers and similar devices mounted on automobile or truck chassis and used to raise or lower workers; and

(ii) Air compressors, pumps and generators, including spraying, welding, building cleaning, geophysical exploration, lighting and well servicing equipment.

h. Mobile Equipment

"Bodily injury" or "property damage" arising out of:

(1) The transportation of "mobile equipment" by an "auto" owned or operated by or rented or loaned to any insured; or

(2) The use of "mobile equipment" in, or while in practice for, or while being prepared for, any prearranged racing, speed, demolition or stunting activity.

i. War

"Bodily injury", "property damage" or "personal and advertising injury", however caused, arising, directly or indirectly, out of:

(1) War, including undeclared or civil war;

(2) Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or

(3) Insurrection, rebellion, revolution, usurped power, or action taken by government authority in hindering or defending against any of these.

j. Professional Services

"Bodily injury", "property damage" or "personal and advertising injury" caused by the rendering or failure to render any professional service. This includes but is not limited to:

(1) Legal, accounting or advertising services;

(2) Preparing, approving, or failing to prepare or approve maps, drawings, opinions, reports, surveys, change orders, designs or specifications;

(3) Supervisory, inspection or engineering services;

(4) Medical, surgical, dental, X-ray or nursing services treatment, advice or instruction;

(5) Any health or therapeutic service treatment, advice or instruction;

(6) Any service, treatment, advice or instruction for the purpose of appearance or skin enhancement, hair removal or replacement or personal grooming;

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(7) Optometry or optical or hearing aid services including the prescribing, preparation, fitting, demonstration or distribution of ophthalmic lenses and similar products or hearing aid devices;

(8) Body piercing services; and

(9) Services in the practice of pharmacy.

This exclusion applies even if the claims allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by an insured, if the "occurrence" which caused the "bodily injury" or "property damage", or the offense which caused the "personal and advertising injury", involved the rendering or failure to render of any professional service.

k. Damage To Property

"Property damage" to:

(1) Property you own, rent or occupy, including any costs or expenses incurred by you, or any other person, organization or entity, for repair, replacement, enhancement, restoration or maintenance of such property for any reason, including prevention of injury to a person or damage to another's property;

(2) Premises you sell, give away or abandon, if the "property damage" arises out of any part of those premises;

(3) Property loaned to you;

(4) Personal property in the care, custody or control of the insured;

(5) That particular part of real property on which you or any contractor or subcontractor working directly or indirectly on your behalf is performing operations, if the "property damage" arises out of those operations; or

(6) That particular part of any property that must be restored, repaired or replaced because "your work" was incorrectly performed on it.

Paragraphs **(1), (3)** and **(4)** of this exclusion do not apply to "property damage" (other than damage by fire) to premises, including the contents of such premises, rented to you for a period of seven or fewer consecutive days. A separate Limit of Insurance applies to Damage To Premises Rented To You as described in Paragraph **D.** Liability And Medical Expenses Limits Of Insurance in Section **II** – Liability.

Paragraph **(2)** of this exclusion does not apply if the premises are "your work" and were never occupied, rented or held for rental by you.

Paragraphs **(3), (4), (5)** and **(6)** of this exclusion do not apply to liability assumed under a sidetrack agreement.

Paragraph **(6)** of this exclusion does not apply to "property damage" included in the "products-completed operations hazard".

l. Damage To Your Product

"Property damage" to "your product" arising out of it or any part of it.

m. Damage To Your Work

"Property damage" to "your work" arising out of it or any part of it and included in the "products-completed operations hazard".

This exclusion does not apply if the damaged work or the work out of which the damage arises was performed on your behalf by a subcontractor.

n. Damage To Impaired Property Or Property Not Physically Injured

"Property damage" to "impaired property" or property that has not been physically injured, arising out of:

(1) A defect, deficiency, inadequacy or dangerous condition in "your product" or "your work"; or

(2) A delay or failure by you or anyone acting on your behalf to perform a contract or agreement in accordance with its terms.

This exclusion does not apply to the loss of use of other property arising out of sudden and accidental physical injury to "your product" or "your work" after it has been put to its intended use.

o. Recall Of Products, Work Or Impaired Property

Damages claimed for any loss, cost or expense incurred by you or others for the loss of use, withdrawal, recall, inspection, repair, replacement, adjustment, removal or disposal of:

(1) "Your product";

(2) "Your work"; or

(3) "Impaired property";

if such product, work or property is withdrawn or recalled from the market or from use by any person or organization because of a known or suspected defect, deficiency, inadequacy or dangerous condition in it.

p. Personal And Advertising Injury

"Personal and advertising injury":

(1) Caused by or at the direction of the insured with the knowledge that the act would violate the rights of another and would inflict "personal and advertising injury";

(2) Arising out of oral or written publication, in any manner, of material, if done by or at the direction of the insured with knowledge of its falsity;

(3) Arising out of oral or written publication, in any manner, of material whose first publication took place before the beginning of the policy period;

(4) For which the insured has assumed liability in a contract or agreement. This exclusion does not apply to liability for damages that the insured would have in the absence of the contract or agreement;

(5) Arising out of a breach of contract, except an implied contract to use another's advertising idea in your "advertisement";

(6) Arising out of the failure of goods, products or services to conform with any statement of quality or performance made in your "advertisement";

(7) Arising out of the wrong description of the price of goods, products or services stated in your "advertisement";

(8) Committed by an insured whose business is:

(a) Advertising, broadcasting, publishing or telecasting;

(b) Designing or determining content of web sites for others; or

(c) An Internet search, access, content or service provider.

However, this exclusion does not apply to Paragraphs **14.a., b.** and **c.** of "personal and advertising injury" under Paragraph **F.** Liability And Medical Expenses Definitions.

For the purposes of this exclusion, the placing of frames, borders or links, or advertising, for you or others anywhere on the Internet, by itself, is not considered the business of advertising, broadcasting, publishing or telecasting;

(9) Arising out of the actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "pollutants" at any time;

(10) With respect to any loss, cost or expense arising out of any:

(a) Request, demand or order that any insured or others test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, "pollutants"; or

(b) Claim or "suit" by or on behalf of a governmental authority for damages because of testing for, monitoring, cleaning up, removing, containing, treating, detoxifying or neutralizing, or in any way responding to, or assessing the effects of, "pollutants";

(11) Arising out of an electronic chatroom or bulletin board the insured hosts, owns or over which the insured exercises control;

(12) Arising out of the infringement of copyright, patent, trademark, trade secret or other intellectual property rights. Under this exclusion, such other intellectual property rights do not include the use of another's advertising idea in your "advertisement".

However, this exclusion does not apply to infringement, in your "advertisement", of copyright, trade dress or slogan;

(13) Arising out of the unauthorized use of another's name or product in your e-mail address, domain name or metatags, or any other similar tactics to mislead another's potential customers.

q. Electronic Data

Damages arising out of the loss of, loss of use of, damage to, corruption of, inability to access, or inability to manipulate electronic data.

However, this exclusion does not apply to liability for damages because of "bodily injury".

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As used in this exclusion, electronic data means information, facts or computer programs stored as or on, created or used on, or transmitted to or from computer software (including systems and applications software), on hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other repositories of computer software which are used with electronically controlled equipment. The term computer programs, referred to in the foregoing description of electronic data, means a set of related electronic instructions which direct the operations and functions of a computer or device connected to it, which enable the computer or device to receive, process, store, retrieve or send data.

r. Criminal Acts

"Personal and advertising injury" arising out of a criminal act committed by or at the direction of the insured.

s. Recording And Distribution Of Material Or Information In Violation Of Law

"Bodily injury", "property damage" or "personal and advertising injury" arising directly or indirectly out of any action or omission that violates or is alleged to violate:

(1) The Telephone Consumer Protection Act (TCPA), including any amendment of or addition to such law;

(2) The CAN-SPAM Act of 2003, including any amendment of or addition to such law;

(3) The Fair Credit Reporting Act (FCRA), and any amendment of or addition to such law, including the Fair and Accurate Credit Transaction Act (FACTA); or

(4) Any federal, state or local statute, ordinance or regulation, other than the TCPA, CAN-SPAM Act of 2003 or FCRA and their amendments and additions, that addresses, prohibits, or limits the printing, dissemination, disposal, collecting, recording, sending, transmitting, communicating or distribution of material or information.

Exclusions **c., d., e., f., g., h., i., k., l., m., n.** and **o.** in Section **II** – Liability do not apply to damage by fire to premises while rented to you, or temporarily occupied by you with permission of the owner. A separate Damage To Premises Rented To You Limit of Insurance applies to this coverage as described in Paragraph **D.** Liability And Medical Expenses Limits of Insurance in Section **II** – Liability.

2. Applicable To Medical Expenses Coverage

We will not pay expenses for "bodily injury":

a. To any insured, except "volunteer workers".

b. To a person hired to do work for or on behalf of any insured or a tenant of any insured.

c. To a person injured on that part of premises you own or rent that the person normally occupies.

d. To a person, whether or not an "employee" of any insured, if benefits for the "bodily injury" are payable or must be provided under a workers' compensation or disability benefits law or a similar law.

e. To a person injured while practicing, instructing or participating in any physical exercises or games, sports or athletic contests.

f. Included within the "products-completed operations hazard".

g. Excluded under Business Liability Coverage.

3. Applicable To Both Business Liability Coverage And Medical Expenses Coverage – Nuclear Energy Liability Exclusion

This insurance does not apply:

a. Under Business Liability Coverage, to "bodily injury" or "property damage":

(1) With respect to which an insured under the policy is also an insured under a nuclear energy liability policy issued by the Nuclear Energy Liability Insurance Association, Mutual Atomic Energy Liability Underwriters or Nuclear Insurance Association of Canada, or would be an insured under any such policy but for its termination upon exhaustion of its limit of liability; or

(2) Resulting from the "hazardous properties" of "nuclear material" and with respect to which:

(a) Any person or organization is required to maintain financial protection pursuant to the Atomic Energy Act of 1954, or any law amendatory thereof; or

(b) The insured is, or had this policy not been issued would be, entitled to indemnity from the United States of America, or any agency thereof, under any agreement entered into by the United States of America, or any agency thereof, with any person or organization.

b. Under Medical Expenses Coverage, to expenses incurred with respect to "bodily injury" resulting from the "hazardous properties" of "nuclear material" and arising out of the operation of a "nuclear facility" by any person or organization.

c. Under Business Liability Coverage, to "bodily injury" or "property damage" resulting from the "hazardous properties" of the "nuclear material"; if:

(1) The "nuclear material":

(a) Is at any "nuclear facility" owned by, or operated by or on behalf of, an insured; or

(b) Has been discharged or dispersed therefrom;

(2) The "nuclear material" is contained in "spent fuel" or "waste" at any time possessed, handled, used, processed, stored, transported or disposed of by or on behalf of an insured; or

(3) The "bodily injury" or "property damage" arises out of the furnishing by an insured of services, materials, parts or equipment in connection with the planning, construction, maintenance, operation or use of any "nuclear facility"; but if such facility is located within the United States of America, its territories or possessions or Canada, this Exclusion **(3)** applies only to "property damage" to such "nuclear facility" and any property thereat.

d. As used in this exclusion:

(1) "By-product material" has the meaning given it in the Atomic Energy Act of 1954 or in any law amendatory thereof;

(2) "Hazardous properties" include radioactive, toxic or explosive properties;

(3) "Nuclear facility" means:

(a) Any "nuclear reactor";

(b) Any equipment or device designed or used for:

(i) Separating the isotopes of uranium or plutonium;

(ii) Processing or utilizing "spent fuel"; or

(iii) Handling, processing or packaging "waste";

(c) Any equipment or device used for the processing, fabricating or alloying of "special nuclear material" if at any time the total amount of such material in the custody of the insured at the premises where such equipment or device is located consists of or contains more than 25 grams of plutonium or uranium 233 or any combination thereof, or more than 250 grams of uranium 235;

(d) Any structure, basin, excavation, premises or place prepared or used for the storage or disposal of "waste";

and includes the site on which any of the foregoing is located, all operations conducted on such site and all premises used for such operations;

(4) "Nuclear material" means "source material", "special nuclear material" or "by-product material";

(5) "Nuclear reactor" means any apparatus designed or used to sustain nuclear fission in a self-supporting chain reaction or to contain a critical mass of fissionable material;

(6) "Property damage" includes all forms of radioactive contamination of property;

(7) "Source material" has the meaning given it in the Atomic Energy Act of 1954 or in any law amendatory thereof;

(8) "Special nuclear material" has the meaning given it in the Atomic Energy Act of 1954 or in any law amendatory thereof;

(9) "Spent fuel" means any fuel element or fuel component, solid or liquid, which has been used or exposed to radiation in a "nuclear reactor";

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(10) "Waste" means any waste material:

(a) Containing "by-product material" other than the tailings or wastes produced by the extraction or concentration of uranium or thorium from any ore processed primarily for its "source material" content; and

(b) Resulting from the operation by any person or organization of any "nuclear facility" included under Paragraphs **(a)** and **(b)** of the definition of "nuclear facility".

C. Who Is An Insured

1. If you are designated in the Declarations as:

a. An individual, you and your spouse are insureds, but only with respect to the conduct of a business of which you are the sole owner.

b. A partnership or joint venture, you are an insured. Your members, your partners and their spouses are also insureds, but only with respect to the conduct of your business.

c. A limited liability company, you are an insured. Your members are also insureds, but only with respect to the conduct of your business. Your managers are insureds, but only with respect to their duties as your managers.

d. An organization other than a partnership, joint venture or limited liability company, you are an insured. Your "executive officers" and directors are insureds, but only with respect to their duties as your officers or directors. Your stockholders are also insureds, but only with respect to their liability as stockholders.

e. A trust, you are an insured. Your trustees are also insureds, but only with respect to their duties as trustees.

2. Each of the following is also an insured:

a. Your "volunteer workers" only while performing duties related to the conduct of your business, or your "employees", other than either your "executive officers" (if you are an organization other than a partnership, joint venture or limited liability company) or your managers (if you are a limited liability company), but only for acts within the scope of their employment by you or while performing duties related to the conduct of your business. However, none of these "employees" or "volunteer workers" are insureds for:

(1) "Bodily injury" or "personal and advertising injury":

(a) To you, to your partners or members (if you are a partnership or joint venture), to your members (if you are a limited liability company), or to a co-"employee" while in the course of his or her employment or performing duties related to the conduct of your business, or to your other "volunteer workers" while performing duties related to the conduct of your business;

(b) To the spouse, child, parent, brother or sister of that co-"employee" as a consequence of Paragraph **(a)** above;

(c) For which there is any obligation to share damages with or repay someone else who must pay damages because of the injury described in Paragraph **(a)** or **(b);** or

(d) Arising out of his or her providing or failing to provide professional health care services.

(2) "Property damage" to property:

(a) Owned, occupied or used by;

(b) Rented to, in the care, custody or control of, or over which physical control is being exercised for any purpose by;

you, any of your "employees", "volunteer workers", any partner or member (if you are a partnership or joint venture), or any member (if you are a limited liability company).

b. Any person (other than your "employee" or "volunteer worker"), or any organization while acting as your real estate manager.

c. Any person or organization having proper temporary custody of your property if you die, but only:

(1) With respect to liability arising out of the maintenance or use of that property; and

(2) Until your legal representative has been appointed.

d. Your legal representative if you die, but only with respect to duties as such. That representative will have all your rights and duties under this policy.

No person or organization is an insured with respect to the conduct of any current or past partnership, joint venture or limited liability company that is not shown as a Named Insured in the Declarations.

D. Liability And Medical Expenses Limits Of Insurance

1. The Limits of Insurance of Section **II** – Liability shown in the Declarations and the rules below fix the most we will pay regardless of the number of:

a. Insureds;

b. Claims made or "suits" brought; or

c. Persons or organizations making claims or bringing "suits".

2. The most we will pay for the sum of all damages because of all:

a. "Bodily injury", "property damage" and medical expenses arising out of any one "occurrence"; and

b. "Personal and advertising injury" sustained by any one person or organization;

is the Liability and Medical Expenses limit shown in the Declarations. But the most we will pay for all medical expenses because of "bodily injury" sustained by any one person is the Medical Expenses limit shown in the Declarations.

3. The most we will pay under Business Liability Coverage for damages because of "property damage" to a premises while rented to you or in the case of fire while rented to you or temporarily occupied by you with permission of the owner is the applicable Damage To Premises Rented To You limit shown for that premises in the Declarations. For a premises temporarily occupied by you, the applicable limit will be the highest Damage To Premises Rented To You limit shown in the Declarations.

4. Aggregate Limits

The most we will pay for:

a. All "bodily injury" and "property damage" that is included in the "products-completed operations hazard" is twice the Liability and Medical Expenses limit.

b. All:

(1) "Bodily injury" and "property damage" except damages because of "bodily injury" or "property damage" included in the "products-completed operations hazard";

(2) Plus medical expenses;

(3) Plus all "personal and advertising injury" caused by offenses committed;

is twice the Liability and Medical Expenses limit.

Subject to Paragraph **a.** or **b.** above, whichever applies, the Damage To Premises Rented To You limit is the most we will pay for damages because of "property damage" to any one premises, while rented to you, or in the case of fire, while rented to you or temporarily occupied by you with permission of the owner.

The Limits of Insurance of Section **II** – Liability apply separately to each consecutive annual period and to any remaining period of less than 12 months, starting with the beginning of the policy period shown in the Declarations, unless the policy period is extended after issuance for an additional period of less than 12 months. In that case, the additional period will be deemed part of the last preceding period for purposes of determining the Limits of Insurance.

E. Liability And Medical Expenses General Conditions

1. Bankruptcy

Bankruptcy or insolvency of the insured or of the insured's estate will not relieve us of our obligations under this policy.

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2. Duties In The Event Of Occurrence, Offense, Claim Or Suit

a. You must see to it that we are notified as soon as practicable of an "occurrence" or an offense which may result in a claim. To the extent possible, notice should include:

(1) How, when and where the "occurrence" or offense took place;

(2) The names and addresses of any injured persons and witnesses; and

(3) The nature and location of any injury or damage arising out of the "occurrence" or offense.

b. If a claim is made or "suit" is brought against any insured, you must:

(1) Immediately record the specifics of the claim or "suit" and the date received; and

(2) Notify us as soon as practicable.

You must see to it that we receive written notice of the claim or "suit" as soon as practicable.

c. You and any other involved insured must:

(1) Immediately send us copies of any demands, notices, summonses or legal papers received in connection with the claim or "suit";

(2) Authorize us to obtain records and other information;

(3) Cooperate with us in the investigation or settlement of the claim or defense against the "suit"; and

(4) Assist us, upon our request, in the enforcement of any right against any person or organization that may be liable to the insured because of injury or damage to which this insurance may also apply.

d. No insured will, except at that insured's own cost, voluntarily make a payment, assume any obligation, or incur any expense, other than for first aid, without our consent.

3. Legal Action Against Us

No person or organization has a right under this policy:

a. To join us as a party or otherwise bring us into a "suit" asking for damages from an insured; or

b. To sue us on this policy unless all of its terms have been fully complied with.

A person or organization may sue us to recover on an agreed settlement or on a final judgment against an insured; but we will not be liable for damages that are not payable under the terms of this policy or that are in excess of the applicable Limit of Insurance. An agreed settlement means a settlement and release of liability signed by us, the insured and the claimant or the claimant's legal representative.

4. Separation Of Insureds

Except with respect to the Limits of Insurance of Section **II** – Liability, and any rights or duties specifically assigned in this policy to the first Named Insured, this insurance applies:

a. As if each Named Insured were the only Named Insured; and

b. Separately to each insured against whom claim is made or "suit" is brought.

F. Liability And Medical Expenses Definitions

1. "Advertisement" means a notice that is broadcast or published to the general public or specific market segments about your goods, products or services for the purpose of attracting customers or supporters. For the purposes of this definition:

a. Notices that are published include material placed on the Internet or on similar electronic means of communication; and

b. Regarding web sites, only that part of a web site that is about your goods, products or services for the purposes of attracting customers or supporters is considered an advertisement.

2. "Auto" means:

a. A land motor vehicle, trailer or semitrailer designed for travel on public roads, including any attached machinery or equipment; or

b. Any other land vehicle that is subject to a compulsory or financial responsibility law or other motor vehicle insurance or motor vehicle registration law where it is licensed or principally garaged.

However, "auto" does not include "mobile equipment".

3. "Bodily injury" means bodily injury, sickness or disease sustained by a person, including death resulting from any of these at any time.

4. "Coverage territory" means:

a. The United States of America (including its territories and possessions), Puerto Rico and Canada;

b. International waters or airspace, but only if the injury or damage occurs in the course of travel or transportation between any places included in Paragraph **a.** above; or

c. All other parts of the world if the injury or damage arises out of:

(1) Goods or products made or sold by you in the territory described in Paragraph **a.** above;

(2) The activities of a person whose home is in the territory described in Paragraph **a.** above, but is away for a short time on your business; or

(3) "Personal and advertising injury" offenses that take place through the Internet or similar electronic means of communication;

provided the insured's responsibility to pay damages is determined in a "suit" on the merits in the territory described in Paragraph **a.** above or in a settlement we agree to.

5. "Employee" includes a "leased worker". "Employee" does not include a "temporary worker".

6. "Executive officer" means a person holding any of the officer positions created by your charter, constitution, bylaws or any other similar governing document.

7. "Hostile fire" means one which becomes uncontrollable or breaks out from where it was intended to be.

8. "Impaired property" means tangible property, other than "your product" or "your work", that cannot be used or is less useful because:

a. It incorporates "your product" or "your work" that is known or thought to be defective, deficient, inadequate or dangerous; or

b. You have failed to fulfill the terms of a contract or agreement;

if such property can be restored to use by:

(1) The repair, replacement, adjustment or removal of "your product" or "your work"; or

(2) Your fulfilling the terms of the contract or agreement.

9. "Insured contract" means:

a. A contract for a lease of premises. However, that portion of the contract for a lease of premises that indemnifies any person or organization for damage by fire to premises while rented to you or temporarily occupied by you with permission of the owner is not an "insured contract";

b. A sidetrack agreement;

c. Any easement or license agreement, except in connection with construction or demolition operations on or within 50 feet of a railroad;

d. An obligation, as required by ordinance, to indemnify a municipality, except in connection with work for a municipality;

e. An elevator maintenance agreement;

f. That part of any other contract or agreement pertaining to your business (including an indemnification of a municipality in connection with work performed for a municipality) under which you assume the tort liability of another party to pay for "bodily injury" or "property damage" to a third person or organization. Tort liability means a liability that would be imposed by law in the absence of any contract or agreement.

Paragraph **f.** does not include that part of any contract or agreement:

(1) That indemnifies a railroad for "bodily injury" or "property damage" arising out of construction or demolition operations, within 50 feet of any railroad property and affecting any railroad bridge or trestle, tracks, roadbeds, tunnel, underpass or crossing;

(2) That indemnifies an architect, engineer or surveyor for injury or damage arising out of:

(a) Preparing, approving or failing to prepare or approve maps, drawings, opinions, reports, surveys, change orders, designs or specifications; or

(b) Giving directions or instructions, or failing to give them, if that is the primary cause of the injury or damage; or

(3) Under which the insured, if an architect, engineer or surveyor, assumes liability for an injury or damage arising out of the insured's rendering or failure to render professional services, including those listed in Paragraph **(2)** above and supervisory, inspection or engineering services.

10. "Leased worker" means a person leased to you by a labor leasing firm under an agreement between you and the labor leasing firm, to perform duties related to the conduct of your business. "Leased worker" does not include a "temporary worker".

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11. "Loading or unloading" means the handling of property:

a. After it is moved from the place where it is accepted for movement into or onto an aircraft, watercraft or "auto";

b. While it is in or on an aircraft, watercraft or "auto"; or

c. While it is being moved from an aircraft, watercraft or "auto" to the place where it is finally delivered;

but "loading or unloading" does not include the movement of property by means of a mechanical device, other than a hand truck, that is not attached to the aircraft, watercraft or "auto".

12. "Mobile equipment" means any of the following types of land vehicles, including any attached machinery or equipment:

a. Bulldozers, farm machinery, forklifts and other vehicles designed for use principally off public roads;

b. Vehicles maintained for use solely on or next to premises you own or rent;

c. Vehicles that travel on crawler treads;

d. Vehicles, whether self-propelled or not, on which are permanently mounted:

(1) Power cranes, shovels, loaders, diggers or drills; or

(2) Road construction or resurfacing equipment such as graders, scrapers or rollers;

e. Vehicles not described in Paragraph **a., b., c.** or **d.** above that are not self-propelled and are maintained primarily to provide mobility to permanently attached equipment of the following types:

(1) Air compressors, pumps and generators, including spraying, welding, building cleaning, geophysical exploration, lighting and well servicing equipment; or

(2) Cherry pickers and similar devices used to raise or lower workers;

f. Vehicles not described in Paragraph **a., b., c.** or **d.** above maintained primarily for purposes other than the transportation of persons or cargo.

However, self-propelled vehicles with the following types of permanently attached equipment are not "mobile equipment" but will be considered "autos":

(1) Equipment designed primarily for:

(a) Snow removal;

(b) Road maintenance, but not construction or resurfacing; or

(c) Street cleaning;

(2) Cherry pickers and similar devices mounted on automobile or truck chassis and used to raise or lower workers; and

(3) Air compressors, pumps and generators, including spraying, welding, building cleaning, geophysical exploration, lighting and well servicing equipment.

However, "mobile equipment" does not include land vehicles that are subject to a compulsory or financial responsibility law or other motor vehicle insurance or motor vehicle registration law where they are licensed or principally garaged. Land vehicles subject to a compulsory or financial responsibility law or other motor vehicle insurance law or motor vehicle registration law are considered "autos".

13. "Occurrence" means an accident, including continuous or repeated exposure to substantially the same general harmful conditions.

14. "Personal and advertising injury" means injury, including consequential "bodily injury", arising out of one or more of the following offenses:

a. False arrest, detention or imprisonment;

b. Malicious prosecution;

c. The wrongful eviction from, wrongful entry into, or invasion of the right of private occupancy of a room, dwelling or premises that a person occupies, committed by or on behalf of its owner, landlord or lessor;

d. Oral or written publication, in any manner, of material that slanders or libels a person or organization or disparages a person's or organization's goods, products or services;

e. Oral or written publication, in any manner, of material that violates a person's right of privacy;

f. The use of another's advertising idea in your "advertisement"; or

g. Infringing upon another's copyright, trade dress or slogan in your "advertisement".

15. "Pollutants" means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.

16. "Products-completed operations hazard":

a. Includes all "bodily injury" and "property damage" occurring away from premises you own or rent and arising out of "your product" or "your work" except:

(1) Products that are still in your physical possession; or

(2) Work that has not yet been completed or abandoned. However, "your work" will be deemed completed at the earliest of the following times:

(a) When all of the work called for in your contract has been completed.

(b) When all of the work to be done at the job site has been completed if your contract calls for work at more than one job site.

(c) When that part of the work done at the job site has been put to its intended use by any other person or organization other than another contractor or subcontractor working on the same project.

Work that may need service, maintenance, correction, repair or replacement, but which is otherwise complete, will be treated as completed.

The "bodily injury" or "property damage" must occur away from premises you own or rent, unless your business includes the selling, handling or distribution of "your product" for consumption on premises you own or rent.

b. Does not include "bodily injury" or "property damage" arising out of:

(1) The transportation of property, unless the injury or damage arises out of a condition in or on a vehicle not owned or operated by you, and that condition was created by the "loading or unloading" of that vehicle by any insured; or

(2) The existence of tools, uninstalled equipment or abandoned or unused materials.

17. "Property damage" means:

a. Physical injury to tangible property, including all resulting loss of use of that property. All such loss of use shall be deemed to occur at the time of the physical injury that caused it; or

b. Loss of use of tangible property that is not physically injured. All such loss of use shall be deemed to occur at the time of the "occurrence" that caused it.

For the purposes of this insurance, electronic data is not tangible property.

As used in this definition, electronic data means information, facts or programs stored as, created or used on, or transmitted to or from computer software, including systems and applications software, hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other media which are used with electronically controlled equipment.

18. "Suit" means a civil proceeding in which damages because of "bodily injury", "property damage", or "personal and advertising injury" to which this insurance applies are alleged. "Suit" includes:

a. An arbitration proceeding in which such damages are claimed and to which the insured must submit or does submit with our consent; or

b. Any other alternative dispute resolution proceeding in which such damages are claimed and to which the insured submits with our consent.

19. "Temporary worker" means a person who is furnished to you to substitute for a permanent "employee" on leave or to meet seasonal or short-term workload conditions.

20. "Volunteer worker" means a person who is not your "employee", and who donates his or her work and acts at the direction of and within the scope of duties determined by you, and is not paid a fee, salary or other compensation by you or anyone else for their work performed for you.

21. "Your product":

a. Means:

(1) Any goods or products, other than real property, manufactured, sold, handled, distributed or disposed of by:

(a) You;

(b) Others trading under your name; or

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(c) A person or organization whose business or assets you have acquired; and

(2) Containers (other than vehicles), materials, parts or equipment furnished in connection with such goods or products.

b. Includes:

(1) Warranties or representations made at any time with respect to the fitness, quality, durability, performance or use of "your product"; and

(2) The providing of or failure to provide warnings or instructions.

c. Does not include vending machines or other property rented to or located for the use of others but not sold.

22. "Your work":

a. Means:

(1) Work or operations performed by you or on your behalf; and

(2) Materials, parts or equipment furnished in connection with such work or operations.

b. Includes:

(1) Warranties or representations made at any time with respect to the fitness, quality, durability, performance or use of "your work"; and

(2) The providing of or failure to provide warnings or instructions.

SECTION III – COMMON POLICY CONDITIONS (APPLICABLE TO SECTION I – PROPERTY AND SECTION II – LIABILITY)

A. Cancellation

1. The first Named Insured shown in the Declarations may cancel this policy by mailing or delivering to us advance written notice of cancellation.

2. We may cancel this policy by mailing or delivering to the first Named Insured written notice of cancellation at least:

a. Five days before the effective date of cancellation if any one of the following conditions exists at any building that is Covered Property in this policy:

(1) The building has been vacant or unoccupied 60 or more consecutive days. This does not apply to:

(a) Seasonal unoccupancy; or

(b) Buildings in the course of construction, renovation or addition.

Buildings with 65% or more of the rental units or floor area vacant or unoccupied are considered unoccupied under this provision.

(2) After damage by a Covered Cause of Loss, permanent repairs to the building:

(a) Have not started; and

(b) Have not been contracted for;

within 30 days of initial payment of loss.

(3) The building has:

(a) An outstanding order to vacate;

(b) An outstanding demolition order; or

(c) Been declared unsafe by governmental authority.

(4) Fixed and salvageable items have been or are being removed from the building and are not being replaced. This does not apply to such removal that is necessary or incidental to any renovation or remodeling.

(5) Failure to:

(a) Furnish necessary heat, water, sewer service or electricity for 30 consecutive days or more, except during a period of seasonal unoccupancy; or

(b) Pay property taxes that are owing and have been outstanding for more than one year following the date due, except that this provision will not apply where you are in a bona fide dispute with the taxing authority regarding payment of such taxes.

b. 10 days before the effective date of cancellation if we cancel for nonpayment of premium.

c. 30 days before the effective date of cancellation if we cancel for any other reason.

3. We will mail or deliver our notice to the first Named Insured's last mailing address known to us.

4. Notice of cancellation will state the effective date of cancellation. The policy period will end on that date.

5. If this policy is cancelled, we will send the first Named Insured any premium refund due. If we cancel, the refund will be pro rata. If the first Named Insured cancels, the refund may be less than pro rata. The cancellation will be effective even if we have not made or offered a refund.

6. If notice is mailed, proof of mailing will be sufficient proof of notice.

B. Changes

This policy contains all the agreements between you and us concerning the insurance afforded. The first Named Insured shown in the Declarations is authorized to make changes in the terms of this policy with our consent. This policy's terms can be amended or waived only by endorsement issued by us and made a part of this policy.

C. Concealment, Misrepresentation Or Fraud

This policy is void in any case of fraud by you as it relates to this policy at any time. It is also void if you or any other insured, at any time, intentionally conceals or misrepresents a material fact concerning:

1. This policy;

2. The Covered Property;

3. Your interest in the Covered Property; or

4. A claim under this policy.

D. Examination Of Your Books And Records

We may examine and audit your books and records as they relate to this policy at any time during the policy period and up to three years afterward.

E. Inspections And Surveys

1. We have the right to:

a. Make inspections and surveys at any time;

b. Give you reports on the conditions we find; and

c. Recommend changes.

2. We are not obligated to make any inspections, surveys, reports or recommendations and any such actions we do undertake relate only to insurability and the premiums to be charged. We do not make safety inspections. We do not undertake to perform the duty of any person or organization to provide for the health or safety of workers or the public. And we do not warrant that conditions:

a. Are safe and healthful; or

b. Comply with laws, regulations, codes or standards.

3. Paragraphs **1.** and **2.** of this condition apply not only to us, but also to any rating, advisory, rate service or similar organization which makes insurance inspections, surveys, reports or recommendations.

4. Paragraph **2.** of this condition does not apply to any inspections, surveys, reports or recommendations we may make relative to certification, under state or municipal statutes, ordinances or regulations, of boilers, pressure vessels or elevators.

F. Insurance Under Two Or More Coverages

If two or more of this policy's coverages apply to the same loss or damage, we will not pay more than the actual amount of the loss or damage.

G. Liberalization

If we adopt any revision that would broaden the coverage under this policy without additional premium within 45 days prior to or during the policy period, the broadened coverage will immediately apply to this policy.

H. Other Insurance

1. If there is other insurance covering the same loss or damage, we will pay only for the amount of covered loss or damage in excess of the amount due from that other insurance, whether you can collect on it or not. But we will not pay more than the applicable Limit of Insurance of Section **I** – Property.

2. Business Liability Coverage is excess over:

a. Any other insurance that insures for direct physical loss or damage; or

b. Any other primary insurance available to you covering liability for damages arising out of the premises or operations for which you have been added as an additional insured.

3. When this insurance is excess, we will have no duty under Business Liability Coverage to defend any claim or "suit" that any other insurer has a duty to defend. If no other insurer defends, we will undertake to do so, but we will be entitled to the insured's rights against all those other insurers.

I. Premiums

1. The first Named Insured shown in the Declarations:

a. Is responsible for the payment of all premiums; and

b. Will be the payee for any return premiums we pay.

2. The premium shown in the Declarations was computed based on rates in effect at the time the policy was issued. On each renewal, continuation or anniversary of the effective date of this policy, we will compute the premium in accordance with our rates and rules then in effect.

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3. With our consent, you may continue this policy in force by paying a continuation premium for each successive one-year period. The premium must be:

   a. Paid to us prior to the anniversary date; and

   b. Determined in accordance with Paragraph **2.** above.

   Our forms then in effect will apply. If you do not pay the continuation premium, this policy will expire on the first anniversary date that we have not received the premium.

4. Undeclared exposures or change in your business operation, acquisition or use of locations may occur during the policy period that are not shown in the Declarations. If so, we may require an additional premium. That premium will be determined in accordance with our rates and rules then in effect.

J. Premium Audit

1. This policy is subject to audit if a premium designated as an advance premium is shown in the Declarations. We will compute the final premium due when we determine your actual exposures.

2. Premium shown in this policy as advance premium is a deposit premium only. At the close of each audit period, we will compute the earned premium for that period and send notice to the first Named Insured. The due date for audit premiums is the date shown as the due date on the bill. If the sum of the advance and audit premiums paid for the policy period is greater than the earned premium, we will return the excess to the first Named Insured.

3. The first Named Insured must keep records of the information we need for premium computation and send us copies at such times as we may request.

K. Transfer Of Rights Of Recovery Against Others To Us

1. Applicable to Businessowners Property Coverage:

   If any person or organization to or for whom we make payment under this policy has rights to recover damages from another, those rights are transferred to us to the extent of our payment. That person or organization must do everything necessary to secure our rights and must do nothing after loss to impair them. But you may waive your rights against another party in writing:

   a. Prior to a loss to your Covered Property.

   b. After a loss to your Covered Property only if, at time of loss, that party is one of the following:

      (1) Someone insured by this insurance;

      (2) A business firm:

         (a) Owned or controlled by you; or

         (b) That owns or controls you; or

      (3) Your tenant.

   You may also accept the usual bills of lading or shipping receipts limiting the liability of carriers.

   This will not restrict your insurance.

2. Applicable to Businessowners Liability Coverage:

   If the insured has rights to recover all or part of any payment we have made under this policy, those rights are transferred to us. The insured must do nothing after loss to impair them. At our request, the insured will bring "suit" or transfer those rights to us and help us enforce them. This condition does not apply to Medical Expenses Coverage.

L. Transfer Of Your Rights And Duties Under This Policy

Your rights and duties under this policy may not be transferred without our written consent except in the case of death of an individual Named Insured.

If you die, your rights and duties will be transferred to your legal representative but only while acting within the scope of duties as your legal representative. Until your legal representative is appointed, anyone having proper temporary custody of your property will have your rights and duties but only with respect to that property.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW JERSEY CHANGES

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM
INFORMATION SECURITY PROTECTION ENDORSEMENT

A. Section I – Property is amended as follows:

The following exclusion and related provisions are added to Paragraph **B. Exclusions:**

Domestic Violence Exclusion

a. We will not pay for loss or damage arising out of any act committed:

(1) By or at the direction of any insured; and

(2) With the intent to cause a loss.

b. However, this exclusion will not apply to deny payment to a co-insured who did not cooperate in or contribute to the creation of the loss if the loss arose out of domestic violence.

c. If we pay a claim pursuant to Paragraph **b.** above, our payment to the insured is limited to that insured's insurable interest in the property. In no event will we pay more than the Limit of Insurance.

To the extent that the Concealment, Misrepresentation Or Fraud Condition conflicts with the provisions of Paragraph **b.** above, the provisions of **b.** will apply.

B. Section II – Liability is amended as follows:

1. The term "spouse" is replaced by the following:

Spouse or party to a civil union recognized under New Jersey law.

2. The following is added to Paragraph **E. Liability And Medical Expenses** General Conditions:

6. Your Right To Loss Information

We will provide the first Named Insured shown in the Declarations the following loss information relating to this and any preceding Businessowners Liability Coverage Form we have issued to you during the previous three years:

a. A list or other record of each "occurrence" of which we were notified in accordance with Paragraph **2.a.** of the Duties In The Event Of Occurrence, Offense, Claim Or Suit Condition in this Section. We will include a brief description of the "occurrence" and information on whether any claim arising out of the "occurrence" is open or closed.

b. A summary by policy year, of payments made and amounts reserved, stated separately under any applicable Aggregate Limit.

Amounts reserved are based on our judgment. They are subject to change and should not be regarded as ultimate settlement values.

You must not disclose this information to any claimant or any claimant's representative without our consent.

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We will provide this information only if we receive a written request from the first Named Insured during the policy period. We will provide this information within 45 days of receipt of the request.

We compile claim and "occurrence" information for our own business purposes and exercise reasonable care in doing so. In providing this information to the first Named Insured, we make no representations or warranties to insureds, insurers or others to whom this information is furnished by or on behalf of any insured.

C. Section III – Common Policy Conditions is amended as follows:

1. Paragraph **A.2. Cancellation** is replaced by the following:

2. If this Policy has been in effect for less than 60 days, we may cancel this Policy for any reason subject to the following:

a. We may cancel this Policy by mailing or delivering to the first Named Insured and any person entitled to notice under this Policy written notice, of cancellation, at least:

(1) 10 days before the effective date of cancellation if we cancel for:

(a) Nonpayment of premium; or

(b) Existence of a moral hazard, as defined in N.J.A.C. 11:1-20.2(f) as follows:

(i) "The risk, danger or probability that the insured will destroy, or permit to be destroyed, the insured property for the purpose of collecting the insurance proceeds. Any change in the circumstances of an insured that will increase the probability of such a destruction may be considered a 'moral hazard'; and

(ii) "The substantial risk, danger or probability that the character, circumstances or personal habits of the insured may increase the possibility of loss or liability for which an insurer will be held responsible. Any change in the character or circumstances of an individual, corporate, partnership or other insured that will increase the probability of such a loss or liability may be considered a 'moral hazard'."

(2) 30 days before the effective date of cancellation if we cancel for any other reason.

b. In the notice of cancellation which is sent to the first Named Insured, we will state the reason for cancellation.

2. The following is added to Paragraph **A. Cancellation:**

7. Cancellation Of Policies In Effect For 60 Days Or More

a. If this Policy has been in effect for 60 days or more, or is a renewal of a policy we issued, we may cancel this Policy only for one or more of the following reasons:

(1) Nonpayment of premium;

(2) Existence of a moral hazard, as defined in N.J.A.C. 11:1-20.2(f);

(3) Material misrepresentation or nondisclosure to us of a material fact at the time of acceptance of the risk;

(4) Increased hazard or material change in the risk assumed which we could not have reasonably contemplated at the time of assumption of the risk;

(5) Substantial breaches of contractual duties, conditions or warranties that materially affect the nature and/or insurability of the risk;

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(6) Lack of cooperation from the insured on loss control matters materially affecting insurability of the risk;

(7) Fraudulent acts against us by the insured or its representative that materially affect the nature of the risk insured;

(8) Loss of or reduction in available insurance capacity;

(9) Material increase in exposure arising out of changes in statutory or case law subsequent to the issuance of the insurance contract or any subsequent renewal;

(10) Loss of or substantial changes in applicable reinsurance;

(11) Failure by the insured to comply with any federal, state or local fire, health, safety or building or construction regulation, law or ordinance with respect to an insured risk which substantially increases any hazard insured against within 60 days of written notification of a violation of any such law, regulation or ordinance;

(12) Failure by the insured to provide reasonable and necessary underwriting information to us upon written request therefor and a reasonable opportunity to respond;

(13) Agency termination, provided:

(a) We document that replacement coverage at comparable rates and terms has been provided to the first Named Insured, and we have informed the first Named Insured, in writing, of the right to continue coverage with us; or

(b) We have informed the first Named Insured, in writing, of the right to continue coverage with us and the first Named Insured has agreed, in writing, to the cancellation or nonrenewal based on the termination of the first Named Insured's appointed agent.

(14) Any other reasons in accordance with our underwriting guidelines for cancellation of commercial lines coverage.

b. If we cancel this Policy based on Paragraph **7.a.(1)** or **(2)** above, we will mail or deliver a written notice, to the first Named Insured and any person entitled to notice under this Policy, at least 10 days before the effective date of cancellation. If we cancel this Policy for any other reason listed above, we will mail or deliver a written notice to the first Named Insured and any person entitled to notice under this Policy, not more than 120 days nor less than 30 days before the effective date of such cancellation.

c. In the notice of cancellation which is sent to the first Named Insured, we will state the reason for cancellation. For cancellation due to the nonpayment of premium, the notice will state the effect of nonpayment by the due date. Cancellation for nonpayment of premium will not be effective if payment of the amount due is made before the effective date set forth in the notice.

d. Notice will be sent to the last mailing addresses known to us, by:

(1) Certified mail; or

(2) First class mail, if we have obtained from the post office a date stamped proof of mailing showing names and addresses.

e. We need not send notice of cancellation if you have:

(1) Replaced coverage elsewhere; or

(2) Specifically requested termination.

3. The following paragraph is added and supersedes any other provision to the contrary:

M. Nonrenewal

1. We may elect not to renew this Policy for any reason permitted to cancel it. If we elect not to renew this Policy, we will mail a notice of nonrenewal, stating the reasons for nonrenewal, to the first Named Insured at least 30 days but not more than 120 days before the expiration date of this Policy. If this Policy does not have a fixed expiration date, it shall be deemed to expire annually on the anniversary of its inception.

2. This notice will be sent to the first Named Insured at the last mailing address known to us by:

a. Certified mail; or

b. First class mail, if we have obtained from the post office a date stamped proof of mailing showing the first Named Insured's name and address.

3. We need not mail or deliver this notice if you have:

a. Replaced coverage elsewhere; or

b. Specifically requested termination.

4. The following paragraph is added:

Pursuant to New Jersey law, this Policy cannot be cancelled or nonrenewed for any underwriting reason or guideline which is arbitrary, capricious or unfairly discriminatory or without adequate prior notice to the insured. The underwriting reasons or guidelines that an insurer can use to cancel or nonrenew this Policy are maintained by the insurer in writing and will be furnished to the insured and/or the insured's lawful representative upon written request.

This provision shall not apply to any policy which has been in effect for less than 60 days at the time notice of cancellation is mailed or delivered, unless the Policy is a renewal policy.

5. The following is added to Paragraph **K. Transfer Of Rights Of Recovery Against Others To Us** Condition:

If we pay a co-insured for loss arising out of an act of domestic violence by another insured, the rights of the co-insured, who did not cooperate in or contribute to the creation of the loss, to recover damages from the perpetrator of domestic violence are transferred to us to the extent of our payment. Following the loss, the co-insured who did not cooperate in or contribute to the loss may not waive such rights to recover against the perpetrator of domestic violence.

D. The following changes apply only to Information Security Protection Endorsement **BP 15 07** if it is attached to this Policy:

1. Paragraph **(2)** of Insuring Agreement **d. Security Breach Liability** is replaced by the following:

(2) We will pay for "defense expenses" as a result of a "claim" in the form of a "regulatory proceeding" first made against the insured during the "policy period" or during the applicable Extended Reporting Period, in response to a "wrongful act" or a series of "interrelated wrongful acts" covered under Paragraph **d.(1).**

2. Paragraph **d.** of the definition of "loss" in Paragraph **V.** is replaced by the following:

d. With respect to Insuring Agreements **d.** Security Breach Liability and **g.** Web Site Publishing Liability:

Compensatory damages, settlement amounts and costs awarded pursuant to judgments or settlements.

"Loss" does not include:

(1) Civil or criminal fines or penalties imposed by law;

(2) Punitive or exemplary damages;

(3) The multiplied portion of multiplied damages;

(4) Taxes;

(5) Royalties;

(6) The amount of any disgorged profits; or

(7) Matters that are uninsurable pursuant to law.

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EMPLOYMENT-RELATED PRACTICES EXCLUSION

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

The following exclusion is added to Paragraph **B.1. Exclusions – Applicable To Business Liability Coverage** in **Section II** – **Liability:**

This insurance does not apply to "bodily injury" or "personal and advertising injury" to:

(1) A person arising out of any:

(a) Refusal to employ that person;

(b) Termination of that person's employment; or

(c) Employment-related practices, policies, acts or omissions, such as coercion, demotion, evaluation, reassignment, discipline, defamation, harassment, humiliation, discrimination or malicious prosecution directed at that person; or

(2) The spouse, child, parent, brother or sister of that person as a consequence of "bodily injury" or "personal and advertising injury" to that person at whom any of the employment-related practices described in Paragraph **(a), (b)** or **(c)** above is directed.

This exclusion applies:

(1) Whether the injury-causing event described in Paragraph **(a), (b)** or **(c)** above occurs before employment, during employment or after employment of that person;

(2) Whether the insured may be liable as an employer or in any other capacity; and

(3) To any obligation to share damages with or repay someone else who must pay damages because of the injury.

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NEW JERSEY CHANGES – COVERAGE FOR LIABILITY FOR HAZARDS OF LEAD WITHOUT SUBLIMIT

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

The following is added to Paragraph **B.1.f. Pollution Exclusion** in **Section II – Liability:**

B. Exclusions

1. Applicable To Business Liability Coverage

f. Pollution

This exclusion does not apply to "bodily injury" arising out of lead contamination, or out of the inhalation, ingestion, use, handling or contact with lead paint at or from any premises, site or location which is or was at any time owned or occupied by, or rented or loaned to any insured.

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TOTAL POLLUTION EXCLUSION

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

Exclusion **B.1.f. Pollution** in **Section II – Liability** is replaced by the following:

This insurance does not apply to:

f. Pollution

(1) "Bodily injury" or "property damage" which would not have occurred in whole or part but for the actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "pollutants" at any time.

(2) Any loss, cost or expense arising out of any:

(a) Request, demand, order or statutory or regulatory requirement that any insured or others test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants"; or

(b) Claim or "suit" by or on behalf of a governmental authority for damages because of testing for, monitoring, cleaning up, removing, containing, treating, detoxifying or neutralizing, or in any way responding to, or assessing the effects of, "pollutants".

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CALCULATION OF PREMIUM

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

The following is added:

The premium shown in the Declarations was computed based on rates in effect at the time the policy was issued. On each renewal, continuation, or anniversary of the effective date of this policy, we will compute the premium in accordance with our rates and rules then in effect.

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EXCLUSION OF CERTIFIED ACTS OF TERRORISM

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

SCHEDULE

The **Exception Covering Certain Fire Losses** (Paragraph **B.2.**) applies to property located in the following state(s):
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.

A. The following provisions are added to the Businessowners Policy and apply to Property and Liability Coverages:

1. The following definition is added with respect to the provisions of this endorsement:

"Certified act of terrorism" means an act that is certified by the Secretary of the Treasury, in accordance with the provisions of the federal Terrorism Risk Insurance Act, to be an act of terrorism pursuant to such Act. The criteria contained in the Terrorism Risk Insurance Act for a "certified act of terrorism" include the following:

a. The act resulted in insured losses in excess of $5 million in the aggregate, attributable to all types of insurance subject to the Terrorism Risk Insurance Act; and

b. The act is a violent act or an act that is dangerous to human life, property or infrastructure and is committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

2. The terms and limitations of any terrorism exclusion, or the inapplicability or omission of a terrorism exclusion, do not serve to create coverage for loss or injury or damage that is otherwise excluded under this Policy.

B. The following provisions are added to Businessowners Standard Property Coverage Form **BP 00 01,** Businessowners Special Property Coverage Form **BP 00 02** or **Section I – Property** of Businessowners Coverage Form **BP 00 03:**

1. The following exclusion is added:

CERTIFIED ACT OF TERRORISM EXCLUSION

We will not pay for loss or damage caused directly or indirectly by a "certified act of terrorism". Such loss or damage is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss.

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2. Exception Covering Certain Fire Losses

The following exception to the exclusion in Paragraph **B.1.** applies only if indicated and as indicated in the Schedule of this endorsement.

If a "certified act of terrorism" results in fire, we will pay for the loss or damage caused by that fire. Such coverage for fire applies only to direct loss or damage by fire to Covered Property. Therefore, for example, the coverage does not apply to insurance provided under Business Income and/or Extra Expense Additional Coverages.

If aggregate insured losses attributable to terrorist acts certified under the Terrorism Risk Insurance Act exceed $100 billion in a calendar year and we have met our insurer deductible under the Terrorism Risk Insurance Act, we shall not be liable for the payment of any portion of the amount of such losses that exceeds $100 billion, and in such case insured losses up to that amount are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury.

C. The following provision is added to the Businessowners Liability Coverage Form **BP 00 06** or **Section II – Liability** of the Businessowners Coverage Form **BP 00 03:**

1. The following exclusion is added:

This insurance does not apply to:

TERRORISM

"Any injury or damage" arising, directly or indirectly, out of a "certified act of terrorism".

2. The following definition is added:

For the purposes of this endorsement, "any injury or damage" means any injury or damage covered under any Coverage Form to which this endorsement is applicable, and includes but is not limited to "bodily injury", "property damage" or "personal and advertising injury" as may be defined in any applicable Coverage Form.

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FUNGI OR BACTERIA EXCLUSION (LIABILITY)

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

The following provisions are added to **Section II – Liability:**

A. The following exclusion is added to Paragraph **B.1., Exclusions – Applicable To Business Liability Coverage:**

t. Fungi Or Bacteria

(1) "Bodily injury", "property damage" or "personal and advertising injury" which would not have occurred, in whole or in part, but for the actual, alleged or threatened inhalation of, ingestion of, contact with, exposure to, existence of, or presence of, any "fungi" or bacteria on or within a building or structure, including its contents, regardless of whether any other cause, event, material or product contributed concurrently or in any sequence to such injury or damage.

(2) Any loss, cost or expenses arising out of the abating, testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing, remediating or disposing of, or in any way responding to, or assessing the effects of, "fungi" or bacteria, by any insured or by any other person or entity.

This exclusion does not apply to any "fungi" or bacteria that are, are on, or are contained in, a good or product intended for bodily consumption.

B. The following definition is added Paragraph **F. Liability And Medical Expenses Definitions:**

1. "Fungi" means any type or form of fungus, including mold or mildew and any mycotoxins, spores, scents or by-products produced or released by fungi.

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CONTRACTORS' INSTALLATION, TOOLS AND EQUIPMENT COVERAGE

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

SCHEDULE

Item	Limit Of Insurance
Coverage 1 – Contractors' Installation Coverage	**$** 3,000
Additional Premium: **$**30.00	
Coverage 2 – Contractors' Tools And Equipment Coverage	
1. Blanket Limit	**$**
	Not in excess of
An "X" displayed to the right indicates the applicable per-item sub-limit. **Actual Cash Value Option** ☐ (Applicable to Blanket Limit only if an "X" is shown in the box to the right)	☐ **$500** ☐ **$1,000** ☐ **$2,000** **for any one item**
2. Scheduled Limit (And Description Of Property)	
A. SEE CORRESPONDING SCHEDULE	**$** SEE CORRESPONDING SCHEDULE
B.	**$**
C.	**$**
D.	**$**
E.	**$**

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Total Scheduled Property Limit Of Insurance	**$**0
Additional Premium: $	
Item	**Limit Of Insurance**
Coverage 3 – Non-owned Tools And Equipment Coverage	**$**
Additional Premium: $	
Coverage 4 – Employees' Tools Coverage	**$**
	However, not in excess of $2,500 for all tools of any one employee
Additional Premium: $	
Deductible:	**$** 0
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.	

Section I – Property is amended as follows:

A. Paragraph **A.2. Property Not Covered** of the Businessowners Coverage Form is amended as follows:

1. The following is added to Paragraph **A.2. Property Not Covered:**

a. Tools and equipment, including their:

(1) Accessories, whether or not attached; and

(2) Spare parts that are specifically designed and intended for use in the maintenance and operation of the tools and equipment;

b. Property sold under an installation agreement;

c. Materials, supplies, equipment, machinery and fixtures owned by you or in your care, custody or control, and which are to be installed by you or at your direction; and

d. Temporary structures built or assembled on-site, including falsework, cribbing, scaffolding and construction forms.

2. However, Paragraph **A.1.** of this endorsement does not apply to the extent that coverage is provided under:

a. Coverage **1** – Contractors' Installation Coverage;

b. Coverage **2** – Contractors' Tools And Equipment Coverage;

c. Coverage **3** – Non-owned Tools And Equipment Coverage; or

d. Coverage **4** – Employees' Tools Coverage.

B. The following is added to Paragraph **A.6.b. Coverage Extensions** of the Businessowners Coverage Form:

This extension does not apply to property covered under the following:

(1) Coverage **1** – Contractors' Installation Coverage;

(2) Coverage **2** – Contractors' Tools And Equipment Coverage;

(3) Coverage **3** – Non-owned Tools And Equipment Coverage; and

(4) Coverage **4** – Employees' Tools Coverage.

C. Paragraph **B. Exclusions** of the Businessowners Coverage Form is amended as follows:

1. Paragraphs **B.1.b.(1)** through **(4) Earth Movement** do not apply to loss or damage caused directly or indirectly by earthquake.

2. Paragraph **B.1.g. Water** does not apply to loss or damage caused directly or indirectly by flood, surface water, waves (including tidal wave and tsunami), tides, tidal water, overflow of any body of water, or spray from any of these, all whether or not driven by wind (including storm surge).

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D. Coverages

1. Coverage 1 – Contractors' Installation Coverage

a. For the purposes of the coverage provided by Coverage **1,** the following is added to Paragraph **A.1.b.** Business Personal Property of the Businessowners Coverage Form:

(1) Property sold under an installation agreement where your insurable interest continues until the property is accepted by the purchaser for whom the project is to be performed.

(2) The following property:

(a) Materials, supplies, equipment, machinery and fixtures owned by you or in your care, custody or control, and which are to be installed by you or at your direction; and

(b) Temporary structures built or assembled on-site, including falsework, cribbing, scaffolding and construction forms.

This property is covered while:

(i) At any job site you do not own, lease or operate;

(ii) Awaiting and during installation, or awaiting acceptance by the purchaser;

(iii) In transit; or

(iv) At a "temporary storage location".

b. Coverage provided under this Coverage **1** will end when one of the following first occurs:

(1) This policy expires or is cancelled;

(2) The property covered under this Coverage **1** is accepted by the purchaser;

(3) Your interest in the property covered under this Coverage **1** ceases;

(4) You abandon the project to be performed by you for the purchaser, with no intention to complete it; or

(5) 90 days after the project to be performed by you for the purchaser is completed, unless we specify a different date in writing.

c. For the purposes of the coverage provided by Coverage **1,** the following items are removed from Paragraph **A.2. Property Not Covered** of the Businessowners Coverage Form:

(1) Growing crops;

(2) Outdoor fences;

(3) Radio or television antennas (including satellite dishes); and

(4) Trees, shrubs or plants.

d. For the purposes of the coverage provided by Coverage **1,** the following is added to Paragraph **A.2. Property Not Covered** of the Businessowners Coverage Form:

(1) An existing building or structure to which an addition, alteration, improvement or repair is being made;

(2) Property stored at a permanent warehouse or storage yard that you own;

(3) A plan, blueprint, design or specification; and

(4) Machinery, tools, equipment, supplies or similar property that does not become a permanent part of the project. This includes contractors' equipment and other tools belonging to a contractor or subcontractor.

e. With respect to this Coverage **1,** the following additional exclusions apply:

We will not pay for loss or damage caused by or resulting from any of the following:

(1) The cost to make good or replace faulty or defective materials or workmanship;

(2) Testing. However, if testing results in fire or explosion, we will pay for the loss or damage caused by that fire or explosion;

(3) A fault, defect, deficiency, error or omission in a plan, blueprint, design or specification;

(4) The weight of a load when it exceeds the designed capacity of any property covered under this Coverage **1** to lift, move or support the load from any position; or

(5) Collision, upset or overturn of any property covered under this Coverage **1** to the extent of any loss of or damage to the tires or inner tubes of such property. But we will pay for the loss of or damage to the tires or inner tubes if the same accident causes other covered loss to the same property covered under this Coverage **1.**

f. The following Limit of Insurance applies to **Coverage 1 – Contractors' Installation Coverage:**

The most we will pay for direct physical loss of or damage to Covered Property under this Coverage **1,** in any one occurrence of loss or damage, is the Coverage **1** – Contractors' Installation Coverage Limit Of Insurance shown in the Schedule. The Coverage **1** Limit of Insurance is in addition to the Limits of Insurance of Section **I** – Property of the Businessowners Coverage Form.

2. Coverage 2 – Contractors' Tools And Equipment Coverage

a. For the purposes of the coverage provided by Coverage **2,** the following is added to Paragraph **A.1.b.** Business Personal Property of the Businessowners Coverage Form:

Tools and equipment, including their:

(1) Accessories, whether or not attached; and

(2) Spare parts that are specifically designed and intended for use in the maintenance and operation of property covered under this Coverage **2;**

that you own, or that you do not own but that are in your care, custody or control.

This property is covered while away from the described premises.

b. For the purposes of the coverage provided by Coverage **2,** Paragraph **A.2.a. Property Not Covered** of the Businessowners Coverage Form is replaced by the following:

a. Aircraft, watercraft, their equipment or parts; automobiles; dealers' demonstration equipment, machinery and vehicles; dirt bikes, house trailers, mobile homes, mopeds, motorcycles, motorized bicycles, tricycles or four-wheel all-terrain vehicles; snowmobiles, trucks and vehicles primarily designed and licensed for road use;

c. For the purposes of the coverage provided by Coverage **2,** the following is added to Paragraph **A.2. Property Not Covered** of the Businessowners Coverage Form:

(1) Property while in caissons or underwater or while being used in underground mining, tunneling or similar operations;

(2) Property you have loaned, rented or leased to others;

(3) Property that is or will become a permanent part of any building or structure;

(4) Property held for sale;

(5) Property sold under an installation agreement where your insurable interest continues until the property is accepted by the purchaser for whom the project is to be performed;

(6) Materials, supplies, equipment, machinery and fixtures owned by you or in your care, custody or control, and which are to be installed by you or at your direction;

(7) Temporary structures built or assembled on-site, including falsework, cribbing, scaffolding and construction forms;

(8) Non-owned tools and equipment leased or rented from others that are in your care, custody or control, but this does not apply to non-owned tools and equipment you lease for a term of six months or more; or

(9) Your employees' (including temporary or leased employees') tools.

d. With respect to this Coverage **2,** the following additional exclusions apply:

We will not pay for loss or damage caused by or resulting from any of the following:

(1) Theft of any property covered under this Coverage **2** from any unattended vehicle unless, at the time of theft, the vehicle's windows, doors and compartments were closed and locked, and there are visible signs that the theft was a result of forced entry. But this exclusion does not apply to property in the custody of a carrier for hire.

(2) The weight of a load when it exceeds the designed capacity of any property covered under this Coverage **2** to lift, move or support the load from any position.

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(3) Collision, upset or overturn of any property covered under this Coverage **2** to the extent of any loss of or damage to the tires or inner tubes of such property. But we will pay for the loss of or damage to the tires or inner tubes if the same accident causes other covered loss to the same property covered under this Coverage **2.**

e. The following Limits of Insurance apply to **Coverage 2 – Contractors' Tools And Equipment Coverage:**

(1) Blanket Limit Of Insurance

The blanket Limit Of Insurance shown in the Schedule is the most we will pay in any one occurrence for the total of all covered losses to Covered Property under this Coverage **2.** Subject to the blanket Limit Of Insurance shown in the Schedule, the most we will pay for direct physical loss of or damage to any one tool or any one piece of equipment is the applicable per-item sub-limit shown in the Schedule. However, this Paragraph **(1)** does not apply to Covered Property that is individually described in the Schedule and that is subject to a scheduled Limit of Insurance in accordance with Paragraph **D.2.e.(2)** of this endorsement.

(2) Scheduled Limit Of Insurance

The most we will pay in any one occurrence for direct physical loss of or damage to each item of Covered Property under this Coverage **2** that is individually described in the Schedule is the Limit Of Insurance shown in the Schedule for that item.

The Coverage **2** Limit(s) of Insurance is in addition to the Limits of Insurance of Section **I** – Property of the Businessowners Coverage Form.

3. Coverage 3 – Non-owned Tools And Equipment Coverage

a. When a Limit Of Insurance is shown in the Schedule for Coverage **3** – Non-owned Tools And Equipment Coverage, for the purposes of the coverage provided by Coverage **3,** the following is added to Paragraph **A.1.b.** Business Personal Property of the Businessowners Coverage Form:

Contractors' non-owned tools and equipment leased or rented from others that are in your care, custody or control.

This property is covered while away from the described premises.

b. The following Limit of Insurance applies to **Coverage 3 – Non-owned Tools And Equipment Coverage:**

The most we will pay for direct physical loss of or damage to Covered Property under this Coverage **3,** in any one occurrence, is the Coverage **3** – Non-owned Tools And Equipment Coverage Limit Of Insurance shown in the Schedule. The Coverage **3** Limit of Insurance is in addition to the Limits of Insurance of Section **I** – Property of the Businessowners Coverage Form.

c. For the purposes of the coverage provided by Coverage **3,** the following is added to Paragraph **A.2. Property Not Covered** of the Businessowners Coverage Form:

(1) Non-owned tools and equipment leased or rented from any of your employees (including temporary or leased employees);

(2) Any other non-owned tools you lease for a term of six months or more; or

(3) Temporary structures built or assembled on-site, including falsework, cribbing, scaffolding and construction forms.

4. Coverage 4 – Employees' Tools Coverage

a. When a Limit Of Insurance is shown in the Schedule for Coverage **4** – Employees' Tools Coverage, for the purposes of the coverage provided by Coverage **4,** the following is added to Paragraph **A.1.b.** Business Personal Property of the Businessowners Coverage Form:

Your employees' (including temporary or leased employees') tools which are used in connection with your operations.

This property is covered while away from the described premises.

b. The following Limit of Insurance applies to **Coverage 4 – Employees' Tools Coverage:**

The most that we will pay for direct physical loss of or damage to Covered Property under this Coverage **4,** in any one occurrence, is the Coverage **4** – Employees' Tools Coverage Limit Of Insurance shown in the Schedule. Subject to the Coverage **4** – Employees' Tools Coverage Limit of Insurance, the most we will pay for direct physical loss of or damage to all tools of any one employee is $2,500. The Coverage **4** Limit of Insurance is in addition to the Limits of Insurance of Section **I** – Property of the Businessowners Coverage Form.

E. With respect to loss or damage to property covered under this endorsement, Paragraph **D. Deductibles** of the Businessowners Coverage Form is replaced by the following:

D. Deductibles

1. If a Deductible is shown in the Schedule, we will not pay for loss or damage to property covered under this endorsement in any one occurrence until the amount of loss or damage exceeds such Deductible. No other Deductible applies to such coverage.

2. If an occurrence of a Covered Cause of Loss results in loss or damage to property covered under this endorsement and to other Covered Property that is subject to a Deductible, the following applies:

a. The Deductible shown in the Schedule of this endorsement will apply to property covered under this endorsement; and

b. The Deductible that applies to the other Covered Property will apply to such Covered Property.

However, the larger of these deductibles shall be reduced by the amount of the smaller deductible.

F. For the purposes of the coverage provided by Coverage **2,** the following is added to Paragraph **E.5. Loss Payment** of the Businessowners Coverage Form:

If the Schedule indicates that the Actual Cash Value Option applies, for Coverage **2,** we will determine the value of property subject to the blanket Limit of Insurance at actual cash value.

G. The following is added to Paragraph **H. Property Definitions:**

"Temporary storage location" means a location where property that is to become a permanent part of a completed project is stored while waiting to be delivered to a job site:

1. That you do not own, lease or operate; and

2. Where work is in progress, or will begin in 30 days.

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POLICY NUMBER: 1109483164
PRODUCT CODE: BPCT

Policy Effective Date: 07/08/2026	**Schedule Effective Date:** 07/08/2026

CONTRACTORS' INSTALLATION, TOOLS AND EQUIPMENT COVERAGE

SCHEDULE

Description of Property	Limit of Insurance
Contractor - Floor Covering Installation - Not Ceramic Tile or Stone - Office	$ 0
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.	

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ADDITIONAL INSURED – BUILDING OWNER

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

SCHEDULE

Premises Number:	**Building Number:**
Building Description: **Building Owner Name:** **SEE CORRESPONDING SCHEDULE** **Building Owner Address:**	
Premises Number:	**Building Number:**
Building Description: **Building Owner Name:** **Building Owner Address:**	
Premises Number:	**Building Number:**
Building Description: **Building Owner Name:** **Building Owner Address:**	
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.	

The following is added to **Section I – Property:**
The building owner identified in this endorsement is a Named Insured, but only with respect to the property coverage provided by this insurance for direct physical loss or damage to the building(s) described in the Schedule.

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POLICY NUMBER: 1109483164
PRODUCT CODE: BPCT

Policy Effective Date: 07/08/2026	**Schedule Effective Date:** 07/08/2026

ADDITIONAL INSURED – BUILDING OWNER

SCHEDULE

Premises Number: 1	**Building Number:** All
Building Description: Location 2	
Building Owner Name: Building Owner	
Building Owner Address: Owner's Address	
Premises Number: 2	**Building Number:** All
Building Description: Location 3	
Building Owner Name: Building Owner	
Building Owner Address: Owner's Address	
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.	

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WINDSTORM OR HAIL LOSSES TO ROOF SURFACING – ACTUAL CASH VALUE LOSS SETTLEMENT

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

SCHEDULE

Premises Number	Building Number
SEE CORRESPONDING SCHEDULE	SEE CORRESPONDING SCHEDULE
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.	

A. The following provision applies to **Section I – Property** with respect to the building(s) identified in the Schedule:

The following is added to Paragraph **E.5.d.(3)** of the **Loss Payment** Property Loss Condition:

(f) Roof surfacing, if the loss or damage to roof surfacing is caused by windstorm or hail.

B. For the purpose of this endorsement, roof surfacing refers to the shingles, tiles, cladding, metal or synthetic sheeting or similar materials covering the roof and includes all materials used in securing the roof surface and all materials applied to or under the roof surface for moisture protection, as well as roof flashing.

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POLICY NUMBER: 1109483164
PRODUCT CODE: BPCT

Policy Effective Date: 07/08/2026	**Schedule Effective Date:** 07/08/2026

WINDSTORM OR HAIL LOSSES TO ROOF SURFACING – ACTUAL CASH VALUE LOSS SETTLEMENT

SCHEDULE

Premises Number	Building Number
1	1
2	1
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.	

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BUSINESS INCOME AND EXTRA EXPENSE – REVISED PERIOD OF INDEMNITY

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

SCHEDULE

Premises Number	Building Number	Number Of Consecutive Days
SEE CORRESPONDING SCHEDULE		
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.		

With respect to the premises shown in the Schedule:

A. Paragraph **A.5.f.(1)(b)** of **Section I – Property** is replaced by the following:

(b) We will only pay for loss of Business Income that you sustain during the "period of restoration" and that occurs within the "applicable number of consecutive days" after the date of direct physical loss or damage. We will only pay for ordinary payroll expenses for 60 days following the date of direct physical loss or damage, unless a greater number of days is shown in the Declarations.

B. Paragraph **A.5.g.(4)** of **Section I – Property** is replaced by the following:

(4) We will only pay for Extra Expense that occurs within the "applicable number of consecutive days" after the date of direct physical loss or damage. This Additional Coverage is not subject to the Limits of Insurance of **Section I – Property**.

C. The following is added to **Section H. – Property Definitions:**

"Applicable number of consecutive days" means the number of consecutive days indicated in the Schedule for the premises.

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POLICY NUMBER: 1109483164
PRODUCT CODE: BPCT

Policy Effective Date: 07/08/2026	**Schedule Effective Date:** 07/08/2026

BUSINESS INCOME AND EXTRA EXPENSE – REVISED PERIOD OF INDEMNITY

SCHEDULE

Premises Number	Building Number	Number Of Consecutive Days
1	1	270
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.		

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EXCLUSION – EXTERIOR INSULATION AND FINISH SYSTEMS

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

A. The following exclusion is added to Paragraph **B.1. Exclusions Applicable To Business Liability Coverage** in **Section II – Liability:**

EXTERIOR INSULATION AND FINISH SYSTEMS

This insurance does not apply to:

"Bodily injury", "property damage" or "personal and advertising injury" arising out of, caused by, or attributable to, whether in whole or in part, the following:

1. The design, manufacture, construction, fabrication, preparation, distribution and sale, installation, application, maintenance or repair, including remodeling, service, correction or replacement, of any "exterior insulation and finish system" or any part thereof, or any substantially similar system or any part thereof, including the application or use of conditioners, primers, accessories, flashings, coatings, caulking or sealants in connection with such a system; or

2. "Your product" or "your work" with respect to any exterior component, fixture or feature of any structure if an "exterior insulation and finish system", or any substantially similar system, is used on the part of that structure containing that component, fixture or feature.

B. For the purposes of this endorsement, Paragraph **F. Liability And Medical Expenses Definitions** is amended by the addition of the following:

"Exterior insulation and finish system" means a non-load-bearing exterior cladding or finish system, and all component parts therein, used on any part of any structure, and consisting of:

1. A rigid or semirigid insulation board made of expanded polystyrene and other materials;

2. The adhesive and/or mechanical fasteners used to attach the insulation board to the substrate;

3. A reinforced or unreinforced base coat;

4. A finish coat providing surface texture to which color may be added; and

5. Any flashing, caulking or sealant used with the system for any purpose.

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HIGHER LIMITS

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

SCHEDULE

Premises Number:	**Building Number:**
Description Of Coverage:	
Revised Amount Of Insurance: $	**Additional Premium: $**
SEE CORRESPONDING SCHEDULE	
SEE CORRESPONDING SCHEDULE	
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.	

With respect to each Coverage identified in the Schedule, the amount of insurance provided in this policy is replaced by the higher amount (Revised Amount Of Insurance) shown in the Schedule for such Coverage. All limitations and provisions which relate to the amount of insurance stated in the policy for such Coverage continue to apply with respect to the revised amount.

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POLICY NUMBER: 1109483164
PRODUCT CODE: BPCT

Policy Effective Date: 07/08/2026	**Schedule Effective Date:** 07/08/2026

HIGHER LIMITS

SCHEDULE

Premises Number:	**Building Number:**	**Classification Code:**
Description Of Coverage: Forgery And Alteration		
Revised Amount Of Insurance: $ 2,500		**Additional Premium: $** 0
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.		

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LIMITATIONS ON COVERAGE FOR ROOF SURFACING

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

SCHEDULE

Premises Number	Building Number	Indicate Applicability (Paragraph A. and/or Paragraph B.)
SEE CORRESPONDING SCHEDULE		
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.		

A. The following provision applies to **Section I – Property** with respect to the building(s) identified in the Schedule as being subject to this Paragraph **A.:**

The following is added to Paragraph **E.5.d.(3)** of the **Loss Payment** Property Loss Condition:

(f) Roof surfacing.

B. The following provision applies to **Section I – Property** with respect to the building(s) identified in the Schedule as being subject to this Paragraph **B.:**

We will not pay for cosmetic damage to roof surfacing caused by windstorm or hail. For the purpose of this endorsement, cosmetic damage means that the windstorm or hail caused marring, pitting or other superficial damage that altered the appearance of the roof surfacing, but such damage does not prevent the roof from continuing to function as a barrier to entrance of the elements to the same extent as it did before the cosmetic damage occurred.

C. For the purpose of this endorsement, roof surfacing refers to the shingles, tiles, cladding, metal or synthetic sheeting or similar materials covering the roof and includes all materials used in securing the roof surface and all materials applied to or under the roof surface for moisture protection, as well as roof flashing.

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POLICY NUMBER: 1109483164
PRODUCT CODE: BPCT

Policy Effective Date: 07/08/2026	**Schedule Effective Date:** 07/08/2026

LIMITATIONS ON COVERAGE FOR ROOF SURFACING

SCHEDULE

Premises Number	Building Number	Indicate Applicability (Paragraph A. and/or Paragraph B.)
1	1	A and B
2	1	A and B
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.		

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

COMMUNICABLE DISEASE EXCLUSION

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

The following exclusion is added to Paragraph **B. Exclusions** in **Section II – Liability:**

Communicable Disease

This insurance does not apply to "bodily injury", "property damage" or "personal and advertising injury" arising out of the actual or alleged transmission of a communicable disease.

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing in the:

a. Supervising, hiring, employing, training or monitoring of others that may be infected with and spread a communicable disease;

b. Testing for a communicable disease;

c. Failure to prevent the spread of the disease; or

d. Failure to report the disease to authorities.

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EXCLUSION – ACCESS OR DISCLOSURE OF CONFIDENTIAL OR PERSONAL MATERIAL OR INFORMATION

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

The following is added to Paragraph **1. Applicable To Business Liability Coverage** of **B. Exclusions** under **Section II – Liability:**

This insurance does not apply to:

Access Or Disclosure Of Confidential Or Personal Material Or Information

"Bodily Injury", "property damage" or "personal and advertising injury", arising out of any access to or disclosure of any person's or organization's confidential or personal material or information, including:

a. Patents, trade secrets, processing methods, customer lists;

b. Financial information, credit card information;

c. Health information, biometric information; or

d. Any other type of nonpublic material or information.

This exclusion applies even if damages are claimed for notification costs, credit or identity monitoring expenses, forensic expenses, public relations expenses, data restoration expenses, extortion expenses or any other loss, cost or expense incurred by you or others arising out of any access to or disclosure of any person's or organization's confidential or personal material or information.

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

CANNABIS PROPERTY EXCLUSION

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

Section I – Property is amended as follows:

A. The following is added to Paragraph **A.2. Property Not Covered:**

a. "Cannabis".

B. For the purpose of this endorsement, the following applies to Business Income and Extra Expense:

Coverage under this Policy does not apply to that part of Business Income loss or Extra Expense incurred, due to a suspension of your "operations", which is attributable to the design, cultivation, manufacture, storage, processing, packaging, handling, testing, distribution, sale, serving, furnishing, possession or disposal of "cannabis".

C. For the purpose of this endorsement, the following definition is added:

"Cannabis":

1. Means:

Any good or product that consists of or contains any amount of Tetrahydrocannabinol (THC) or any other cannabinoid, regardless of whether any such THC or cannabinoid is natural or synthetic.

2. Paragraph **C.1.** above includes, but is not limited to, any of the following containing such THC or cannabinoid:

a. Any plant of the genus Cannabis L., or any part thereof, such as seeds, stems, flowers, stalks and roots; or

b. Any compound, byproduct, extract, derivative, mixture or combination, such as:

(1) Resin, oil or wax;

(2) Hash or hemp; or

(3) Infused liquid or edible cannabis;

whether or not derived from any plant or part of any plant set forth in Paragraph **C.2.a.**

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

CANNABIS LIABILITY EXCLUSION

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM
ELECTRONIC DATA LIABILITY – BROAD COVERAGE ENDORSEMENT

A. The following exclusion is added to **Section II – Liability:**

This insurance does not apply to:

1. "Bodily injury", "property damage" or "personal and advertising injury" arising out of:

a. The design, cultivation, manufacture, storage, processing, packaging, handling, testing, distribution, sale, serving, furnishing, possession or disposal of "cannabis"; or

b. The actual, alleged, threatened or suspected inhalation, ingestion, absorption or consumption of, contact with, exposure to, existence of, or presence of "cannabis"; or

2. "Property damage" to "cannabis".

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by that insured, if the "occurrence" which caused the "bodily injury" or "property damage", or the offense which caused the "personal and advertising injury", involved that which is described in Paragraph **A.1.** or **A.2.** above.

However, Paragraph **A.1.b.** does not apply to "bodily injury" or "property damage" arising out of the actual, alleged, threatened or suspected inhalation, ingestion, absorption or consumption of, or contact with, "cannabis" by:

(1) An insured; or

(2) Any other person for whom you are legally responsible;

but only if the "bodily injury" or "property damage" does not arise out of your selling, serving or furnishing of "cannabis" to any person described above.

B. The exclusion in Paragraph **A.** does not apply to "personal and advertising injury" arising out of the following offenses:

1. False arrest, detention or imprisonment; or

2. The wrongful eviction from, wrongful entry into, or invasion of the right or private occupancy of a room, dwelling or premises that a person occupies, committed by or on behalf of its owner, landlord or lessor.

C. The following changes apply only to Electronic Data Liability – Broad Coverage Endorsement **BP 05 96** if it is attached to this Policy:

The following exclusion is added to **Section II – Liability:**

This insurance does not apply to:

"Loss of electronic data":

1. Arising out of:

a. The design, cultivation, manufacture, storage, processing, packaging, handling, testing, distribution, sale, serving, furnishing, possession or disposal of "cannabis"; or

b. The actual, alleged, threatened or suspected inhalation, ingestion, absorption or consumption of, contact with, exposure to, existence of, or presence of "cannabis"; or

2. With respect to any "electronic data" that is used in the design, manufacture, distribution, sale, serving, furnishing, use or possession of "cannabis".

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by that insured, if the "electronic data incident" which caused the "loss of electronic data" involved that which is described in Paragraph **C.1.** or **C.2.** above.

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However, Paragraph **C.1.b.** does not apply to "loss of electronic data" arising out of the actual, alleged, threatened or suspected inhalation, ingestion, absorption or consumption of, or contact with, "cannabis" by:

(1) An insured; or

(2) Any other person for whom you are legally responsible;

but only if the "loss of electronic data" does not arise out of your selling, serving or furnishing of "cannabis" to any person described above.

D. For the purpose of this endorsement, the following definition is added:

"Cannabis":

1. Means:

Any good or product that consists of or contains any amount of Tetrahydrocannabinol (THC) or any other cannabinoid, regardless of whether any such THC or cannabinoid is natural or synthetic.

2. Paragraph **D.1.** above includes, but is not limited to, any of the following containing such THC or cannabinoid:

a. Any plant of the genus Cannabis L., or any part thereof, such as seeds, stems, flowers, stalks and roots; or

b. Any compound, byproduct, extract, derivative, mixture or combination, such as:

(1) Resin, oil or wax;

(2) Hash or hemp; or

(3) Infused liquid or edible cannabis;

whether or not derived from any plant or part of any plant set forth in Paragraph **D.2.a.**

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CYBER INCIDENT EXCLUSION

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

Section I – Property is amended as follows:

A. The following exclusion is added to Paragraph **B. Exclusions:**

We will not pay for loss or damage caused directly or indirectly by the following. Such loss or damage is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss.

Cyber Incident

1. Unauthorized access to or use of any computer system (including "electronic data").

2. Malicious code, virus or any other harmful code that is directed at, enacted upon or introduced into any computer system (including "electronic data") and is designed to access, alter, corrupt, damage, delete, destroy, disrupt, encrypt, exploit, use or prevent or restrict access to or the use of any part of any computer system (including "electronic data") or otherwise disrupt its normal functioning or operation.

3. Denial of service attack which disrupts, prevents or restricts access to or use of any computer system, or otherwise disrupts its normal functioning or operation.

B. Exceptions And Limitations

1. Fire Or Explosion

If a cyber incident as described in Paragraphs **A.1.** through **A.3.** of this exclusion results in fire or explosion, we will pay for the loss or damage caused by that fire or explosion.

2. Additional Coverage

The exclusion in Paragraph **A.** does not apply to the extent that coverage is provided in the:

a. Additional Coverage – Electronic Data; or

b. Additional Coverage – Interruption Of Computer Operations.

3. Computer Fraud And Funds Transfer Fraud Endorsement

The exclusion in Paragraph **A.** does not apply to the Computer Fraud And Funds Transfer Fraud endorsement when attached to your policy.

4. Electronic Commerce Endorsement

The exclusion in Paragraph **A.** does not apply to the Electronic Commerce (E-Commerce) endorsement when attached to your policy.

5. Information Security Protection Endorsement

The exclusion in Paragraph **A.** does not apply to the Information Security Protection Endorsement when attached to your policy.

C. Vandalism

The following is added to Vandalism:

Vandalism does not include a cyber incident as described in Paragraph **A.**

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EXCLUSION – PERFLUOROALKYL AND POLYFLUOROALKYL SUBSTANCES (PFAS)

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

Section II – Liability is amended as follows:

A. The following is added to Paragraph **B. Exclusions:**

This insurance does not apply to:

Perfluoroalkyl And Polyfluoroalkyl Substances

a. "Bodily injury" or "property damage" which would not have occurred, or "personal and advertising injury" which would not have taken place, in whole or in part, but for the actual, alleged, threatened or suspected inhalation, ingestion, absorption, consumption, discharge, dispersal, seepage, migration, release or escape of, contact with, exposure to, existence of, or presence of, any "perfluoroalkyl or polyfluoroalkyl substances".

b. Any loss, cost or expense arising, in whole or in part, out of the abating, testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing, remediating or disposing of, or in any way responding to or assessing the effects of, "perfluoroalkyl or polyfluoroalkyl substances", by any insured or by any other person or entity.

B. The following is added to Paragraph **F. Liability And Medical Expenses Definitions:**

"Perfluoroalkyl or polyfluoroalkyl substances" means any:

1. Chemical or substance that contains one or more alkyl carbons on which hydrogen atoms have been partially or completely replaced by fluorine atoms, including but not limited to:

a. Polymer, oligomer, monomer or nonpolymer chemicals and their homologues, isomers, telomers, salts, derivatives, precursor chemicals, degradation products or by-products;

b. Perfluoroalkyl acids (PFAA), such as perfluorooctanoic acid (PFOA) and its salts, or perfluorooctane sulfonic acid (PFOS) and its salts;

c. Perfluoropolyethers (PFPE);

d. Fluorotelomer-based substances; or

e. Side-chain fluorinated polymers; or

2. Good or product, including containers, materials, parts or equipment furnished in connection with such goods or products, that consists of or contains any chemical or substance described in Paragraph **B.1.**

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CYBER INCIDENT LIABILITY EXCLUSION

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

Section II – Liability is amended as follows:

A. The following exclusion is added to Paragraph **1. Applicable To Business Liability Coverage** under **B. Exclusions:**

This insurance does not apply to:

Cyber Incident

"Bodily injury", "property damage", or "personal and advertising injury" arising out of a "cyber incident".

This exclusion applies even if damages are claimed for notification costs, credit or identity monitoring expenses, forensic expenses, public relations expenses, data restoration expenses, extortion expenses or any other similar cost or expense incurred by you or others arising out of a "cyber incident".

B. For the purposes of this endorsement, the following is added to Paragraph **F. Liability And Medical Expenses Definitions:**

"Cyber incident" means any:

1. Unauthorized access to or use of any computer system.

2. Malicious code, virus or any other harmful code that is directed at, enacted upon or introduced into any computer system and is designed to access, alter, corrupt, damage, delete, destroy, disrupt, encrypt, exploit, use or prevent or restrict access to or the use of any part of any computer system or otherwise disrupt its normal functioning or operation.

3. Denial of service attack which disrupts, prevents or restricts access to or use of any computer system, or otherwise disrupts its normal functioning or operation.

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EXCLUSION – VIOLATION OF LAW ADDRESSING DATA PRIVACY

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

Section II – Liability is amended as follows:

The following is added to Paragraph **B. Exclusions:**

This insurance does not apply to:

Violation Of Law Addressing Data Privacy

"Bodily injury", "property damage" or "personal and advertising injury" arising directly or indirectly out of any action or omission that violates or is alleged to violate:

a. Any federal, state or local statute, ordinance, regulation or other law that addresses, prohibits, or limits access to, use of or the printing, dissemination, disposal, obtaining, collecting, storing, safeguarding, recording, retention, sending, transmitting, communicating, selling or distribution of any person's or organization's confidential or personal material or information, including financial, health, biometric or other nonpublic material or information.

Any such federal, state or local statute, ordinance, regulation or other law includes but is not limited to:

(1) The Illinois Biometric Information Privacy Act (BIPA), including any amendment of or addition to such law; or

(2) The California Consumer Privacy Act (CCPA), including any amendment of or addition to such law; or

b. Any law of a jurisdiction other than the United States of America (including its territories and possessions) or Puerto Rico that is similar to any statute, ordinance, regulation or other law described in Paragraph **a.** above, including but not limited to the European Union's General Data Protection Regulation.

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AMENDMENT – LIQUOR LIABILITY EXCLUSION

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

Paragraph **1.c.** under **B. Exclusions** in **Section II – Liability** is replaced by the following:

c. Liquor Liability

"Bodily injury" or "property damage" for which any insured may be held liable by reason of:

(1) Causing or contributing to the intoxication of any person, including causing or contributing to the intoxication of any person because alcoholic beverages were permitted to be brought on your premises, for consumption on your premises;

(2) The furnishing of alcoholic beverages to a person under the legal drinking age or under the influence of alcohol; or

(3) Any statute, ordinance or regulation relating to the sale, gift, distribution or use of alcoholic beverages.

This exclusion applies even if the claims allege negligence or other wrongdoing in:

(a) The supervision, hiring, employment, training or monitoring of others by an insured; or

(b) Providing or failing to provide transportation with respect to any person that may be under the influence of alcohol;

if the "occurrence" which caused the "bodily injury" or "property damage", involved that which is described in Paragraph **(1), (2)** or **(3)** above.

This exclusion applies only if you:

(a) Manufacture, sell or distribute alcoholic beverages;

(b) Serve or furnish alcoholic beverages for a charge whether or not such activity:

(i) Requires a license;

(ii) Is for the purpose of financial gain or livelihood;

(c) Serve or furnish alcoholic beverages without a charge; or

(d) Permit any person to bring any alcoholic beverages on your premises, for consumption on your premises.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EXCLUSION – TOBACCO OR NICOTINE PRODUCTS

This endorsement modifies Insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

The following exclusion is added to **SECTION II - LIABILITY** Paragraph **B. Exclusions, 1. Applicable to Business Liability Coverage:**

B. Exclusions

1. Applicable To Business Liability Coverage

This insurance does not apply to:

Tobacco or Nicotine Products

(1) "Bodily injury", "property damage" or "personal and advertising injury" arising, in whole or in part, out of the actual, alleged, threatened or suspected use of, furnishing of, distribution of, sale of, manufacture of, inhalation of, ingestion of, consumption of, contact with, exposure to, existence of, or presence of "tobacco or nicotine products" including but not limited to the actual or alleged emergence, contraction, aggravation or exacerbation or fear of any form of cancer, cancerous or precancerous condition, arteriosclerosis, heart disease, emphysema, lung disease or other injury, disease, malady or impairment of the health of the human body; or

(2) Any claim, loss, cost or expense arising, in whole or in part, out of any act or omission that violates or is alleged to violate any statute, ordinance, or regulation relating to the sale, gift, distribution, or use of "tobacco or nicotine products".

This exclusion applies regardless of:

a. any other causes, acts, omissions or events contributing concurrently or in any sequence to the "bodily injury", "property damage" or "personal and advertising injury" even if any other contributing cause, act, omission or event would not, standing alone, be included within Paragraphs **(1)** through **(2)** above;

b. whether the "tobacco or nicotine product" was manufactured (in whole or in part), sold, handled or distributed by you, others on your behalf or any other person or entity; or

c. whether you have assumed liability for the "bodily injury", "property damage", or "personal and advertising injury" by contract, whether or not such contract is an "insured contract".

The following definition is added to **SECTION II – LIABILITY, F. Liability and Medical Expenses Definitions**:

"Tobacco or nicotine products" includes but is not limited to any such product or device as identified by the Food and Drug Administration, tobacco (including raw and cured tobacco), cigars and cigar wrappers, pipes and pipe tobacco, cigarettes and cigarette paper, cigarette filters, electronic nicotine delivery devices, electronic cigarettes, vaporizers, snuff, chewing tobacco, smokeless tobacco products, tobacco substitutes, smoking cessation products, nicotine replacement or supplement products, gaseous or solid residues, flavorings or byproducts of tobacco use or consumption, vapor, fumes or smoke or second hand smoke, or chemicals, minerals or other products sprayed on, applied to or found within or used in conjunction with any of the above.

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WINDSTORM OR HAIL PERCENTAGE DEDUCTIBLE SUBJECT TO A MINIMUM DOLLAR AMOUNT

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

SCHEDULE

		Windstorm Or Hail Deductible	
Premises / Location Number	**Building Number**	**Percentage**	**Minimum Dollar Amount**
SEE CORRESPONDING SCHEDULE			
		%	
		%	
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.			

The following provisions apply to **Section I – Property:**

The Windstorm or Hail Deductible, as shown in the Schedule, applies to loss or damage to Covered Property caused directly or indirectly by Windstorm or Hail, regardless of any other cause or event that contributes concurrently or in any sequence to the loss or damage This Deductible applies to each occurrence of Windstorm or Hail.

With respect to Covered Property at a premises identified in the Schedule, no other deductible applies to Windstorm or Hail.

Nothing in this endorsement implies or affords coverage for any loss or damage that is excluded under the terms of the Water Exclusion or any other exclusion in this policy. If this policy is endorsed to cover Flood under the Flood Coverage Endorsement (or if you have a flood insurance policy), a separate Flood Deductible applies to loss or damage attributable to Flood, in accordance with the terms of that endorsement or policy.

As used in this endorsement, the terms "specific insurance" and "blanket insurance" have the following meanings: Specific insurance covers each item of insurance (for example, each building or personal property in a building) under a separate Limit of Insurance; Blanket insurance covers two or more items of insurance (for example, a building and personal property in that building, or two buildings) under a single Limit of Insurance. Items of insurance and corresponding Limit(s) of Insurance are shown in the Declarations.

WINDSTORM OR HAIL DEDUCTIBLE CALCULATIONS

A. Calculation Of The Deductible – All Policies

1. In determining the amount, if any, that we will pay for the loss or damage, the Windstorm or Hail Deductible is calculated separately for, and applies separately to:

a. Each building, if two or more buildings sustain loss or damage;

b. The building and to personal property in that building, if both sustain loss or damage;

c. Personal property at each building, if personal property at two or more buildings sustains loss or damage;

d. Personal property in the open; and

e. Any other property insured under this Coverage Form.

If there is damage to both a building and personal property in that building, separate deductibles apply to the building and to the personal property.

2. We will not pay for loss or damage until the amount of loss or damage exceeds the applicable Deductible. We will then pay the amount of loss or damage in excess of the Deductible, up to the applicable Limit(s) of Insurance, after any reduction required by any applicable Property Loss Condition.

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B. Calculation of the Deductible – Specific Insurance

1. When specific insurance applies, we will calculate the deductible as follows, and deduct the greater of the following amounts:

a. The percentage (as shown in the Schedule) of the Limit(s) of Insurance applicable to the property that has sustained loss or damage; or

b. The Minimum Dollar Amount (as shown in the Schedule) applicable to the property that has sustained loss or damage.

C. Calculation Of The Deductible – Blanket Insurance

1. When blanket insurance applies, we will calculate the deductible as follows, and deduct the greater of the following amounts:

a. The percentage (as shown in the Schedule) of the value(s) shown in the most recent Statement of Values on file with us, applicable to the property that has sustained loss or damage; or

b. The Minimum Dollar Amount (as shown in the Schedule) applicable to the property that has sustained loss or damage.

D. Calculation of the Deductible – Property Covered Under the Newly Acquired or Constructed Property Additional Coverage

When property is covered under the Coverage Extension for Newly Acquired Property, we will calculate the deductible as follows. In determining the amount, if any, that we will pay for loss or damage, we will deduct an amount equal to a percentage of the value(s) of the property at the time of loss. The applicable percentage for Newly Acquired Property is the highest percentage shown in the Schedule for any Covered Property.

EXAMPLES – APPLICATION OF DEDUCTIBLE

Example #1 – Specific Insurance

Loss Amounts

Building: $60,000

Personal Property: $40,000

Value at the time of loss

Building: $1,000,000

Personal Property: $80,000

Property Loss Condition

Minimum Limit of Insurance: 80%

Building: $800,000 ($1,000,000 X 80%)

Personal Property: $64,000 ($80,000 x 80%)

Actual Limits of Insurance on the damaged property

Building: $800,000 *(which is greater than or equal to the Property Loss Condition)*

Personal Property: $64,000 *(which is greater than or equal to the Property Loss Condition)*

Deductible(s) in Schedule

Percentage: 2%

Minimum Dollar Amount: $1,000

Deductible Calculation

Building: $800,000 X 2% = $16,000 *(which is greater that than the Minimum Dollar Amount)*

Personal Property: $64,000 X 2% = $1,280 *(which is greater than the Minimum Dollar Amount)*

Calculation of Loss Payment

Building:

Total Amount of Loss:	$60,000
Minus deductible:	- $16,000
(which is the Percentage Deductible determined in Deductible Calculation above)	
Loss Payment:	$44,000

Personal Property:

Total Amount of Loss:	$40,000
Minus Deductible	- $1,280
(which is the Percentage Deductible determined in Deductible Calculation above)	
Loss Payment	$37,280

Example #2

Loss Amounts

Building: $60,000

Personal Property: $40,000

Value at the time of loss

Building: $500,000

Personal Property: $80,000

Property Loss Condition

Minimum Limit of Insurance 80%

Building: $400,000 ($500,000 X 80%)

Personal Property: $64,000 ($80,000 x 80%)

Actual Limits of Insurance on the damaged property

Building: $400,000 *(which is greater than or equal to the Property Loss Condition)*

Personal Property: $64,000 *(which is greater than or equal to the Property Loss Condition)*

Deductible(s) in Schedule

Percentage: 2%

Minimum Dollar Amount: $5,000

Deductible Calculation

Building: $400,000 X 2% = $8,000 *(which is greater that than the Minimum Dollar Amount)*

Personal Property: $64,000 X 2% = $1,280 *(which is **less** than the Minimum Dollar Amount so the Minimum Dollar Amount applies as the Deductible)*

Calculation of Loss Payment

Building:

Total Amount of Loss: $60,000

Minus deductible: - $8,000

(which is the Percentage Deductible determined in Deductible Calculation above)

Loss Payment: $52,000

Personal Property:

Total Amount of Loss: $40,000

Minus Deductible - $5,000

(which is the Minimum Dollar amount determined in Deductible Calculation above)

Loss Payment $35,000

Example #3

Loss Amounts

Building: $60,000

Value at the time of loss

Building: $100,000

Property Loss Condition

Minimum Limit of Insurance 80%

Building: $80,000 ($100,000 X 80%)

Actual Limits of Insurance on the damaged property

Building: $70,000 *(which is **less** than the Property Loss Condition)*

Property Loss Condition Adjustment Factor: $70,000 / $80,000 = 0.875

Deductible(s) in Schedule

Percentage: 1%

Minimum Dollar Amount: $1,000

Deductible Calculation

Building: $70,000 X 1% = $700 *(which is **less** than the Minimum Dollar Amount so the Minimum Dollar Amount applies as the Deductible)*

Calculation of Loss Payment

Building:

Total Amount of Loss: $60,000
Times Property Loss Adjustment Factor: X 0.875

Minus deductible: - $1,000
(which is the Minimum Dollar Amount determined in Deductible Calculation above)

Loss Payment: $51,500

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Example #4 – Blanket Insurance

Loss Amounts

Building #1: $40,000

Building #2: $20,000

Value at the time of the loss

As shown in the latest statement of values reported to us

Blanket Limit: $2,000,000

Building #1: $500,000

Building #2: $500,000

Building #3: $1,000.000

Property Loss Condition:

Blanket: $1,800,000 ($2,000,000 X 80%)

Actual Limits of Insurance on the damaged property:

Blanket: $2,000,000

Deductible(s) in Schedule:

Percentage: 2%

Minimum Dollar Amount: $5,000

Deductible Calculation

Building #1: $500,000 X 2% = $10,000 *(which is greater than the Minimum Dollar Amount)*

Building #2: $500,000 X 2% = $10,000 *(which is greater than the Minimum Dollar Amount)*

Calculation of Loss Payment

Building #1

Total Amount of Loss: $40,000

Minus Deductible -$10,000

(which is the Percentage Deductible determined in Deductible Calculation above)

Loss Payment: $30,000

Building #2

Total Amount of Loss: $20,000

Minus Deductible -$10,000

(which is the Percentage Deductible determined in Deductible Calculation above)

Loss Payment: $10,000

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POLICY NUMBER: 1109483164
PRODUCT CODE: BPCT

Policy Effective Date: 07/08/2026	**Schedule Effective Date:** 07/08/2026

WINDSTORM OR HAIL PERCENTAGE DEDUCTIBLE SUBJECT TO A MINIMUM DOLLAR AMOUNT

SCHEDULE

		Windstorm Or Hail Deductible	
Premises / Location Number	**Building Number**	**Percentage**	**Minimum Dollar Amount**
1	All	5%	**$** 500
2	All	5%	**$** 500
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.			

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EXCLUSION – ASBESTOS, SILICA, SILICA-RELATED DUST OR TALC

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

The following exclusion is added to Paragraph **B. Exclusions**, **1. Applicable to Business Liability Coverage** in **SECTION II – LIABILITY:**

This insurance does not apply to:

Asbestos, Silica, Silica-Related Dust or Talc

1. "Bodily injury", "property damage" or "personal and advertising injury" arising, in whole or in part, out of the actual, alleged, threatened or suspected use of, furnishing of, distribution of, sale of, manufacture of, inhalation of, ingestion of, consumption of, transportation of, storage of, contact with, exposure to, existence of, or presence of "asbestos", "silica", "silica-related dust" or "talc";

2. Any loss, cost or expense arising, in whole or in part, out of the abating, testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing, remediating or disposing of, or in any way responding to or assessing the effects of "asbestos", "silica", "silica-related dust" or "talc" by any insured or by any other person or entity.

This exclusion applies regardless of:

a. any other causes, acts, omissions or events contributing concurrently or in any sequence to the "bodily injury", "property damage" or "personal and advertising injury" even if any other contributing cause, act, omission or event would not, standing alone, be included within Paragraphs **(1)** through **(2)** above;

b. whether the "asbestos", "silica", "silica-related dust" or "talc" was manufactured (in whole or in part), sold, handled or distributed by you, others on your behalf or any other person or entity; or

c. whether you have assumed liability for the "bodily injury", "property damage", or "personal and advertising injury" by contract, whether or not such contract is an "insured contract".

The following definitions are added to **SECTION II - LIABILITY**, **F. Liability And Medical Expenses Definitions:**

"Asbestos" means the mineral in any form including but not limited to fibers or dust.

"Silica" means the group of minerals called silicates including but not limited to silica or silicon dioxide (occurring in crystalline, amorphous and impure forms) in any form including but not limited to silica particles, silica dust or silica compounds.

"Silica-related dust" means a mixture or combination of silica and other dust particles.

"Talc" means magnesium silicate hydroxide (a mineral that is part of the silicate group and in some forms is also known as soapstone) and includes the mineral in any form including but not limited to fibers or dust.

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TWO OR MORE COVERAGE PARTS OR POLICIES ISSUED BY US

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

The following is added to **SECTION III – COMMON POLICY CONDITIONS (APPLICABLE TO SECTION I – PROPERTY AND SECTION II – LIABILITY)**, **H. Other Insurance**:

Two or More Coverage Parts or Policies Issued By Us

If this policy and any other coverage part or policy issued to you by us (or a company affiliated with us) applies to the same loss, claim, “occurrence”, offense or “suit” then the maximum amount we will pay under all such policies or coverage parts will be no more than the highest applicable limit of insurance under any one such policy or coverage part. This is the most we will pay regardless of the number of insureds, claims made, “suits” brought, or persons or organizations making claims or bringing “suits”.

This condition does not apply to any Excess or Umbrella policy issued by us (or a company affiliated with us) specifically to apply as excess insurance over this policy or coverage part.

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

PROEDGE BUSINESSOWNERS PROTECT COMPLETE

This endorsement modifies Insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

This schedule is a summary of the Coverages and the Limits of Insurance provided by the PROEDGE PROTECT Property Endorsement and the PROEDGE PROTECT General Liability Endorsement. No coverage is provided by this summary. Refer to endorsement forms previously mentioned to determine the scope of your insurance protection.

Unless specifically increased elsewhere in this policy, the limits set forth in the below schedule are the limits that apply to the coverages included in the PROEDGE COMPLETE Coverage Option and are the most we will pay for loss or damage.

SCHEDULE

COVERAGE	LIMIT
PROPERTY	
Additional Costs	Not Covered
Appurtenant Structures	
Building	Not Covered
Business Personal Property	$10,000
Arson, Theft and Vandalism Rewards (not applicable in NY)	$5,000
Back-Up Of Sewers And Drains	Not Covered
Blanket Additional Coverage (BAC):	$25,000
Accounts Receivable (Off-Premise Sublimit $10,000)	Included In BAC
Consequential Loss (Sublimit Not Covered)	Not Covered
Money and Securities (Off-Premise Sublimit Not Covered)	Not Covered
Valuable Papers and Records Cost of Research (Off-Premise Sublimit $5,000)	Included In BAC
Brands and Labels	Not Covered
Business Income and Extra Expense	
Business Income (Direct Damage)	ALS – 12 months
Extra Expense	ALS – 12 months

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Business Income and Extra Expense (Continued)	
Waiting Period	
Described Premises	36 hours
Dependent Properties Premises	72 hours
Civil Authority	72 hours
Ordinary Payroll Expenses	60 days
Civil Authority	1 mile / 4 weeks
Dependent and Secondary Dependent Properties	$5,000
Extended Period of Indemnity	60 days
Interruption of Computer Operations	$10,000
Newly Acquired Premises	$10,000 / 60 days
Off Premises – Utility Services Time Element (Excludes Overhead Transmission Lines)	Not Covered
Business Personal Property – Seasonal Increase	25%
Claims Data Expense	Not Covered
Collapse	Included in Property Coverage Limit
Commercial Tools and Small Equipment	
Maximum per Tool	Not Covered
Maximum per Tool Box or Piece of Small Equipment	Not Covered
Crime Related Coverages	
Credit Card Slips	$2,500
Employee Dishonesty	Not Covered
Forgery Or Alterations	$5,000
Money Orders and Counterfeit Money	$1,000
Unauthorized Business Card Use	Not Covered
Debris Removal – Additional Limit	$25,000
Deferred Payments	Not Covered
Electronic Data	$10,000
Expediting Expenses	$2,500
Fire Department Service Charge	$2,500
Fire Extinguisher Systems Recharge Expense	$5,000

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Glass Expenses	Included in Property Coverage Limit
Installation Property	
At Jobsite	Not Covered
Temporary Storage Location	Not Covered
Transit	Not Covered
Limited Coverage For Fungi, Wet Rot or Dry Rot	$15,000
Newly Acquired or Constructed Property	
Building	$250,000 / 60 days
Business Personal Property	$100,000 / 60 days
Off Premises Utility Services – Direct Damage (Excludes Overhead Transmission Lines)	Not Covered
Ordinance or Law Coverage	
Coverage **1** – Loss to the Undamaged Portion of the Building	Included in Building Limit
Coverage **2** - Demolition Cost	$10,000
Coverage **3** - Increased Cost of Construction	
Coverage **4** - Tenants Improvements and Betterments	Not Covered
Coverage **5** - Increased Period of Restoration	Not Covered
Outdoor Property	$2,500
Outdoor Trees, Shrubs and Plants (Per Item Sublimit $1,000)	$1,000
Personal Effects	$5,000
Personal Property At Unnamed Premises - Within The Coverage Territory	$10,000
Pollutant Clean-up and Removal	$10,000
Premises Boundary Increased Distance	1,000 ft
Preservation of Property	30 days
Property In Transit	Not Covered
Salesperson's Samples	$10,000
Tenant Coverages	
Building and Business Personal Property Coverage Required By Lease	Not Covered
Additional Rental Expenses	Not Covered
Water Damage, Other Liquids, Powder Or Molten Material Damage	Included in Property Coverage Limit

LIABILITY	
Damage To Premises Rented To You	$100,000
Blanket Additional Insured(s) As Required By Contract	
Lessor of Leased Equipment	Not Covered
Managers of Lessors of Premise	Included
Mortgagees, Assignees or Receivers	Included
Owners, Lessees or Contractors	Not Covered
Broad Form Vendors	Not Covered
Knowledge Of Occurrence, Offense, Claim Or Suit	Included
Liberalization	Included
Newly Formed or Acquired Organizations	180 days
Non-Owned Aircraft (not owned or operated by you)	Not Covered
Primary and Non-Contributory	Not Covered
Supplementary Payments	
Bail Bonds	$3,000
Reasonable Expenses and Loss of Earnings	$1,000/day
Temporary Workers as Employees	Not Covered
Unintentional Failure to Disclose Hazards	Included
Unmanned Aircraft – Limited Coverage	
Liability Aggregate Limit	Not Covered
Bodily Injury And Property Damage	Not Covered
Personal And Advertising Injury	Not Covered
Waiver of Subrogation (Transfer Of Rights Of Recovery Against Others To Us)	Not Covered

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PROEDGE BUSINESSOWNERS PROTECT PROPERTY ENDORSEMENT

This endorsement modifies Insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

SECTION I — PROPERTY of the Businessowners Coverage Form is amended as shown below.

1. All references to 100 feet are changed to 1,000 feet.

2. If two or more of this policy's coverages apply to the same loss or damage, only the broadest coverage will apply subject to the following limitations:

a. We will not pay more than the actual amount of the loss or damage; and

b. The maximum amount we will pay will be no more than the highest single applicable Limit of Insurance;

unless specifically stated otherwise within the particular amendment covering that loss.

3. Except as specifically provided under this endorsement, all other terms, conditions, exclusions and limitations of your policy remain unchanged.

A. COVERED PROPERTY

Paragraph **A. Coverage, 1. Covered Property** is amended as follows:

1. Paragraph **1.a.(5)** does not apply and is replaced by the following:

(5) Personal property owned by you that is used to maintain or service the buildings or structures or the premises, including:

(a) Fire extinguishing equipment;

(b) Outdoor furniture;

(c) Floor coverings, draperies and shades;

(d) Appliances used for refrigerating, ventilating, cooking, dishwashing or laundering;

(e) Personal property located within common areas of buildings owned by you. This includes but is not limited to furnishings and fixtures in lobbies, public hallways, stairs and corridors;

(f) Lawn maintenance and snow removal equipment; and

(g) Alarm systems;

2. Buildings, as described in Paragraph **1.a.**, is modified to include:

Office contents owned by you as the building owner that is used to maintain or service the buildings or structures.

3. Paragraph **1.b.(2)** does not apply, and is replaced by the following:

(2) Property of others that is in your care, custody or control, but this property is not covered for more than the amount for which you are legally liable, plus the cost of labor, materials or services furnished or arranged by you on personal property of others. Property of others does not include personal property of Employees;

4. Paragraph **1.b.(5)** does not apply, and is replaced by the following:

(5) Exterior and interior building glass, if you are a tenant and no Limit of Insurance is shown in the Declarations for Building property. The glass must be owned by you or in your care, custody or control.

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5. Business Personal Property, as described in Paragraph **1.b.**, is modified to include:

Exterior awnings or related exterior coverings attached to the building, if you are a tenant and no Limit of Insurance is shown in the Declarations for Building property. The exterior awning or related exterior covering attached to the building must be owned by you or in your care, custody or control.

B. PROPERTY NOT COVERED

Paragraph **A. Coverage, 2. Property Not Covered** is amended as follows:

1. Paragraphs **2.b.** and **2.e.** do not apply and are replaced by the following:

b. "Money" or "securities," except as provided in the Employee Dishonesty, Forgery Or Alterations, and the Money and Securities Coverage Extensions;

e. Outdoor fences, radio and television receiving equipment, including its lead-in wiring, masts or towers, signs, trees, shrubs or plants (other than trees, shrubs or plants which are "stock" or are part of a vegetated roof), all except as provided in the Outdoor Property and Outdoor Trees, Shrubs and Plants Coverage Extensions;

C. LIMITATIONS

Paragraph **A. Coverage, 4. Limitations** is amended as follows:

1. Paragraph **4.a.(3)** does not apply and is replaced by the following:

(3) Property that is missing, where the only evidence of the loss or damage is a shortage disclosed on taking inventory, or other instances where there is no physical evidence to show what happened to the property. This limitation does not apply to the Money and Securities Coverage Extension.

D. ADDITIONAL COVERAGES

Paragraph **A. Coverage, 5. Additional Coverages** does not apply and is replaced by the following:

Additional Coverages

Unless otherwise stated in a specific Additional Coverage in this endorsement, the following Additional Coverages:

1. Apply to each described premises on a per occurrence basis; and

2. Are subject to the **DEDUCTIBLES** provision of this endorsement.

"Business Income"

The definitions "business income", "extra expense", "ordinary payroll expenses", "period of restoration" and "suspension", as defined in the **DEFINITIONS** section of this endorsement, apply to each coverage under the Additional Coverages, "business income" and "extra expense", unless otherwise specifically noted.

1. Direct Damage

If coverage is shown in the Schedule as applicable for "business income", we will pay for the actual loss of "business income" you sustain (ALS) due to the necessary "suspension" of your "operations" during the "period of restoration". The "suspension" must be caused by direct physical loss of or damage to property at the described premises. The loss or damage must be caused by or result from a Covered Cause of Loss. With respect to loss of or damage to personal property in the open or personal property in a vehicle, the described premises includes the area within 1,000 feet of the site at which the described premises are located.

With respect to the requirements set forth in the preceding paragraph, if you occupy only part of the site at which the described premises are located, your premises means:

a. The portion of the building which you rent, lease or occupy;

b. The area within 1,000 feet of the building or within 1,000 feet of the premises described in the Declarations, whichever distance is greater (with respect to loss of or damage to personal property in the open or personal property in a vehicle); and

c. Any area within the building or at the described premises, if that area services, or is used to gain access to, the portion of the building which you rent, lease or occupy.

We will only pay for the actual loss of "business income" that you sustain during the "period of restoration" and that occurs within 12 consecutive months following the date of direct physical loss or damage. We will only pay for "ordinary payroll expenses" for number of days shown in the Schedule following the date of direct physical loss or damage.

This Additional Coverage is not subject to the Limits of Insurance of **SECTION I — PROPERTY**.

2. Extended Period of Indemnity

If coverage for a period of time is shown in the Schedule, and the necessary "suspension" of your "operations" produces a "business income" loss payable under this policy, we will pay for the actual loss of "business income" you incur during the period that:

a. Begins on the date property except finished "stock" is actually repaired, rebuilt or replaced and "operations" are resumed; and

b. Ends on the earlier of:

(1) The date you could restore your "operations" with reasonable speed to the level which would generate the "business income" amount that would have existed if no direct physical loss or damage occurred; or

(2) 60 consecutive days after the date determined in **2.a** above unless a greater number of consecutive days is shown in the Schedule.

However, Extended "business income" does not apply to loss of "business income" incurred as a result of unfavorable business conditions caused by the impact of the Covered Cause of Loss in the area where the described premises are located.

Loss of "business income" must be caused by direct physical loss or damage at the described premises caused by or resulting from a Covered Cause of Loss.

This Additional Coverage is not subject to the Limits of Insurance of **SECTION I - PROPERTY**.

3. Civil Authority

If shown as an applicable coverage in the Schedule, when a Covered Cause of Loss causes damage to property other than property at the described premises, we will pay for the actual loss of "business income" you sustain and necessary "extra expense" caused by action of civil authority that prohibits access to the described premises, provided that both of the following apply:

a. Access to the area immediately surrounding the damaged property is prohibited by civil authority as a result of the damage and the described premises are within that area but are not more than the number of miles shown in the schedule from the damaged property; and

b. The action of civil authority is taken in response to dangerous physical conditions resulting from the damage or continuation of the Covered Cause of Loss that caused the damage, or the action is taken to enable a civil authority to have unimpeded access to the damaged property.

For "business income", this Additional Coverage will begin the specified number of hours shown in the Schedule after the time of the first action of civil authority that prohibits access to the described premises, and will apply for a period of up to the specified time period shown in the Schedule from the date on which such coverage begins.

For "extra expense", this Additional Coverage will begin immediately after the time of the first action of civil authority that prohibits access to the described premises and will end:

a. The time period noted in the Schedule consecutively after the date of that action; or

b. When your Civil Authority Coverage for "business income" ends;

whichever is later.

The Civil Authority Additional Coverage is not subject to the Limits of Insurance of **SECTION I - PROPERTY.**

4. Dependent And Secondary Independent Properties

If a limit is shown in the Schedule, we will pay for the loss of "business income" you sustain due to the necessary "suspension" of your "operations" during the "period of restoration" up to the limit in the Schedule. The "suspension" must be caused by direct physical loss of or damage to the premises of a dependent property or secondary dependent property. The loss or damage must be caused by or resulting from a Covered Cause of Loss.

However, this Additional Coverage does not apply when the only loss at the premises of a dependent property or secondary dependent property is loss or damage to "electronic data", including destruction or corruption of "electronic data". If the dependent property or secondary dependent property sustains loss or damage to "electronic data" and other property, coverage under this Additional Coverage will not continue once the other property is repaired, rebuilt or replaced.

Dependent property means property owned or operated by others you depend on to:

a. Deliver materials or services to you or to others for your account. But services does not mean water supply services, wastewater removal services, communication supply services or power supply services;

b. Accept your products or services;

c. Manufacture your products for delivery to your customers under contract of sale; or

d. Attract customers to your business.

Secondary dependent property means an entity which is not owned or operated by a dependent property and which:

a. Delivers materials or services to a dependent property, which in turn are used by the dependent property in providing materials or services to you; or

b. Accepts materials or services from a dependent property, which in turn accepts your materials or services.

A road, bridge, tunnel, waterway, airfield, pipeline or any other similar area or structure is not a secondary dependent property.

Any property which delivers any of the following services is not a secondary dependent property with respect to such services:

(1) Water supply services;

(2) Wastewater removal services;

(3) Communication supply services; or

(4) Power supply services.

The dependent property or secondary dependent property must be located in the coverage territory of this policy.

This Additional Coverage does not apply:

a. To loss of "business income" you sustain due to physical loss or damage at the premises of dependent or secondary dependent properties for which you have more specific insurance either under this policy or another.

b. When the only loss to dependent property is loss or damage to "electronic data", including destruction or corruption of "electronic data". If the dependent property sustains loss or damage to "electronic data" and other property, coverage under this Additional Coverage will not continue once the other property is repaired, rebuilt or replaced.

c. To loss of "business income" you sustain due to physical loss or damage at dependent or secondary dependent properties located outside this policy's coverage territory.

We will reduce the amount of your "business income" loss, other than "extra expense", to the extent you can resume "operations", in whole or in part, by using any other available:

a. Source of materials or services; or

b. Outlet for your products or services

If you do not resume "operations", or do not resume "operations" as quickly as possible, we will pay based on the length of time it would have taken to resume "operations" as quickly as possible.

The expiration date of this policy will not reduce the Dependent Properties "business income" coverage period.

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5. Lease Cancellation

If a limit is shown in the Schedule, we will pay for the loss of "business income" you sustain and necessary "extra expense" you incur due to the cancellation of a lease by your tenant, who occupies a building covered under this policy, because of untenantability as a result of direct physical loss of or damage to that building from a Covered Cause of Loss sustained by you.

This Additional Coverage only applies:

a. If at the time of loss the building was occupied by the tenant cancelling the lease or their sublessee; or

b. If the lease was signed but the building was not yet occupied by the tenant.

We will pay for the actual loss of "business income" that you sustain after tenantability is restored until the earlier of:

a. The date you lease the premises to another tenant;

b. 12 months immediately following the "period of restoration"; or

c. The normal expiration date of the cancelled lease.

The most we will pay under this Additional Coverage, regardless of the number of tenants cancelling a lease at the described premises, is the limit shown in the Schedule.

We will not pay:

a. For insurance, taxes or other payments you made on behalf of the tenants;

b. When a lease is cancelled after the "period of restoration";

c. When a lease is cancelled, suspended or allowed to lapse by you;

d. When there is a return of prepaid rent or security and other deposits made by tenants; or

e. When a lease is cancelled at the normal expiration date.

6. Newly Acquired Premises

If a limit is shown in the Schedule, we will pay for the actual loss of "business income" you sustain due to the necessary "suspension" of your "operations" during the "period of restoration" up to the limit in the Schedule. The "suspension" must be caused by direct physical loss of or damage to property at the newly acquired premises. The loss or damage must be caused by or result from a Covered Cause of Loss at any premises you newly acquire by purchase or lease, other than fairs, trade shows or exhibits.

The most we will pay under this Additional Coverage is the limit shown in the Schedule for each newly acquired premise.

Insurance under this Additional Coverage will end when any of the following first occurs:

a. This policy expires;

b. The number of days shown in the Schedule after you acquire the premises;

c. You report the premises to us; or

d. The property is more specifically insured.

7. Off Premises Utility Services Time Element

If a limit is shown in the Schedule, we will pay for "business income" or "extra expense" at the described premises up to the limit in the Schedule, caused by the interruption of utility service to the described premises. The interruption must result from direct physical loss or damage by a Covered Cause of Loss to the following types of utility service property not located on the described premises:

a. Water Supply Property, meaning the following types of property supplying water to the described premises:

(1) Pumping stations; and

(2) Water mains.

b. Wastewater Removal Property, meaning a utility system for removing wastewater and sewage from the described premises, other than a system designed primarily for draining storm water. The utility property includes sewer mains, pumping stations and similar equipment for moving the effluent to a holding, treatment or disposal facility, and includes such facilities.

Coverage under this Additional Coverage does not apply to interruption in service caused by or resulting from a discharge of water or sewage due to heavy rainfall or flooding.

c. Communication Supply Property, meaning property supplying communication services, including telephone, radio, microwave or television services to the described premises, such as:

(1) Communication transmission lines, including optic fiber transmission lines;

(2) Coaxial cables; and

(3) Microwave radio relays except satellites.

Communication Supply Property does not include overhead transmission lines.

d. Power Supply Property, meaning the following types of property supplying electricity, steam or gas to the described premises:

(1) Utility generating plants;

(2) Switching stations;

(3) Substations;

(4) Transformers; and

(5) Transmission lines and distribution lines;

Power Supply Property does not include overhead transmission lines or overhead distribution lines.

As used in this Additional Coverage, the terms transmission lines and distribution lines includes all lines which serve to transmit communication service or power except for overhead transmission or overhead distribution lines.

Coverage under this additional coverage does not apply to "business income" or "extra expense" related to interruption in utility service that causes loss or damage to "electronic data", including destruction or corruption of "electronic data."

To the extent that the **Utility Services** exclusion of **SECTION I – PROPERTY**, Paragraph **B. Exclusions** might conflict with the coverage provided under this Additional Coverage, the **Utility Services** exclusion does not apply.

We will pay, up to the limit in the Schedule, from the initial time of service(s) failure at the described premises but only when the service interruption at the described premises exceeds 24 hours immediately following the direct physical loss or damage. Coverage does not apply to any reduction of income after service has been restored to your premises.

The most we will pay for loss or damage in any one occurrence under this Additional Coverage is the limit shown in the Schedule.

8. Interruption Of Computer Operations

a. Subject to all provisions of this Additional Coverage, if there is a limit of insurance shown in the Schedule, you may extend the insurance that applies to "business income" and "extra expense" to apply to a "suspension" of "operations" caused by an interruption in computer operations due to destruction or corruption of "electronic data" due to a Covered Cause of Loss.

b. With respect to the coverage provided under this Additional Coverage, the Covered Causes of Loss are subject to the following:

(1) Coverage under this Additional Coverage Interruption Of Computer Operations is limited to the "specified causes of loss" and Collapse.

(2) If the policy is endorsed to add a Covered Cause of Loss, the additional Covered Cause of Loss does not apply to the coverage provided under this Additional Coverage.

(3) The Covered Causes of Loss include a computer virus, harmful code or similar instruction introduced into or enacted on a computer system (including "electronic data") or a network to which it is connected, designed to damage or destroy any part of the system or disrupt its normal operation. But there is no coverage for an interruption related to manipulation of a computer system (including "electronic data") by any employee, including a temporary or leased employee, or by an entity retained by you, or for you, to inspect, design, install, modify, maintain, repair or replace that system.

c. The most we will pay under this Additional Coverage Interruption Of Computer Operations for all loss sustained and expense incurred in any one policy year, regardless of the number of interruptions or the number of premises, locations or computer systems involved, is the limit of insurance shown in the Schedule. If loss payment relating to the first interruption does not exhaust this amount, then the balance is available for loss or expense sustained or incurred as a result of subsequent interruptions in that policy year. A balance remaining at the end of a policy year does not increase the amount of insurance in the next policy year. With respect to any interruption which begins in one policy year and continues or results in additional loss or expense in a subsequent policy year(s), all loss and expense is deemed to be sustained or incurred in the policy year in which the interruption began.

d. This Additional Coverage Interruption Of Computer Operations does not apply to loss sustained or expense incurred after the end of the "period of restoration", even if the amount of insurance stated in Paragraph **c.** above has not been exhausted.

e. Coverage for "business income" does not apply when a "suspension" of "operations" is caused by destruction or corruption of "electronic data", or any loss or damage to "electronic data", except as provided under Paragraphs **a.** through **d.** of this Additional Coverage.

f. Coverage for "extra expense" does not apply when action is taken to avoid or minimize a "suspension" of "operations" caused by destruction or corruption of "electronic data", or any loss or damage to "electronic data", except as provided under Paragraphs **a.** through **d.** of this Additional Coverage.

"Extra Expense"

1. If coverage is shown as applicable in the Schedule for "extra expense", we will pay necessary "extra expense" you incur during the "period of restoration" that you would not have incurred if there had been no direct physical loss or damage to property at the described premises. The loss or damage must be caused by or result from a Covered Cause of Loss. With respect to loss of or damage to personal property in the open or personal property in a vehicle, the described premises include the area within 1,000 feet of the site at which the described premises are located.

With respect to the requirements set forth in the preceding paragraph, if you occupy only part of the site at which the described premises are located, your premises means:

a. The portion of the building which you rent, lease or occupy;

b. The area within 1,000 feet of the building or within 1,000 feet of the premises described in the Declarations, whichever distance is greater (with respect to loss of or damage to personal property in the open or personal property in a vehicle); and

c. Any area within the building or at the described premises, if that area services, or is used to gain access to, the portion of the building which you rent, lease or occupy.

2. We will only pay for "extra expense" that occurs within 12 consecutive months after the date of direct physical loss or damage.

This Additional Coverage is not subject to the Limits of Insurance of **SECTION I - PROPERTY**.

Brands and Labels

If shown as Included in the Schedule, if branded or labeled merchandise that is Covered Property is damaged by a Covered Cause of Loss, we may take all or any part of the property at an agreed or appraised value. If so, you may:

1. Stamp the word Salvage on the merchandise or its containers, if the stamp will not physically damage the merchandise; or

2. Remove the brands and labels, if doing so will not physically damage the merchandise or its containers.

You must relabel the merchandise or its containers to comply with the law.

We will pay reasonable costs you incur to perform the activity described in Paragraphs **1.** or **2.** above.

This Additional Coverage is included within the Business Personal Property Limit of Insurance shown in the Declarations.

Collapse

The coverage provided under this Additional Coverage Collapse applies only if shown as Included in the Schedule and only to an abrupt collapse as described and limited in Paragraphs **1.** through **7.** below.

1. For the purpose of this Additional Coverage Collapse, abrupt collapse means an abrupt falling down or caving in of a building or any part of a building with the result that the building or part of the building cannot be occupied for its intended purpose.

2. We will pay for direct physical loss or damage to Covered Property, caused by abrupt collapse of a building or any part of a building that is insured under this policy or that contains Covered Property insured under this policy, if such collapse is caused by one or more of the following:

a. Building decay that is hidden from view, unless the presence of such decay is known or should have been known to an insured prior to collapse;

b. Insect or vermin damage that is hidden from view, unless the presence of such damage is known or should have been known to an insured prior to collapse;

c. Use of defective material or methods in construction, remodeling or renovation if the abrupt collapse occurs during the course of the construction, remodeling or renovation;

d. Use of defective material or methods in construction, remodeling or renovation if the abrupt collapse occurs after the construction, remodeling or renovation is complete, but only if the collapse is caused in part by:

(1) A cause of loss listed above in Paragraph **2.a.** or **2.b**.;

(2) One or more of the “specified causes of loss”;

(3) Breakage of building glass;

(4) Weight of people or personal property; or

(5) Weight of rain that collects on a roof.

3. This Additional Coverage Collapse does not apply to:

a. A building or any part of a building that is in danger of falling down or caving in;

b. A part of a building that is standing, even if it has separated from another part of the building; or

c. A building that is standing or any part of a building that is standing, even if it shows evidence of cracking, bulging, sagging, bending, leaning, settling, shrinkage or expansion.

4. With respect to the following property:

a. Awnings;

b. Gutters and downspouts;

c. Yard fixtures;

d. Outdoor swimming pools;

e. Piers, wharves and docks;

f. Beach or diving platforms or appurtenances;

g. Retaining walls; and

h. Walks, roadways and other paved surfaces,

If an abrupt collapse is caused by a cause of loss listed in Paragraphs **2.a.** through **2.d.** of this Additional Coverage, we will pay for loss or damage to that property only if such loss or damage is a direct result of the abrupt collapse of a building insured under this policy and the property is Covered Property under this policy.

5. If personal property abruptly falls down or caves in and such collapse is not the result of abrupt collapse of a building, we will pay for loss or damage to Covered Property caused by such collapse of personal property only if:

a. The collapse of personal property was caused by a cause of loss listed in Paragraphs **2.a.** through **2.d.** of this Additional Coverage; and

b. The personal property which collapses is inside a building; and

c. The property which collapses is not of a kind listed in Paragraph **4.** of this Additional Coverage regardless of whether that kind of property is considered to be personal property or real property.

The coverage stated in this Paragraph **5.** does not apply to personal property if marring and/or scratching is the only damage to that personal property caused by the collapse.

6. This Additional Coverage Collapse does not apply to personal property that has not abruptly fallen down or caved in, even if the personal property shows evidence of cracking, bulging, sagging, bending, leaning, settling, shrinkage or expansion.

7. This Additional Coverage Collapse will not increase the Limits of Insurance provided in this policy.

8. As used in this Additional Coverage, the term Covered Cause of Loss includes the Additional Coverage Collapse as described and limited in Paragraphs **1.** through **7.** above.

Debris Removal – Additional Limit

1. We will pay your expense to remove debris of Covered Property and other debris that is on the described premises when such debris is caused by or results from a Covered Cause of Loss that occurs during the policy period.

2. This Additional Coverage does not apply to costs to:

a. Remove debris of property of yours that is not insured under this policy, or property in your possession that is not Covered Property;

b. Remove debris of property owned by or leased to the landlord of the building where your described premises are located, unless you have a contractual responsibility to insure such property and it is insured under this policy;

c. Remove any property that is Property Not Covered, including property addressed under the Outdoor Property Coverage Extension;

d. Remove property of others of a type that would not be Covered Property under this policy;

e. Remove deposits of mud or earth from the grounds of the described premises;

f. Extract “pollutants” from land or water; or

g. Remove, restore or replace polluted land or water.

3. Subject to the exceptions in Paragraph **4.** below, the following provisions apply:

a. The most that we will pay for the total of direct physical loss or damage plus debris removal expense is the Limit of Insurance applicable to the Covered Property that has sustained loss or damage.

b. Subject to Paragraph **3.a.** above, the amount we will pay for debris removal expense is limited to 25% of the sum of the deductible plus the amount that we pay for direct physical loss or damage to the Covered Property that has sustained loss or damage. However, if no Covered Property has sustained direct physical loss or damage, the most we will pay for removal of debris of other property (if such removal is covered under this Additional Coverage) is $5,000 at each location.

4. If a limit is shown in the Schedule, we will pay up to the additional limit shown in the Schedule for debris removal expense, for each location, in any one occurrence of physical loss or damage to Covered Property, if one or both of the following circumstances apply:

a. The total of the actual debris removal expense plus the amount we pay for direct physical loss or damage exceeds the Limit of Insurance on the Covered Property that has sustained loss or damage.

b. The actual debris removal expense exceeds 25% of the sum of the deductible plus the amount that we pay for direct physical loss or damage to the Covered Property that has sustained loss or damage.

Therefore, if Paragraphs **4.a.** and/or **4.b.** above apply, our total payment for direct physical loss or damage and debris removal expense may reach but will never exceed the Limit of Insurance on the Covered Property that has sustained loss or damage, plus the additional limit shown in the Schedule.

Electronic Data

1. Subject to the provisions of this Additional Coverage, if a limit is shown in the Schedule, we will pay for the cost to replace or restore "electronic data" which has been destroyed or corrupted by a Covered Cause of Loss. To the extent that "electronic data" is not replaced or restored, the loss will be valued at the cost of replacement of the media on which the "electronic data" was stored, with blank media of substantially identical type.
2. The Covered Causes of Loss applicable to Business Personal Property include a computer virus, harmful code or similar instruction introduced into or enacted on a computer system (including "electronic data") or a network to which it is connected, designed to damage or destroy any part of the system or disrupt its normal operation. But there is no coverage for loss or damage caused by or resulting from manipulation of a computer system (including "electronic data") by any employee, including a temporary or leased employee, or by an entity retained by you, or for you, to inspect, design, install, modify, maintain, repair or replace that system.
3. The most we will pay under this Additional Coverage – Electronic Data for all loss or damage sustained in any one policy year, regardless of the number of occurrences of loss or damage or the number of premises, locations or computer systems involved, is the limit shown in the Schedule. If loss payment on the first occurrence does not exhaust this amount, then the balance is available for subsequent loss or damage sustained in, but not after, that policy year. With respect to an occurrence which begins in one policy year and continues or results in additional loss or damage in a subsequent policy year(s), all loss or damage is deemed to be sustained in the policy year in which the occurrence began.
4. This Additional Coverage does not apply to your "stock" of prepackaged software, or to "electronic data" which is integrated in and operates or controls a building's elevator, lighting, heating, ventilation, air conditioning or security system.

Limited Coverage For "Fungi", Wet Rot Or Dry Rot

1. The coverage described in Paragraphs **2.** and **6.** below only applies when the "fungi", wet rot or dry rot are the result of a "specified cause of loss" other than fire or lightning that occurs during the policy period and only if all reasonable means were used to save and preserve the property from further damage at the time of and after that occurrence.
2. If a limit is shown in the Schedule, we will pay for loss or damage by "fungi", wet rot or dry rot. As used in this Limited Coverage, the term loss or damage means:
   a. Direct physical loss or damage to Covered Property caused by "fungi", wet rot or dry rot, including the cost of removal of the "fungi", wet rot or dry rot;
   b. The cost to tear out and replace any part of the building or other property as needed to gain access to the "fungi", wet rot or dry rot; and
   c. The cost of testing performed after removal, repair, replacement or restoration of the damaged property is completed, provided there is a reason to believe that "fungi", wet rot or dry rot are present.
3. The coverage described under this Limited Coverage is limited to the limit shown in the Schedule. Regardless of the number of claims, this limit is the most we will pay for the total of all loss or damage arising out of all occurrences of "specified causes of loss" (other than fire or lightning) which take place in a 12 month period (starting with the beginning of the present annual policy period). With respect to a particular occurrence of loss which results in "fungi", wet rot or dry rot, we will not pay more than the total of the limit shown in the Schedule even if the "fungi", wet rot or dry rot continues to be present or active, or recurs, in a later policy period.

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4. The coverage provided under this Limited Coverage does not increase the applicable Limit of Insurance on any Covered Property. If a particular occurrence results in loss or damage by "fungi", wet rot or dry rot, and other loss or damage, we will not pay more, for the total of all loss or damage, than the applicable Limit of Insurance on the affected Covered Property.

If there is covered loss or damage to Covered Property, not caused by "fungi", wet rot or dry rot, loss payment will not be limited by the terms of this Limited Coverage, except to the extent that "fungi", wet rot or dry rot causes an increase in the loss. Any such increase in the loss will be subject to the terms of this Limited Coverage.

5. The terms of this Limited Coverage do not increase or reduce the coverage provided under the Water Damage, Other Liquids, Powder Or Molten Material Damage or Collapse Additional Coverage.

6. The following applies only if "business income" and/or "extra expense" Coverage applies to the described premises and only if the "suspension" of "operations" satisfies all the terms and conditions of the applicable "business income" and/or "extra expense" Additional Coverage.

a. If the loss which resulted in "fungi", wet rot or dry rot does not in itself necessitate a "suspension" of "operations", but such "suspension" is necessary due to loss or damage to property caused by "fungi", wet rot or dry rot, then our payment under the "business income" and/or "extra expense" Additional Coverages is limited to the amount of loss and/or expense sustained in a period of not more than 30 days. The days need not be consecutive.

b. If a covered "suspension" of "operations" was caused by loss or damage other than "fungi", wet rot or dry rot, but remediation of "fungi", wet rot or dry rot prolongs the "period of restoration", we will pay for loss and/or expense sustained during the delay (regardless of when such a delay occurs during the "period of restoration"), but such coverage is limited to 30 days. The days need not be consecutive.

Ordinance or Law Coverage

1. Application of Coverage

If there is direct physical loss or damage to Covered Property at the described premises caused by or resulting from a Covered Cause of Loss and a limit is shown in the Schedule, we will pay the following to the extent it results from a requirement to comply with the enforcement of an ordinance or law subject to the following:

a. The Coverage(s) provided by this Additional Coverage applies only with respect to an ordinance or law that regulates the demolition, construction or repair of buildings, or establishes zoning or land use requirements at the described premises, subject to the following:

(1) The requirements of the ordinance or law are in force at the time of loss.

(2) Coverage under this Additional Coverage applies only in response to the minimum requirements of the ordinance or law. Losses and costs incurred in complying with recommended actions or standards that exceed actual requirements are not covered under this Additional Coverage.

b. Coverage under this Additional Coverage applies only if:

(1) The building sustains only direct physical damage that is covered under this policy and as a result of such damage, you are required to comply with the ordinance or law; or

(2) The building sustains both direct physical damage that is covered under this policy and direct physical damage that is not covered under this policy, and as a result of the building damage in its entirety, you are required to comply with the ordinance or law.

c. We will not pay under this Additional Coverage for:

(1) Any loss in value or any cost incurred due to any ordinance or law with which:

i. You were required to comply before the loss, even in the absence of damage to the building; and

ii. You failed to comply.

(2) The enforcement of any ordinance or law which requires the demolition, repair, replacement, reconstruction, remodeling or remediation of property due to contamination by "pollutants" or due to the presence, growth, proliferation, spread or any activity of "fungus", wet or dry rot or bacteria; or

(3) The costs associated with the enforcement of any ordinance or law which requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify, or neutralize, or in any way respond to, or assess the effects of "pollutants", "fungus", wet or dry rot or bacteria.

d. In the situation described in Paragraph **1.b.(2)** above, we will not pay the full amount of loss otherwise payable under the terms of the Coverages of this Additional Coverage – Ordinance Or Law. Instead, we will pay a proportion of such loss, meaning the proportion that the covered direct physical damage bears to the total direct physical damage.

(Paragraph **4.** of this Additional Coverage – Ordinance Or Law Coverage provides an example of this procedure.)

However, if the covered direct physical damage alone would have resulted in a requirement to comply with the ordinance or law, then we will pay the full amount of loss otherwise payable under terms of the Coverages of this Additional Coverage – Ordinance Or Law Coverage.

2. Coverages

a. Coverage 1 - Loss to the Undamaged Portion of the Building

The loss in value of the undamaged portion of the building as a consequence of a requirement to comply with an ordinance or law that requires demolition of undamaged parts of the same building.

b. Coverage 2 - Demolition Cost

The cost to demolish and clear the site of undamaged parts of the same building as a consequence of a requirement to comply with an ordinance or law that requires demolition of such undamaged property.

c. Coverage 3 - Increased Cost of Construction

The increased cost to:

(1) Repair or reconstruct damaged portions of the same building; and/or

(2) Reconstruct or remodel undamaged portions of the same building, whether or not demolition is required.

When the increased cost is a consequence of a requirement to comply with the minimum standards of the ordinance or law.

However:

(1) This coverage applies only if the restored or remodeled building is intended for similar occupancy as the current building, unless such occupancy is not permitted by zoning or land use ordinance or law.

(2) We will not pay for the increased cost of construction if the building is not repaired, reconstructed or remodeled.

d. Coverage 4 - Tenant's Improvements and Betterments

The increased cost to repair, rebuild or reconstruct tenant's improvements and betterments when the increased cost is a consequence of a requirement to comply with an ordinance or law that requires repair, rebuild or reconstruction of such property.

e. Coverage 5 - Increased "period of restoration"

If a Covered Cause of Loss causes or results in loss or damage to building, coverage is extended to include the amount shown in the Schedule for loss you sustain during the increased period of "suspension" of "operations" caused by or resulting from a requirement to comply with the enforcement of an ordinance or law.

3. Loss Payment

The most we will pay under this Additional Coverage for:

a. Coverage 1 – Loss to the Undamaged Portion of the Building

(1) If the property is repaired or replaced on the same or another premises, the most we will pay is the lesser of:

i. The amount you actually spend to repair, rebuild or reconstruct the undamaged portion of the building, but not for more than the amount it would cost to restore the building on the same premises and to the same height, floor area, style and comparable quality of the original property insured; or

ii. The amount it would cost to restore the undamaged portion to the same height, floor area, style and comparable quality of the original undamaged portion of the building; or

iii. The limit of insurance applicable to the building shown in the Declarations.

(2) If the property is not repaired or replaced or if replacement cost does not apply, the most we will pay is the lesser of:

i. The actual cash value of the undamaged portion of the building at the time of loss; or

ii. The limit of insurance applicable to the Building shown in the Declarations.

(3) Coverage 1 is included within and is not in addition to the Building Limits of Insurance shown in the Declarations.

b. Coverage 2 – Demolition Cost and Coverage 3 – Increased Cost of Construction

(1) The total of all covered losses for Coverage 2 and Coverage 3:

i. For buildings insured on a replacement cost basis, is the limit of insurance shown in the Schedule; or

ii. For buildings insured on a functional replacement cost basis, and including any loss to the building and any loss under Coverage 1 discussed in Paragraph **3.a.** above, is the limit of insurance shown in the Declarations as applicable to the covered Building Property. But, Coverage 2 and Coverage 3 do not increase the limit of insurance when coverage is provided on a functional replacement cost basis.

(2) Subject to Paragraph **b.(1)** above, the following loss payment provisions apply:

i. For Coverage 2, we will not pay more than the amount you actually spend to demolish and remove debris of the undamaged parts of the property.

ii. For Coverage 3:

(a) We will not pay for the increased cost of construction:

(i) Until the property is actually repaired or replaced at the same or another premises; and

(ii) Unless the repairs or replacement is made as soon as reasonably possible after the loss or damage, not to exceed two years. We may extend this period in writing during the two years.

(b) If the building is repaired or replaced at the same premises, or if you elect to rebuild at another premises, the most we will pay for the increased cost of construction is the increased cost of construction at the same premises.

(c) If the ordinance or law requires relocation to another premises, the most we will pay for the increased cost of construction is the increased cost of construction at the new premises.

c. Coverage 4 – Tenant's Improvements and Betterments

Is the limit shown in the Schedule.

d. Coverage 5 – Increased "Period of Restoration"

Is the limit shown in the Schedule.

4. Example of Proportionate Loss Payment for Ordinance Or Law Coverage Losses (procedure as set forth in Paragraph **1.d.** of this Additional Coverage – Ordinance Or Law Coverage).

Assume:

- Wind is a Covered Cause of Loss. Flood is an excluded Cause of Loss;
- The building has a value of $200,000;
- Total direct physical damage to building:$100,000;
- The ordinance or law in this jurisdiction is enforced when building damage equals or exceeds 50% of the building's value;
- Portion of direct physical damage that is covered (caused by wind): $30,000;
- Portion of direct physical damage that is not covered (caused by flood): $70,000; and
- Loss under Ordinance or Law Coverage 3 of this Additional Coverage – Ordinance or Law Coverage: $60,000.

Step 1: Determine the proportion that the covered direct physical damage bears to the total direct physical damage. $30,000 divided by $100,000 = .30

Step 2: Apply that proportion to the Ordinance or Law loss. $60,000 x .30 = $18,000

In this example, the most we will pay under this Additional Coverage – Ordinance or Law Coverage for the Coverage 3 loss is $18,000, subject to the applicable Limit of Insurance and any other applicable provisions.

NOTE: The same procedure applies to losses under Coverages 1 and 2 of this Additional Coverage.

The terms of this Additional Coverage apply separately to each Building Limit of Insurance shown in the Declarations

The following definition is added:

"Fungus" means any type or form of fungus, including mold or mildew, and any mycotoxins, spores, scents or by-products produced or released by fungi.

Pollutant Clean-Up And Removal

If a limit is shown in the Schedule, we will pay your expense to extract "pollutants" from land or water at the described premises if the discharge, dispersal, seepage, migration, release or escape of the "pollutants" is caused by or results from a Covered Cause of Loss that occurs during the policy period. The expenses will be paid only if they are reported to us in writing within 180 days of the date on which the Covered Cause of Loss occurs.

This Additional Coverage does not apply to costs to test for, monitor or assess the existence, concentration or effects of "pollutants". But we will pay for testing which is performed in the course of extracting the "pollutants" from the land or water.

The most we will pay for each location under this Additional coverage is the limit shown in the Schedule for the sum of all such expenses arising out of Covered Causes of Loss occurring during each separate 12 month period of this policy.

Preservation Of Property

If a limit is shown in the Schedule and it is necessary to move Covered Property from the described premises to preserve it from loss or damage by a Covered Cause of Loss, we will pay for any direct physical loss of or damage to that property:

1. While it is being moved or while temporarily stored at another location; and

2. Only if the loss or damage occurs within the number of days shown in the Schedule after the property is first moved.

Tenant Additional Rental Expense

If a limit is shown in the Schedule, and your lease is cancelled by the lessor in accordance with a valid lease provision due to direct physical loss or damage caused by or resulting from a Covered Cause of Loss to property at the location in which you are a tenant, we will pay for additional rental expense incurred by you for a period of up to 365 days up to the limit shown in the Schedule.

Additional rental expense means the difference between the monthly rent you were paying prior to the loss and the monthly rent you are paying at your new replacement location. If the area being occupied at the new location is greater than that at the old location, the additional rental expense to be paid will be pro-rated, with the proportion of the square footage of the old location to the square footage of the new location being applied to the additional rental expense incurred.

The most we will pay for loss under this Additional Coverage is the limit shown in the Schedule.

Water Damage, Other Liquids, Powder Or Molten Material Damage

If shown as included in the Schedule, and loss or damage caused by or resulting from covered water or other liquid, powder or molten material occurs, we will also pay the cost to tear out and replace any part of the building or structure to repair damage to the system or appliance from which the water or other substance escapes.

We will not pay the cost to repair any defect that caused the loss or damage, but we will pay the cost to repair or replace damaged parts of fire extinguishing equipment if the damage:

1. Results in discharge of any substance from an automatic fire protection system; or
2. Is directly caused by freezing.

E. COVERAGE EXTENSIONS

Paragraph **A. Coverage, 6. Coverage Extensions** does not apply and is replaced by the following:

Coverage Extensions

In addition to the Limits of Insurance of **SECTION I — PROPERTY**, you may extend the insurance provided by this policy as stated below.

Except as otherwise provided, the following Coverage Extensions apply to property located in or on the building described in the Declarations or in the open (or in a vehicle) within 1,000 feet of the described premises.

Unless otherwise stated in a specific Coverage Extension in this endorsement, the following Coverage Extensions:

1. Are in addition to the Building and Business Personal Property Limits of Insurance shown in the Declarations;
2. Apply to each described premises on a per occurrence basis; and
3. Are subject to the **DEDUCTIBLES** provision of this endorsement.

Unless otherwise stated in a specific Coverage Extension in this endorsement, all loss under the Crime Related Coverage Extensions, Consequential Loss coverage and Money and Securities coverages shown in the schedule:

a. Caused by one or more persons; or
b. Involving a single act or series of related acts;

is considered one occurrence.

Additional Costs

If a limit is shown in the Schedule and you have the applicable Building or Business Personal Property coverage, you may extend the insurance provided by this Coverage Form to pay for Additional Costs as a result of direct physical loss or damage to buildings at described premises caused by or resulting from a Covered Cause of Loss.

1. Additional Costs mean only the following actual and necessary additional expenses you have paid over and above the estimated completed cost of any building or structure covered by this Coverage Extension:
   a. Additional real estate broker fees or commission;
   b. Additional architect, engineering and consulting fees other than fees and costs billed by and payable to independent or public adjusters or any of their affiliated entities;
   c. Additional legal or accounting fees; and
   d. Additional advertising and promotional expenses.
2. This Coverage Extension does not apply to:
   a. Claim Expenses; or
   b. Ordinance Or Law.

3. We will pay any covered loss of Additional Costs only for that period of time that:

   a. Begins on the date of the Covered Cause of Loss; and

   b. Ends on the date when the property at the described premises should be repaired, rebuilt or replaced with reasonable speed and similar quality.

The most we will pay under this Coverage Extension is the limit shown in the Schedule.

Appurtenant Structures

1. When there is Building Limit of Insurance shown in the Declarations at the described premises, and a limit is shown in the Schedule, you may extend the insurance provided by this Coverage Form to apply to direct physical loss or damage to incidental appurtenant structures within 1,000 feet of the described premises, caused by or resulting from a Covered Cause of Loss.
2. When there is a Business Personal Property Limit of Insurance shown in the Declarations at the described premises, and a limit is shown in the Schedule, you may extend the insurance provided by this Coverage Form to apply to direct physical loss or damage to Business Personal Property within incidental appurtenant structures within 1,000 feet of the described premises, caused by or resulting from a Covered Cause of Loss.
3. Incidental appurtenant structures include storage buildings, carports, garages and similar structures which have not been specifically described in the Declarations.

The most we will pay for loss or damage under this Coverage Extension for any combination of loss or damage to Building and Business Personal Property is the limit shown in the Schedule.

Arson, Theft and Vandalism Rewards

(This provision does not apply in New York)

If a limit is shown in the Schedule and you have the applicable Building or Business Personal Property coverage, we will pay for rewards given to any person or persons other than you; your officers; your partners or “members”; your “managers”; your employees; or public police, or fire officials for information leading to a conviction in connection with:

1. A fire loss to the described premises caused by arson;
2. An actual or attempted theft of “money”, “securities”, or Covered Property; or
3. A vandalism loss to the described premises.

The conviction must involve a covered loss caused by arson, theft or vandalism.

The most we will pay under this Coverage Extension is the limit shown in the Schedule, or the amount of the claim, whichever is less. This is the most we will pay regardless of the number of persons who provided information.

Back-Up Of Sewers And Drains

If a limit is shown in the Schedule and you have the applicable Building or Business Personal Property coverage, you may extend the insurance provided by this Coverage Form to pay for direct physical loss or damage to Covered Property caused by:

1. Water or waterborne material which backs up through or overflows or is otherwise discharged from a sewer or drain; or
2. Water or waterborne material which overflows or is otherwise discharged from a sump, sump pump or related equipment, even if the overflow or discharge results from mechanical breakdown of a sump pump or its related equipment;

provided such back up, overflow or discharge is not induced by flood or flood-related conditions.

The aforementioned references to flood include surface water, waves (including tidal wave and tsunami), tides, tidal water, and overflow of any body of water, or spray from any of these, all whether or not driven by wind (including storm surge).

For purposes of this Coverage Extension, drain does not include a roof drain, gutter, downspout or similar above ground drainage fixture or equipment.

With respect to Paragraph **2.** above, we will not pay the cost of repairing or replacing a sump pump or its related equipment in the event of mechanical breakdown.

This Coverage Extension does not apply to loss or damage resulting from:

1. An insured's failure to perform routine maintenance or repair necessary to keep a sewer or drain or a sump, sump pump or related equipment free from obstruction or in proper working condition; or
2. Sudden mechanical breakdown of a sump pump or its related equipment, unless this policy is endorsed to cover equipment breakdown at the described premises; or
3. Sump pump failure which is caused by or results from failure of power, unless this policy is endorsed to cover power failure affecting the described premises.

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The most we will pay for loss or damage to any combination of Covered Property, "business income" and "extra expense" under this Coverage Extension is the limit shown in the schedule.

To the extent that the **Water** exclusion of **SECTION I – PROPERTY,** Paragraph **B. Exclusions** might conflict with the coverage provided under this Coverage Extension, the **Water** exclusion does not apply to such coverage.

The limit shown in the Schedule is the annual aggregate limit per location and as such is the most we will pay for the loss or damage to any combination of Covered Property, "business income" and "extra expense" caused by all occurrences in a 12-month period (starting with the beginning of the present annual policy period), regardless of the number of occurrences during that period of time. Thus, if the first occurrence does not exhaust the applicable Back-up Of Sewers And Drains limit, then the balance of that limit is available for a subsequent occurrence. If an occurrence begins during one annual policy period and ends during the following annual policy period, any Back-up Of Sewers And Drains limit applicable to the following annual policy period will not apply to that occurrence.

This Coverage Extension is not flood insurance. We will not pay for direct physical loss or damage from water that backs up or overflows or is otherwise discharged from a sewer, drain, sump, sump pump or related equipment caused directly or indirectly by flood whether or not the flood contributes concurrently or in any sequence to the loss. This applies regardless of the proximity of the flood to Covered Property.

Flood includes surface water, waves (including tidal wave and tsunami), tides, tidal water, and overflow of any body of water, or spray from any of these, all whether or not driven by wind (including storm surge).

Blanket Additional Coverage

If a limit is shown in the Schedule, you may extend the insurance provided by this Coverage Form to apply to a Blanket Additional Coverage Limit of Insurance, which applies at each described premises to the sum of all covered losses under the coverages described below. You may allocate this limit among the coverages as you desire.

The most we will pay for loss or damage to any combination of Covered Property, "business income" and "extra expense" under the Blanket Additional Coverage is the limit shown in the Schedule.

The Blanket Additional Coverage consists of the following coverages:

1. Accounts Receivable

Within the Blanket Additional Coverage Limit of Insurance, we will pay for direct physical loss or damage to your records of "accounts receivable" at the described premises caused by or resulting from a Covered Cause of Loss.

For "accounts receivable" not at the described premises, the most we will pay is up to the sublimit shown in the Schedule unless you give us written notice within 10 days after removal of your records of "accounts receivable" because of imminent danger of loss. We will pay for loss while they are:

a. At a safe place away from your described premises.

b. Being taken to and returned from that place.

This off-premises "accounts receivable" sublimit is included in and not in addition to the Blanket Additional Coverage limit.

Paragraph **B. Exclusions** in **SECTION I – PROPERTY**, does not apply to this Coverage Extension except for:

a. Governmental Action exclusion;

b. Nuclear Hazard exclusion;

c. War And Military Action exclusion;

d. Dishonesty exclusion;

e. False Pretense exclusion;

f. Weather Conditions exclusion;

g. Acts Or Decisions exclusion;

h. Negligent Work exclusion; and

i. Accounts Receivable Exclusion.

2. Consequential Loss

Within the Blanket Additional Coverage Limit of Insurance, if a Covered Cause of Loss occurs to covered "stock", we will pay any reduction in value of the remaining undamaged parts of damaged "stock".

The most we will pay for loss in any one occurrence is the sublimit shown in the Schedule.

3. Money and Securities

Within the Blanket Additional Coverage Limit of Insurance, we will pay for loss of your "money" and "securities" used in your business while:

a. Inside the "premises" or "banking premises":

(1) Resulting directly from "theft" committed by a person present inside such "premises" or "banking premises"; or

(2) Resulting directly from disappearance or destruction.

The most we will pay for loss in any one occurrence is the limit shown in the Schedule.

b. Outside the "premises" in the care and custody of a "messenger" or an armored motor vehicle company resulting directly from "theft", disappearance or destruction.

The most we will pay for loss in any one occurrence is the sublimit shown in the Schedule.

For purposes of this Coverage Extension, an occurrence means:

a. An individual act or event;

b. The combined total of all separate acts or events whether or not related; or

c. A series of acts or events whether or not related;

committed by a person acting alone or in collusion with other persons, or not committed by any person, during the policy period shown in the Declarations.

This Coverage Extension does not cover:

a. Acts by you, your partners or "members" or of "employees", "managers", directors, trustees or authorized representatives:

(1) Whether acting alone or in collusion with other persons; or

(2) While performing services for you or otherwise.

b. Loss that is an indirect result of an occurrence covered by this Coverage Extension including, but not limited to loss resulting from:

(1) Your inability to realize income that you would have realized had there been no loss of or damage to "money" or "securities";

(2) Payment of damages of any type for which you are legally liable;

(3) Payment of costs, fees or other expenses you incur in establishing either the existence or the amount of loss under this insurance.

c. Loss resulting from accounting or arithmetical errors or omissions.

d. Loss resulting from the giving or surrendering of property in any exchange or purchase.

e. Loss of property contained in any money operated device unless the amount of "money" deposited in it is recorded by a continuous recording instrument in the device.

f. Fees, costs and expenses incurred by you which are related to any legal action.

You must keep records of all "money" and "securities" so we can verify the amount of any loss or damage.

4. Valuable Papers And Records Cost Of Research

Within the Blanket Additional Coverage Limit of Insurance, we will pay for direct physical loss or damage to your "valuable papers and records" or those in your care, custody or control at the described premises caused by or resulting from a Covered Cause of Loss. This Coverage Extension includes the cost to research, replace, or restore the lost information on lost or damaged "valuable papers and records", for which duplicates do not exist.

For "valuable papers and records" not at the described premises, the most we will pay is the sublimit shown in the Schedule. This off-premises "valuable papers and records" sublimit is included in and not in addition to the Blanket Additional Coverage limit.

Loss or damage to "valuable papers and records" will be valued at the cost of restoration or replacement of the lost or damaged information. To the extent that the contents of the "valuable papers and records" are not restored, the "valuable papers and records" will be valued at the cost of replacement with blank materials of substantially identical type.

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Paragraph **B. Exclusions** in **SECTION I – PROPERTY**, does not apply to this Coverage Extension except for:

a. **Governmental Action** exclusion;

b. **Nuclear Hazard** exclusion;

c. **War And Military Action** exclusion;

d. **Dishonesty** exclusion;

e. **False Pretense** exclusion;

f. **Errors Or Omissions** exclusion;

g. **Weather Conditions** exclusion;

h. **Acts or Decisions** exclusion; and

i. **Negligent Work** exclusion.

Claim Expenses

If a limit is shown in the Schedule and you have the applicable Building or Business Personal Property coverage, you may extend the insurance provided by this Coverage Form to apply to necessary and reasonable expenses you incur at our specific request to assist us in:

1. The investigation of a claim; or

2. The determination of the amount of loss, such as taking inventory or auditing business records.

We will not pay for:

1. Any expenses incurred, directed or billed by or payable to attorneys, insurance adjusters or their associates or subsidiaries.

2. Any costs incurred due to the Loss Condition Appraisal.

3. Any expenses incurred, directed or billed by or payable to insurance agents or brokers or their associates or subsidiaries.

The most we will pay under this Coverage Extension is the limit shown in the Schedule.

Commercial Tools And Small Equipment

1. If a limit is shown in the Schedule and you have the applicable Business Personal Property coverage, you may extend the insurance provided by this Coverage Form to apply to direct physical loss or damage to commercial tools and small equipment, including communication devices and diagnostic equipment, usual to your business operations, away from the described premises, which are:

a. Your property;

b. The property of others in your care, custody or control; or

c. Your employees tools which are used in connection with your operations.

but only if such loss or damage is caused by or results from a Covered Cause of Loss or is caused by flood, earthquake or landslide away from the described premises.

2. In addition to the items listed within Paragraph **B. Property Not Covered**, we will not pay for any loss to the following property:

a. Watercraft or watercraft parts and equipment;

b. Commercial tools and small equipment that are permanently mounted to a vehicle, including trailers;

c. Tires or tire tubes, attached or unattached, for use with commercial tools and small equipment, unless the loss or damage is caused by “theft”, malicious mischief, or the result of a “specified cause of loss”; or

d. Any property while underground, airborne or waterborne.

3. We will not pay for any loss caused by or resulting from:

a. Any repair, adjusting, servicing, testing or maintenance process unless fire or explosion ensues, then only for the loss caused by such ensuing fire or explosion;

b. “Theft” from an unattended vehicle including loss:

(1) From inside a vehicle, including trailers or from a permanently mounted toolbox, except when:

(a) Securely locked;

(b) There is visible evidence that entry was forced; and

(c) Its windows were fully closed; or

(2) While items are placed on the exterior of an unattended vehicle, including trailers, unless the item:

(a) Was secured;

(b) Was protected by privacy locks; and

(c) There is visible evidence that removal was accomplished by force.

4. The most we will pay for any loss or damage to any combination of Covered Property, "business income" and "extra expense" under this Coverage Extension is the limit shown in the Schedule but not more than the limit for any one tool shown in the Schedule and not more than the limit for any one tool box or piece of small equipment shown in the Schedule.

Credit Card Slips

If a limit is shown in the Schedule and you have the applicable Business Personal Property Coverage, you may extend the insurance provided by this Coverage Form, to loss of or damage to credit card slips while located at the described premises as the result of a Covered Cause of Loss.

It is your responsibility to demonstrate the amount of the loss under this Coverage Extension. If you are unable to conclusively demonstrate the amount of loss, the amount of the loss will be determined as follows:

1. If you have been in business for more than twelve months at the location of the loss, one-thirtieth (1/30) of the average monthly amount of credit card slips will be considered as average daily credit card slips for that location.

   The twelve months immediately preceding the discovery of the loss will be used to determine the average monthly amount.
2. If you have been in business for less than twelve months at the location of the loss, the average daily credit card slips shall be one-thirtieth (1/30) of the average monthly amount of credit card slips for the number of months you have been in business at that location.
3. The average daily credit card slips will be multiplied by the number of days for which slips are lost to determine the amount of the loss subject to the maximum limit indicated below.
4. The most we will pay as a result of loss or damage to credit card slips under this Coverage Extension is the limit shown in the Schedule.

Deferred Payments

If a limit is shown in the Schedule and you have the applicable Business Personal Property coverage, you may extend the insurance provided by this Coverage Form to cover your interest in lost or damaged personal property, caused by or resulting from a Covered Cause of Loss, sold by you under a conditional sale or trust agreement or any installment or deferred payment plan after delivery to buyers.

The most we will pay for loss or damage under this Coverage Extension is the limit shown in the Schedule.

When loss occurs and the buyer continues to pay you, there will be no loss payment.

In the event of loss or damage covered by this Coverage Extension:

1. When a total loss to that property occurs, deferred payments are valued on the amount shown on your books as due from the buyer.
2. When a partial loss to that property occurs and the buyer refuses to continue payment, forcing you to repossess, deferred payments are valued as follows:
   a. If the realized value of the repossessed property is greater than or equal to the amount shown on your books as due from the buyer, we will make no payment; but
   b. If the realized value of the repossessed property is less than the amount shown on your books as due from the buyer, we will pay the difference.

Employee Dishonesty

1. If a limit is shown in the Schedule and you have the applicable Business Personal Property Coverage, you may extend the insurance provided by this Coverage Form to direct loss of or damage to Business Personal Property and "money" and "securities" resulting from dishonest acts committed by any of your employees acting alone or in collusion with other persons (except you or your partner) with the manifest intent to:
   a. Cause you to sustain loss or damage; and also

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b. Obtain financial benefit (other than salaries, commissions, fees, bonuses, promotions, awards, profit sharing, pensions or other employee benefits earned in the normal course of employment) for:

(1) Any employee; or

(2) Any other person or organization.

2. We will not pay for loss or damage:

a. Resulting from any dishonest or criminal act that you or any of your partners or "members" commit whether acting alone or in collusion with other persons.

b. Resulting from any dishonest act committed by any of your employees (except as provided in the paragraphs above) "managers" or directors:

(1) Whether acting alone or in collusion with other persons; or

(2) While performing services for you or otherwise.

c. The only proof of which as to its existence or amount is:

(1) An inventory computation; or

(2) A profit and loss computation.

d. Caused by an employee if the employee had also committed theft or any other dishonest act prior to the effective date of this policy and you or any of your partners, "members", "managers", officers, directors or trustees, not in collusion with the employee, learned of that theft or dishonest act prior to the policy period shown in the Declarations.

3. The most we will pay for loss or damage in any one occurrence is the limit shown in the Schedule for Employee Dishonesty.

4. If any loss is covered:

a. Partly by this insurance; and

b. Partly by any prior cancelled or terminated insurance that we or any affiliate had issued to you or any predecessor in interest.

the most we will pay is the larger of the amount recoverable under this insurance or the prior insurance.

We will pay only for loss or damage you sustain through acts committed or events occurring during the policy period. Regardless of the number of years this policy remains in force or the number of premiums paid, no limit of insurance in the Schedule cumulates from year to year or period to period.

5. This Coverage Extension is cancelled as to any employee immediately upon discovery by:

a. You; or

b. Any of your partners, "members", "managers", officers or directors not in collusion with the employee;

of any dishonest act committed by that employee before or after being hired by you.

6. We will pay only for covered loss or damage sustained during the policy period and discovered no later than one year from the end of the policy period.

7. If you (or any predecessor in interest) sustained loss or damage during the policy period of any prior insurance that you could have recovered under that insurance except that the time within which to discover loss or damage had expired, we will pay for it under this Coverage Extension, provided:

a. This Coverage Extension became effective at the time of cancellation or termination of the prior insurance; and

b. The loss or damage would have been covered by this Coverage Extension had it been in effect when the acts or events causing the loss or damage were committed or occurred.

8. The insurance under the Paragraph **7.** above is part of, not in addition to, the limit of insurance shown in the Schedule applying to this Coverage Extension and is limited to the lesser of the amount recoverable under:

a. This Coverage Extension as of its effective date; or

b. The prior insurance had it remained in effect.

9. The most we will pay under this Coverage Extension is the limit shown in the Schedule for any one occurrence.

Expediting Expenses

If a limit is shown in the Schedule and you have the applicable Building coverage, you may extend the insurance provided by this Coverage Form to apply to necessary and reasonable expenses you incur to make temporary repairs, expedite permanent repairs, or expedite permanent replacement, at the described premises if the described premises has sustained direct physical loss or damage caused by a Covered Cause of Loss.

Expediting expenses include overtime wages and the extra cost of express or other rapid means of transportation.

Expediting expenses do not include expenses you incur for the temporary rental of property or temporary replacement of damaged property.

The most we will pay under this Coverage Extension is the limit shown in the Schedule.

Fire Department Service Charge

If a limit is shown in the Schedule and you have the applicable Building or Business Personal Property coverage, you may extend the insurance provided by this Coverage Form to apply when the Fire Department is called to save or protect Covered Property from direct physical loss or damage caused by or resulting from a Covered Cause of Loss, we will pay for your liability for fire department service charges:

1. Assumed by contract or agreement prior to loss; or

2. Required by local ordinance.

The most we will pay under this Coverage Extension is the limit shown in the Schedule. The limit shown in the Schedule is the most we will pay regardless of the number of responding fire departments or fire units and the number or type of services performed.

Fire Extinguisher Systems Recharge Expense

1. If a limit is shown in the Schedule and you have the applicable Building or Business Personal Property coverage, we will pay:

   a. The lesser of the cost to recharge or replace your fire extinguishers and fire extinguishing systems (including hydrostatic testing if needed) if they are discharged on or within 1,000 feet of the described premises; and

   b. For loss or damage to Covered Property if such loss or damage is the result of an accidental discharge of chemicals from a fire extinguisher or a fire extinguishing system.

2. No coverage will apply if the fire extinguishing system is discharged during installation or testing.

3. The most we will pay under this Coverage Extension is the actual cost/loss sustained.

Forgery Or Alterations

If a limit is shown in the Schedule and you have the applicable Business Personal Property coverage, you may extend the insurance provided by this Coverage Form to apply to loss that you sustain resulting directly from “forgery” or alteration of checks, drafts, promissory notes, or similar written promises, orders or directions to pay a sum certain in “money” that are:

1. Made or drawn by or drawn upon you; or

2. Made or drawn by one acting as your agent;

or that are purported to have been so made or drawn.

For the purposes of this Coverage Extension – Forgery Or Alterations, a substitute check as defined in the “Check Clearing for the 21st Century Act” shall be treated the same as the original it replaced.

If you are sued for refusing to pay any instrument covered above on the basis that it has been forged or altered, and you have our written consent to defend against the suit, we will pay for any reasonable legal expenses that you incur and pay in that defense.

The most we will pay for any occurrence, including legal expenses, under this Coverage Extension – Forgery Or Alterations is the limit shown in the Schedule.

We will treat signatures that are produced or reproduced electronically, mechanically or by other means the same as handwritten signatures.

You must include with your proof of loss any instrument involved in that loss, or if that is not possible, an affidavit setting forth the amount and cause of loss.

This Coverage Extension – Forgery Or Alterations is for your benefit only. It provides no rights or benefits to any other person or organization. Any claim for loss that is covered under this Coverage Extension – Forgery Or Alterations must be presented by you.

This Coverage Extension – Forgery Or Alterations does not cover:

1. Acts by you, your partners or "members" or of "employees", "managers", directors, trustees or authorized representatives:
   a. Whether acting alone or in collusion with other persons; or
   b. While performing services for you or otherwise.
2. Loss that is an indirect result of an occurrence covered by this Coverage Extension – Forgery Or Alterations including but not limited to loss resulting from:
   a. Your inability to realize income that you would have realized had there been no loss of or damage to "money", "securities", or "other property";
   b. Payment of damages of any type for which you are legally liable. But, we pay compensatory damages arising directly from a loss covered under this Coverage Extension – Forgery Or Alterations; or
   c. Payment of costs, fees or other expenses you incur in establishing either the existence or the amount of loss under this Coverage Extension – Forgery Or Alterations.
3. Fees, costs and expenses incurred by you which are related to any legal action except when covered above.

The most we will pay under this Coverage Extension is the limit shown in the Schedule for any one occurrence.

Glass Expenses

If shown as Included in the Schedule and you have the applicable Building or Business Personal Property coverage, you may extend the insurance provided by this Coverage Form to apply to direct physical loss or damage to Covered Property caused by or resulting from a Covered Cause of Loss that results in loss or damage to building glass, we will pay for glass expenses incurred to:

1. Repair and replace frames immediately encasing and contiguous to such glass when necessary because of such damage;
2. Install temporary plates in or board up openings containing such glass when necessary because of unavoidable delay in repairing or replacing such damaged glass;
3. Remove or replace any obstructions other than window displays, when necessary in replacing such damaged glass, lettering or ornamentation; and
4. Repair or replace damage to or destruction of the lettering and ornamentation of glass including loss caused by chemicals accidentally or maliciously applied.

This Coverage Extension is included within the Building and/or Business Personal Property Limit of Insurance shown in the Declarations.

Installation Property

1. If a limit is shown in the Schedule and you have the applicable Business Personal Property coverage, you may extend the insurance provided by this Coverage Form to apply to direct physical loss or damage to "installation property" while:
   a. At a premises, other than a described premises, where you or subcontractors working for you are performing operations;
   b. At any temporary storage location you do not own, lease or operate; or
   c. While in transit;

   but only if such loss or damage is caused by or results from a Covered Cause of Loss or is caused by flood, earthquake or landslide.
2. "Installation property" means your property and property of others for which you are liable or in which you have an interest, which is intended for installation, such as, but not limited to materials, supplies, fixtures, machinery and equipment and including labor or services furnished in connection with the installation.
3. This Coverage Extension does not apply to commercial tools and small equipment which is covered under the Commercial Tools And Small Equipment Coverage Extension.
4. The most we will pay for any loss or damage to any combination of Covered Property, "business income" and "extra expense" under this Coverage Extension is the limit shown in the Schedule.

Lessor's Tenant Move Expenses

1. If a limit is shown in the Schedule and you have the applicable Building coverage, in the event that your tenants must temporarily vacate the covered Building at the described premises due to untenantability as a result of direct physical loss of or damage to property at the described premises, and such loss or damage is caused by or resulting from a Covered Cause of Loss sustained by you, we will pay the expenses, as described in Paragraph **2.** directly below, that you incur to move those tenants out of and back into your covered Building.
2. We will only pay for the following expenses that are documented, reasonable and necessary:
   a. Packing, transporting and unpacking your tenants' personal property including the cost of insuring the move out and back and any necessary disassembly and reassembly or setup of furniture and equipment; and
   b. The net cost to discontinue and re-establish your tenants' utility and telephone services, after any refunds due the tenants.
3. We will only pay for your incurred expenses up to the number of consecutive days shown in the Schedule after your building has been repaired or rebuilt.
4. The most we will pay under this Additional Coverage, regardless of the number of tenants that must temporarily vacate the covered Building at the described premises, is the limit shown in the Schedule.
5. This Additional Coverage does not apply if the tenant or lawful occupant has insurance that has paid or will be paying for the move expenses.
6. This Additional Coverage is not excess to any other insurance.

Money Orders And Counterfeit Money

If a limit is shown in the Schedule and you have the applicable Business Personal Property coverage, we will pay for loss resulting directly from your having accepted in good faith, in exchange for merchandise "money" or services:

1. Money orders issued by any post office, express company or bank that are not paid upon presentation; or
2. "Counterfeit money" that is acquired during the regular course of business.

This Coverage Extension does not cover:

1. Acts by you, your partners or "members" or of "employees", "managers", directors, trustees or authorized representatives:
   a. Whether acting alone or in collusion with other persons; or
   b. While performing services for you or otherwise.
2. Loss that is an indirect result of an occurrence covered by this Coverage Extension including, but not limited to loss resulting from:
   a. Your inability to realize income that you would have realized had there been no loss of or damage to "money" or "securities";
   b. Payment of damages of any type for which you are legally liable; or
   c. Payment of costs, fees or other expenses you incur in establishing either the existence or the amount of loss under this insurance.
3. Loss resulting from accounting or arithmetical errors or omissions.
4. Loss resulting from the giving or surrendering of property in any exchange or purchase.
5. Loss of property contained in any money operated device unless the amount of "money" deposited in it is recorded by a continuous recording instrument in the device.
6. Fees, costs and expenses incurred by you which are related to any legal action.

For purposes of this Coverage Extension, an occurrence means:

1. An individual act or event;
2. The combined total of all separate acts or events whether or not related; or
3. A series of acts or events whether or not related;

committed by a person acting alone or in collusion with other persons, or not committed by any person, during the policy period shown in the Declarations.

The most we will pay for any one loss under this Coverage Extension is the limit shown in the Schedule.

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Newly Acquired or Constructed Property

If a limit is shown in the Schedule and you have the applicable Building or Business Personal Property coverage, you may extend the insurance provided by this Coverage Form to apply as follows:

1. When a Building Limit of Insurance is shown in the Declarations, you may extend the insurance that applies to Building to apply to:

a. Your new buildings while being built on the described premises; and

b. Buildings you acquire at premises, other than the described premises, intended for:

(1) Similar use as the building described in the Declarations; or

(2) Use as a warehouse.

The most we will pay for loss or damage under this Coverage Extension is the limit shown in the Schedule for each newly acquired property.

2. When a Business Personal Property Limit of Insurance is shown in the Declarations, you may extend the insurance that applies to your Business Personal Property to apply to Business Personal Property, including such property that you newly acquire, at any location you acquire other than at fairs or exhibitions.

The most we will pay for loss or damage under this Coverage Extension is the limit shown in the Schedule for each newly acquired property.

3. Insurance under this Coverage Extension for each newly acquired or constructed property will end when any of the following first occurs:

a. This policy expires;

b. The number of days shown in the Schedule after you acquire or begin to construct the property; or

c. You report values to us.

We will charge you additional premium for values reported from the date construction begins or you acquire the property.

Off Premises Utility Services Direct Damage

If a limit is shown in the Schedule and you have the applicable Building or Business Personal Property coverage, you may extend the insurance provided by this Coverage Form to apply to loss or damage to Covered Property caused by the interruption of utility services to the described premises. The interruption must result from direct physical loss or damage by a Covered Cause of Loss to the following types of utility service property not located on the described premises:

1. Water Supply Services meaning the following types of property supplying water to the described premises:

a. Pumping stations; and

b. Water mains.

2. Communication Supply Services, meaning property supplying communication services, including telephone, radio, microwave or television services to the described premises, such as:

a. Communication transmission lines, including optic fiber transmission lines;

b. Coaxial cables; and

c. Microwave radio relays except satellites.

Communication Supply Services property does not include overhead transmission lines.

3. Power Supply Services, meaning the following types of property supplying electricity, steam or gas to the described premises:

a. Utility generating plants;

b. Switching stations;

c. Substations;

d. Transformers; and

e. Transmission lines and distribution lines.

Power Supply Services property does not include overhead transmission lines.

As used in this Coverage Extension, the terms transmission lines and distribution lines includes all lines which serve to transmit communication service or power except for overhead transmission lines.

Coverage under this coverage extension does not apply to loss or damage related to interruption in utility service that causes loss or damage to “electronic data”, including destruction or corruption of “electronic data.”

To the extent that the **Utility Services** exclusion of **SECTION I – PROPERTY,** Paragraph **B. Exclusions** might conflict with the coverage provided under this Additional Coverage, the **Utility Services** exclusion does not apply.

The most we will pay for loss or damage under this Coverage Extension is the limit shown in the Schedule.

Outdoor Property

If a limit is shown in the Schedule and you have the applicable Building or Business Personal Property coverage, you may extend the insurance provided by this Coverage Form to apply to direct physical loss or damage, including debris removal expense, to the following outdoor property owned or leased by you caused by or resulting from a Covered Cause of Loss:

1. Outdoor fences;
2. Outdoor signs and flagpoles whether or not attached to buildings;
3. Outdoor lights, whether or not attached to buildings; and
4. Radio and television receiving equipment including loss or damage to your radio and television antennas, satellite dishes and similar audio/visual receiving equipment, their lead-in wiring, masts or towers.

However, this Coverage Extension does not apply to loss or damage caused by windstorm, hail, weight of snow, ice, sleet, freezing or thawing.

The most we will pay including debris removal expense, for loss or damage to any combination of Covered Property, "business income" and "extra expense", under this Coverage Extension is the limit shown in the Schedule.

Outdoor Trees, Shrubs And Plants

If a limit is shown in the Schedule and you have the applicable Building or Business Personal Property coverage, you may extend the insurance provided by this Coverage Form, including debris removal expense, to apply to loss of your outdoor trees, shrubs and plants, caused by or resulting from a Covered Cause of Loss other than windstorm, hail, or weight of snow, ice or sleet. The most we will pay for loss or damage under this Coverage Extension is the limit shown in the Schedule, but not more than the limit in the Schedule for any one tree, shrub or plant.

Subject to all aforementioned terms and limitations of coverage, this Coverage Extension includes the expense of removing from the described premises the debris of trees, shrubs and plants which are the property of others, except in the situation which you are a tenant and such property is owned by the landlord of described premises.

Personal Effects

If a limit is shown in the Schedule and you have the applicable Business Personal Property coverage, you may extend the insurance that applies to Your Business Personal Property to apply to direct physical loss or damage to personal effects owned by you, your officers, your partners or "members", your "managers" or your employees caused by or resulting from a Covered Cause of Loss.

The most we will pay for loss or damage under this Coverage Extension is the limit shown in the Schedule.

Each loss for personal effects owned by any one individual is subject to a $100 deductible.

Property In Transit (Including F.O.B. Shipments)

1. If a limit is shown in the Schedule and you have the applicable Business Personal Property coverage, you may extend the insurance provided by this Coverage Form to apply to direct physical loss or damage to personal property used in your business that is in transit at your risk more than 1,000 feet from the described premises caused by or resulting from a Covered Cause of Loss or caused by flood, earthquake or landslide.

   We cover property shipped:

   a. By any type of carrier you do not own, lease, or operate; or
   b. In or on any vehicle you own, lease, or operate.
2. We will also pay for loss or damage to property you ship on a F.O.B., meaning Free on Board, basis if you cannot collect the loss from the consignee. But we will only pay the amount of your interest in the property.

3. This Coverage Extension does not apply to:

a. Personal Property At Unnamed Premises Within The Coverage Territory;

b. Salesperson's Samples;

c. Commercial Tools And Small Equipment; or

d. Installation Property;

which are covered under separate Coverage Extensions.

4. The most we will pay for loss or damage to any combination of Covered Property, "business income" and "extra expense" under this Coverage Extension is the limit shown in the Schedule.

Personal Property At Unnamed Premises Within the Coverage Territory

If a limit is shown in the Schedule and you have the applicable Business Personal Property coverage, you may extend the insurance provided by this Coverage Form to apply to direct physical loss or damage to your Business Personal Property and Personal Property of Others while at an "unnamed premises" caused by or resulting from a Covered Cause of Loss.

For this Coverage Extension, "unnamed premises" means locations:

1. Owned, leased or operated by you; or

2. Not owned, leased or operated by you, where Your Business Personal Property or Personal Property of Others in your care, custody or control is located, including fairs, trade shows or exhibitions;

that are within the Coverage Territory and not described in the Declarations.

This Coverage Extension does not apply to:

1. Commercial Tools And Small Equipment;

2. Installation Property;

3. Newly Acquired Or Constructed Property;

4. Personal Effects;

5. "Portable Computers";

6. Property In Transit; and

7. Salesperson's Samples;

which are covered under separate Coverage Extensions.

The most we will pay for loss or damage to any combination of Covered Property, "business income" and "extra expense" under this Coverage Extension is the limit shown in the Schedule.

Salesperson's Samples

1. You may extend the insurance provided by the Coverage Form to apply to direct physical loss or damage to samples of your "stock" in trade including containers while:

a. In the custody of your sales representative, agent or any employee who travels with sales samples;

b. In your custody while you are acting as a sales representative; or

c. In transit between premises that you own, lease or operate and your sales representative;

but only if such loss or damage is caused by or results from a Covered Cause of Loss.

2. We will not pay for any loss to the following property:

a. Property which has been sold;

b. "Money" and "securities", "valuable papers and records" or "accounts receivable";

c. Jewelry, precious or semi-precious stones, gold, silver, platinum, or other precious metals or alloys;

d. Furs, fur garments or garments trimmed with fur; or

e. Any property while waterborne.

3. We will not pay for any loss or damage caused by "theft" from an unattended vehicle including:

a. Loss from inside a vehicle, including trailers, or from a permanently mounted exterior toolbox except when:

(1) Securely locked;

(2) There is visible evidence that entry was forced; and

(3) Its windows were fully closed; or

b. While items are placed on the exterior of an unattended vehicle, including trailers, unless the item:

(1) Was secured;

(2) Was protected by privacy locks; and

(3) There is visible evidence that removal was accomplished by force.

4. The most we will pay for any loss or damage to any combination of Covered Property, "business income" and "extra expense" under this Coverage Extension is the limit shown in the Schedule.

Tenant Building And Business Personal Property Coverage Required By Lease

If a limit is shown in the Schedule and you have the applicable Building or Business Personal Property coverage, you may extend the insurance provided by this Coverage Form to apply to direct physical loss or damage to Building and Business Personal Property for which you have a contractual responsibility to insure caused by or resulting from a Covered Causes of Loss, provided that the loss or damage occurs subsequent to the execution of the contract and you are a tenant in the building at the time of loss or damage to that building (or to the business personal property at that building). This includes building fixtures, machinery and equipment that you are contractually responsible to insure.

The most we will pay for loss or damage under this Coverage Extension is the limit shown in the Schedule.

Unauthorized Business Card Use

If a limit is shown in the Schedule and you have the applicable Building or Business Personal Property coverage, you may extend the insurance provided by this Coverage Form to apply to loss and related actually incurred costs resulting from the theft or unauthorized use of your business credit, debit or charge cards issued in your business name and used solely for business purposes.

We will not pay for the theft or unauthorized use by employees of business credit, debit or charge cards or when such cards have been entrusted to a person other than the person whose name is on the card.

The most we will pay under this Coverage Extension is the limit shown in the Schedule.

F. EXCLUSIONS

Paragraph **B. Exclusions** is amended as follows:

1. The following is added to exclusion **1.a. Ordinance Or Law**:

This exclusion applies except as provided under the Additional Coverage for Ordinance Or Law.

2. The following exclusion is added to Paragraph **B.1.**:

Computer Virus Or Harmful Code

Computer virus, harmful code or similar instruction introduced into or enacted on a computer system, including "electronic data", or a network to which it is connected, designed to damage or destroy any part of the system or disrupt its normal operation.

This exclusion does not apply to the extent that coverage is provided under the coverage for Interruption Of Computer Operations or Electronic Data.

G. LIMITS OF INSURANCE

Paragraph **C. Limits Of Insurance** is amended as follows:

1. Paragraph **C.2.** is deleted and does not apply.

2. Paragraph **C.3.** is deleted and does not apply.

3. Paragraph **C.5. Business Personal Property Limit – Seasonal Increase** does not apply and is replaced by the following:

a. Subject to meeting the requirements outlined in Paragraph **b.** below, the Limit of Insurance for Business Personal Property will increase by the percentage shown in the Schedule to provide for seasonal variations.

b. This increase will apply only if the Limit of Insurance shown for Business Personal Property in the Declarations for the described premises is at least 100% of your average monthly values during the lesser of:

(1) The 12 months immediately preceding the date the loss or damage occurs; or

(2) The period of time you have been in business as of the date the loss or damage occurs.

If Business Personal Property is written on a blanket basis, the blanket limit does not apply to the Business Personal Property Limit Seasonal Increase provision. The seasonal increase percentage is applied to the applicable described premises Business Personal Property limit shown in the Declarations.

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H. DEDUCTIBLES

Paragraph **D. Deductibles** does not apply and is replaced by the following:

1. We will not pay for loss or damage in any one occurrence until the amount of loss or damage exceeds the Deductible shown in the Declarations. We will then pay the amount of loss or damage in excess of the Deductible up to the applicable Limit of Insurance of **SECTION I - PROPERTY**.

2. Regardless of the amount of the Deductible shown in the Declarations, the most we will deduct from any loss or damage under the following Coverage Extensions is $250

- **a.** Blanket Additional Coverage;
- **b.** Deferred Payments;
- **c.** Forgery Or Alterations;
- **d.** Glass Expenses;
- **e.** Money Orders And Counterfeit Paper;
- **f.** Outdoor Property;
- **g.** Outdoor Trees, Shrubs And Plants; and
- **h.** Unauthorized Business Card Use.

3. Regardless of the Deductible shown in the Declarations, we will deduct the greater of the Deductible shown in the Declarations or $1,000 for any loss or damage under the following Coverages:

- **a.** Employee Dishonesty;
- **b.** Salesperson Samples;
- **c.** Commercial Tools And Small Equipment; and
- **d.** Installation Property.

4. Regardless of the Deductible applicable to any Coverage, Additional Coverage, or Coverage Extension, the Deductible shown in the Declarations is the most we will deduct from all loss or damage arising out of one occurrence unless noted elsewhere in this Coverage Form or within this provision.

5. No deductible applies to the following Additional Coverages:

- **a.** “Business income”;
- **b.** “Extra expense”; and
- **c.** Preservation of Property.

6. No deductible applies to the following Coverage Extensions:

- **a.** Arson, Theft And Vandalism Rewards;
- **b.** Claim Expenses;
- **c.** Credit Card Slips;
- **d.** Expediting Expenses;
- **e.** Fire Department Service Charge; and
- **f.** Fire Extinguisher Systems Recharge Expense.

I. OPTIONAL COVERAGES

Paragraph **G. Optional Coverages** does not apply.

J. PROPERTY DEFINITIONS

Paragraph **H. Property Definitions** is amended as follows:

1. Definition **H.9.** “Period of restoration” is deleted and replaced by the following:

9. “Period of restoration” means the period of time that:

- **a.** Begins:
  - **(1)** For “business income”, after the applicable waiting period shown in the Schedule, after the time of direct physical loss or damage caused by or resulting from a Covered Cause of Loss at the described premises or dependent or secondary dependent property; or
  - **(2)** For “extra expense”, immediately after the time of direct physical loss or damage caused by or resulting from a Covered Cause of Loss at the described premises; and
- **b.** Ends on the earlier of:
  - **(1)** The date when the property at the described premises or dependent or secondary dependent property should be repaired, rebuilt or replaced with reasonable speed and similar quality; or
  - **(2)** The date when business is resumed at a new permanent location.
- **c.** Does not include any increased period required due to the enforcement of or compliance with any ordinance or law that:

(1) Regulates the construction, use or repair, or required the tearing down if any property; or

(2) Requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants."

The expiration date of this policy will not cut short the "period of restoration".

2. Definition **H.14**. "Valuable Papers and Records" is deleted and replaced by:

14. "Valuable Papers and Records" means:

a. Inscribed, printed or written:

(1) Documents;

(2) Manuscripts; and

(3) Records,

including abstracts, books, deeds, drawings, films, maps, mortgages, x-ray negatives and prints and patient charts and records.

But "Valuable Papers and Records" does not mean "money" or "securities".

3. The following definitions are added:

"Accounts Receivable" means:

a. All amounts due from customers that you are unable to collect;

b. Interest charges on any loan required to offset amounts you are unable to collect pending our payment of these amounts;

c. Collection expenses in excess of your normal collection expenses that are made necessary by the loss; and

d. Other reasonable expenses that you incur to reestablish your records of "accounts receivable".

"Business Income" means:

a. Net Income (Net Profit or Loss before income taxes) that would have been earned or incurred if no physical loss or damage had occurred, but not including any Net Income that would likely have been earned as a result of an increase in the volume of business due to favorable business conditions caused by the impact of the Covered Cause of Loss on customers or on other businesses; and

b. Continuing normal operating expenses incurred, including payroll.

"Ordinary Payroll Expenses":

a. Means payroll expenses for all your employees, except:

(i) Officers;

(ii) Executives;

(iii) Department Managers;

(iv) Employees under contract; and

(v) Additional Exemptions noted elsewhere in the policy for:

- Job Classifications; or
- Employees

b. Include:

(i) Payroll;

(ii) Employee Benefits, if directly related to payroll;

(iii) FICA payments you pay;

(iv) Union dues you pay; and

(v) Workers' Compensation premiums.

"Extra Expense" means an expense incurred:

a. To avoid or minimize the "suspension" of business and to continue "operations":

(i) At the described premises; or

(ii) At replacement premises or at temporary locations, including relocation expenses, and costs to equip and operate the replacement premises or temporary locations.

b. To minimize the "suspension" of business if you cannot continue "operations".

c. To:

(i) Repair or replace any property; or

(ii) Research, replace or restore the lost information on damaged "valuable papers and records";

to the extent it reduces the amount of loss that otherwise would have been payable under this Additional Coverage or the Additional Coverage for "business income".

"Suspension" means:

a. The partial slowdown or complete cessation of your business activities; or

b. That a part or all of the described premises is rendered untenantable, if coverage for "business income" applies.

4. The following definitions are added to Paragraph **H.** and apply to the Crime Related Coverage Extensions as shown in the Schedule, Consequential Loss coverage and Money and Securities coverages, included in this Coverage Form:

"Banking premises" means the interior of that portion of any building occupied by a banking institution or similar safe depository.

"Custodian" means you or any of your partners or "members" or any "employee" while having care and custody of property inside the "premises", excluding any person while acting as a "watchperson" or janitor.

"Discover" or "discovered" means the time when you first become aware of facts which would cause a reasonable person to assume that a loss of a type covered by this insurance has been or will be incurred, regardless of when the act or acts causing or contributing to such loss occurred, even though the exact amount of details of loss may not then be known.

"Discover" or "discovered" also means the time when you first receive notice of an actual or potential claim in which it is alleged that you are liable to a third party under circumstances which, if true, would constitute a loss under this insurance.

"Employee" means:

a. Any natural person:

(1) While in your service or for the first 30 days immediately after termination of service, unless such termination is due to "theft" or any dishonest act committed by the "employee";

(2) Who you compensate directly by salary, wages or commissions; and

(3) Who you have the right to direct and control while performing services for you.

b. Any natural person who is furnished temporarily to you:

(1) To substitute for a permanent "employee" as defined in Paragraph **a.** above, who is on leave; or

(2) To meet seasonal or short-term work load conditions;

while that person is subject to your direction and control and performing services for you, excluding, however, any such person while having care and custody of property outside the "premises".

c. Any natural person who is leased to you under a written agreement between you and a labor leasing firm, to perform duties related to the conduct of your business, but does not mean a temporary employee as defined in Paragraph **b.** above.

d. Any natural person who is a former "employee", partner, "member", "manager", director or trustee retained as a consultant while performing services for you.

e. Any natural person who is a guest student or intern pursuing studies or duties, excluding, however, any such person while having care and custody of property outside any of the "premises".

f. Any "employee" of an entity merged or consolidated with you prior to the effective date of this policy.

g. Any of your "managers", directors or trustees while:

(1) Performing acts within the scope of the usual duties of an "employee"; or

(2) Acting as a member of any committee duly elected or appointed by resolution of your board of directors of board or trustees to perform specific, as distinguished from general directorial acts on your behalf.

But "employee" does not mean any agent, broker, factor, commission merchant, consignee, independent contractor or representative of the same general character not specified in Paragraphs **a.** through **g.** above.

"Forgery" means the signing of the name of another person or organization with intent to deceive. It does not mean a signature which consists in whole or in part of one's own name signed with or without authority, in any capacity, for any purpose.

"Messenger" means you or a relative of yours or any of your partners or "members" or any "employee" while having care and custody of property outside the "premises".

"Other property" means any tangible property other than "money" and "securities" that has intrinsic value. "Other property" does not include computer programs, "electronic data" or any property specifically excluded by the policy.

"Premises" means the interior of that portion of any building you occupy in conducting your business.

"Theft" means the unlawful taking of property to the deprivation of the insured.

"Watchperson" means any person you retain specifically to have care and custody of property inside the "premises" and who has no other duties.

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

PROEDGE BUSINESSOWNERS PROTECT GENERAL LIABILITY ENDORSEMENT

This endorsement modifies Insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

The sections of the above form identified in this endorsement will be amended as shown below.

With respect to coverage provided by this endorsement, the provisions of the above form apply unless modified by the endorsement.

I. The changes in this section apply for the coverages shown in the Schedule.

If two or more of this policy's coverages apply to the same loss or damage, only the broadest coverage will apply subject to the following limitations:

1. We will not pay more than the actual amount of the loss or damage; and

2. The maximum amount we will pay will be no more than the highest single applicable Limit of Insurance;

unless specifically stated otherwise within the particular amendment covering that loss.

A. SUPPLEMENTARY PAYMENTS

If a limit is shown in the Schedule, **SECTION II – LIABILITY**, Paragraph **A. Coverages**, **1.f. Coverage Extension – Supplementary Payments**, Sub-Paragraphs **1.(b)** and **1.(d)** are replaced by the following:

(b) Up to the limit shown in the Schedule for cost of bail bonds required because of accidents or traffic law violations arising out of the use of any vehicle to which the Business Liability Coverage for "bodily injury" applies. We do not have to furnish these bonds.

(d) All reasonable expenses incurred by the insured at our request to assist us in the investigation or defense of the claim or "suit," including actual loss of earnings up to the limit shown in the Schedule a day because of time off from work.

B. NON-OWNED AIRCRAFT

If shown as Included in the Schedule, in **SECTION II - LIABILITY**, Paragraph **B. Exclusions**, the following exception is added to Exclusion **1. g. Aircraft, Auto Or Watercraft:**

1. Applicable To Business Liability Coverage

g. Aircraft, Auto Or Watercraft:

This exclusion does not apply to an aircraft provided:

(a) It is not owned or operated by any insured;

(b) It is hired, chartered or loaned with a trained crew certified to fly the hired, chartered or loaned aircraft and paid by a party other than an insured; and

(c) It is not being used to carry persons or property for a charge.

However if the insured has any other valid and collectible insurance for "bodily injury" or "property damage" that would be covered under this provision, or on any other basis, this coverage is then excess and subject to the Other Insurance provisions of this policy for Excess Insurance.

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C. LIMITED COVERAGE FOR UNMANNED AIRCRAFT

1. If a limit is shown in the Schedule for Liability Aggregate Limit, then **SECTION II – LIABILITY,** Paragraph **B. Exclusions**, Exclusion **1.g.** is replaced by the following:

This insurance does not apply to:

g. Aircraft, Auto Or Watercraft

(1) Unmanned Aircraft

"Bodily injury" or "property damage" arising out of the ownership, maintenance, use or entrustment to others of any aircraft that is an "unmanned aircraft". Use includes operation and "loading or unloading".

This Paragraph **g.(1)** applies even if the claims against any insured allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by that insured, if the "occurrence" which caused the "bodily injury" or "property damage" involved the ownership, maintenance, use or entrustment to others of any aircraft that is an "unmanned aircraft".

However, if Bodily Injury And Property Damage is shown as Included in the Schedule, this Paragraph **g.(1)** does not apply to “bodily injury” and “property damage” arising out of the ownership, maintenance, use or entrustment to others of an "unmanned aircraft", but only with respect to your operation(s) to which this insurance applies.

(2) Aircraft (Other Than Unmanned Aircraft), Auto Or Watercraft

"Bodily injury" or "property damage" arising out of the ownership, maintenance, use or entrustment to others of any aircraft (other than "unmanned aircraft"), "auto" or watercraft owned or operated by or rented or loaned to any insured. Use includes operation and "loading or unloading".

This Paragraph **g.(2)** applies even if the claims against any insured allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by that insured, if the "occurrence" which caused the "bodily injury" or "property damage" involved the ownership, maintenance, use or entrustment to others of any aircraft (other than "unmanned aircraft"), "auto" or watercraft that is owned or operated by or rented or loaned to any insured.

This Paragraph **g.(2)** does not apply to:

(a) A watercraft while ashore on premises you own or rent;

(b) A watercraft you do not own that is:

(i) Less than 51 feet long; and

(ii) Not being used to carry persons or property for a charge;

(c) Parking an "auto" on, or on the ways next to, premises you own or rent, provided the "auto" is not owned by or rented or loaned to you or the insured;

(d) Liability assumed under any "insured contract" for the ownership, maintenance or use of aircraft or watercraft; or

(e) “Bodily injury” or “property damage” arising out of:

(i) The operation of machinery or equipment that is attached to, or part of, a land vehicle that would qualify under the definition of "mobile equipment" if it were not subject to a compulsory or financial responsibility law or other motor vehicle insurance law where it is licensed or principally garaged; or

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(ii) The operation of any of the following machinery or equipment:

i. Cherry pickers and similar devices mounted on automobile or truck chassis and used to raise or lower workers; and

ii. Air compressors, pumps and generators, including spraying, welding, building cleaning, geophysical exploration, lighting and well servicing equipment.

(f) An aircraft (other than “unmanned aircraft”) provided:

(i) It is not owned or operated by any insured;

(ii) It is hired, chartered or loaned with a trained crew certified to fly the hired, chartered or loaned aircraft and paid by a party other than an insured; and

(iii) It is not being used to carry persons or property for a charge.

However, if the insured has any other valid and collectible insurance for “bodily injury” or “property damage” that would be covered under this provision, or on any other basis, this coverage is then excess and subject to the Other Insurance provisions of this policy for Excess Insurance.

2. If Personal And Advertising Injury is shown as Included in the Schedule, then the following is added to **SECTION II – LIABILITY**, Paragraph **B. Exclusions**, Exclusion **1.p. Personal And Advertising Injury**:

This insurance does not apply to:

"Personal and advertising injury":

Arising out of the ownership, maintenance, use or entrustment to others of any aircraft that is an "unmanned aircraft". Use includes operation and "loading or unloading".

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by that insured, if the offense which caused the "personal and advertising injury" involved the ownership, maintenance, use or entrustment to others of any aircraft that is an "unmanned aircraft".

However, this exclusion does not apply to “personal and advertising injury” arising out of the ownership, maintenance, use or entrustment to others of an "unmanned aircraft" but only with respect to the your operation(s) to which this insurance applies.

3. If a Liability Aggregate Limit is shown in the Schedule, the following provisions are added to **SECTION II – LIABILITY**, Paragraph **D. Liability And Medical Expenses Limits Of Insurance**:

Subject to Paragraph **D.4.a.** or **D.4.b.,** whichever applies, the Liability Aggregate Limit shown in the Schedule is the most we will pay for the sum of all damages because of all:

a. "Bodily injury", "property damage" and medical expenses (if Bodily Injury and Property Damage is shown as Included in the Schedule); and

b. "Personal and advertising injury" (if Personal and Advertising Injury is shown as Included in the Schedule);

arising out of the ownership, maintenance, use or entrustment to others of an "unmanned aircraft" but only with respect to your operation(s) to which this insurance applies.

Paragraphs **D.2.** and **D.3.** continue to apply to:

a. "Bodily injury", "property damage" and medical expenses (if Bodily Injury and Property Damage is shown as Included in the Schedule); and

b. "Personal and advertising injury" (if Personal and Advertising Injury is shown as Included in the Schedule);

as applicable, arising out of the ownership, maintenance, use or entrustment to others of an "unmanned aircraft" only with respect to your operation(s) to which this insurance applies, but only if, and to the extent that, a limit of insurance is available under the Liability Aggregate Limit.

4. The following definition is added to **SECTION II – LIABILITY**, Paragraph **F. Liability And Medical Expenses Definitions**:

"Unmanned aircraft" means an aircraft that is not:

1. Designed;

2. Manufactured; or

3. Modified after manufacture;

to be controlled directly by a person from within or on the aircraft.

D. DAMAGE TO PREMISES RENTED TO YOU

1. If a limit is shown in the Schedule, the last paragraph under **SECTION II – LIABILITY,** Paragraph **B. Exclusions**, Sub-Paragraph **1. Applicable to Business Liability Coverage** is replaced by the following:

Exclusions **c., d., e., f., g., h., i., k., l., m., n.** and **o.** in **SECTION II — LIABILITY** do not apply to damage by fire, lightning, explosion or sprinkler leakage to premises while rented to you, or temporarily occupied by you with permission of the owner. A separate Damage To Premises Rented To You Limit of Insurance applies to this coverage as described in Paragraph **D., Liability And Medical Expenses Limits Of Insurance in SECTION II – LIABILITY.**

2. If a limit is shown in the Schedule, **SECTION II – LIABILITY**, Paragraph **D., Liability And Medical Expenses Limits Of Insurance,** Sub-Paragraph **3.** is replaced by the following:

The most we will pay under Business Liability Coverage for damages because of “property damage” to a premises while rented to you or temporarily occupied by you with the permission of the owner is the Damage To Premises Rented To You limit shown in the Schedule. For a premises temporarily occupied by you, the applicable limit will be the highest Damage To Premises Rented To You limit shown in the Schedule.

3. If a limit is shown in the Schedule, then **SECTION II – LIABILITY**, Paragraph **F. Liability And Medical Expenses Definitions,** Sub-Paragraph **a.** of Definition **9.** “Insured contract” is replaced by the following:

a. A contract for a lease of premises. However, that portion of the contract for a lease of premises that indemnifies any person or organization for damage by fire, lightning , explosion or sprinkler leakage to premises while rented to you or temporarily occupied by you with the permission of the owner is not an “insured contract”;

E. BLANKET ADDITIONAL INSURED(S) AS REQUIRED BY CONTRACT

1. If shown as Included in the Schedule, then **SECTION II – LIABILITY**, Paragraph **C. Who Is An Insured** is amended to include the following person(s) or organization(s) as described in paragraphs **5.a.** through **5.d**. as additional insured when you have agreed in a written contract, written agreement or written permit to provide such person(s) or organization(s) coverage as additional insured under your policy. Such person(s) or organization(s) is an additional insured only with respect to liability for “bodily injury”, “property damage” or “personal and advertising injury” caused, in whole or in part, by your acts or omissions (or if applicable, the acts or omissions of those acting on your behalf) as described in Paragraphs **5.a** through **5.d.**

2. With respect to the insurance afforded to such person(s) or organization(s) as described in Paragraphs **5.a**. through **5.d**, the following additional exclusions apply. This insurance does not apply to:

a. "Bodily injury", "property damage" or "personal and advertising injury" arising out of an "occurrence" or offense that took place before the written contract or written agreement requiring the person(s) or organization(s) to be added as an additional insured became effective or that took place before the written permit was issued;

b. "Bodily injury", "property damage" or "personal and advertising injury" arising out of the rendering of, or failure to render, any professional architectural, engineering or surveying services, including:

(1) The preparing, approving or failing to prepare or approve, maps, shop drawings, opinions, reports, surveys, field orders, change orders or drawings and specifications; or

(2) Supervisory, inspection, architectural or engineering activities.

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing in the supervision, hiring, employment, training, or monitoring of others by that insured, if the "occurrence" which caused the "bodily injury" or "property damage", or the offense which caused the "personal and advertising injury", involved the rendering or failure to render any professional architectural, engineering or surveying services.

c. Any person(s) or organization(s) specifically designated as an additional insured by a separate endorsement issued by us and made a part of this policy.

d. Structural alterations, new construction or demolition operations performed by or on behalf of the person(s) or organization(s) requiring additional insured status under this policy.

e. "Bodily injury", "property damage" or "personal and advertising injury" which is otherwise excluded from coverage under this policy or any endorsements to this policy.

3. The insurance afforded to such additional insured described below:

a. Only applies to the extent permitted by law;

b. Will not be broader than the insurance which you are required by the written contract, written agreement or written permit to provide for such additional insured; and

c. Is subject to the **PRIMARY AND NON-CONTRIBUTORY** provision set forth in this endorsement.

4. The most we will pay on behalf of the additional insured described below is the lesser of the amount of insurance:

a. Required by the written contract, written agreement or written permit you have entered into with the additional insured; or

b. Available under the applicable limits of insurance.

This shall not increase the applicable limits of insurance.

5. Additional Insured(s)

a. Lessors of Leased Equipment

If shown as Included in the Schedule, any person(s) or organization(s) from whom you lease equipment, but only with respect to liability from "bodily injury", "property damage" or "personal and advertising injury" caused, in whole or in part, by your maintenance, operation or use of equipment leased to you by such person(s) or organization(s).

This insurance does not apply to any lessor of equipment after the equipment lease expires.

b. Managers or Lessors of Premises

If shown as Included in the Schedule, any person(s) or organization(s) from whom you lease premises, but only with respect to liability arising out of the ownership, maintenance or use of that part of the premises leased to you.

This insurance does not apply to any "occurrence" which takes place after you cease to be a tenant in that premises.

c. Mortgagees, Assignees or Receivers

If shown as Included in the Schedule, any person(s) or organization(s) with respect to their liability as mortgagee, assignee or receiver and arising out of the ownership, maintenance or use of your premises by you.

d. Owners, Lessees or Contractors

If shown as Included in the Schedule, any person(s) or organization(s) for whom you are performing operations, but only with respect to liability for "bodily injury", "property damage" or "personal and advertising injury" caused, in whole or in part, by your acts or omissions or the acts or omissions of those acting on your behalf in the performance of your ongoing operations performed for that person(s) or organization(s).

A person's or organization's status as an additional insured under this endorsement ends on the earlier of the date:

(1) When your operations for that person(s) or organization(s) are completed; or

(2) The contract or agreement you have entered into with the person or organization is terminated.

This insurance does not apply to "bodily injury" or "property damage" occurring after:

(1) All work, including materials, parts or equipment furnished in connection with such work, on the project (other than service, maintenance or repairs) to be performed by or on behalf of the additional insured(s) at the location of the covered operations has been completed; or

(2) That portion of "your work" out of which the injury or damage arises has been put to its intended use by any person or organization other than another contractor or subcontractor engaged in performing operations for a principal as part of the same project.

F. BROAD FORM VENDORS COVERAGE

1. If shown as Included in the Schedule, then **SECTION II – LIABILITY**, Paragraph **C. Who Is An Insured** is amended to include as an additional insured any person(s) or organization(s) (referred to below as vendor) for whom you have agreed in a written contract or written agreement to provide coverage as an additional insured under your policy. Such person(s) or organization(s) is an additional insured only with respect to "bodily injury" or "property damage" caused, in whole or in part, by "your products" which are distributed or sold in the regular course of a vendor's business.

2. With respect to the insurance afforded to such vendors, the following additional exclusions apply. The insurance afforded to the vendor does not apply to:

a. "Bodily injury" or "property damage" for which the vendor is obligated to pay damages by reason of the assumption of liability in a written contract or written agreement; but this exclusion does not apply to liability for damages that the vendor would have in the absence of the written contract or written agreement;

b. Any express warranty unauthorized by you;

c. Any physical or chemical change in the product made intentionally by the vendor;

d. Repackaging, unless unpacked solely for the purpose of inspection, demonstration, testing, or the substitution of parts under instructions from the manufacturer, and then repackaged in the original container;

e. Any failure to make such inspections, adjustments, tests or servicing as the vendor has agreed to make or normally undertakes to make in the usual course of business in connection with the sale of the product;

f. Demonstration, installation, servicing, or repair operations, except such operations performed at the vendor's premises in connection with the sale of the product;

g. Products which, after distribution or sale by you, have been labeled or re-labeled or used as a container, or part of an ingredient of any other thing or substance by or for the vendor;

h. "Bodily injury" or "property damage" caused, in whole or in part, by the acts or omissions or the acts or omissions of those acting on behalf of the vendor for its own acts or omissions or those of its employees or anyone else acting on its own behalf. However, this exclusion does not apply to:

(1) The exceptions contained in Paragraphs **(a)** and **(g)** above;

(2) Such inspections, adjustments, tests or servicing as the vendor has agreed to make or normally undertakes to make in the usual course of business, in connection with the distribution or sale of products.

i. Any insured person(s) or organization(s), from who you have acquired such products, or any ingredient, part or container, entering into, accompanying or containing such products;

j. Bodily injury" or "property damage" arising out of an "occurrence" that took place before the written contract or written agreement requiring the vendor to be added as an additional insured became effective; or

k. "Bodily injury" or "property damage" which is otherwise excluded from coverage under this policy or any endorsements to this policy.

3. The insurance afforded to such vendors:

a. Only applies to the extent permitted by law;

b. Will not be broader than the insurance which you are required by the written contract or written agreement to provide for the vendor; and

c. Is subject to the **PRIMARY AND NON-CONTRIBUTORY** provision set forth in this endorsement;

4. The most we will pay on behalf of such vendors is the lesser of the amount of insurance:

a. Required by the written contract or written agreement you have entered into with the vendor; or

b. Available under the applicable limits of insurance.

This shall not increase the applicable limits of insurance.

G. NEWLY FORMED OR ACQUIRED ORGANIZATIONS

If a number of days is shown in the Schedule, a business organization you newly acquire or form under the laws of any individual state of the United States of America, other than a partnership, joint venture or limited liability company, and over which you maintain majority ownership interest exceeding fifty percent, will qualify as a Named Insured if there is no other similar insurance available to that organization. However,

1. Coverage under this provision is afforded only, for the number of days shown in the Schedule, after you acquire or form the organization or the end of the policy period, whichever is earlier;

2. This coverage does not apply if the newly formed or acquired organization's coverage is excluded either by the provisions of this Policy or by endorsement; and

3. This coverage does not apply to "bodily injury" or "property damage" that occurred before you acquired or formed the organization; and

4. This coverage does not apply to "personal and advertising injury" arising out of an offense committed before you acquired or formed the organization.

No person or organization is an insured with respect to the conduct of any current or past partnership, joint venture, or limited liability company that is not shown as Named Insured in the Declarations.

H. KNOWLEDGE OF OCCURRENCE, OFFENSE, CLAIM OR SUIT

If shown as Included in the Schedule, the following is added to **SECTION II - LIABILITY**, Paragraph **E. LIABILITY AND MEDICAL EXPENSES GENERAL CONDITIONS, 2. Duties In The Event Of Occurrence, Offense, Claim Or Suit**:

Paragraphs **a.** and **b.** above will not apply until after the "occurrence", or offense, or claim or "suit" is known to:

(1) You, if you are an individual;

(2) A partner, if you are a partnership;

(3) An executive officer or insurance manager, if you are a corporation;

(4) Your members, managers or insurance manager, if you are a limited liability company; or

(5) Your elected or appointed officials, trustees, board members or your insurance manager if you are an organization other than a partnership, joint venture or limited liability company.

I. TEMPORARY WORKERS AS EMPLOYEES

If shown as Included in the Schedule, **SECTION II – LIABILITY**, Paragraph **F. Liability And Medical Expenses Definitions** is amended as follows:

Definition **5.** is replaced by the following:

5. "Employee" includes a "leased worker" and a "temporary worker".

J. UNINTENTIONAL FAILURE TO DISCLOSE HAZARDS

If shown as Included in the Schedule, **SECTION III —COMMON POLICY CONDITIONS (APPLICABLE TO SECTION I – PROPERTY AND SECTION II – LIABILITY)** is amended as follows:

The following is added to Paragraph **C. Concealment, Misrepresentation Or Fraud**:

Unintentional failure of an employee of the insured to disclose a hazard or other material information will not violate this condition unless an executive officer of any insured knows about such hazard or other material information.

K. LIBERALIZATION

If shown as Included in the Schedule, **SECTION III - COMMON POLICY CONDITIONS (APPLICABLE TO SECTION I – PROPERTY AND SECTION II – LIABILITY)** is amended as follows:

Paragraph **G. Liberalization** is replaced by the following:

If we revise this Coverage Form to provide more coverage without additional premium charge, your policy will automatically provide the additional coverage as of the day the revision is effective in your state.

L. PRIMARY AND NON-CONTRIBUTORY

If shown as Included in the Schedule, the following is added to **SECTION III - COMMON POLICY CONDITIONS (APPLICABLE TO SECTION I – PROPERTY AND SECTION II – LIABILITY), H. Other Insurance,** Paragraph **2.**:

This insurance is primary to and we will not seek contribution from any other insurance available to an additional insured under your policy provided that:

(1) The additional insured is a Named Insured under such other insurance; and

(2) You have agreed in a written contract, written agreement or written permit that this insurance would be primary and would not seek contribution from any other insurance available to the additional insured.

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M. TRANSFER OF RIGHTS OF RECOVERY AGAINST OTHERS TO US:

If shown as Included in the Schedule, the following is added to **SECTION III - COMMON POLICY CONDITIONS (APPLICABLE TO SECTION I – PROPERTY AND SECTION II – LIABILITY), K. Transfer Of Rights Of Recovery Against Others To Us,** Paragraph **2.**:

We will waive any right of recovery we may have against a person or organization because of payments we make for “bodily injury” or “property damage” arising out of your ongoing operations or “your work” done under a written contract or written agreement and included in the “products-completed operations hazard”, if:

1. You have agreed to waive any right of recovery against that person(s) or organization(s) in a written contract or written agreement;

2. Such person(s) or organization(s) is an

3. additional insured on your policy; or

4. You have assumed the liability of that person(s) or organization(s) in that same contract, and it is an “insured contract.”

This amendment only applies to that person(s) or organization(s) identified above, and only if the “bodily injury” or “property damage” occurs subsequent to the execution of the written contract or written agreement.

II. The following exclusion is added and applies to all coverage parts and endorsements contained with this policy. This exclusion supersedes any language or exclusion to the contrary and applies to any insured seeking coverage under this policy:

This insurance does not apply to:

EXPECTED OR INTENDED INJURY

"Bodily injury", "property damage" or “personal and advertising injury” (including any unexpected or unintended portion thereof) if any "bodily injury", "property damage" or “personal and advertising injury” was expected or intended from the standpoint of any insured. This exclusion does not apply to "bodily injury" resulting from the use of reasonable force to protect persons.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

DEDUCTIBLES BY LOCATION

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

SCHEDULE

Location*	Deductible	Covered Cause(s) Of Loss**

*Describe the premises to which each deductible applies. If a deductible (whether of the same amount or a different amount) is to apply separately at each building, list each building as a separate Location in this Schedule.

**For each deductible listed in this Schedule, enter the number corresponding to the Covered Cause(s) of Loss to which that deductible applies (or enter the description):

- **(1)** All Covered Causes of Loss
- **(2)** All Covered Causes of Loss **except** Windstorm Or Hail
- **(3)** All Covered Causes of Loss **except** Theft
- **(4)** All Covered Causes of Loss **except** Windstorm Or Hail and Theft
- **(5)** Windstorm Or Hail
- **(6)** Theft

Information required to complete this Schedule, if not shown above, will be shown in the Declarations.

The Deductible clause in this Coverage Form or policy is amended by the following provisions, which apply with respect to the locations shown in the Schedule of this endorsement.

A. Applicable deductibles by location are shown in the Schedule. If the Schedule shows a deductible for a particular building, then that building is considered to be a separate location for the purpose of this endorsement.

B. The deductible specified for a particular location applies to all property at that location. Therefore, if a building is shown in the Schedule as a separate location, all Covered Property at that location is subject to that deductible. The deductible will apply only once at that location in each occurrence of loss or damage.

C. If one occurrence results in loss or damage at more than one location, the applicable deductible will apply separately to loss or damage at each location that has sustained loss or damage, in accordance with the information shown in the Schedule for locations and deductibles. Therefore, for example, if fire damages two buildings which are shown in the Schedule as separate locations, the applicable deductible will be applied separately to the loss at each location.

D. The terms of this endorsement do not apply to any Windstorm Or Hail Percentage Deductibles Subject to A Minimum Dollar Amount provided elsewhere in this policy.

E. This policy does not cover Earthquake or Flood unless such causes of loss are added to the policy as covered causes of loss. If Earthquake and/or Flood are added to this policy as covered causes of loss, the terms of this endorsement do not apply to Earthquake or Flood and corresponding deductibles will be shown elsewhere in this policy and identified as such.

EXAMPLE

In this example, the indicated deductibles apply to All Covered Causes of Loss at the specified locations.

This example assumes:

- That the loss at each location is less than the sum of the Limit of Insurance and the Deductible applicable to that location.
- That insurance is adequate and therefore a Coinsurance penalty does not apply.
- A fire damages Buildings 1 and 2, and Business Personal Property (BPP) at those buildings.

Location	Deductible	Loss to Building	Loss to Business Personal Property
Building Loc. 1	$10,000	$50,000	$50,000
Building Loc. 2	$10,000	$10,000	$20,000

Calculation of Loss Payment

Building Location 1	
Total amount of loss	$100,000
Minus deductible	– 10,000
Loss Payment	$90,000
Building Location 2	
Total amount of loss	$30,000
Minus deductible	–10,000
Loss Payment	$20,000

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

CYBER SUITE COVERAGE

SCHEDULE

CYBER SUITE

Annual Aggregate Limit:	**$**	**50,000**
Deductible Per Occurrence:	**$**	**1,000**
DATA COMPROMISE RESPONSE EXPENSES		**Included**
Sublimits Per Occurrence		
Forensic IT Review:	$	25,000
Legal Review:	$	25,000
Public Relations:	$	5,000
Regulatory Fines and Penalties:	$	25,000
PCI Fines and Penalties:	$	25,000
COMPUTER ATTACK		**Included**
Sublimits Per Occurrence		
Loss of Business:	$	25,000
Public Relations:	$	5,000
CYBER EXTORTION		**Included**
Sublimits Per Occurrence:	$	10,000
MISDIRECTED PAYMENT FRAUD		**Included**
Sublimits Per Occurrence:	$	10,000
COMPUTER FRAUD		**Included**
Sublimits Per Occurrence:	$	10,000
DATA COMPROMISE LIABILITY		**Included**
NETWORK SECURITY LIABILITY		**Included**
ELECTRONIC MEDIA LIABILITY		**Included**

IDENTITY RECOVERY

Annual Aggregate Limit Per "Identity Recovery Insured":	$	**25,000**
Deductible Per Occurrence:		**None**
Sublimits Per Occurrence		
Lost Wages and Child and Elder Care Expenses:	$	5,000
Mental Health Counseling:	$	1,000
Miscellaneous Unnamed Cost:	$	1,000

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Throughout this Coverage Endorsement (hereinafter referred to as “Cyber Coverage”), the words “you” and “your” refer to the Named Insured(s) shown in the Declarations and any other person(s) or organization(s) qualifying as a Named Insured under this Cyber Coverage. The words “we”, “us” and “our” refer to the company providing this insurance.

Other words and phrases that appear in quotations have special meaning. Refer to **DEFINITIONS**.

The terms and conditions of the Cancellation Clause of the Common Policy Conditions and any amendment to such terms incorporated by endorsement are hereby incorporated herein and shall apply to coverage as is afforded by this Cyber Coverage, unless specifically stated otherwise in an endorsement(s) attached hereto.

A. COVERAGE

This section lists the coverages that apply if indicated in the Schedule above.

1. Data Compromise Response Expenses

a. Data Compromise Response Expenses applies only if all of the following conditions are met:

(1) There has been a “personal data compromise”; and

(2) Such “personal data compromise” took place in the “coverage territory”; and

(3) Such “personal data compromise” is first discovered by you during the “policy period”; and

(4) Such “personal data compromise” is reported to us as soon as practicable, but in no event more than 60 days after the date it is first discovered by you.

b. If the conditions listed in **a.** above have been met, then we will provide coverage for the following expenses when they arise directly from such “personal data compromise” and are necessary and reasonable. Items **(4)** and **(5)** below apply only if there has been a notification of the “personal data compromise” to “affected individuals” as covered under item **(3)** below.

(1) Forensic IT Review

We will pay for a professional information technologies review if needed to determine, within the constraints of what is possible and reasonable, the nature and extent of the “personal data compromise” and the number and identities of the “affected individuals”.

This does not include costs to analyze, research or determine any of the following:

(a) Vulnerabilities in systems, procedures or physical security;

(b) Compliance with Payment Card Industry or other industry security standards; or

(c) The nature or extent of “loss” or damage to data that is not “personally identifying information” or “personally sensitive information”.

If there is reasonable cause to suspect that a covered “personal data compromise” may have occurred, we will pay for costs covered under Forensic IT Review, even if it is eventually determined that there was no covered “personal data compromise”. However, once it is determined that there was no covered “personal data compromise”, we will not pay for any further costs.

(2) Legal Review

We will pay for a professional legal counsel review of the “personal data compromise” and how you should best respond to it.

If there is reasonable cause to suspect that a covered “personal data compromise” may have occurred, we will pay for costs covered under Legal Review, even if it is eventually determined that there was no covered “personal data compromise”. However, once it is determined that there was no covered “personal data compromise”, we will not pay for any further costs.

(3) Notification to Affected Individuals

We will pay your necessary and reasonable costs to provide notification of the “personal data compromise” to “affected individuals”.

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(4) Services to Affected Individuals

We will pay your necessary and reasonable costs to provide the following services to "affected individuals". Services **(c)** and **(d)** below apply only to "affected individuals" from "personal data compromise" events involving "personally identifying information".

(a) Informational Materials

A packet of loss prevention and customer support information.

(b) Help Line

A toll-free telephone line for "affected individuals" with questions about the "personal data compromise". Where applicable, the line can also be used to request additional services as listed in **(c)** and **(d)** below.

(c) Credit Report and Monitoring

A credit report and an electronic service automatically monitoring for activities affecting an individual's credit records. This service is subject to the "affected individual" enrolling for this service with the designated service provider.

(d) Identity Restoration Case Management

As respects any "affected individual" who is or appears to be a victim of "identity theft" that may reasonably have arisen from the "personal data compromise", the services of an identity restoration professional who will assist that "affected individual" through the process of correcting credit and other records and, within the constraints of what is possible and reasonable, restoring control over his or her personal identity.

(5) Public Relations

We will pay for a professional public relations firm review of, and response to, the potential impact of the "personal data compromise" on your business relationships.

This includes necessary and reasonable costs to implement public relations recommendations of such firm. This may include advertising and special promotions designed to retain your relationship with "affected individuals". However, we will not pay for:

(a) Promotions provided to any of your directors or employees; or

(b) Promotion costs exceeding $25 per "affected individual".

(6) Regulatory Fines and Penalties

We will pay for any fine or penalty imposed by law, to the extent such fine or penalty is legally insurable under the law of the applicable jurisdiction.

(7) PCI Fines and Penalties

We will pay for any Payment Card Industry fine or penalty imposed under a contract to which you are a party. PCI Fines and Penalties do not include any increased transaction costs.

2. Computer Attack

a. Computer Attack applies only if all of the following conditions are met:

(1) There has been a "computer attack"; and

(2) Such "computer attack" occurred in the "coverage territory"; and

(3) Such "computer attack" is first discovered by you during the "policy period"; and

(4) Such "computer attack" is reported to us as soon as practicable, but in no event more than 60 days after the date it is first discovered by you.

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b. If the conditions listed in **a.** above have been met, then we will provide you the following coverages for "loss" directly arising from such "computer attack".

(1) Data Restoration

We will pay your necessary and reasonable "data restoration costs".

(2) Data Re-creation

We will pay your necessary and reasonable "data re-creation costs".

(3) System Restoration

We will pay your necessary and reasonable "system restoration costs".

(4) Loss of Business

We will pay your actual "business income and extra expense loss" incurred during the "period of restoration".

(5) Extended Income Recovery

If you suffer a covered "business income and extra expense loss" resulting from a "computer attack" on a "computer system" owned or leased by you and operated under your control, we will pay your actual "extended income loss".

(6) Public Relations

If you suffer a covered "business income and extra expense loss", we will pay for the services of a professional public relations firm to assist you in communicating your response to the "computer attack" to the media, the public and your customers, clients or members.

3. Cyber Extortion

a. Cyber Extortion applies only if all of the following conditions are met:

(1) There has been a "cyber extortion threat"; and

(2) Such "cyber extortion threat" is first made against you during the "policy period"; and

(3) Such "cyber extortion threat" is reported to us as soon as practicable, but in no event more than 60 days after the date it is first made against you.

b. If the conditions listed in **a.** above have been met, then we will pay for your necessary and reasonable "cyber extortion expenses" arising directly from such "cyber extortion threat". The payment of "cyber extortion expenses" must be approved in advance by us. We will not pay for "cyber extortion expenses" that have not been approved in advance by us. We will not unreasonably withhold our approval.

c. You must make every reasonable effort not to divulge the existence of this Cyber Extortion coverage.

4. Misdirected Payment Fraud

a. Misdirected Payment Fraud applies only if all of the following conditions are met:

(1) There has been a "wrongful transfer event" against you; and

(2) Such "wrongful transfer event" took place in the "coverage territory"; and

(3) Such "wrongful transfer event" is first discovered by you during the "policy period"; and

(4) Such "wrongful transfer event" is reported to us as soon as practicable, but in no event more than 60 days after the date it is first discovered by you; and

(5) Such "wrongful transfer event" is reported in writing by you to the police.

b. If the conditions listed above in **a.** have been met, then we will pay your necessary and reasonable "wrongful transfer costs" arising directly from the "wrongful transfer event".

5. Computer Fraud

a. Computer Fraud applies only if all of the following conditions are met:

(1) There has been a "computer fraud event" against you; and

(2) Such "computer fraud event" took place in the "coverage territory"; and

(3) Such "computer fraud event" is first discovered by you during the "policy period"; and

(4) Such "computer fraud event" is reported to us within 60 days after the date it is first discovered by you; and

(5) Such "computer fraud event" is reported in writing by you to the police.

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b. If the conditions listed in **a.** above have been met, then we will pay your necessary and reasonable "computer fraud costs" arising directly from the "computer fraud event".

6. Data Compromise Liability

a. Data Compromise Liability applies only if all of the following conditions are met:

(1) During the "policy period" or any applicable Extended Reporting Period, you first receive notice of one of the following:

(a) A "claim"; or

(b) A "regulatory proceeding".

(2) Such "claim" or "regulatory proceeding" must arise from a "personal data compromise" that:

(a) Took place during the "coverage term"; and

(b) Took place in the "coverage territory"; and

(c) Was submitted to us and insured under Data Compromise Response Expenses.

(3) Such "claim" is reported to us as soon as practicable, but in no event more than 60 days after the date it is first received by you.

b. If the conditions listed in **a.** above have been met, then we will pay on your behalf any covered:

(1) "Loss" directly arising from the "claim"; or

(2) "Defense costs" directly arising from a "regulatory proceeding".

c. All "claims" and "regulatory proceedings" arising from a single "personal data compromise" or interrelated "personal data compromises" will be deemed to have been made at the time that notice of the first of those "claims" or "regulatory proceedings" is received by you.

7. Network Security Liability

a. Network Security Liability applies only if all of the following conditions are met:

(1) During the "policy period" or any applicable Extended Reporting Period, you first receive notice of a "claim" which arises from a "network security incident" that:

(a) Took place during the "coverage term"; and

(b) Took place in the "coverage territory"; and

(2) Such "claim" is reported to us as soon as practicable, but in no event more than 60 days after the date it is first received by you.

b. If the conditions listed in **a.** above have been met, then we will pay on your behalf any covered "loss" directly arising from the "claim".

c. All "claims" arising from a single "network security incident" or interrelated "network security incidents" will be deemed to have been made at the time that notice of the first of those "claims" is received by you.

8. Electronic Media Liability

a. Electronic Media Liability applies only if all of the following conditions are met:

(1) During the "policy period" or any applicable Extended Reporting Period, you first receive notice of a "claim" which arises from an "electronic media incident" that:

(a) Took place during the "coverage term"; and

(b) Took place in the "coverage territory"; and

(2) Such "claim" is reported to us as soon as practicable, but in no event more than 60 days after the date it is first received by you.

b. If the conditions listed in **a.** above have been met, then we will pay on your behalf any covered "loss" directly arising from the "claim".

c. All "claims" arising from a single "electronic media incident" or interrelated "electronic media incidents" will be deemed to have been made at the time that notice of the first of those "claims" is received by you.

9. Identity Recovery

a. Identity Recovery applies only if all of the following conditions are met:

(1) There has been an "identity theft" involving the personal identity of an "identity recovery insured" under this Cyber Coverage; and

(2) Such "identity theft" took place in the "coverage territory"; and

(3) Such "identity theft" is first discovered by the "identity recovery insured" during the "policy period"; and

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(4) Such "identity theft" is reported to us within 60 days after it is first discovered by the "identity recovery insured".

b. If the conditions listed in **a.** above have been met, then we will provide the following to the "identity recovery insured":

(1) Case Management Service

We will pay for the services of an "identity recovery case manager" as needed to respond to the "identity theft"; and

(2) Expense Reimbursement

We will pay for reimbursement of necessary and reasonable "identity recovery expenses" incurred as a direct result of the "identity theft".

B. EXCLUSIONS

The following additional exclusions apply to this coverage:

We will not pay for costs or "loss" arising from the following:

1. Nuclear reaction or radiation or radioactive contamination, however caused.

2. War and hostile action, including any of the following and any consequence of any of the following:

a. Cyber warfare, whether or not occurring in combination with physical combat;

b. Undeclared war;

c. Civil war;

d. Hostile action by military force or cyber measures, including action in hindering or defending against an actual or expected attack, by any Combatant; or

e. Insurrection, rebellion, revolution, usurped power, political violence or action taken by governmental authority in hindering or defending against any of these, including cyber action in connection with any of the foregoing.

For purposes of this exclusion, cyber warfare, cyber measures and cyber action include, but are not limited to, the use of disruptive digital activities against a computer network or system with the intention to cause harm in order to further political or similar objectives, or to intimidate any person(s) in furtherance of such objectives, committed by a Combatant.

The attribution of an action to a Combatant will be determined by relying on reasonable evidence such as:

a. Statements by an impacted government, sovereign or other authority;

b. Statements by widely recognized international bodies (such as the United Nations) or alliances (such as the North Atlantic Treaty Organization); or

c. Consensus opinion within relevant expert communities such as the cyber security industry.

Decisions about the presence or absence of war, hostile action, and other terms used in this exclusion will take into consideration the full range of available tactics, weapons and technologies at the time of the event giving rise to the "loss".

Combatant means, for purposes of this exclusion, a government, sovereign or other authority, or agents acting on their behalf.

3. Total or partial failure or interruption of, reduction in performance of, or damage to, any electrical power supply network or telecommunications network not owned and operated by you including, but not limited to, the internet, satellites, internet service providers, Domain Name System (DNS) service providers, cable and wireless providers, internet exchange providers, search engine providers, internet protocol networks (and similar networks that may have different designations) and other providers of telecommunications or internet infrastructure.

4. Any attack on, incident involving, or loss to any computer or system of computers that is not a "computer system".

5. Costs to research or correct any deficiency.

6. Any fines or penalties other than those explicitly covered under Data Compromise Response Expenses.

7. Any criminal investigations or proceedings.

8. Your intentional or willful complicity in a covered "loss" event.

9. Your reckless disregard for the security of your "computer system" or data, including confidential or sensitive information of others in your care, custody or control.

10. Any criminal, fraudulent or dishonest act, error or omission, or any intentional or knowing violation of the law by you.

11. Any "personal data compromise", "computer attack", "cyber extortion threat", "wrongful transfer event", "computer fraud event" or "wrongful act" occurring before the "coverage term".

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12. That part of any “claim” seeking any non-monetary relief. However, this exclusion does not apply to “defense costs” arising from an otherwise insured “wrongful act”.

13. The propagation or forwarding of malware, including viruses, worms, Trojans, spyware and keyloggers in connection with hardware or software created, produced or modified by you for sale, lease or license to third parties.

14. Any oral or written publication of material, if done by you or at your direction with knowledge of its falsity.

15. “Property damage” or “bodily injury” other than mental anguish or mental injury alleged in a “claim” covered under Electronic Media Liability.

16. The theft of a professional or business identity.

17. Any fraudulent, dishonest or criminal act by an "identity recovery insured" or any person aiding or abetting an "identity recovery insured", or by any “authorized representative” of an "identity recovery insured", whether acting alone or in collusion with others. However, this exclusion will not apply to the interests of an “identity recovery insured” who has no knowledge of or involvement in such fraud, dishonesty or criminal act.

18. An “identity theft” that is not reported in writing to the police.

19. Any provision of coverage under this Cyber Coverage to the extent that such provision would expose us or you to a violation of economic or trade sanctions, laws or regulations of the United States of America or any other jurisdiction with whose laws we are legally obligated to comply.

C. LIMITS OF INSURANCE

1. Aggregate Limits

Except for post-judgment interest, the Cyber Suite Annual Aggregate Limit shown in the Schedule above is the most we will pay for all “loss” under all applicable coverage sections, except Identity Recovery, in any one “policy period” or any applicable Extended Reporting Period. The Cyber Suite Annual Aggregate Limit shown in the Schedule above applies regardless of the number of insured events first discovered or “claims” or “regulatory proceedings” first received during the “policy period” or any applicable Extended Reporting Period.

The Identity Recovery Coverage is subject to the Identity Recovery Limit as shown in the Schedule above.

2. Coverage Sublimits

a. Data Compromise Sublimits

The most we will pay under Data Compromise Response Expenses for Forensic IT Review, Legal Review, Public Relations, Regulatory Fines and Penalties and PCI Fines and Penalties coverages for “loss” arising from any one “personal data compromise” is the applicable sublimit for each of those coverages shown in the Schedule above.

These sublimits are part of, and not in addition to, the Cyber Suite Annual Aggregate Limit shown in the Schedule above. Public Relations coverage is also subject to a limit per “affected individual” as described in **A.1.b.(5)**.

b. Computer Attack Sublimits

The most we will pay under Computer Attack for Loss of Business and Extended Income Recovery coverages for “loss” arising from any one “computer attack” is the applicable Loss of Business sublimit shown in the Schedule above. The most we will pay under Computer Attack for Public Relations coverage for “loss” arising from any one “computer attack” is the applicable Public Relations sublimit shown in the Schedule above. These sublimits are part of, and not in addition to, the Cyber Suite Annual Aggregate Limit shown in the Schedule above.

c. Cyber Extortion Sublimits

The most we will pay under Cyber Extortion coverage for “loss” arising from one “cyber extortion threat” is the applicable sublimit shown in the Schedule above. This sublimit is part of, and not in addition to, the Cyber Suite Annual Aggregate Limit shown in the Schedule above.

d. Misdirected Payment Fraud Sublimit

The most we will pay under Misdirected Payment Fraud coverage for “loss” arising from one “wrongful transfer event” is the applicable sublimit shown in the Schedule above. This sublimit is part of, and not in addition to, the Cyber Suite Annual Aggregate Limit shown in the Schedule above.

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e. Computer Fraud Sublimit

The most we will pay under Computer Fraud coverage for "loss" arising from one "computer fraud event" is the applicable sublimit shown in the Schedule above. This sublimit is part of, and not in addition to, the Cyber Suite Annual Aggregate Limit shown in the Schedule above.

f. Identity Recovery Sublimits

The following provisions are applicable only to the Identity Recovery Coverage.

(1) Case Management Service is available as needed for any one "identity theft" for up to 12 consecutive months from the inception of the service. Expenses we incur to provide Case Management Services do not reduce the annual aggregate limit for Identity Recovery.

(2) Costs covered under item **d.** (Legal Costs) of the definition of "identity recovery expenses" are part of, and not in addition to, the annual aggregate limit for Identity Recovery.

(3) Costs covered under item **e.** (Lost Wages) and item **f.** (Child and Elder Care Expenses) of the definition of "identity recovery expenses" are jointly subject to the Lost Wages and Child and Elder Care sublimit shown in the Schedule above. This sublimit is part of, and not in addition to, the annual aggregate limit for Identity Recovery. Coverage is limited to wages lost and expenses incurred within 12 months after the first discovery of the "identity theft" by the "identity recovery insured".

(4) Costs covered under item **g.** (Mental Health Counseling) of the definition of "identity recovery expenses" is subject to the Mental Health Counseling sublimit shown in the Schedule above. This sublimit is part of, and not in addition to, the annual aggregate limit for Identity Recovery. Coverage is limited to counseling that takes place within 12 months after the first discovery of the "identity theft" by the "identity recovery insured".

(5) Costs covered under item **h.** (Miscellaneous Unnamed Costs) of the definition of "identity recovery expenses" is subject to the Miscellaneous Unnamed Costs sublimit shown in the Schedule above. This sublimit is part of, and not in addition to, the annual aggregate limit for Identity Recovery. Coverage is limited to costs incurred within 12 months after the first discovery of the "identity theft" by the "identity recovery insured".

3. Application of Limits

a. A "computer attack", "cyber extortion threat", "personal data compromise", "wrongful transfer event", "computer fraud event" or "identity theft" may be first discovered by you in one "policy period" but it may cause insured "loss" in one or more subsequent "policy periods". If so, all insured "loss" arising from such "computer attack", "cyber extortion threat", "personal data compromise", "wrongful transfer event", "computer fraud event" or "identity theft" will be subject to the limit of insurance applicable to the "policy period" when the "computer attack", "cyber extortion threat", "personal data compromise", "wrongful transfer event", "computer fraud event" or "identity theft" was first discovered by you.

b. You may first receive notice of a "claim" or "regulatory proceeding" in one "policy period" but it may cause insured "loss" in one or more subsequent "policy periods". If so, all insured "loss" arising from such "claim" or "regulatory proceeding" will be subject to the limit of insurance applicable to the "policy period" when notice of the "claim" or "regulatory proceeding" was first received by you.

c. The limit of insurance for the Extended Reporting Periods (if applicable) will be part of, and not in addition to, the limit of insurance for the immediately preceding "policy period".

d. Coverage for Services to Affected Individuals under Data Compromise Response Expenses is limited to costs to provide such services for a period of up to one year from the date of the notification to the "affected individuals". Notwithstanding, coverage for Identity Restoration Case Management services initiated within such one year period may continue for a period of up to one year from the date such Identity Restoration Case Management services are initiated.

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D. DEDUCTIBLES

1. We will not pay for "loss" until the amount of the insured "loss" exceeds the deductible amount shown in the Schedule above. We will then pay the amount of "loss" in excess of the applicable deductible amount, subject to the applicable limits shown in the Schedule above. You will be responsible for the applicable deductible amount.
2. The deductible will apply to all:
   a. "Loss" arising from the same insured event or interrelated insured events under Data Compromise Response Expenses, Computer Attack, Cyber Extortion, Misdirected Payment Fraud, or Computer Fraud.
   b. "Loss" resulting from the same "wrongful act" or interrelated "wrongful acts" insured under Data Compromise Liability, Network Security Liability or Electronic Media Liability.
3. In the event that "loss" is insured under more than one coverage section, only the single highest deductible applies.
4. Insurance coverage under Identity Recovery is not subject to a deductible.

E. ADDITIONAL CONDITIONS

The following conditions apply in addition to the Common Policy Conditions:

1. **Bankruptcy**

   The bankruptcy or insolvency of you or your estate, will not relieve you or us of any obligation under this Cyber Coverage.

2. **Defense And Settlement**
   a. We shall have the right and the duty to assume the defense of any applicable "claim" or "regulatory proceeding" against you. You shall give us such information and cooperation as we may reasonably require.
   b. You shall not admit liability for or settle any "claim" or "regulatory proceeding" or incur any defense costs without our prior written consent.
   c. At the time a "claim" or "regulatory proceeding" is first reported to us, you may request that we appoint a defense attorney of your choice. We will give full consideration to any such request.
   d. If you refuse to consent to any settlement recommended by us and acceptable to the claimant, we may then withdraw from your defense by tendering control of the defense to you. From that point forward, you shall, at your own expense, negotiate or defend such "claim" or "regulatory proceeding" independently of us. Our liability shall not exceed the amount for which the "claim" or suit could have been settled if such recommendation was consented to, plus "defense costs" incurred by us, and "defense costs" incurred by you with our written consent, prior to the date of such refusal.
   e. We will not be obligated to pay any "loss" or "defense costs", or to defend or continue to defend any "claim" or "regulatory proceeding" after the applicable limit of insurance has been exhausted.
   f. We will pay all interest on that amount of any judgment within the applicable limit of insurance which accrues:
      (1) After entry of judgment; and
      (2) Before we pay, offer to pay or deposit in court that part of the judgment within the applicable limit of insurance or, in any case, before we pay or offer to pay the entire applicable limit of insurance.

   These interest payments will be in addition to and not part of the applicable limit of insurance.

3. **Due Diligence**

   You agree to use due diligence to prevent and mitigate "loss" insured under this Cyber Coverage. This includes, but is not limited to, complying with, and requiring your vendors to comply with, reasonable and industry-accepted protocols for:
   a. Providing and maintaining appropriate physical security for your premises, "computer systems" and hard copy files;
   b. Providing and maintaining appropriate computer and Internet security;
   c. Maintaining and updating at appropriate intervals backups of computer data;
   d. Protecting transactions, such as processing credit card, debit card and check payments; and
   e. Appropriate disposal of files containing "personally identifying information", "personally sensitive information" or "third party corporate data", including shredding hard copy files and destroying physical media used to store electronic data.

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4. Duties in the Event of a Claim, Regulatory Proceeding or Loss

a. If, during the "policy period", incidents or events occur which you reasonably believe may give rise to a "claim" or "regulatory proceeding" for which coverage may be provided hereunder, such belief being based upon either written notice from the potential claimant or the potential claimant's representative; or notice of a complaint filed with a federal, state or local agency; or upon an oral "claim", allegation or threat, you shall give written notice to us as soon as practicable and either:

(1) Anytime during the "policy period"; or

(2) Anytime during the extended reporting periods (if applicable).

b. If a "claim" or "regulatory proceeding" is brought against you, you must:

(1) Immediately record the specifics of the "claim" or "regulatory proceeding" and the date received;

(2) Provide us with written notice, as soon as practicable, but in no event more than 60 days after the date the "claim" or "regulatory proceeding" is first received by you;

(3) Immediately send us copies of any demands, notices, summonses or legal papers received in connection with the "claim" or "regulatory proceeding";

(4) Authorize us to obtain records and other information;

(5) Cooperate with us in the investigation, settlement or defense of the "claim" or "regulatory proceeding";

(6) Assist us, upon our request, in the enforcement of any right against any person or organization which may be liable to you because of "loss" or "defense costs" to which this insurance may also apply; and

(7) Not take any action, or fail to take any required action, that prejudices your rights or our rights with respect to such "claim" or "regulatory proceeding".

c. In the event of a "personal data compromise", "computer attack", "cyber extortion threat", "wrongful transfer event", "computer fraud event" or "identity theft", insured under this Cyber Coverage, you and any involved "identity recovery insured" must see that the following are done:

(1) Notify the police if a law may have been broken.

(2) Notify us as soon as practicable, but in no event more than 60 days after the "personal data compromise", "computer attack", "cyber extortion threat", "wrongful transfer event", "computer fraud event" or "identity theft". Include a description of any property involved.

(3) As soon as possible, give us a description of how, when and where the "personal data compromise", "computer attack", "cyber extortion threat", "wrongful transfer event", "computer fraud event" or "identity theft" occurred.

(4) As often as may be reasonably required, permit us to:

(a) Inspect the property proving the "personal data compromise", "computer attack", "cyber extortion threat", "wrongful transfer event", "computer fraud event" or "identity theft";

(b) Examine your books, records, electronic media and records and hardware;

(c) Take samples of damaged and undamaged property for inspection, testing and analysis; and

(d) Make copies from your books, records, electronic media and records and hardware.

(5) Send us signed, sworn proof of "loss" containing the information we request to investigate the "personal data compromise", "computer attack", "cyber extortion threat", "wrongful transfer event", "computer fraud event" or "identity theft". You must do this within 60 days after our request. We will supply you with the necessary forms.

(6) Cooperate with us in the investigation or settlement of the "personal data compromise", "computer attack", "cyber extortion threat", "wrongful transfer event", "computer fraud event" or "identity theft".

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(7) If you intend to continue your business, you must resume all or part of your operations as quickly as possible.

(8) Make no statement that will assume any obligation or admit any liability, for any "loss" for which we may be liable, without our prior written consent.

(9) Promptly send us any legal papers or notices received concerning the "loss".

d. We may examine you under oath at such times as may be reasonably required, about any matter relating to this insurance or the "claim", "regulatory proceeding" or "loss", including your books and records. In the event of an examination, your answers must be signed.

e. You may not, except at your own cost, voluntarily make a payment, assume any obligation, or incur any expense without our prior written consent.

5. Extended Reporting Periods

a. You will have the right to the Extended Reporting Periods described in this section, in the event of a "termination of coverage".

b. If a "termination of coverage" has occurred, you will have the right to the following:

(1) At no additional premium, an Automatic Extended Reporting Period of 30 days immediately following the effective date of the "termination of coverage" during which you may first receive notice of a "claim" or "regulatory proceeding" arising directly from a "wrongful act" occurring before the end of the "policy period" and which is otherwise insured by this Cyber Coverage; and

(2) Upon payment of the additional premium of 100% of the full annual premium associated with the relevant coverage, a Supplemental Extended Reporting Period of one year immediately following the effective date of the "termination of coverage" during which you may first receive notice of a "claim" or "regulatory proceeding" arising directly from a "wrongful act" occurring before the end of the "policy period" and which is otherwise insured by this Cyber Coverage.

To obtain the Supplemental Extended Reporting Period, you must request it in writing and pay the additional premium due, within 30 days after the effective date of "termination of coverage". The additional premium for the Supplemental Extended Reporting Period will be fully earned at the inception of the Supplemental Extended Reporting Period. If we do not receive the written request as required, you may not exercise this right at a later date.

This insurance, provided during the Supplemental Extended Reporting Period, is excess over any other valid and collectible insurance that begins or continues in effect after the Supplemental Extended Reporting Period becomes effective, whether the other insurance applies on a primary, excess, contingent, or any other basis.

6. Identity Recovery Help Line

For assistance, if Identity Recovery applies, the "identity recovery insured" should call the

Identity Recovery Help Line at **1-800-945-9313**.

The **Identity Recovery Help Line** can provide the "identity recovery insured" with:

a. Information and advice for how to respond to a possible "identity theft"; and

b. Instructions for how to submit a service request for Case Management Service and/or a claim form for Expense Reimbursement Coverage.

In some cases, we may provide Case Management services at our expense to an "identity recovery insured" prior to a determination that a covered "identity theft" has occurred. Our provision of such services is not an admission of liability under the Cyber Coverage. We reserve the right to deny further coverage or service if, after investigation, we determine that a covered "identity theft" has not occurred.

As respects Expense Reimbursement Coverage, the "identity recovery insured" must send to us, within 60 days after our request, receipts, bills or other records that support his or her "claim" for "identity recovery expenses".

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7. Legal Action Against Us

No one may bring a legal action against us under this insurance unless:

a. There has been full compliance with all of the terms of this insurance; and

b. The action is brought within two years after the date the "loss" or "identity theft" is first discovered by you, or the date on which you first receive notice of a "claim" or "regulatory proceeding".

8. Legal Advice

We are not your legal advisor. Our determination of what is or is not insured under this Cyber Coverage does not represent advice or counsel from us about what you should or should not do.

9. Other Insurance

If there is other insurance that applies to the same "loss", this Cyber Coverage shall apply only as excess insurance after all other applicable insurance has been exhausted.

10. Pre-Notification Consultation

You agree to consult with us prior to the issuance of notification to "affected individuals". We assume no responsibility under Data Compromise Response Expenses for any services promised to "affected individuals" without our prior agreement. If possible, this pre-notification consultation will also include the designated service provider(s) as agreed to under the Service Providers condition below. You must provide the following at our pre-notification consultation with you:

a. The exact list of "affected individuals" to be notified, including contact information.

b. Information about the "personal data compromise" that may appropriately be communicated with "affected individuals".

c. The scope of services that you desire for the "affected individuals". For example, coverage may be

structured to provide fewer services in order to make those services available to more "affected individuals" without exceeding the available Data Compromise Response Expenses limit of insurance.

11. Service Providers

a. We will only pay under this Cyber Coverage for services that are provided by service providers approved by us. You must obtain our prior approval for any service provider whose expenses you want covered under this Cyber Coverage. We will not unreasonably withhold such approval.

b. Prior to the Pre-Notification Consultation described in the Pre-Notification Consultation Condition above, you must come to agreement with us regarding the service provider(s) to be used for the Notification to Affected Individuals and Services to Affected Individuals. We will suggest a service provider. If you prefer to use an alternate service provider, our coverage is subject to the following limitations:

(1) Such alternate service provider must be approved by us;

(2) Such alternate service provider must provide services that are reasonably equivalent or superior in both kind and quality to the services that would have been provided by the service provider we had suggested; and

(3) Our payment for services provided by any alternate service provider will not exceed the amount that we would have paid using the service provider we had suggested.

12. Services

The following conditions apply as respects any services provided to you or any "affected individual" or "identity recovery insured" by us, our designees or any service firm paid for in whole or in part under this Cyber Coverage:

a. The effectiveness of such services depends on the cooperation and assistance of you, "affected individuals" and "identity recovery insureds".

b. All services may not be available or applicable to all individuals. For example, "affected individuals" and "identity recovery insureds" who are minors or foreign nationals may not have credit records that can be provided or monitored. Service in Canada will be different from service in the United States and Puerto Rico in accordance with local conditions.

c. We do not warrant or guarantee that the services will end or eliminate all problems associated with the covered events.

d. Except for the services of an "identity recovery case manager" under Identity Recovery, which we will provide directly, you will have a direct relationship with the professional service firms paid for in whole or in part under this Cyber

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Coverage. Those firms work for you.

13. Valuation

We will determine the value of "money" as follows:

Our payment for loss of "money" or loss payable in "money" will be, at your option, in the "money" of the country in which the "wrongful transfer event" or "computer fraud event" took place or in the United States of America dollar equivalent thereof determined at the rate of exchange published by the Wall Street Journal at the time of payment of such loss.

F. DEFINITIONS

1. "Affected Individual" means any person whose "personally identifying information" or "personally sensitive information" is lost, stolen, accidentally released or accidentally published by a "personal data compromise" covered under this Cyber Coverage. This definition is subject to the following provisions:

a. "Affected individual" does not include any business or organization. Only an individual person may be an "affected individual".

b. An "affected individual" may reside anywhere in the world.

2. "Authorized Representative" means a person or entity authorized by law or contract to act on behalf of an "identity recovery insured".

3. "Authorized Third Party User" means a party who is not an employee or a director of you who is authorized by contract or other agreement to access the "computer system" for the receipt or delivery of services.

4. "Bodily Injury" means bodily injury, sickness or disease sustained by a person, including death resulting from any of these at any time.

5. "Business Income and Extra Expense Loss" means loss of Business Income and Extra Expense.

a. As used in this definition, Business Income means the sum of:

(1) Net income (net profit or loss before income taxes) that would have been earned or incurred; and

(2) Continuing normal and necessary operating expenses incurred, including employee and director payroll.

b. As used in this definition, Extra Expense means the additional cost you incur to operate your business over and above the cost that you normally would have incurred to operate your business during the same period had no "computer attack" occurred.

6. "Claim"

a. "Claim" means:

(1) A written demand for monetary damages or non-monetary relief, including injunctive relief;

(2) A civil proceeding commenced by the filing of a complaint;

(3) An arbitration proceeding in which such damages are claimed and to which you must submit or do submit with our consent;

(4) Any other alternative dispute resolution proceeding in which such damages are claimed and to which you must submit or to which we agree you should submit to;

arising from a "wrongful act" or a series of interrelated "wrongful acts" including any resulting appeal.

b. "Claim" does not mean or include:

(1) Any demand or action brought by or on behalf of someone who is:

(a) Your director;

(b) Your owner or part-owner; or

(c) A holder of your securities;

in their capacity as such, whether directly, derivatively, or by class action. "Claim" will include proceedings brought by such individuals in their capacity as "affected individuals", but only to the extent that the damages claimed are the same as would apply to any other "affected individual"; or

(2) A "regulatory proceeding".

c. Includes a demand or proceeding arising from a "wrongful act" that is a "personal data compromise" only when the "personal data compromise" giving rise to the proceeding was covered under Data Compromise Response Expenses section of this Cyber Coverage, and you submitted a "claim" to us and provided notifications and services to "affected individuals" in consultation with us pursuant to Data Compromise Response Expenses in connection with such

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"personal data compromise".

7. **"Computer Attack"**

   a. "Computer attack" means one of the following involving the "computer system":

   (1) An "unauthorized access incident";

   (2) A "malware attack"; or

   (3) A "denial of service attack" against a "computer system".

   b. A "computer attack" ends at the earlier of:

   (1) The time that the active attacking behavior ceases, the time that you have regained control over the "computer system" or the time that all unauthorized creation, destruction or movement of data associated with the "computer attack" has ceased, whichever happens latest; or

   (2) 30 days after your discovery of the "computer attack".

8. **"Computer Fraud Costs"** means:

   a. The amount of "money" fraudulently obtained from you. "Computer fraud costs" include the direct financial loss only.

   b. "Computer fraud costs" do not include any of the following:

   (1) Other expenses that arise from the "computer fraud event";

   (2) Indirect loss, such as "bodily injury", lost time, lost wages, "identity recovery expenses" or damaged reputation;

   (3) Any interest, time value or potential investment gain on the amount of financial loss; or

   (4) Any portion of such amount that has been or can reasonably be expected to be reimbursed by a third party, such as a financial institution.

9. **"Computer Fraud Event"** means:

   a. An "unauthorized access incident" that leads to the intentional, unauthorized and fraudulent entry of or change to data or instructions within a "computer system" owned or leased by you and operated under your control. Such fraudulent entry or change must be conducted by a person who is not an "employee", "executive" or "independent contractor". Such fraudulent entry or change must cause "money" to be sent or diverted. The fraudulent entry or change must result in direct financial loss to you.

   b. "Computer fraud event" does not mean or include any occurrence:

   (1) In which you are threatened or coerced to send money or divert a payment; or

   (2) Arising from a dispute or a disagreement over the completeness, authenticity or value of a product, a service or a financial instrument.

10. **"Computer System"** means a computer or other electronic hardware that:

    a. Is owned or leased by you and operated under your control; or

    b. Is operated by a third party service provider used for the purpose of providing hosted computer application services to you or for processing, maintaining, hosting or storing your electronic data, pursuant to a written contract with you for such services. However, such computer or other electronic hardware operated by such third party shall only be considered to be a "computer system" with respect to the specific services provided by such third party to you under such contract.

11. **"Coverage Term"** means the increment of time:

    a. Commencing on the earlier of the first inception date of this Cyber Coverage or the first inception date of any coverage substantially similar to that described in this Cyber Coverage and held immediately prior to this Cyber coverage; and

    b. Ending upon the "termination of coverage".

12. **"Coverage Territory"** means:

    a. With respect to Data Compromise Response Expenses, Computer Attack, Cyber Extortion, Misdirected Payment Fraud, Computer Fraud and Identity Recovery, "coverage territory" means anywhere in the world.

    b. With respect to Data Compromise Liability, Network Security Liability and Electronic Media Liability, "coverage territory" means anywhere in the world, however "claims" must be brought within the United States (including its territories and possessions) or Puerto Rico.

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13. **"Cyber Extortion Expenses"** means:
    a. The cost of a negotiator or investigator retained by you in connection with a "cyber extortion threat"; and
    b. Any amount paid by you in response to a "cyber extortion threat" to the party that made the "cyber extortion threat" for the purposes of eliminating the "cyber extortion threat" when such expenses are necessary and reasonable and arise directly from a "cyber extortion threat". The payment of "cyber extortion expenses" must be approved in advance by us. We will not pay for "cyber extortion expenses" that have not been approved in advance by us. We will not unreasonably withhold our approval.
14. **"Cyber Extortion Threat"** means:
    a. "Cyber extortion threat" means a demand for money from you based on a credible threat, or series of related credible threats, to:
        (1) Launch a "denial of service attack" against the "computer system" for the purpose of denying "authorized third party users" access to your services provided through the "computer system" via the Internet;
        (2) Gain access to a "computer system" and use that access to steal, release or publish "personally identifying information", "personally sensitive information" or "third party corporate data";
        (3) Alter, damage or destroy electronic data or software while such electronic data or software is stored within a "computer system";
        (4) Launch a "computer attack" against a "computer system" in order to alter, damage or destroy electronic data or software while such electronic data or software is stored within a "computer system"; or
        (5) Cause you to transfer, pay or deliver any funds or property using a "computer system" without your authorization.
    b. "Cyber extortion threat" does not mean or include any threat made in connection with a legitimate commercial dispute.
15. **"Data Re-creation Costs"**
    a. "Data re-creation costs" means the costs of an outside professional firm hired by you to research, re- create and replace data that has been lost or corrupted and for which there is no electronic source available or where the electronic source does not have the same or similar functionality to the data that has been lost or corrupted.
    b. "Data re-creation costs" does not mean or include costs to research, re-create or replace:
        (1) Software programs or operating systems that are not commercially available; or
        (2) Data that is obsolete, unnecessary or useless to you.
16. **"Data Restoration Costs"**
    a. "Data restoration costs" means the costs of an outside professional firm hired by you to replace electronic data that has been lost or corrupted. In order to be considered "data restoration costs", such replacement must be from one or more electronic sources with the same or similar functionality to the data that has been lost or corrupted.
    b. "Data restoration costs" does not mean or include costs to research, re-create or replace:
        (1) Software programs or operating systems that are not commercially available; or
        (2) Data that is obsolete, unnecessary or useless to you.
17. **"Defense Costs"**
    a. "Defense costs" means reasonable and necessary expenses consented to by us resulting solely from the investigation, defense and appeal of any "claim" or "regulatory proceeding" against you. Such expenses may include premiums for any appeal bond, attachment bond or similar bond. However, we have no obligation to apply for or furnish such bond.
    b. "Defense costs" does not mean or include the salaries or wages of your employees or directors, or your loss of earnings.
18. **"Denial of Service Attack"** means an intentional attack against a target computer or network of computers designed to overwhelm the capacity of the target computer or network in order to deny or impede authorized users from gaining access to the target computer or network through the Internet.
19. **"Electronic Media Incident"** means an allegation that the display of information in electronic form by you on a website resulted in:

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a. Infringement of another's copyright, title, slogan, trademark, trade name, trade dress, service mark or service name;

b. Defamation against a person or organization that is unintended; or

c. A violation of a person's right of privacy, including false light and public disclosure of private facts.

20. "Employee" means any natural person, other than an "executive", who was, now is or will be:

a. Employed on a full-time or part-time basis by you;

b. Furnished temporarily to you to substitute for a permanent "employee" on leave or to meet seasonal or short-term workload conditions;

c. Leased to you by a labor leasing firm under an agreement between you and the labor leasing firm to perform duties related to the conduct of your business, but does not mean a temporary employee as defined in paragraph **b.**; or

d. Your volunteer worker, which includes unpaid interns.

21. "Executive" means any natural person who was, now is or will be:

a. The owner of your sole proprietorship; or

b. A duly elected or appointed:

(1) Director;

(2) Officer;

(3) Managing Partner;

(4) General Partner;

(5) Member (if a limited liability company);

(6) Manager (if a limited liability company); or

(7) Trustee;

of your business.

22. "Extended Income Loss" means your actual "business income and extra expense loss" incurred during the "extended recovery period".

23. "Extended Recovery Period" means a fixed period of 180 days immediately following the end of the "period of restoration".

24. "Identity Recovery Case Manager" means one or more individuals assigned by us to assist an "identity recovery insured" with communications we deem necessary for re-establishing the integrity of the personal identity of the "identity recovery insured". This includes, with the permission and cooperation of the "identity recovery insured", written and telephone communications with law enforcement authorities, governmental agencies, credit agencies and individual creditors and businesses.

25. "Identity Recovery Expenses" means the following when they are reasonable and necessary expenses that are incurred as a direct result of an "identity theft" suffered by an "identity recovery insured":

a. Re-Filing Costs

Costs for re-filing applications for loans, grants or other credit instruments that are rejected solely as a result of an "identity theft".

b. Notarization, Telephone and Postage Costs

Costs for notarizing affidavits or other similar documents, long distance telephone calls and postage solely as a result of the "identity recovery insured's" efforts to report an "identity theft" or amend or rectify records as to the "identity recovery insured's" true name or identity as a result of an "identity theft".

c. Credit Reports

Costs for credit reports from established credit bureaus.

d. Legal Costs

Fees and expenses for an attorney approved by us for the following:

(1) The defense of any civil suit brought against an "identity recovery insured".

(2) The removal of any civil judgment wrongfully entered against an "identity recovery insured".

(3) Legal assistance for an "identity recovery insured" at an audit or hearing by a governmental agency.

(4) Legal assistance in challenging the accuracy of the "identity recovery insured's" consumer credit report.

(5) The defense of any criminal charges brought against an "identity recovery insured" arising from the actions of a third party using the personal identity of the "identity recovery insured".

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e. Lost Wages

Actual lost wages of the "identity recovery insured" for time reasonably and necessarily taken away from work and away from the work premises. Time away from work includes partial or whole work days. Actual lost wages may include payment for vacation days, discretionary days, floating holidays and paid personal days. Actual lost wages does not include sick days or any loss arising from time taken away from self-employment. Necessary time off does not include time off to do tasks that could reasonably have been done during non-working hours.

f. Child and Elder Care Expenses

Actual costs for supervision of children or elderly or infirm relatives or dependents of the "identity recovery insured" during time reasonably and necessarily taken away from such supervision. Such care must be provided by a professional care provider who is not a relative of the "identity recovery insured".

g. Mental Health Counseling

Actual costs for counseling from a licensed mental health professional. Such care must be provided by a professional care provider who is not a relative of the "identity recovery insured".

h. Miscellaneous Unnamed Costs

Any other reasonable costs necessarily incurred by an "identity recovery insured" as a direct result of the "identity theft".

(1) Such costs include:

(a) Costs by the "identity recovery insured" to recover control over his or her personal identity.

(b) Deductibles or service fees from financial institutions.

(2) Such costs do not include:

(a) Costs to avoid, prevent or detect "identity theft" or other loss.

(b) Money lost or stolen.

(c) Costs that are restricted or excluded elsewhere in this Cyber Coverage or policy.

26. "Identity Recovery Insured" means the following:

a. When the entity insured under this Cyber Coverage is a sole proprietorship, the "identity recovery insured" is the individual person who is the sole proprietor of the insured identity.

b. When the entity insured under this Cyber Coverage is a partnership, the "identity recovery insureds" are the current partners.

c. When the entity insured under this Cyber Coverage is a corporation or other form of organization, other than those described in **a.** or **b.** above, the "identity recovery insureds" are all individuals having an ownership position of 20% or more of the insured entity. However, if, and only if, there is no one who has such an ownership position, then the "identity recovery insured" will be:

(1) The chief executive of the insured entity; or

(2) As respects a religious institution, the senior ministerial employee.

An "identity recovery insured" must always be an individual person. If the entity insured under this Cyber Coverage is a legal entity, that legal entity is not an "identity recovery insured".

27. "Identity Theft"

a. "Identity theft" means the fraudulent use of "personally identifying information". This includes fraudulently using such information to establish credit accounts, secure loans, enter into contracts or commit crimes.

b. "Identity theft" does not mean or include the fraudulent use of a business name, d/b/a or any other method of identifying a business activity.

28. "Independent Contractor" means a natural person that provides goods or services to you under terms specified in a written contract, but only while acting on behalf of, at the direction of, and under the supervision of you.

29. "Loss"

a. With respect to Data Compromise Response Expenses, "loss" means those expenses enumerated in Data Compromise Response Expenses, paragraph **b**.

b. With respect to Computer Attack, "loss" means those expenses enumerated in Computer Attack, paragraph **b**.

c. With respect to Cyber Extortion, "loss" means "cyber extortion expenses".

d. With respect to Misdirected Payment Fraud, "loss" means "wrongful transfer costs".

e. With respect to Computer Fraud, "loss" means "computer fraud costs".

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f. With respect to Data Compromise Liability, Network Security Liability and Electronic Media Liability, "loss" means "defense costs" and "settlement costs".

g. With respect to Identity Recovery, "loss" means those expenses enumerated in Identity Recovery, paragraph **b**.

30. "Malware Attack"

a. "Malware attack" means an attack that damages a "computer system" or data contained therein arising from malicious code, including viruses, worms, Trojans, spyware and keyloggers.

b. "Malware attack" does not mean or include damage from shortcomings or mistakes in legitimate electronic code or damage from code installed on your "computer system" during the manufacturing process or normal maintenance.

31. "Money" means:

a. "Money" means a medium of exchange in current use and authorized or adopted by a domestic or foreign government, including currency, coins, banknotes, bullion, travelers' checks, registered checks and money orders held for sale to the public.

b. "Money" does not mean or include any cryptocurrency, whether or not authorized or adopted by a domestic or foreign government. Cryptocurrency includes, but is not limited to, Bitcoin, Ethereum and other forms of digital, virtual or electronic currency.

32. "Network Security Incident" means a negligent security failure or weakness with respect to a "computer system" which allowed one or more of the following to happen:

a. The unintended propagation or forwarding of malware, including viruses, worms, Trojans, spyware and keyloggers. Malware does not include shortcomings or mistakes in legitimate electronic code;

b. The unintended abetting of a "denial of service attack" against one or more other systems; or

c. The unintended loss, release or disclosure of "third party corporate data".

33. "Period of Restoration" means the period of time that begins 8 hours after the time that a "computer attack" is discovered by you and continues until the earliest of:

a. The date that all data restoration, data re-creation and system restoration directly related to the "computer attack" has been completed;

b. The date on which such data restoration, data re-creation and system restoration could have been completed with the exercise of due diligence and dispatch; or

c. If no data restoration, data re-creation or system restoration is required, the end of the "computer attack".

34. "Personal Data Compromise" means the loss, theft, accidental release or accidental publication of "personally identifying information" or "personally sensitive information" as respects one or more "affected individuals". If the loss, theft, accidental release or accidental publication involves "personally identifying information", such loss, theft, accidental release or accidental publication must result in or have the reasonable possibility of resulting in the fraudulent use of such information. This definition is subject to the following provisions:

a. At the time of the loss, theft, accidental release or accidental publication, the "personally identifying information" or "personally sensitive information" need not be at the insured premises but must be in the direct care, custody or control of:

(1) You; or

(2) A professional entity with which you have a direct relationship and to which you (or an "affected individual" at your direction) have turned over (directly or via a professional transmission or transportation provider) such information for storage, processing, transmission or transportation of such information.

b. "Personal data compromise" includes disposal or abandonment of "personally identifying information" or "personally sensitive information" without appropriate safeguards such as shredding or destruction, provided that the failure to use appropriate safeguards was accidental and not reckless or deliberate.

c. "Personal data compromise" includes situations where there is a reasonable cause to suspect that such "personally identifying information" or "personally sensitive information" has been lost, stolen, accidentally released or accidentally published, even if there is no firm proof.

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d. All incidents of "personal data compromise" that are discovered at the same time or arise from the same cause will be considered one "personal data compromise".

35. "Personally Identifying Information"

a. "Personally identifying information" means information, including health information, that could be used to commit fraud or other illegal activity involving the credit, access to health care or identity of an "affected individual" or "identity recovery insured". This includes, but is not limited to, Social Security numbers or account numbers.

b. "Personally identifying information" does not mean or include information that is otherwise available to the public, such as names and addresses.

36. "Personally Sensitive Information"

a. "Personally sensitive information" means private information specific to an individual the release of which requires notification of "affected individuals" under any applicable law.

b. "Personally sensitive information" does not mean or include "personally identifying information".

37. "Policy Period" means the period commencing on the effective date shown in the Cyber Suite Supplemental Declarations. The "policy period" ends on the expiration date or the cancellation date of this Cyber Coverage, whichever comes first.

38. "Property Damage" means

a. Physical injury to or destruction of tangible property including all resulting loss of use; or

b. Loss of use of tangible property that is not physically injured.

39. "Regulatory Proceeding" means an investigation, demand or proceeding alleging a violation of law or regulation arising from a "personal data compromise" brought by, or on behalf of, the Federal Trade Commission, Federal Communications Commission or other administrative or regulatory agency, or any federal, state, local or foreign governmental entity in such entity's regulatory or official capacity.

40. "Settlement Costs"

a. "Settlement costs" means the following, when they arise from a "claim":

(1) Damages, judgments or settlements; and

(2) Attorney's fees and other litigation costs added to that part of any judgment paid by us, when such fees and costs are awarded by law or court order; and

(3) Pre-judgment interest on that part of any judgment paid by us.

b. "Settlement costs" does not mean or include:

(1) Civil or criminal fines or penalties imposed by law, except for civil fines and penalties expressly covered under Data Compromise Response Expenses;

(2) Punitive and exemplary damages;

(3) The multiple portion of any multiplied damages;

(4) Taxes; or

(5) Matters which may be deemed uninsurable under the applicable law.

c. With respect to fines and penalties, the law of the jurisdiction most favorable to the insurability of those fines, or penalties will control for the purpose of resolving any dispute between us and you regarding whether the fines, or penalties specified in this definition above are insurable under this Cyber Coverage, provided that such jurisdiction:

(1) Is where those fines, or penalties were awarded or imposed;

(2) Is where any "wrongful act" took place for which such fines, or penalties were awarded or imposed;

(3) Is where you are incorporated or you have your principal place of business; or

(4) Is where we are incorporated or have our principal place of business.

41. "System Restoration Costs"

a. "System restoration costs" means the costs of an outside professional firm hired by you to do any of the following in order to restore your "computer system" to its pre-"computer attack" level of functionality:

(1) Replace or reinstall computer software programs;

(2) Remove any malicious code; and

(3) Configure or correct the configuration of your "computer system".

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b. "System restoration costs" does not mean or include:

(1) Costs to increase the speed, capacity or utility of a "computer system" beyond what existed immediately prior to the "computer attack";

(2) Labor costs of your employees or directors;

(3) Any costs in excess of the actual cash value of your "computer system"; or

(4) Costs to repair or replace hardware.

42. "Termination of Coverage" means:

a. You or we cancel this coverage;

b. You or we refuse to renew this coverage; or

c. We renew this coverage on an other than claims-made basis or with a retroactive date later than the date of the first inception of this coverage or any coverage substantially similar to that described in this Cyber Coverage.

43. "Third Party Corporate Data"

a. "Third party corporate data" means any trade secret, data, design, interpretation, forecast, formula, method, practice, credit or debit card magnetic strip information, process, record, report or other item of information of a third party not an insured under this Cyber Coverage which is not available to the general public and is provided to you subject to a mutually executed written confidentiality agreement or which you are legally required to maintain in confidence.

b. "Third party corporate data" does not mean or include "personally identifying information" or "personally sensitive information".

44. "Unauthorized Access Incident" means the gaining of access to a "computer system" by:

a. An unauthorized person or persons; or

b. An authorized person or persons for unauthorized purposes.

45. "Wrongful Act"

a. With respect to Data Compromise Liability, "wrongful act" means a "personal data compromise".

b. With respect to Network Security Liability, "wrongful act" means a "network security incident".

c. With respect to Electronic Media Liability, "wrongful act" means an "electronic media incident".

46. "Wrongful Transfer Costs" means the amount of "money" fraudulently obtained from you. "Wrongful transfer costs" include the direct financial loss only. "Wrongful transfer costs" do not include any of the following:

a. Other expenses that arise from the "wrongful transfer event";

b. Indirect loss, such as "bodily injury", lost time, lost wages, identity recovery expenses or damaged reputation;

c. Any interest, time value or potential investment gain on the amount of financial loss; or

d. Any portion of such amount that has been or can reasonably be expected to be reimbursed by a third party, such as a financial institution.

47. "Wrongful Transfer Event"

a. "Wrongful transfer event" means an intentional and criminal deception of you or a financial institution with which you have an account. The deception must be perpetrated by a person who is not an "employee", "executive" or "independent contractor" using email, facsimile or telephone communications to induce you or the financial institution to send or divert "money". The deception must result in direct financial loss to you.

b. "Wrongful transfer event" does not mean or include any occurrence:

(1) In which you are threatened or coerced to send money or divert a payment; or

(2) Arising from a dispute or disagreement over the completeness, authenticity or value of a product, a service or a financial instrument.

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EMPLOYMENT PRACTICES LIABILITY INSURANCE COVERAGE

NOTICE

- **THIS IS A CLAIMS-MADE AND REPORTED POLICY. EXCEPT TO SUCH EXTENT AS MAY OTHERWISE BE PROVIDED HEREIN, THIS EPL COVERAGE IS LIMITED TO LIABILITY FOR ONLY THOSE CLAIMS OR SUITS THAT ARE FIRST MADE AGAINST THE INSUREDS DURING THE EPL COVERAGE PERIOD AND REPORTED IN WRITING TO THE INSURER PURSUANT TO THE TERMS HEREIN. VARIOUS PROVISIONS IN THIS EPL COVERAGE RESTRICT COVERAGE. PLEASE READ THE ENTIRE EPL COVERAGE FORM CAREFULLY TO DETERMINE RIGHTS, DUTIES AND WHAT IS AND IS NOT COVERED.**
- **THE LIMIT OF LIABILITY AVAILABLE TO PAY JUDGMENTS OR SETTLEMENTS UNDER THIS EPL COVERAGE SHALL BE REDUCED BY AMOUNTS INCURRED FOR DEFENSE COSTS. AMOUNTS INCURRED FOR DEFENSE COSTS SHALL BE APPLIED AGAINST THE DEDUCTIBLE AMOUNT.**

SCHEDULE

EPL Coverage Period:	**From:** 07/08/2026 **To:** 07/08/2027	**At 12:01 A.M. Standard Time at your mailing address shown on the Declarations page of this policy**
EPL Aggregate Limit of Liability:	**$** 50,000	**Annual aggregate for all "loss" combined, including "defense costs".**
EPL Deductible Amount:	**$** 5,000	**For "loss" arising from claims or suits alleging the same "wrongful employment act" or "related wrongful employment acts", or the same "third party violation" or "related third party violation" if "third party violations" are shown as covered.**
EPL Retroactive Date:	07/08/2026	**If no date is shown, "we" will consider the EPL Retroactive Date to be the date of organization of the "named insured". The EPL Retroactive Date will remain the same through all subsequent renewals. No change will be made to the EPL Retroactive Date unless at the sole request of the "insured".**
EPL Coverage Premium:	**$** 166.00	**EPL Premium for the EPL Coverage Period**
Third Party Violations Premium (Optional):	**$** 25.00	**If coverage for "third party violations" has been paid for, the premium will be shown and coverage is in force. Otherwise, there is no coverage available for "third party violations".**
TOTAL EPL COVERAGE PREMIUM:		**$** 191

This insurance does not apply to "loss" arising out of a "wrongful employment act" or "third party violation" that arises out of incidents or circumstances of which "you" had knowledge prior to the effective date of this EPL Coverage or the first EPL Coverage Form issued by "us" of which this EPL Coverage is an uninterrupted renewal.

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Throughout this Coverage Endorsement (hereinafter referred to as “EPL Coverage”), the words “you” and “your” refer to the “named insured(s)” shown in the Schedule above of this EPL Coverage and any other person(s) or organization(s) qualifying as a “named insured” under this EPL Coverage. The words “we”, “us” and “our” refer to the company providing this insurance.

The word “insured” means any person or organization qualifying as such under **SECTION III. WHO IS AN INSURED.**

Other words and phrases that appear in “quotations” have special meaning. Refer to **SECTION VII. DEFINITIONS.**

The terms and conditions of the Cancellation Clause of the Common Policy Conditions and any amendment to such terms incorporated by endorsement are hereby incorporated herein and shall apply to coverage as is afforded by this EPL Coverage, unless specifically stated otherwise in an endorsement(s) attached hereto.

SECTION I. WHAT IS COVERED

A. Insuring Agreement

1. “We” shall pay those “losses” arising out of an “insured’s” “wrongful employment act” (other than a “third party violation”) against “your” “employees”, “recognized volunteers” and “applicants for employment” to which this insurance applies.

2. If coverage for “third party violations” is shown on the Schedule above, then “we” shall pay those “losses” arising out of an “insured’s” “third party violation”.

3. For coverage to apply under this EPL Coverage, the “wrongful employment act” or “third party violation” must commence or take place after the Retroactive Date, but before the end of the “EPL coverage period”. If no Retroactive Date appears on the Schedule above then the Retroactive Date shall be the date of organization of the “named insured.” A “claim” or “suit” for a “wrongful employment act” or “third party violation” must be first made against “you” during the “EPL coverage period” and reported to “us” pursuant to the terms of this EPL Coverage.

4. A “claim” or “suit” by a person or organization seeking damages will be deemed to have been made at the earlier of the following times:

a. When written notice of such “claim” or “suit” is received and recorded by any “insured” or by “us”, whichever comes first; or

b. When “we” make any settlement in accordance with the terms of this EPL Coverage.

B. Defense

1. “We” have the right and duty to defend and appoint an attorney to defend any “claim” or “suit” brought against any “insured” for a “wrongful employment act” or “third party violation” to which this insurance applies, even if the “claim” or “suit” is groundless or fraudulent.

At the time a “claim” or “suit” is first reported to “us”, “you” may request that “we” appoint a defense attorney of “your” choice. “We” will give full consideration to any such request.

2. “We” have the right to investigate and settle any “claim” or “suit” that “we” believe is proper. “You” shall be entitled to consent to such settlement, provided “your” consent is not unreasonably withheld and is provided as soon as practicable.

If “you” refuse to consent to any settlement that “we” recommend and that is acceptable to the claimant, then “our” liability under this EPL Coverage for such “claim” or “suit” shall not exceed the amount for which we could have settled had “your” consent not been withheld at the time of “our” recommendation. “You” shall thereafter negotiate and defend that “claim” or “suit” at “your” own cost and without “our” involvement.

3. “We” shall pay all reasonable costs “we” ask the “insured” to incur while helping “us” investigate or defend a “claim” or “suit”. “We”, however, will not pay more than $250 per day for earnings lost by the “insured” because of time taken off from work.

4. “We” shall pay premiums for appeal bonds, or bonds to release property being used to secure a legal obligation, for a covered “suit”. “We” shall only pay, however, for bonds valued up to “our” EPL Aggregate Limit of Liability. “We” shall have no obligation to appeal or to obtain these bonds.

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5. Payments for "defense costs" are included within the EPL Aggregate Limit of Liability. They are not in addition to the EPL Aggregate Limit of Liability. "Our" duty to defend or to make payment of any "claim" or "suit" pursuant to Paragraphs **1.** through **4.** of this Clause **B.**, ends after the EPL Aggregate Limit of Liability has been exhausted by payment of "loss", including "defense costs".

6. "We" shall pay all interest on that amount of any judgment within the EPL Aggregate Limit of Liability:

a. Which accrues after entry of judgment; and

b. Before "we" pay, offer to pay, or deposit in court that part of the judgment within the EPL Aggregate Limit of Liability.

These interest payments shall be in addition to and not part of the EPL Aggregate Limit of Liability.

C. Transfer of Control

1. "You" may take over control of any outstanding "claim" or "suit" previously reported to "us", but only if "we", in "our" sole discretion, decide that you should, or if a court orders "you" to do so.

2. Notwithstanding Paragraph **1.** of this Clause **C.**, in all events, if the EPL Aggregate Limit of Liability is exhausted, "we" will notify "you" of all outstanding "claims" or "suits" and "you" will take over control of the defense. "We" will help transfer control of the "claims" and "suits" to "you".

3. "We" shall take whatever steps are necessary to continue the defense of any outstanding "claim" or "suit" and avoid a default judgment during the transfer of control to "you". If "we" do so, "we" shall not waive or give up any of "our" rights. "You" shall pay all reasonable expenses "we" incur for taking such steps after the EPL Aggregate Limit of Liability is exhausted.

SECTION II. EXCLUSIONS – WHAT IS NOT COVERED

This insurance does not apply to:

A. Criminal Acts

Any liability arising out of any dishonest, fraudulent, criminal, or malicious act by or at the direction of any "insured". However, to the extent that a "claim" or "suit" is otherwise covered under this EPL Coverage "we" will defend a "claim" or "suit" asserting a dishonest, fraudulent, criminal or malicious act until such time as the "insured" is determined to have committed such dishonest, fraudulent, criminal or malicious act;

The "wrongful employment act(s)" or "third party violation(s) of an "insured" shall not be imputed to any other "insured" for the purpose of determining the applicability of this Exclusion **A.**

B. "Property Damage"

Any liability arising out of "property damage".

C. "Bodily Injury"

Any liability arising out of "bodily injury".

D. Worker's Compensation, Social Security and Unemployment, Disability and Retirement Benefits

Any liability arising out of any obligation pursuant to any worker's compensation, disability benefits, unemployment compensation, unemployment insurance, retirement benefits, social security benefits or similar law. This exclusion, however, shall not apply to "loss" arising from a "claim" or "suit" for "retaliation".

E. Contractual Liability

Any liability arising out of any actual or alleged contractual liability of any "insured" under any express contract or agreement. This exclusion, however, shall not apply to any liability the "insured" would have in the absence of such express contract or agreement.

F. ERISA, FLSA, NLRA, WARN, COBRA, and OSHA

Any liability for violation(s) of any of the responsibilities, obligations or duties imposed by the Employee Retirement Income Security Act of 1974, the Fair Labor Standards Act (except the Equal Pay Act), the National Labor Relations Act, the Worker Adjustment and Retraining Notification Act, the Consolidated Omnibus Budget Reconciliation Act, the Occupational Safety and Health Act, any rules or regulations of the foregoing promulgated thereunder, and amendments thereto or any similar federal, state, local or foreign statutory law or common law.

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It is acknowledged that “claims” and “suits” for violation(s) of any of the responsibilities, obligations or duties imposed by “similar federal, state, local or foreign statutory law or common law,” as such quoted language is used in the immediately-preceding paragraph, include, without limitation, any and all “claims” and “suits” which in whole or in part allege, arise out of, are based upon, are attributable to, or are in any way related to any of the circumstances described in any of the following:

1. The refusal, failure or inability of any “insured(s)” to pay wages or overtime pay (or amounts representing such wages or overtime pay) for services rendered or time spent in connection with work related activities (as opposed to tort-based back pay or front pay damages for torts other than conversion);
2. Improper deductions from pay taken by any “insured(s)” from any “employee(s)” or purported employee(s); or
3. Failure to provide or enforce legally required meal or rest break periods;

Notwithstanding the foregoing, this Exclusion **F.** shall not apply to the extent that a “claim” or “suit” is for “retaliation”.

G. Prior Knowledge

Any liability arising out of incidents, circumstances or “wrongful employment acts” or “third party violations”, which an “insured”

1. Had knowledge of; or
2. Could have reasonably foreseen might result in a “claim” or “suit”

and which were known to the “insured” prior to the effective date of this EPL Coverage or the first EPL Coverage issued by “us” of which this EPL Coverage is an uninterrupted renewal.

H. Prior Notice

Any liability arising out of the facts alleged, or to the same or “related wrongful employment acts” or “related third party violations” alleged or contained in any “claim” or “suit” which has been reported, or in any circumstances of which notice has been given, under any policy of which this EPL Coverage is a renewal or replacement or which it may succeed in time.

I. Prior Litigation

Any liability arising out of any prior

1. Litigation; or
2. Administrative or regulatory proceeding or investigation of which an “insured” had notice, or alleging the same or “related wrongful employment acts” or “related third party violations” alleged or contained in such pending or prior litigation or administrative or regulatory proceeding or investigation which the “insured” had knowledge of prior to the effective date of this EPL Coverage or the first EPL Coverage issued by “us” of which this EPL Coverage is an uninterrupted renewal.

SECTION III. WHO IS AN INSURED

A. Individual

If “you” are shown in the Schedule above of this EPL Coverage as an individual, “you” and “your” spouse or “Domestic Partner” are “insureds”, only for the conduct of a business of which “you” are the sole owner.

B. Corporation

If “you” are shown in the Schedule above of this EPL Coverage as a corporation or organization other than a partnership, joint venture, or limited liability company, “you” and “your” “subsidiaries” are “insureds”.

C. Partnership or Joint Venture

If “you” are shown in the Schedule above of this EPL Coverage as a partnership or joint venture, “you” are an “insured”. “Your” members, partners or co-venturers and their spouses or “Domestic Partners” are also “insureds”, but only for the conduct of “your” business.

D. Limited Liability Company

If “you” are shown in the Schedule above of this EPL Coverage as a limited liability company, “you” are an “insured.” “Your” members are also “insureds”, but only with respect to the conduct of “your” business. “Your” managers are “insureds”, but only with respect to their duties as “your” managers.

E. Trusts

If “you” are shown in the Schedule above of this EPL Coverage as a trust, “you” are an “insured”. “Your” trustees are also “insureds”, but only with respect to their duties as trustees.

F. “Employees”

“Your” “employees”, executive officers and directors are “insureds”, only for the conduct of “your” business within the scope of their employment or their duties as executive officers or directors.

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G. Extensions

1. Subject otherwise to the terms hereof, this EPL Coverage shall cover “loss” arising from any “claims” or “suits” made against the estates, heirs, or legal representative of deceased individual “insureds”, and the legal representatives of individual “insureds”, in the event of incompetency, who were individual “insureds” at the time the “wrongful employment acts” or “third party violations”, upon which such “claims” or “suits” are based, were committed.

2. Subject otherwise to the terms hereof, this EPL Coverage shall cover “loss” arising from all “claims” and “suits” made against the lawful spouse (whether such status is derived by reason of statutory law, common law or otherwise of any applicable jurisdiction in the world) or “Domestic Partner” of an individual “insured”, including a “claim” or “suit” that seeks damages recoverable from marital community property, property jointly held by the individual “insured” and the spouse or “Domestic Partner”, or property transferred from the individual “insured” to the spouse or “Domestic Partner”; provided, however, that this extension shall not afford coverage for a “claim” or “suit” arising out of any “wrongful employment act” or “third party violation” of the spouse or “Domestic Partner”, but shall apply only to “claims” or “suits” arising out of any “wrongful employment acts” or “third party violations” of an individual “insured”, subject to this EPL Coverage's terms, conditions and exclusions.

SECTION IV. LIMIT OF LIABILITY (including “defense costs”)

A. The EPL Aggregate Limit of Liability shown in the Schedule above of this EPL Coverage and the information contained in this section limits the most “we” shall pay for all “loss” (other than post-judgment interest described in Section **I.**, Clause **B.**, Paragraph **6.**) arising out of “claims” and ”suits” first made against “insureds” during the “EPL coverage period” or Extended Reporting Periods (if applicable), regardless of:

1. The number of persons or organizations covered by this EPL Coverage; or

2. The number of “claims” made or “suits” brought; or

3. The length of the “EPL coverage period”.

B. The EPL Aggregate Limit of Liability is the most “we” shall pay for all “losses” (other than post-judgment interest described in Section **I.**, Clause **B.**, Paragraph **6.**), including amounts incurred for “defense costs”.

C. The EPL Aggregate Limit of Liability for the Extended Reporting Periods (if applicable) shall be part of, and not in addition to the EPL Aggregate Limit of Liability for the “EPL coverage period”.

D. All “claims” and “suits” arising from the same or “related wrongful employment acts” or “related third party violations” shall be treated as arising out of a single “wrongful employment act” or “third party violation”.

E. All “claims” or “suits” arising out of one “wrongful employment act” or “third party violation” shall be deemed to be made on the date that the first such “claim” is made or “suit” is brought. All “claims” asserted in a “class action suit” will be treated as arising out of a single “wrongful employment act” or “third party violation”.

F. Any “claim” or “suit” which is made subsequent to the “EPL coverage period” or Extended Reporting Periods (if applicable) which, pursuant to Section **VI.**, Clause **D.**, Paragraphs **3.** and **4.** is considered made during the “EPL coverage period” or Extended Reporting Periods (if applicable), shall also be subject to the one EPL Aggregate Limit of Liability stated in the Schedule above of this EPL Coverage.

SECTION V. DEDUCTIBLE

“You” shall be responsible for the deductible amount shown in the Schedule above of this EPL Coverage with respect to each “claim” and “suit” and “you” may not insure against it. A single deductible amount shall apply to “loss” arising from all “claims” and “suits” alleging the same “wrongful employment act” or “third party violation” or “related wrongful employment acts” or “related third party violations”. Expenses “we” incur in investigating, defending and settling “claims” and “suits” are included in the deductible. The deductible is not included within the EPL Aggregate Limit of Liability.

At “our” option, “we” may pay any part or all of the EPL Deductible Amount to effect settlement of any “claim” or “suit” and upon notification of the action taken, “you” shall promptly reimburse “us” for such part of the deductible that has been paid by “us”.

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SECTION VI. CONDITIONS

"We" have no duty to provide coverage under this EPL Coverage, unless there has been full compliance with all the Conditions contained in this EPL Coverage.

A. Assignment

The interest of any "insured" is not assignable. "You" cannot assign or transfer "your" interest in this EPL Coverage without "our" written consent attached to the EPL Coverage.

B. Bankruptcy or Insolvency

"Your" bankruptcy, insolvency or inability to pay, will not relieve "us" from the payment of any "claim" or "suit" covered by this EPL Coverage.

Under no circumstances will "your" bankruptcy, insolvency, or inability to pay require "us" to drop down, in any way replace, or assume any of "your" obligations with respect to the Deductible provisions of this EPL Coverage.

C. Coverage Territory

"We" cover "wrongful employment acts" or "third party violations" anywhere in the world, but only if the "claim" is made and the "suit" is brought for such "wrongful employment act" or "third party violation" in the United States of America, its territories and possessions, Puerto Rico, or Canada.

D. Duties in the Event of an Incident, "Claim" or "Suit"

1. If, during the "EPL coverage period", incidents or events occur which "you" reasonably believe may give rise to a "claim" or "suit" for which coverage may be provided hereunder, such belief being based upon either written notice from the potential claimant or the potential claimant's representative; or notice of a complaint filed with EEOC, DOL or OFCCP (or similar federal, state or local agency); or upon an oral "claim", allegation or threat, "you" shall give written notice to "us" as soon as practicable and either:

a. Anytime during the "EPL coverage period";

b. Anytime during the sixty (60) days immediately following the expiration of the "EPL coverage period", for "claims" first made or "suits" first brought during the "EPL Coverage Period", (as shown on the Schedule above) when this policy is renewed by "us"; or

c. Anytime during the Extended Reporting Periods (if applicable).

2. If a "claim" is made or a "suit" is brought against any "insured", "you" must:

a. Immediately record the specifics of the "claim" or "suit" and the date received; and

b. Provide "us" with written notice, as described in Paragraph **3.** of this Clause **D.**, as soon as practicable.

3. Such written notice of "claim" or "suit" shall contain:

a. The identity of the person(s) alleging a "wrongful employment act" or "third party violation";

b. The identity of the "insured(s)" who allegedly were involved in the incidents or events;

c. The date the alleged incidents or events took place; and

d. The written notice or a memorandum of the oral "claim", allegation or threat referred to above.

If written notice is given to "us" during the "EPL coverage period" or Extended Reporting Periods (if applicable), pursuant to the above requirements, then any "claim" or "suit" which is subsequently made against any "insureds" and reported to "us" alleging, arising out of, based upon or attributable to such circumstances or alleging any "related wrongful employment act" or "related third party violation" to such circumstances, shall be considered made at the time such notice of such circumstances was first given.

4. If "you" submit written notice of a "claim" or "suit", pursuant to this Clause **D.**, then any "claim" or "suit" that may subsequently be made against an "insured" and reported to "us" alleging the same or a "related wrongful employment act" or the same or a "related third party violation" to the "claim" or "suit" for which such notice has been given shall be deemed, for the purpose of this insurance, to have been first made during the "EPL coverage period" or Extended Reporting Period (if applicable) in effect at the time such written notice was first submitted to "us".

5. "You" and any other "insured" must:

a. Immediately send "us" copies of any demands, notices, summonses or legal papers received in connection with any "claim" or "suit";

b. Authorize "us" to obtain records and other information;

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c. Cooperate with “us” in the investigation, settlement or defense of the “claim” or “suit”;

d. Assist “us”, upon “our” request, in the enforcement of any right against any person or organization which may be liable to the “insured” because of injury or damage to which this insurance may also apply;

e. Not take any action, nor fail to take any required action, that prejudices the rights of the “insureds” or “us” with respect to such “claim” or “suit”.

6. No “insureds” will, except at their own cost, voluntarily make a payment, assume any obligation, or incur any expense without “our” prior written consent.

E. Transfer of Rights of Recovery Against Others to “Us”

“You” may be able to recover all or part of a “loss” from someone other than “us”. “You”, therefore, shall do all that is possible after a “loss” to preserve any such right of recovery. If “we” make a payment under this EPL Coverage, that right of recovery shall belong to “us”. “You” shall do whatever is necessary, including signing documents, to help “us” obtain that recovery.

F. Extended Reporting Periods

1. “You” shall have the right to the Extended Reporting Periods described in Paragraph **2.** of this Clause **F.**, in the event that:

a. “You” or “we” shall cancel this EPL Coverage;

b. “You” or “we” shall refuse to renew this EPL Coverage; or

c. “We” renew this EPL Coverage on an other than a claims-made basis or with a Retroactive Date later than the Retroactive Date shown on the Schedule above of this EPL Coverage.

2. If an event as specified in Paragraph **1.** of this Clause **F.** has occurred, “you” shall have the right to the following:

a. An Automatic Extended Reporting Period of thirty (30) days after the effective date of cancellation or nonrenewal at no additional premium in which to give to “us” written notice of “claims” first made or “suits” first brought against the “insureds” during said Automatic Extended Reporting Period for any “wrongful employment acts” or “third party violations” occurring before the end of the “EPL coverage period” and are otherwise covered by this EPL Coverage; and

b. Upon payment of an additional premium of 100% of the full annual premium applicable to this EPL Coverage, a Supplemental Extended Reporting Period of one (1) year immediately following the effective date of cancellation or nonrenewal in which to give to “us” written notice of “claims” first made or “suits” first brought against the “insureds” during said Supplemental Extended Reporting Period for any “wrongful employment acts” or “third party violations” occurring before the end of the “EPL coverage period” and are otherwise covered by this EPL Coverage.

To obtain the Supplemental Extended Reporting Period, “you” must request it in writing and pay the additional premium due, within thirty (30) days of the effective date of cancellation or nonrenewal. The additional premium for the Supplemental Extended Reporting Period shall be fully earned at the inception of the Supplemental Extended Reporting Period. If “we” do not receive the written request as required, “you” may not exercise this right at a later date.

This insurance, provided during the Supplemental Extended Reporting Period, is excess over any other valid and collectible insurance that begins or continues in effect after the Supplemental Extended Reporting Period becomes effective, whether the other insurance applies on a primary, excess, contingent, or any other basis.

G. Change in Control of “Named Insured”

In the event of a “transaction” then this EPL Coverage shall continue in full force and effect as to “wrongful employment acts” or “third party violations” occurring prior to the effective time of the “transaction”, but there shall be no coverage afforded by any provision of this EPL Coverage for any actual or alleged “wrongful employment acts” or “third party violations” occurring after the effective time of the “transaction”. This EPL Coverage may not be cancelled after the effective time of the “transaction” and the entire premium for this EPL Coverage shall be deemed earned as of such time. “You” shall also have the right to the Extended Reporting Periods described in Clause **F.** of this Section **VI**.

“You” shall give “us” written notice of the “transaction” as soon as practicable, but not later than thirty (30) days after the effective date of the “transaction”.

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H. Legal Action Against "Us"

No person or organization has the right to join "us" as a party or otherwise bring "us" into a "suit" asking for damages from an "insured".

I. Other Insurance

Unless expressly written to be excess over other applicable insurance, it is intended that the insurance provided by this EPL Coverage shall be primary.

J. EPL Coverage Changes

This EPL Coverage contains all the agreements between "you" and "us" concerning this insurance. The first "named insured" in the Schedule above of this EPL Coverage is authorized to request changes in this EPL Coverage. This EPL Coverage can only be changed by a written endorsement "we" issue and make part of this EPL Coverage.

K. Representations

Any and all relevant provisions of this EPL Coverage may be voidable by "us" in any case of fraud, intentional concealment, or misrepresentation of material fact by any "insured".

L. Special Rights and Duties of the First "Named Insured"

"You" agree that when there is more than one person and/or entity covered under this EPL Coverage, the first "named insured" in the Schedule above of this EPL Coverage shall act on behalf of all "insureds" as to:

1. Giving of notice of a "claim" or "suit";

2. Giving and receiving notice of cancellation or nonrenewal;

3. Payment of premiums and receipt of return premiums;

4. Acceptance of any endorsements issued to form a part of this EPL Coverage; or

5. Purchasing or deciding not to purchase the Supplemental Extended Reporting Period.

M. Separation of Insureds

Except with respect to the EPL Aggregate Limit of Liability and any rights or duties specifically assigned to the first "named insured" in Clause **L.** of this Section **VI.**, this insurance applies:

1. As if each "named insured" were the only "named insured"; and

2. Separately to each "insured" against whom a "claim" or "suit" is made.

N. Tie-In of Limits

As respects any "claim" or "suit" in which at least one person/entity claimed against is an "insured" under this EPL Coverage and at least one person/entity claimed against is an "insured" under any other EPL Coverage issued to "you" by "us" (the "Other Policy"), the combined EPL Aggregate Limit of Liability under both this EPL Coverage and the Other Policy for all "losses" arising from such "claims" or "suits" combined shall not exceed the highest applicable limit of insurance under either this EPL Coverage or the Other Policy. This limitation shall apply even if both this EPL Coverage and the Other Policy have been triggered due to a "claim" or "suit" made against the same person/entity but alleging "wrongful employment acts" or "third party violations" both in his, her or its capacity as an "insured" under the Other Policy and as an "insured" under this EPL Coverage.

O. Headings

The descriptions in the headings of this EPL Coverage are solely for convenience and form no part of the terms and conditions of coverage.

SECTION VII. DEFINITIONS

A. "Applicant(s) for employment" means individual(s) who have applied or interviewed for a position of employment where work will be performed for, and completed under the direction of, the "named insured".

B. "Bodily injury" means physical injury, sickness, or disease, including death resulting therefrom.

C. "Claim" means a written demand for monetary and non-monetary relief (including any request to toll or waive any statute of limitations). The term "claim" shall also mean an Equal Employment Opportunity Commission (EEOC), Department of Labor (DOL) or Office of Federal Contract Compliance Program (OFCCP) (or similar federal, state or local agency) proceeding or investigation commenced by the filing of a notice of charges, service of a complaint or similar document of which notice has been given to "you". However, in no event, shall the term "claim" include any labor or grievance proceeding, which is subject to a collective bargaining agreement.

D. "Class action suit" means any suit seeking certification or certified as a class action by a federal or state court.

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E. "Defense costs" means reasonable and necessary fees, costs and expenses consented to by "us" resulting solely from the investigation, adjustment, defense and appeal of a "claim" or "suit" against "you". In no event shall "defense costs" include "your" or "our" routine on-going expenses, including, without limitation, the salaries of "your" or "our" "employees", officers or staff attorneys.

F. "Domestic partner" means any natural person legally recognized as a domestic or civil union partner under:

1. The provisions of any applicable federal, state or local law; or

2. The provisions of any formal program established by "you".

G. "Employee" means an individual whose labor or service is engaged by and directed by "you" for remuneration, whether such individual is in a supervisory, co-worker or subordinate position or otherwise, including any part-time, seasonal, and temporary "employees".

An individual who is an independent contractor or leased to "you" shall also be an "employee". Independent contractors who do not provide ongoing and routine services solely for "you" shall not be considered "employees", including but not limited to independent trade contractors (e.g. plumber, electrician).

H. "EPL coverage period" means the period commencing on the effective date shown in the Schedule above of this EPL Coverage. This period ends on the earlier of the expiration date or the effective date of cancellation of this EPL Coverage. If "you" became an "insured" under this EPL Coverage after the effective date, the "EPL coverage period" begins on the date "you" became an "insured".

I. "Loss(es)" means monetary amounts to which this insurance applies and which "you" are legally obligated to pay (including front pay and back pay), judgments, settlements, pre- and post-judgment interest on that part of any judgment paid by "us", statutory attorney fees, and "defense costs"; however, "loss" shall not include:

1. Civil or criminal fines or penalties imposed by law;

2. Taxes;

3. Employment related benefits, stock options, perquisites, deferred compensation or any other type of compensation other than salary, wages or bonus compensation;

4. Any liability or costs incurred by any "insured" to modify any building or property in order to make said building or property more accessible or accommodating to any disabled person, or any liability or costs incurred in connection with any educational, sensitivity or other corporate program, policy or seminar; or

5. Matters which may be deemed uninsurable under the law pursuant to which this EPL Coverage shall be construed.

Where permitted by law, "loss" shall include punitive or exemplary damages imposed upon any "insured" (subject to the policy's other terms, conditions and exclusions).

J. "Named insured" means the person or organization designated in the Schedule above of this EPL Coverage.

K. "Property damage" means physical injury to, or destruction of, tangible property including the loss of use thereof, or loss of use of tangible property, which has not been physically injured or destroyed.

L. "Recognized volunteer" means an uncompensated individual who volunteers labor or services to "you", but only when performing such labor or services at the request of and under the direction of "you".

M. "Related wrongful employment act(s)" means "wrongful employment acts" which are the same, related or continuous, or "wrongful employment acts" which arise from a common nucleus of facts. "Claims" or "suits" can allege "related wrongful employment acts", regardless of whether such "claims" or "suits" involve the same or different claimants, "insureds" or legal causes of actions.

N. "Related third party violation(s)" means "third party violation(s)" which are the same, related or continuous, or "third party violation(s)" which arise from a common nucleus of facts. "Claims" or "suits" can allege "related third party violations", regardless of whether such "claims" or "suits" involve the same or different claimants, "insureds" or legal causes of actions.

O. "Retaliation" means a "wrongful employment act" of an "insured" alleged to be in response to the actual or attempted exercise by an "employee" of any right that such "employee" has under the law.

P. "Subsidiary" means:

1. Any for-profit organization which, on or before the inception of the "EPL coverage period", is more than fifty (50%) percent owned by the "named insured", either directly or indirectly through one or more of its "subsidiaries"; or

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2. A for-profit organization which becomes a "subsidiary" during the "EPL coverage period", but only upon the condition that within ninety (90) days of its becoming a "subsidiary", the "named insured" shall have provided "us" with full particulars of the new "subsidiary" and agreed to any additional premium or amendment of the provisions of this EPL Coverage required by "us" relating to such new "subsidiary". Further, coverage as shall be afforded to the new "subsidiary" is conditioned upon the "named insured" paying when due any additional premium required by "us" relating to such new "subsidiary".

An organization becomes a "subsidiary" when the "named insured" owns more than fifty (50%) percent ownership interest in such "subsidiary", either directly, or indirectly through one or more of its "subsidiaries". An organization ceases to be a "subsidiary" when the "named insured" ceases to own more than a fifty (50%) percent ownership in such "subsidiary", either directly, or indirectly through one or more of its "subsidiaries".

In all events, coverage as is afforded under this EPL Coverage with respect to a "claim" made or "suit" brought against any "subsidiary" or an "insured" of any "subsidiary", shall only apply to "wrongful employment act(s)" or "third party violation(s)" commenced or allegedly commenced after the effective time that such "subsidiary" became a "subsidiary", and prior to the time that such "subsidiary" ceased to be a "subsidiary".

Q. "Suit" means a civil proceeding or an administrative proceeding seeking money damages, and includes an arbitration, mediation or any other alternative dispute resolution procedure seeking such damages, to which the "insured" must submit or may submit with "our" consent. "Suit" shall not include any civil proceeding or administrative proceeding arising from any labor or grievance dispute which is subject to a collective bargaining agreement.

R. "Third party violation" means any actual or alleged discrimination or sexual harassment against "your" clients, customers, tenants, or vendors. "Third party violation" shall also include any of the following as it relates to such discrimination or sexual harassment:

1. Violation of an individual's civil rights;

2. Libel;

3. Slander;

4. Humiliation;

5. Mental anguish;

6. Infliction of emotional distress;

7. Defamation;

8. Invasion of privacy; or

9. Any discrimination arising out of Title III of the Americans With Disabilities Act of 1990.

S. "Transaction" means any of the following that occur during the "EPL coverage period":

1. The "named insured" shall consolidate with or merge into, or sell all or substantially all of its assets to any other person or entity or group of persons or entities acting in concert; or

2. Any person or entity or group of persons or entities acting in concert shall acquire an amount of the outstanding securities representing more than fifty (50%) percent of the voting power for the election of directors or General Partners of the "named insured" (in the event the "named insured" is a Partnership), or acquires the voting rights of such an amount of such securities; or

3. A General Partner of the "named insured" (in the event the "named insured" is a partnership) withdraws, resigns or is terminated.

T. "Wrongful employment act(s)" means any actual or alleged:

1. Wrongful dismissal, discharge or termination (either actual or constructive), including breach of an implied contract;

2. Harassment or coercion (including sexual harassment, whether quid pro quo, hostile work environment or otherwise);

3. Discrimination (including but not limited to discrimination based upon age, gender, race, color, national origin, religion, sexual orientation or preference, pregnancy, disability, or violation of Title III of the Americans With Disabilities Act of 1990);

4. "Retaliation" (including lockouts);

5. Employment-related misrepresentation(s) to "your" "employee" or "applicant for employment" with "you";

6. Employment-related libel, slander, humiliation, mental anguish, infliction of emotional distress, defamation, or invasion of privacy;

7. Wrongful failure to employ or promote;

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8. Wrongful deprivation of career opportunity, wrongful demotion or negligent "employee" evaluation, including the giving of negative or defamatory statements in connection with an "employee" reference;
9. Wrongful discipline;
10. Failure to provide or enforce adequate or consistent corporate policies and procedures relating to any "wrongful employment act" or "third party violations";
11. Negligent supervision or hiring by an "insured", relating to any of the above; or
12. Violation of an individual's civil rights relating to any of the above.

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EQUIPMENT BREAKDOWN COVERAGE ENDORSEMENT (INCLUDING ELECTRONIC CIRCUITRY IMPAIRMENT)

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

A. The following is added to Paragraph **A.3. Covered Causes of Loss** in **SECTION I – PROPERTY:**

Additional Coverage - Equipment Breakdown

The term Covered Cause of Loss includes the Additional Coverage Equipment Breakdown as described and limited below. Without an "accident" or "electronic circuitry impairment", there is no Equipment Breakdown Coverage.

1. We will pay for direct physical damage to Covered Property that is the direct result of an "accident" or "electronic circuitry impairment". We will consider "electronic circuitry impairment" to be physical damage to "covered equipment".

2. Unless otherwise shown in a "schedule", the following coverages also apply to the direct result of an "accident" or "electronic circuitry impairment". However, with respect to coverage 2.g. Service Interruption below and any Dependent Properties coverage provided by this policy, coverage will apply only to the direct result of an "accident" and will not apply to the direct result of an "electronic circuitry impairment". These coverages do not provide additional amounts of insurance.

a. Business Income and Extra Expense

(1) Any insurance provided under the policy for Business Income or Extra Expense is extended to the coverage provided by this endorsement. However, if a deductible is shown in a "schedule", then with respect to this endorsement only, the "period of restoration" will begin immediately after the "accident" or "electronic circuitry impairment", and the deductible shown in the "schedule" will apply.

(2) The most we will pay for loss or expense under this coverage is the applicable limit for Business Income and Extra Expense, unless otherwise shown in a "schedule".

b. Data Restoration

(1) We will pay for your reasonable and necessary cost to research, replace and restore lost "data".

(2) The most we will pay for loss or expense under this coverage, including actual loss of Business Income you sustain and necessary Extra Expense you incur is $50,000 unless otherwise shown in a "schedule".

c. Expediting Expenses

(1) With respect to your damaged Covered Property, we will pay the reasonable extra cost to:

(a) Make temporary repairs; and

(b) Expedite permanent repairs or permanent replacement.

(2) The most we will pay for loss or expense under this coverage is $50,000 unless otherwise shown in a "schedule".

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d. Hazardous Substances

(1) We will pay your additional cost to repair or replace Covered Property because of contamination by a "hazardous substance". This includes the additional expenses to clean up or dispose of such property.

(2) This does not include contamination of "perishable goods" by refrigerant, including but not limited to ammonia, which is addressed in 2.h.(1)(b) below. As used in this coverage, additional costs mean those beyond what would have been payable under this Equipment Breakdown Coverage had no "hazardous substance" been involved.

(3) The most we will pay for loss, damage or expense under this coverage, including actual loss of Business Income you sustain and necessary Extra Expense you incur is $50,000 unless otherwise shown in a "schedule".

e. Off Premises Equipment Breakdown

(1) We will pay for physical damage to transportable "covered equipment" that, at the time of the "accident" or "electronic circuitry impairment", is not at a covered location. As respects this Off Premises Equipment Breakdown coverage only, the "accident" or "electronic circuitry impairment" may occur in any country except one in which the United States has imposed sanctions, embargoes or similar restrictions on the provision of insurance.

(2) We will also pay for your reasonable and necessary cost to research, replace and restore lost "data" contained within "covered equipment" as described under (1) above. This amount may not exceed the limit applicable to Data Restoration coverage.

(3) The most we will pay for loss, damage or expense under this coverage, including actual loss of Business Income you sustain and necessary Extra Expense you incur, and Data Restoration as described in (2) above is the limit for Personal Property Off-premises coverage shown in your policy, unless otherwise shown in a "schedule".

f. Public Relations

(1) This coverage only applies if you have sustained an actual loss of Business Income covered under this endorsement.

(2) We will pay for your reasonable costs for professional services to create and disseminate communications, when the need for such communications arises directly from the interruption of your business. This communication must be directed to one or more of the following:

(a) The media;

(b) The public; or

(c) Your customers, clients or members.

(3) Such costs must be incurred during the "period of restoration" or up to 30 days after the "period of restoration" has ended.

(4) The most we will pay for loss or expense under this coverage is $5,000.

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g. Service Interruption

(1) Any insurance provided for Business Income, Extra Expense, Data Restoration or Spoilage is extended to apply to your loss, damage or expense caused by a failure or disruption of service. The failure or disruption of service must be caused by an "accident" to equipment, including overhead transmission lines, that is owned by a utility, landlord, a landlord's utility or other supplier who provides you with any of the following services: electrical power, waste disposal, air conditioning, refrigeration, heating, natural gas, compressed air, water, steam, Internet access, telecommunications services, "cloud computing services", wide area networks or data transmission. The equipment must meet the definition of "covered equipment" except that it is not Covered Property.

(2) "Cloud computing services" must be provided by a professional provider with whom you have a contract.

(3) With respect to the Data Restoration portion of this Service Interruption coverage, coverage will also apply to "data" stored in the equipment of a provider of "cloud computing services".

(4) Unless otherwise shown in a "schedule", Service Interruption coverage will not apply unless the failure or disruption of service exceeds 24 hours immediately following the "accident". If the interruption exceeds 24 hours, coverage will begin at the time of the disruption, and the applicable deductible will apply.

(5) The most we will pay in any "one equipment breakdown" for loss, damage or expense under this coverage is the applicable limit for Business Income, Extra Expense, Data Restoration or Spoilage, except that if a limit is shown in a "schedule" for Service Interruption, that limit will apply to Business Income and Extra Expense loss under this coverage.

h. Spoilage

(1) We will pay for:

(a) Physical damage to "perishable goods" due to spoilage;

(b) Physical damage to "perishable goods" due to contamination from the release of refrigerant, including but not limited to ammonia;

(c) Any necessary expenses you incur to reduce the amount of loss under this coverage to the extent that they do not exceed the amount of loss that otherwise would have been payable under this coverage.

(2) If you are unable to replace the "perishable goods" before its anticipated sale, the amount of our payment will be determined on the basis of the sales price of the "perishable goods" at the time of the "accident" or "electronic circuitry impairment", less discounts and expenses you otherwise would have had. Otherwise our payment will be determined in accordance with the Loss Payment condition.

(3) The most we will pay for loss, damage or expense under this coverage is $50,000 unless otherwise shown in a "schedule".

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B. The following is added to Paragraph **B. Exclusions:**

All exclusions in the Businessowners Coverage Form apply except as modified below and to the extent that coverage is specifically provided by this endorsement.

1. The following exclusions are modified:

a. As respects this endorsement only, the next to the last paragraph in Exclusion B.1.h. is deleted and replaced with the following:

However, if excluded loss or damage, as described in Paragraph (1) above results in an "accident" or "electronic circuitry impairment", we will pay only for the loss, damage or expense caused by such "accident" or "electronic circuitry impairment".

b. As respects this endorsement only, the last paragraph of Exclusion B.2.l. is deleted and replaced with the following:

But if an excluded cause of loss that is listed in 2.l.(1) through (7) results in an "accident" or "electronic circuitry impairment", we will pay for the loss, damage or expense caused by that "accident" or "electronic circuitry impairment".

c. The following is added to Exclusions B.2.m. and B.2.n.:

We will also pay for direct physical loss or damage caused by an "accident" or "electronic circuitry impairment".

2. The following exclusions are added:

a. We will not pay for loss, damage or expense caused directly or indirectly by any of the following, whether or not caused by or resulting from an "accident" or "electronic circuitry impairment":

(1) Fire, including smoke from a fire;

(2) Explosion of gas or unconsumed fuel within the furnace of any boiler or fired vessel or within the passages from that furnace to the atmosphere;

(3) Any other explosion, except as specifically covered under this endorsement;

(4) Any earth movement, including but not limited to earthquake, subsidence, sinkhole collapse, landslide, earth sinking, tsunami or volcanic action;

(5) Flood, surface water, waves, tides, tidal waves, overflow of any body of water, or their spray, all whether driven by wind or not; mudslide or mudflow; or water that backs up or overflows from a sewer, drain or sump. However, if electrical "covered equipment" requires drying out because of the above, we will pay for the direct expenses of such drying out subject to the applicable Limit of Insurance and deductible for Building or Business Personal Property, whichever applies; or

(6) Vandalism.

b. Coverage under this endorsement does not apply to an "accident" or "electronic circuitry impairment" caused by or resulting from:

(1) Lightning;

(2) Windstorm or hail. However this exclusion does not apply when:

(a) "Covered equipment" located within a building or structure suffers an "accident" or "electronic circuitry impairment" that results from wind-blown rain, snow, sand or dust; and

(b) The building or structure did not first sustain wind or hail damage to its roof or walls through which the rain, snow, sand or dust entered.

(3) Smoke; aircraft or vehicles; riot or civil commotion; sprinkler leakage; elevator collision;

(4) Breakage of glass; falling objects; weight of snow, ice or sleet; freezing (caused by cold weather); collapse or molten material;

(5) A hydrostatic, pneumatic or gas pressure test of any boiler or pressure vessel, or an electrical insulation breakdown test of any type of electrical equipment; or

(6) Water or other means used to extinguish a fire.

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c. With respect to Business Income, Extra Expense and Service Interruption coverages, we will also not pay for any increase in loss resulting from an agreement between you and your customer or supplier.

d. We will not pay for loss, damage or expense caused directly or indirectly by the following, whether or not caused by or resulting from an "accident" or "electronic circuitry impairment": Any "fungi", wet rot or dry rot, including any presence, growth, proliferation, spread or any activity of "fungi", wet rot or dry rot. This includes, but is not limited to, costs arising from clean up, removal, or abatement of such "fungi", wet rot or dry rot. However, this exclusion does not apply to spoilage of personal property that is "perishable goods", to the extent that such spoilage is covered under Spoilage coverage.

e. We will not pay for any loss or damage to animals.

f. Exclusions 2.b.(1), 2.b.(2), 2.b.(3) and 2.b.(4) above shall not apply if:

(1) The excluded cause of loss occurs away from any covered location and causes an electrical surge or other electrical disturbance;

(2) Such surge or disturbance is transmitted through utility service transmission lines to the covered location and results in an "accident" or "electronic circuitry impairment"; and

(3) The loss, damage or expense caused by such surge or disturbance is not covered elsewhere under the policy.

C. DEDUCTIBLES

The deductible in the Declarations applies unless a separate Equipment Breakdown deductible is shown in a "schedule". If a separate Equipment Breakdown deductible is shown, the following applies.

Only as regards Equipment Breakdown Coverage, provision D. Deductibles is deleted and replaced with the following:

1. Deductibles for Each Coverage

a. Unless the "schedule" indicates that your deductible is combined for all coverages, multiple deductibles may apply to any "one equipment breakdown".

b. We will not pay for loss, damage or expense under any coverage until the amount of the covered loss, damage or expense exceeds the deductible amount indicated for that coverage in the "schedule". We will then pay the amount of loss, damage or expense in excess of the applicable deductible amount, subject to the applicable limit.

c. If deductibles vary by type of "covered equipment" and more than one type of "covered equipment" is involved in any "one equipment breakdown", only the highest deductible for each coverage will apply.

2. Direct and Indirect Coverages

a. Direct Coverages Deductibles and Indirect Coverages Deductibles may be indicated in the "schedule".

b. Unless more specifically indicated in the "schedule":

(1) Indirect Coverages Deductibles apply to Business Income and Extra Expense loss; and

(2) Direct Coverages Deductibles apply to all remaining loss, damage or expense covered by this endorsement.

3. Application of Deductibles

a. Dollar Deductibles

We will not pay for loss, damage or expense resulting from any "one equipment breakdown" until the amount of loss, damage or expense exceeds the applicable deductible shown in the "schedule". We will then pay the amount of loss, damage or expense in excess of the applicable deductible or deductibles, up to the applicable Limit of Insurance.

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b. Time Deductible

If a time deductible is shown in the "schedule", we will not be liable for any loss occurring during the specified number of hours or days immediately following the "accident" or "electronic circuitry impairment". If a time deductible is expressed in days, each day shall mean twenty-four consecutive hours.

c. Multiple of Average Daily Value (ADV)

If a deductible is expressed as a number times ADV, that amount will be calculated as follows:

The ADV (Average Daily Value) will be the Business Income (as defined in any Business Income coverage that is part of this policy) that would have been earned during the period of interruption of business had no "accident" or "electronic circuitry impairment" occurred, divided by the number of working days in that period. No reduction shall be made for the Business Income not being earned, or in the number of working days, because of the "accident" or "electronic circuitry impairment" or any other scheduled or unscheduled shutdowns during the period of interruption. The ADV applies to the Business Income value of the entire location, whether or not the loss affects the entire location. If more than one location is included in the valuation of the loss, the ADV will be the combined value of all affected locations. For purposes of this calculation, the period of interruption may not extend beyond the "period of restoration". The number indicated in the "schedule" will be multiplied by the ADV as determined above. The result shall be used as the applicable deductible.

d. Percentage of Loss Deductibles

If a deductible is expressed as a percentage of loss, we will not be liable for the indicated percentage of the gross amount of loss, damage or expense (prior to any applicable deductible or coinsurance) insured under the applicable coverage. If the dollar amount of such percentage is less than the indicated minimum deductible, the minimum deductible will be the applicable deductible.

D. CONDITIONS

1. The following conditions are in addition to the Conditions in the Businessowners Coverage Form.

a. Suspension

Whenever "covered equipment" is found to be in, or exposed to, a dangerous condition, any of our representatives may immediately suspend the insurance against loss from an "accident" or "electronic circuitry impairment" to that "covered equipment". This can be done by mailing or delivering a written notice of suspension to:

(1) Your last known address; or

(2) The address where the "covered equipment" is located.

Once suspended in this way, your insurance can be reinstated only by an endorsement for that "covered equipment". If we suspend your insurance, you will get a pro rata refund of premium for that "covered equipment" for the period of suspension. But the suspension will be effective even if we have not yet made or offered a refund.

b. Jurisdictional Inspections

If any property that is "covered equipment" under this endorsement requires inspection to comply with state or municipal boiler and pressure vessel regulations, we agree to perform such inspection on your behalf. We do not warrant that conditions are safe or healthful.

2. As respects this endorsement only, Loss Payment Condition 5.d. in the Businessowners Coverage Form is deleted and replaced with the following:

d. We will determine the value of Covered Property as follows:

(1) Except as specified otherwise, our payment for damaged Covered Property will be the smallest of:

(a) The cost to repair the damaged property;

(b) The cost to replace the damaged property on the same site; or

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(c) The amount you actually spend that is necessary to repair or replace the damaged property.

(2) The amount of our payment will be based on the most cost-effective means to replace the function, capacity and remaining useful life of the damaged property. This may include the use of generic, used or reconditioned parts, equipment or property.

(3) Except as described in (4) below, you must pay the extra cost of replacing damaged property with property of a better kind or quality or of a different size or capacity.

(4) Environmental, Safety and Efficiency Improvements

If "covered equipment" requires replacement due to an "accident" or "electronic circuitry impairment", we will pay your additional cost to replace with equipment that is better for the environment, safer for people or more energy or water efficient than the equipment being replaced. However, we will not pay to increase the size or capacity of the equipment and we will not pay more than 150% of what the cost would have been to replace with like kind and quality. This provision does not apply to the replacement of component parts or to any property to which Actual Cash Value applies and does not increase any of the applicable limits.

(5) The following property will be valued on an Actual Cash Value basis:

(a) Any property that does not currently serve a useful or necessary function for you;

(b) Any Covered Property that you do not repair or replace within 24 months after the date of the "accident" or "electronic circuitry impairment"; and

(c) Any Covered Property for which Actual Cash Value coverage is specified in a "schedule".

Actual Cash Value includes deductions for depreciation.

(6) If any one of the following conditions is met, property held for sale by you will be valued at the sales price as if no loss or damage had occurred, less any discounts and expenses that otherwise would have applied:

(a) The property was manufactured by you;

(b) The sales price of the property is less than the replacement cost of the property; or

(c) You are unable to replace the property before its anticipated sale.

(7) Except as specifically provided for under Data Restoration coverage, "data" and "media" will be valued on the following basis:

(a) For mass-produced and commercially available software, at the replacement cost.

(b) For all other "data" and "media", at the cost of blank "media" for reproducing the records. We will not pay for "data" representing financial records based on the face value of such records.

E. DEFINITIONS

The following definitions are added with respect to this endorsement only:

1. "Accident"

a. "Accident" means a fortuitous event that causes direct physical damage to "covered equipment". The event must be one of the following:

(1) Mechanical breakdown, including rupture or bursting caused by centrifugal force;

(2) Artificially generated electrical current, including electric arcing, that disturbs electrical devices, appliances or wires;

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(3) Explosion of steam boilers, steam pipes, steam engines or steam turbines owned or leased by you, or operated under your control;

(4) Loss or damage to steam boilers, steam pipes, steam engines or steam turbines caused by or resulting from any condition or event inside such equipment; or

(5) Loss or damage to hot water boilers or other water heating equipment caused by or resulting from any condition or event inside such boilers or equipment.

b. None of the following is an "accident":

(1) Defect, programming error, programming limitation, computer virus, malicious code, loss of "data", loss of access, loss of use, loss of functionality or other condition within or involving "data" or "media" of any kind; or

(2) Misalignment, miscalibration, tripping off-line, or any condition which can be corrected by resetting, tightening, adjusting or cleaning, or by the performance of maintenance.

However, if an "accident" results, we will pay for the resulting loss, damage or expense caused by that "accident".

2. "Boilers and vessels" means:

a. Any boiler, including attached steam, condensate and feedwater piping; and

b. Any fired or unfired pressure vessel subject to vacuum or internal pressure other than the static pressure of its contents.

This term does not appear elsewhere in this endorsement, but may appear in a "schedule".

3. "Cloud computing services" means professional, on-demand, self-service data storage or data processing services provided through the Internet or over telecommunications lines. This includes services known as IaaS (infrastructure as a service), PaaS (platform as a service), SaaS (software as a service) and NaaS (network as a service). This includes business models known as public clouds, community clouds and hybrid clouds. "Cloud computing services" include private clouds if such services are owned and operated by a third party.

4. "Covered equipment"

a. "Covered equipment" means, unless otherwise specified in a "schedule", Covered Property:

(1) That generates, transmits or utilizes energy; or

(2) Which, during normal usage, operates under vacuum or pressure, other than the weight of its contents.

"Covered equipment" may utilize conventional design and technology or new or newly commercialized design and technology.

b. None of the following is "covered equipment":

(1) Structure, foundation, cabinet or compartment;

(2) Insulating or refractory material;

(3) Sewer piping, buried vessels or piping, or piping forming a part of a sprinkler or fire suppression system;

(4) Water piping other than boiler feedwater piping, boiler condensate return piping or water piping forming a part of a refrigerating or air conditioning system;

(5) "Vehicle" or any equipment mounted on a "vehicle";

(6) Satellite, spacecraft or any equipment mounted on a satellite or spacecraft;

(7) Dragline, excavation or construction equipment; or

(8) Equipment manufactured by you for sale.

5. "Data" means information or instructions stored in digital code capable of being processed by machinery.

6. "Electronic circuitry" means microelectronic components, including but not limited to circuit boards, integrated circuits, computer chips and disk drives.

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7. **"Electronic circuitry impairment"**

   a. "Electronic circuitry impairment" means a fortuitous event involving "electronic circuitry" within "covered equipment" that causes the "covered equipment" to suddenly lose its ability to function as it had been functioning immediately before such event. This definition is subject to the conditions specified in b., c. and d. below.

   b. We shall determine that the reasonable and appropriate remedy to restore such "covered equipment's" ability to function is the replacement of one or more "electronic circuitry" components of the "covered equipment".

   c. The "covered equipment" must be owned or leased by you, or operated under your control.

   d. None of the following is an "electronic circuitry impairment":

   (1) Any condition that can be reasonably remedied by:

   (a) Normal maintenance, including but not limited to replacing expendable parts, recharging batteries or cleaning;

   (b) Rebooting, reloading or updating software or firmware; or

   (c) Providing necessary power or supply.

   (2) Any condition caused by or related to:

   (a) Incompatibility of the "covered equipment" with any software or equipment installed, introduced or networked within the prior 30 days; or

   (b) Insufficient size, capability or capacity of the "covered equipment".

   (3) Exposure to adverse environmental conditions, including but not limited to change in temperature or humidity, unless such conditions result in an observable loss of functionality. Loss of warranty shall not be considered an observable loss of functionality.

8. **"Hazardous substance"** means any substance that is hazardous to health or has been declared to be hazardous to health by a governmental agency.

9. **"Media"** means material on which "data" is recorded, such as solid state drives, hard disks, optical disks, flash drives, magnetic tapes or floppy disks.

10. **"One equipment breakdown"** means: If an initial "accident" or "electronic circuitry impairment" causes other "accidents" or "electronic circuitry impairments", all will be considered "one equipment breakdown". All "accidents" or "electronic circuitry impairments" that are the result of the same "accident" or "electronic circuitry impairment" will be considered "one equipment breakdown".

11. **"Perishable goods"** means personal property maintained under controlled conditions for its preservation, and susceptible to loss or damage if the controlled conditions change.

12. **"Production machinery"** means any machine or apparatus that processes or produces a product intended for eventual sale. This includes all component parts of such machine or apparatus and any other equipment used exclusively with such machine or apparatus. However, "production machinery" does not mean any boiler, or fired or unfired pressure vessel.

    This term does not appear elsewhere in this endorsement, but may appear in a "schedule".

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13. **"Schedule"** means the Equipment Breakdown Coverage Schedule.

14. **"Vehicle"** means any machine or apparatus that is used for transportation or moves under its own power. "Vehicle" includes, but is not limited to: car, truck, bus, trailer, train, aircraft, watercraft, forklift, bulldozer, tractor or harvester. However, any property that is stationary, permanently installed at a covered location and that receives electrical power from an external power source will not be considered a "vehicle".

The most we will pay for loss, damage or expense under this endorsement arising from any "one equipment breakdown" is the applicable Limit of Insurance in the Declarations unless otherwise shown in a "schedule". Coverage provided under this endorsement does not provide an additional amount of insurance.

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EXCLUSION OF INJURY TO EMPLOYEES, CONTRACTORS AND EMPLOYEES OF CONTRACTORS – NEW YORK OPERATIONS

This endorsement modifies Insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

I. This endorsement applies only to operations or work being performed, or that has been completed in the State of New York and claims asserted under the laws of the state of New York. All operations or work performed outside the state of New York and claims that are not asserted under the laws of the state of New York are not affected.

II. Exclusion **B.1.e.** of **SECTION II – LIABILITY** is deleted and replaced by the following:

B. Exclusions

1. Applicable To Business Liability Coverage:

This insurance does not apply to:

e. Employer's Liability

(1) "Bodily injury" to any "employee" or "temporary worker" of any insured arising out of or in the course of:

(a) Employment by any insured; or

(b) Performing duties related to the conduct of any insured's business; or

(2) "Bodily injury" to any contractor, subcontractor or any "employee" or "temporary worker" of any contractor or subcontractor arising out of or in the course of performing or failing to perform services of any kind or nature whatsoever by such contractor, subcontractor or any "employee" or "temporary worker" of any such contractor or subcontractor for which any insured may become liable in any capacity; or

(3) Any contractual, statutory or other legal obligation of any insured to defend, indemnify, hold harmless or contribute to any claim or "suit" seeking damages arising out of such "bodily injury"; or

(4) "Bodily injury" sustained by the spouse, child, parent, brother or sister of any "employee" or "temporary worker" of any insured or of any contractor, subcontractor or any "employee" or "temporary worker" of any contractor or subcontractor as a consequence of an injury to such person which meets the requirements set forth in Paragraphs **(1)** and **(2)** above.

This exclusion applies to all claims made and suits filed by any person or organization for damages because of such "bodily injury", including damages for care and loss of services.

III. As respects this exclusion solely, **SECTION II – LIABILITY**, **E. Liability and Medical Expenses General Conditions,** paragraph **4. Separation Of Insureds** is deleted in its entirety and replaced with the following:

4. Separation Of Insureds

Except with respect to the Limits of Insurance, "bodily injury" as described in this endorsement, and to any rights or duties specifically assigned in this Policy to the First Named Insured, this insurance applies:

a. As if each Named Insured were the only Named Insured; and

b. Separately to each Named Insured against whom claim is made or "suit is brought.

All other terms and conditions of this policy remain unchanged. This endorsement is a part of your policy and takes effect on the effective date of your policy unless another effective date is shown.

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LIMITATION OF COVERAGE - NEW RESIDENTIAL CONSTRUCTION- IN EXCESS OF TEN UNITS

This endorsement modifies Insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

I. The following limitation of coverage is added to Paragraph **B. Exclusions, 1.** of **SECTION II – LIABILITY**

B. Exclusions

1. Applicable To Business Liability Coverage

This insurance does not apply to:

New Residential Construction Limitation

"Bodily injury", "property damage", "personal and advertising injury" or any other injury, loss or damage connected with, or arising out of, "new residential construction" including any of the following units of construction:

(1) "Condominiums" or "cooperatives";

(2) "Town houses"; or

(3) "Single family houses";

regardless of whether such "new residential construction" is or was performed by:

(1) An insured;

(2) A person or entity to whom an insured owes a contractual obligation of indemnification;

(3) A person or entity added as an "Additional Insured," under this policy; or

(4) A subcontractor or contractor working for or at the direction of any insured.

This limitation does not apply to "new residential construction" if the total number of "condominiums", "cooperatives", "town houses" or "single family houses" in the project or development does not exceed (10) individual units.

This limitation also does not apply to remodeling, repair or maintenance operations performed on any individual "condominium", "cooperative", "town house" or "single family house" previously occupied or put to its intended use.

II. For purposes of this endorsement, the following are added to **SECTION II LIABILITY – F. Liability And Medical Expenses Definitions** of the Policy:

"Condominium" means an undivided interest in common property within a multi-unit residential real property, coupled with a separate interest in space, comprising a unit. "Condominium" shall include any individual unit, any model homes, any common areas and all appurtenant structures thereto.

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“Cooperative” means a building with units owned by a corporation of tenants in which shares of expenses are calculated on the basis of the value of the tenant’s unit. “Cooperative” includes both the unit itself and any common areas of the building and all appurtenant structures thereto.

“Town house” means a “condominium”, “cooperative” or “single family house” built in a row with other residential homes of the same or similar design with either a wall in common with another unit or a narrow space between units, together with any common areas, model homes and appurtenant structures thereto. “Town house” includes row houses or row homes.

“Single family house” means a separate, free-standing house designed to be occupied by one family and any appurtenant structures thereto.

“New residential construction” means operations relating to construction of a building, multiple buildings, building unit or multiple building units, not previously occupied or put to its intended use, designed for occupancy in whole or in part as a residence by a person, and any appurtenant structures thereto.

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EXCLUSION – ROOFING OPERATIONS

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

I. The following exclusion is added to Paragraph **B. Exclusions, 1.** of **SECTION II – LIABILITY**

B. Exclusions

1. Applicable To Business Liability Coverage

This insurance does not apply to:

Roofing Operations

"Bodily injury", "property damage" or "personal and advertising injury" arising out of any "roofing operations".

II. For purposes of this endorsement, the following are added to **SECTION II – LIABILITY, F. Liability And Medical Expenses Definitions**:

"Roofing operations" means any work involving, in whole or in part, the repair, removal, replacement and/or recovering of any existing roof or any part or section thereof.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EXCLUSION – SNOW AND ICE REMOVAL

This endorsement modifies Insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

I. The following exclusion is added to Paragraph **B. Exclusions, 1.** of **SECTION II – LIABILITY**:

B. Exclusions

1. Applicable To Business Liability Coverage

This insurance does not apply to:

Snow and Ice Removal Operations

"Bodily injury", "property damage" or "personal and advertising injury" arising out of any "snow and ice removal operations" regardless of whether such operations are conducted by you or on your behalf or whether the operations are conducted for yourself or for others.

II. For purposes of this endorsement, the following are added to **SECTION II – LIABILITY, F. Liability And Medical Expenses Definitions**:

"Snow and Ice Removal Operations" means any work involving, in whole or in part, removal or treating of snow and ice, or failure to remove or treat snow & ice.

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ADDITIONAL INSURED – OWNERS, LESSEES OR CONTRACTORS – COMPLETED OPERATIONS – WITH ADDITIONAL INSURED REQUIREMENT IN CONSTRUCTION CONTRACT

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

Section II – Liability is amended as follows:

A. The following is added to Paragraph **C. Who Is An Insured:**

Any person(s) or organization(s) for whom you have performed operations when you and such person(s) or organization(s) have agreed in writing in a contract or agreement, provided such written contract or agreement was executed prior to the loss, that such person(s) or organization(s) be added as an additional insured on your policy, but only with respect to liability for "bodily injury" or "property damage" caused, in whole or in part, by "your work" performed for that additional insured and included in the "products-completed operations hazard".

However:

1. The insurance afforded to such additional insured only applies to the extent permitted by law; and

2. If coverage provided to the additional insured is required by a contract or agreement, the insurance afforded to such additional insured will not be broader than that which you are required by the contract or agreement to provide for such additional insured.

B. With respect to the insurance afforded to these additional insureds, the following is added to Paragraph **D. Liability And Medical Expenses Limits Of Insurance:**

If coverage provided to the additional insured is required by a contract or agreement, the most we will pay on behalf of the additional insured is the amount of insurance:

1. Required by the contract or agreement; or

2. Available under the applicable limits of insurance;

whichever is less.

This endorsement shall not increase the applicable limits of insurance.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

PROEDGE BUSINESSOWNERS CONTRACTORS PROTECT

This endorsement modifies Insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

This schedule is a summary of the Coverages and the Limits of Insurance provided by the PROEDGE PROTECTION Property Endorsement and the PROEDGE PROTECTION General Liability Endorsement. No coverage is provided by this summary. Refer to endorsement forms previously mentioned to determine the scope of your insurance protection.

Unless specifically increased elsewhere in this policy, the limits set forth in the below schedule are the limits that apply to the coverages included in the PROEDGE CONTRACTORS PROTECT Coverage Option and are the most we will pay for loss or damage.

SCHEDULE

COVERAGE	LIMIT
PROPERTY	
Commercial Tools and Small Equipment	$10,000
Maximum per Tool	$500
Maximum per Tool Box or Piece of Small Equipment	$1,000
Installation Property	
At Jobsite	$10,000
Temporary Storage Location	
Transit	
LIABILITY	
Blanket Additional Insured(s) As Required By Contract	
Lessor of Leased Equipment	Included
Owners, Lessees or Contractors	Included
Primary and Non-Contributory	Included
Waiver of Subrogation (Transfer Of Rights Of Recovery Against Others To Us)	Included

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EXCLUSION – OPERATIONS COVERED BY A CONTROLLED (WRAP-UP) INSURANCE PROGRAM

This endorsement modifies Insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

The following exclusion is added to Paragraph **B. Exclusions** of **SECTION II – LIABILITY:**

Operations Covered By A Controlled (Wrap-Up) Insurance Program

This insurance does not apply to "bodily injury", "property damage" or “personal and advertising injury” arising out of your ongoing operations or operations Included in the "products-completed operations hazard" at any of your project(s), but only if you are enrolled in a "controlled (wrap-up) insurance program" with respect to the "bodily injury", "property damage" or “personal and advertising injury” at such project(s).

This exclusion applies whether or not the "controlled (wrap-up) insurance program":

a. Provides coverage identical to that provided by this Coverage Part;

b. Has limits adequate to cover all claims; or

c. Remains in effect.

The following definition is added **Section II – LIABILITY, F. Liability And Medical Expenses Definitions**:

"Controlled (wrap-up) insurance program" means a centralized insurance program under which one party has secured either insurance or self-insurance covering some or all of the contractors or subcontractors performing work on one or more specific project(s).

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PREMIUM AUDIT CONDITION AND AUDIT NONCOMPLIANCE CHARGE – CONTRACTORS

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

SCHEDULE

Total Advance Premium:	**$**3,425
Audit Noncompliance Charge Factor:	2
Number Of Attempts To Obtain Audit Information:	2
Audit Noncompliance Charge	**$**6,850
Reassessment Charge:	**$**0
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.	

Paragraph **J.** Premium Audit Condition under Section III – Common Policy Conditions (Applicable To Section I – Property And Section II – Liability) is replaced by the following:

J. Premium Audit

1. We will compute all premiums for this Businessowners Coverage in accordance with our rules and rates.

2. Premium shown in this Businessowners Coverage as advance premium is a deposit premium only. At the close of each audit period we will compute the earned premium for that period and send notice to the first Named Insured. The due date for audit and retrospective premiums is the date shown as the due date on the bill. If the sum of the advance and audit premiums paid for the policy period is greater than the earned premium, we will return the excess to the first Named Insured.

3. The first Named Insured must keep records of the information we need for premium computation and send us copies at such times as we may request. If the first Named Insured fails to comply with this request at the close of an audit period, an Audit Noncompliance Charge will be assessed, and notice will be sent to the first Named Insured.

The additional charge will be determined by multiplying the Total Advance Premium by the Audit Noncompliance Charge Factor indicated in the Schedule of this endorsement. (The following example is for illustration purposes only.)

Example:

Total Advance Premium: $25,000

Audit Noncompliance Charge Factor: 1

Audit Noncompliance Charge: $25,000

(a) We will only assess the Audit Noncompliance Charge:

(1) For audits conducted after the end of the policy period; and

(2) When we have made the number of written attempts indicated in the Schedule of this endorsement to obtain audit information from the first Named Insured.

The due date for the Audit Noncompliance Charge is the date shown as the due date on the bill.

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(b) Subsequent Compliance And Reassessment Charge

(1) The first Named Insured may notify us in writing, prior to the due date on the bill for the Audit Noncompliance Charge, that the Named Insured agrees to comply with the audit request.

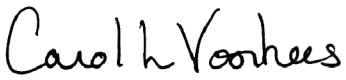
(2) A Reassessment Charge may apply if this charge is indicated in the Schedule.

(3) The first Named Insured must comply with the audit within 30 days of our receipt of the written notification described in Paragraph **(b)(1)** above, and then the Audit Noncompliance Charge will no longer apply. If a Reassessment Charge is indicated in the Schedule of this endorsement, that charge will remain applicable.

(4) If the first Named Insured fails to comply with the premium audit after 30 days of our receipt of the notification described in Paragraph **(b)(1)** above, a subsequent notice will be sent to the first Named Insured indicating that the Audit Noncompliance Charge and the Reassessment Charge (if applicable) will be final. The due date for the Audit Noncompliance Charge and the Reassessment Charge is the date shown as the due date on the bill.

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In Witness Whereof, the company issuing this policy has caused this policy to be signed by its authorized officers. We will provide insurance described in this policy in return for the premium and compliance with all applicable provisions of this policy.



Carol L. Voorhees
President



Theodore H. Hilke
Secretary

Insurance is provided by the Company designated on the Declarations Page of this policy.
The address of the company providing this insurance is shown below:

New Jersey Manufacturers Insurance Co
301 Sullivan Way
West Trenton, NJ 08628

NJM, a stock company domiciled in New Jersey